

In the opinion of Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California (“Bond Counsel”), under existing statutes, regulations, rulings and judicial decisions, and assuming the accuracy of certain representations and compliance with certain covenants and requirements described herein, interest (and original issue discount) on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals. In the further opinion of Bond Counsel, interest (and original issue discount) on the Bonds is exempt from State of California personal income tax. See “TAX MATTERS” herein with respect to tax consequences relating to the Bonds.

\$93,000,000
CARLSBAD UNIFIED SCHOOL DISTRICT
(San Diego County, California)
Election of 2018 General Obligation Bonds, Series B

Dated: Date of Delivery

Due: August 1, as shown on the inside cover

This cover page contains certain information for general reference only. It is not a summary of this issue. Investors must read the entire Official Statement to obtain information essential to the making of an informed investment decision. Capitalized terms used but not otherwise defined on this cover page shall have the meanings assigned to such terms herein.

The Carlsbad Unified School District (San Diego County, California) Election of 2018 General Obligation Bonds, Series A (the “Bonds”) were authorized at an election of the registered voters of the Carlsbad Unified School District (the “District”) held on November 6, 2018, at which more than fifty-five percent of the persons voting on the proposition voted to authorize the issuance and sale of \$265,000,000 principal amount of general obligation bonds of the District. The Bonds are being issued by the District to (i) finance the repair, upgrading, acquisition, construction and equipping of certain District property and facilities and (ii) pay the costs of issuing the Bonds.

The Bonds are general obligations of the District payable solely from *ad valorem* property taxes. The Board of Supervisors of San Diego County is empowered and obligated to levy *ad valorem* property taxes, without limitation as to rate or amount, upon all property within the District subject to taxation thereby (except certain personal property which is taxable at limited rates), for the payment of principal of and interest on the Bonds when due.

The Bonds will be issued in book-entry form only, and will be initially issued and registered in the name of Cede & Co. as nominee for The Depository Trust Company, New York, New York (collectively referred to herein as “DTC”). Purchasers of the Bonds (the “Beneficial Owners”) will not receive physical certificates representing their interest in the Bonds, but will instead receive credit balances on the books of their respective nominees. The Bonds will be dated as of their date of initial delivery (the “Date of Delivery”) and will be issued as current interest bonds, such that interest thereon will accrue from the Date of Delivery and be payable semiannually on February 1 and August 1 of each year, commencing August 1, 2021. The Bonds are issuable in denominations of \$5,000 principal amount or any integral multiple thereof.

Payments of principal of and interest on the Bonds will be made by the designated paying agent, bond registrar and transfer agent (the “Paying Agent”), to DTC for subsequent disbursement to DTC Participants who will remit such payments to the Beneficial Owners of the Bonds. The Treasurer-Tax Collector of San Diego County has been appointed as Paying Agent for the Bonds.

The Bonds are subject to optional and mandatory sinking fund redemption prior to maturity as further described herein.

Maturity Schedule
(see inside front cover)

The Bonds will be offered when, as and if issued and received by the Underwriter, subject to the approval of legality by Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California, Bond Counsel and Disclosure Counsel. Certain legal matters will be passed upon for the Underwriter by Katten Muchin Rosenman LLP, New York, New York. The Bonds, in book-entry form, will be available for delivery through the facilities of The Depository Trust Company in New York, New York on or about June 29, 2021.

J.P. Morgan

Dated: June 8, 2021

MATURITY SCHEDULE

\$93,000,000

CARLSBAD UNIFIED SCHOOL DISTRICT

(San Diego County, California)

Election of 2018 General Obligation Bonds, Series B

Base CUSIP[†]: 142665

\$38,690,000 Serial Bonds

Maturity (August 1)	Principal Amount	Interest Rate	Yield	CUSIP[†] Suffix
2023	\$5,755,000	2.000%	0.120%	GD4
2024	4,475,000	2.000	0.240	GE2
2028	840,000	2.000	0.810	GF9
2029	950,000	2.000	1.000	GG7
2030	1,135,000	3.000	1.090	GH5
2031	1,270,000	3.000	1.180	GJ1
2032	1,440,000	3.000	1.280 ⁽¹⁾	GK8
2033	1,625,000	3.000	1.390 ⁽¹⁾	GL6
2034	1,815,000	3.000	1.460 ⁽¹⁾	GM4
2035	2,050,000	3.000	1.510 ⁽¹⁾	GN2
2036	2,250,000	3.000	1.570 ⁽¹⁾	GP7
2037	2,490,000	3.000	1.670 ⁽¹⁾	GQ5
2038	2,735,000	3.000	1.710 ⁽¹⁾	GR3
2039	3,005,000	3.000	1.740 ⁽¹⁾	GS1
2040	3,280,000	3.000	1.780 ⁽¹⁾	GT9
2041	3,575,000	3.000	1.840 ⁽¹⁾	GU6

\$22,925,000 – 3.000% Term Bonds due August 1, 2046 – Yield 1.990%⁽¹⁾; CUSIP[†] Suffix: GV4

\$31,385,000 – 2.375% Term Bonds due August 1, 2050 – Yield 2.375%; CUSIP[†] Suffix: GW2

⁽¹⁾ Yield to call at par on August 1, 2031.

[†] CUSIP is a registered trademark of the American Bankers Association. CUSIP data herein is provided by CUSIP Global Services (“CGS”), managed by S&P Capital IQ on behalf of The American Bankers Association. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. CUSIP numbers have been assigned by an independent company not affiliated with the District, the Municipal Advisor or the Underwriter and are included solely for the convenience of the registered owners of the applicable Bonds. None of the District, the Municipal Advisor or the Underwriter is responsible for the selection or uses of these CUSIP numbers, and no representation is made as to their correctness on the applicable Bonds or as included herein. The CUSIP number for a specific maturity is subject to being changed after the execution and delivery of the Bonds as a result of various subsequent actions including, but not limited to, a refunding in whole or in part or as a result of the procurement of secondary market portfolio insurance or other similar enhancement by investors that is applicable to all or a portion of certain maturities of the Bonds.

This Official Statement does not constitute an offering of any security other than the original offering of the Bonds of the District. No dealer, broker, salesperson or other person has been authorized by the District to give any information or to make any representations other than as contained in this Official Statement, and if given or made, such other information or representation not so authorized should not be relied upon as having been given or authorized by the District.

The issuance and sale of the Bonds have not been registered under the Securities Act of 1933 or the Securities Exchange Act of 1934, both as amended, in reliance upon exemptions provided thereunder by Sections 3(a)2 and 3(a)12, respectively, for the issuance and sale of municipal securities. This Official Statement does not constitute an offer to sell or a solicitation of an offer to buy in any state in which such offer or solicitation is not authorized or in which the person making such offer or solicitation is not qualified to do so or to any person to whom it is unlawful to make such offer or solicitation.

Certain information set forth herein has been obtained from sources outside of the District which are believed to be reliable, but such information is not guaranteed as to accuracy or completeness, and is not to be construed as a representation by the District. The information and expressions of opinions herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof. This Official Statement is submitted in connection with the sale of the Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose.

When used in this Official Statement and in any continuing disclosure by the District in any press release and in any oral statement made with the approval of an authorized officer of the District or any other entity described or referenced in this Official Statement, the words or phrases “will likely result,” “are expected to,” “will continue,” “is anticipated,” “estimate,” “project,” “forecast,” “expect,” “intend” and similar expressions identify “forward looking statements” within the meaning of the Private Securities Litigation Reform Act of 1995. Such statements are subject to risks and uncertainties that could cause actual results to differ materially from those contemplated in such forward-looking statements. Any forecast is subject to such uncertainties. Inevitably, some assumptions used to develop the forecasts will not be realized and unanticipated events and circumstances may occur. Therefore, there are likely to be differences between forecasts and actual results, and those differences may be material.

The Underwriter has provided the following sentence for inclusion in this Official Statement: “The Underwriter has reviewed the information in this Official Statement in accordance with, and as part of, its responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information.”

IN CONNECTION WITH THIS OFFERING, THE UNDERWRITER MAY OVERALLOT OR EFFECT TRANSACTIONS WHICH STABILIZE OR MAINTAIN THE MARKET PRICES OF THE BONDS AT LEVELS ABOVE THOSE THAT MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME. THE UNDERWRITER MAY OFFER AND SELL THE BONDS TO CERTAIN SECURITIES DEALERS AND DEALER BANKS AND BANKS ACTING AS AGENT AT PRICES LOWER THAN THE PUBLIC OFFERING PRICES STATED ON THE INSIDE COVER PAGE HEREOF AND SAID PUBLIC OFFERING PRICES MAY BE CHANGED FROM TIME TO TIME BY THE UNDERWRITER.

The District maintains a website and certain social media accounts. However, the information presented there is not incorporated into this Official Statement by any reference, and should not be relied upon in making investment decisions with respect to the Bonds. References to website addresses presented herein are for informational purposes only and may be in the form of a hyperlink solely for the reader’s convenience. Unless specified otherwise, such websites and the information or links contained therein are not incorporated into, and are not part of, this Official Statement for purposes of, and as that term is defined in, the Rule (defined herein).

CARLSBAD UNIFIED SCHOOL DISTRICT

BOARD OF TRUSTEES

Claudine Jones, *President, Trustee Area 4*
Elisa Williamson, *Vice President, Trustee Area 2*
Ray Pearson, *Clerk, Trustee Area 3*
Kathy Rallings, *Member, Trustee Area 5*
Veronica Williams, *Member, Trustee Area 1*

DISTRICT ADMINISTRATION

Benjamin Churchill, *Superintendent*
Eric Dill, *Assistant Superintendent of Business Services*
Shelly Kruse, *Direct of Fiscal Services*

PROFESSIONAL SERVICES

BOND COUNSEL AND DISCLOSURE COUNSEL

Stradling Yocca Carlson & Rauth, a Professional Corporation
San Francisco, California

MUNICIPAL ADVISOR

Piper Sandler & Co.
El Segundo, California

PAYING AGENT, REGISTRAR AND TRANSFER AGENT

Treasurer-Tax Collector of San Diego County
San Diego, California

TABLE OF CONTENTS

Page

INTRODUCTION	1
THE DISTRICT	1
PURPOSE OF THE BONDS	1
AUTHORITY FOR ISSUANCE OF THE BONDS	1
SOURCES OF PAYMENT FOR THE BONDS	2
DESCRIPTION OF THE BONDS.....	2
TAX MATTERS	2
OFFERING AND DELIVERY OF THE BONDS.....	3
BOND OWNER’S RISKS.....	3
CONTINUING DISCLOSURE	3
PROFESSIONALS INVOLVED IN THE OFFERING.....	3
FORWARD-LOOKING STATEMENTS	3
OTHER INFORMATION	4
THE BONDS.....	5
AUTHORITY FOR ISSUANCE	5
SECURITY AND SOURCES OF PAYMENT	5
STATUTORY LIEN.....	6
GENERAL PROVISIONS	6
ANNUAL DEBT SERVICE.....	7
APPLICATION AND INVESTMENT OF BOND PROCEEDS.....	8
REDEMPTION.....	8
BOOK-ENTRY ONLY SYSTEM.....	11
DISCONTINUATION OF BOOK-ENTRY ONLY SYSTEM; REGISTRATION, EXCHANGE AND TRANSFER OF BONDS	13
DEFEASANCE	14
ESTIMATED SOURCES AND USES OF FUNDS	15
TAX BASE FOR PAYMENT OF BONDS.....	15
AD VALOREM PROPERTY TAXATION	15
ASSESSED VALUATIONS.....	17
APPEALS AND ADJUSTMENTS OF ASSESSED VALUATIONS	17
ASSESSED VALUATION OF SINGLE FAMILY HOMES	19
ASSESSED VALUATION AND PARCELS BY LAND USE	20
ASSESSED VALUATION BY JURISDICTION.....	20
TAX LEVIES, COLLECTIONS AND DELINQUENCIES	21
ALTERNATIVE METHOD OF TAX APPORTIONMENT - “TEETER PLAN”.....	22
TAX RATES	23
PRINCIPAL TAXPAYERS.....	24
STATEMENT OF DIRECT AND OVERLAPPING DEBT.....	24
CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS.....	26
ARTICLE XIII A OF THE CALIFORNIA CONSTITUTION	26
PROPOSITION 19.....	27
LEGISLATION IMPLEMENTING ARTICLE XIII A.....	27
PROPOSITION 50 AND PROPOSITION 171.....	27
UNITARY PROPERTY	28
ARTICLE XIII C AND ARTICLE XIII D OF THE CALIFORNIA CONSTITUTION	29
PROPOSITION 26.....	30
PROPOSITIONS 98 AND 111.....	30
PROPOSITION 39.....	32
PROPOSITION 1A AND PROPOSITION 22.....	33
JARVIS VS. CONNELL.....	33

TABLE OF CONTENTS (cont'd)

	<u>Page</u>
PROPOSITIONS 30 AND 55.....	34
PROPOSITION 2.....	34
PROPOSITION 51.....	36
FUTURE INITIATIVES.....	36
DISTRICT FINANCIAL INFORMATION.....	37
STATE FUNDING OF EDUCATION	37
OTHER REVENUE SOURCES.....	41
DISSOLUTION OF REDEVELOPMENT AGENCIES	42
CONSIDERATIONS REGARDING COVID-19	44
ACCOUNTING PRACTICES.....	47
COMPARATIVE FINANCIAL STATEMENTS.....	47
BUDGET PROCESS	48
STATE BUDGET MEASURES.....	51
CARLSBAD UNIFIED SCHOOL DISTRICT	60
INTRODUCTION	60
ADMINISTRATION.....	60
HISTORICAL ENROLLMENT	61
LABOR RELATIONS	62
DISTRICT RETIREMENT SYSTEMS.....	62
OTHER POST-EMPLOYMENT BENEFITS.....	71
RISK MANAGEMENT	72
JOINT POWERS AGREEMENTS.....	73
DISTRICT DEBT STRUCTURE	74
TAX MATTERS	79
LIMITATION ON REMEDIES; BANKRUPTCY	81
LEGAL MATTERS	82
LEGALITY FOR INVESTMENT IN CALIFORNIA	82
INFORMATION REPORTING REQUIREMENTS	82
CONTINUING DISCLOSURE	83
ABSENCE OF MATERIAL LITIGATION	83
FINANCIAL STATEMENTS	83
LEGAL OPINION	83
MISCELLANEOUS.....	84
RATING	84
UNDERWRITING	84
ADDITIONAL INFORMATION	85
APPENDIX A: FORM OF OPINION OF BOND COUNSEL.....	A-1
APPENDIX B: 2019-20 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT	B-1
APPENDIX C: FORM OF CONTINUING DISCLOSURE CERTIFICATE	C-1
APPENDIX D: GENERAL ECONOMIC AND DEMOGRAPHIC INFORMATION FOR THE CITY OF CARLSBAD AND SAN DIEGO COUNTY	D-1
APPENDIX E: SAN DIEGO COUNTY INVESTMENT POOL	E-1

\$93,000,000
CARLSBAD UNIFIED SCHOOL DISTRICT
(San Diego County, California)
Election of 2018 General Obligation Bonds, Series B

INTRODUCTION

This Official Statement, which includes the cover page, inside cover page and appendices hereto, provides information in connection with the sale of the Carlsbad Unified School District (San Diego County, California) Election of 2018 General Obligation Bonds, Series B (the “Bonds”).

This Introduction is not a summary of this Official Statement. It is only a brief description of and guide to, and is qualified by, more complete and detailed information contained in the entire Official Statement, including the cover page, inside cover page and appendices hereto, and the documents summarized or described herein. A full review should be made of the entire Official Statement. The offering of the Bonds to potential investors is made only by means of the entire Official Statement.

The District

The Carlsbad Unified School District (the “District”) was established as a unified school district in 1921. The District is located in the northwestern portion of San Diego County (the “County”) and encompasses approximately 30.2 square miles. The District provides kindergarten through twelfth grade education services, maintaining nine elementary schools, three middle schools, two high schools, one alternative school and one independent study school. For fiscal year 2020-21, the District’s estimated average daily attendance (“ADA”) is 11,012 students, and taxable property within the District has an assessed valuation of \$26,743,252,908. The District’s ADA and enrollment may be impacted by COVID-19.

The District is governed by a five-member Board of Trustees (the “Board”), each member of which is elected to a four-year term. Elections for positions to the Board are held every two years, alternating between two and three available positions. The management and policies of the District are administered by a Superintendent appointed by the Board who is responsible for day-to-day District operations, as well as the supervision of the District’s other personnel. Dr. Benjamin Churchill is currently the District Superintendent.

For more information regarding the District generally, see “DISTRICT FINANCIAL INFORMATION” and “CARLSBAD UNIFIED SCHOOL DISTRICT” herein, and for more information regarding the District’s assessed valuation, see “TAX BASE FOR PAYMENT OF BONDS” herein.

Purpose of the Bonds

The Bonds are being issued by the District to (i) finance the repair, upgrading, acquisition, construction and equipping of certain District property and facilities and (ii) pay the costs of issuing the Bonds. See “THE BONDS – Application and Investment of Bond Proceeds” and “ESTIMATED SOURCES AND USES OF FUNDS” herein.

Authority for Issuance of the Bonds

The Bonds are issued pursuant to certain provisions of the Government Code and pursuant to a resolution adopted by the Board. See “THE BONDS – Authority for Issuance” herein.

Sources of Payment for the Bonds

The Bonds are general obligations of the District payable solely from *ad valorem* property taxes. The Board of Supervisors of the County is empowered and obligated to levy such *ad valorem* property taxes, without limitation as to rate or amount, upon all property within the District subject to taxation thereby (except certain personal property which is taxable at limited rates), for the payment of principal of and interest on the Bonds when due. See “THE BONDS – Security and Sources of Payment” and “TAX BASE FOR PAYMENT OF BONDS” herein.

Description of the Bonds

Form and Registration. The Bonds will be issued in fully registered form only, without coupons. The Bonds will be initially registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York (the “DTC”), who will act as securities depository for the Bonds. See “THE BONDS – General Provisions” and “THE BONDS – Book-Entry Only System” herein. Purchasers of the Bonds (the “Beneficial Owners”) will not receive physical certificates representing their interests in the Bonds purchased, but will instead receive credit balances on the books of their respective nominees. In the event that the book-entry only system described below is no longer used with respect to the Bonds, the Bonds will be registered in accordance with the Resolution (as defined herein). See “THE BONDS – Discontinuation of Book-Entry Only System; Registration, Payment and Transfer of Bonds” herein.

So long as Cede & Co. is the registered owner of the Bonds, as nominee of DTC, references herein to the “Owners,” “Bondowners” or “Holders” of the Bonds (other than under the caption “TAX MATTERS” herein and in APPENDIX A attached hereto) will mean Cede & Co. and will not mean the Beneficial Owners of the Bonds.

Denominations. Individual purchases of interests in the Bonds will be available to purchasers of the Bonds in the denominations of \$5,000 principal amount, or any integral multiple thereof.

Redemption. The Bonds are subject to optional and mandatory sinking fund redemption prior to maturity as further described herein. See “THE BONDS – Redemption” herein.

Payments. The Bonds will be dated as of the date of their initial delivery (the “Date of Delivery”). Interest on the Bonds accrues from the Date of Delivery, and is payable semiannually on each February 1 and August 1, commencing August 1, 2021 (each, a “Bond Payment Date”). Principal of the Bonds is payable on August 1, in the amounts and years as shown on the inside cover page hereof. Payments of the principal of and interest on the Bonds will be made by the County, as the designated paying agent, registrar and transfer agent (the “Paying Agent”) to DTC for subsequent disbursement through DTC Participants (defined herein) to the Beneficial Owners of the Bonds.

Tax Matters

In the opinion of Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California (“Bond Counsel”), based on existing statutes, regulations, rulings and judicial decisions and assuming the accuracy of certain representations and compliance with certain covenants and requirements described herein, interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals. In the further opinion of Bond Counsel, interest on the Bonds is exempt from State of California (“State”) personal income tax. In addition, the excess of the stated redemption price at maturity over the issue price of a Bond (the first price at which a substantial amount of the Bonds of a

maturity is to be sold to the public) constitutes original issue discount, and the amount of original issue discount that accrues to the owner of the Bond is excluded from gross income of such owner for federal income tax purposes, is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals, and is exempt from State personal income tax. See “TAX MATTERS” herein.

Offering and Delivery of the Bonds

The Bonds are offered when, as and if issued, subject to approval as to their legality by Bond Counsel. It is anticipated that the Bonds in book-entry form will be available for delivery through the facilities of DTC in New York, New York, on or about June 29, 2021.

Bond Owner’s Risks

The Bonds are general obligations of the District payable solely from the proceeds of *ad valorem* property taxes which may be levied on all taxable property in the District, without limitation as to rate or amount (except with respect to certain personal property which is taxable at limited rates). For more complete information regarding the District’s financial condition and taxation of property within the District, see “TAX BASE FOR PAYMENT OF BONDS,” “DISTRICT FINANCIAL INFORMATION,” “CARLSBAD UNIFIED SCHOOL DISTRICT” and “LIMITATION ON REMEDIES; BANKRUPTCY” herein.

Continuing Disclosure

Pursuant to that certain Continuing Disclosure Certificate relating to the Bonds, the District will covenant for the benefit of the Owners and Beneficial Owners of the Bonds to make available certain financial information and operating data relating to the District and to provide notices of the occurrence of certain listed events, in order to assist the Underwriter in complying with S.E.C. Rule 15c2-12(b)(5) (the “Rule”). See “LEGAL MATTERS – Continuing Disclosure” herein. The specific nature of the information to be made available and the notices of listed events required to be provided are described in “APPENDIX C – Form of Continuing Disclosure Certificate” attached hereto.

Professionals Involved in the Offering

Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California, is acting as Bond Counsel and Disclosure Counsel to the District with respect to the Bonds. Piper Sandler & Co., El Segundo, California, is acting as municipal advisor (“Municipal Advisor”) to the District with respect to the Bonds. Stradling Yocca Carlson & Rauth, a Professional Corporation and the Municipal Advisor will each receive compensation from the District contingent upon the sale and delivery of the Bonds. Certain matters will be passed upon for J.P. Morgan Securities LLC (the “Underwriter”), by Katten Muchin Rosenman LLP, New York, New York.

Forward-Looking Statements

Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking statements” within the meaning of the United States Private Securities Litigation Reform Act of 1995, Section 21E of the United States Securities Exchange Act of 1934, as amended, and Section 27A of the United States Securities Act of 1933, as amended. Such statements are generally identifiable by the terminology used such as “plan,” “expect,” “estimate,” “project,” “intend,” “budget” or other similar words. Such forward-looking statements include, but are not limited to, certain statements contained in the information regarding the District herein.

THE ACHIEVEMENT OF CERTAIN RESULTS OR OTHER EXPECTATIONS CONTAINED IN SUCH FORWARD-LOOKING STATEMENTS INVOLVE KNOWN AND UNKNOWN RISKS, UNCERTAINTIES AND OTHER FACTORS WHICH MAY CAUSE ACTUAL RESULTS, PERFORMANCE OR ACHIEVEMENTS DESCRIBED TO BE MATERIALLY DIFFERENT FROM ANY FUTURE RESULTS, PERFORMANCE OR ACHIEVEMENTS EXPRESSED OR IMPLIED BY SUCH FORWARD-LOOKING STATEMENTS. THE DISTRICT DOES NOT PLAN TO ISSUE ANY UPDATES OR REVISIONS TO THE FORWARD-LOOKING STATEMENTS SET FORTH IN THIS OFFICIAL STATEMENT.

Other Information

This Official Statement speaks only as of its date, and the information contained herein is subject to change. Copies of documents referred to herein and information concerning the Bonds are available from the Carlsbad Unified School District, 6225 El Camino Real, Carlsbad, California 92009, Attention: Assistant Superintendent of Business Services. The District may impose a charge for copying, mailing and handling.

No dealer, broker, salesperson or other person has been authorized by the District to give any information or to make any representations other than as contained herein and, if given or made, such other information or representations must not be relied upon as having been authorized by the District. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy nor shall there be any sale of the Bonds by a person in any jurisdiction in which it is unlawful for such person to make such an offer, solicitation or sale.

This Official Statement is not to be construed as a contract with the purchasers of the Bonds. Statements contained in this Official Statement which involve estimates, forecasts or matters of opinion, whether or not expressly so described herein, are intended solely as such and are not to be construed as representations of fact. The summaries and references to documents, statutes and constitutional provisions referred to herein do not purport to be comprehensive or definitive, and are qualified in their entireties by reference to each such documents, statutes and constitutional provisions.

The information set forth herein, other than that provided by the District, has been obtained from official sources which are believed to be reliable but it is not guaranteed as to accuracy or completeness, and is not to be construed as a representation by the District. The information and expressions of opinions herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof. This Official Statement is submitted in connection with the sale of the Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose.

Capitalized terms used but not otherwise defined herein shall have the meanings assigned to such terms in the Resolution (as defined herein).

THE BONDS

Authority for Issuance

The Bonds are issued pursuant to the provisions of Article 4.5 of Chapter 3 of Part 1 of Division 2 of Title 5 of the Government Code (the “Act”), commencing with Section 53506 *et seq.*, as amended, Article XIII A of the State Constitution and pursuant to a resolution adopted by the Board on March 10, 2021 (the “Resolution”). The District received authorization at an election held on November 6, 2018 by the requisite 55% of the votes cast by eligible voters within the District to issue \$265,000,000 aggregate principal amount of general obligation bonds (the “2018 Authorization”). The Bonds are the second series of bonds issued under the 2018 Authorization, and following the issuance thereof, \$87,005,000 of the Authorization will remain unissued.

Security and Sources of Payment

The Bonds are general obligations of the District payable solely from *ad valorem* property taxes. The Board of Supervisors of the County is empowered and obligated to annually levy *ad valorem* property taxes upon all property subject to taxation by the District, without limitation as to rate or amount (except certain personal property which is taxable at limited rates), for the payment of principal of and interest on the Bonds when due. The levy may include allowance for an annual reserve, established for the purpose of avoiding fluctuating tax levies. The County, however, is not obligated to establish or maintain such a reserve, and the District can make no representation that such reserve will be established by the County or that such a reserve, if previously established by the County, will be maintained in the future.

Such *ad valorem* property taxes will be levied annually in addition to all other taxes during the period that the Bonds are outstanding in an amount sufficient to pay the principal of and interest on the Bonds when due. Such taxes, when collected, will be placed by the County in the Debt Service Fund (as defined herein) established by the Resolution, which is required to be segregated and maintained by the County and which is designated for the payment of the Bonds, and interest thereon when due, and for no other purpose. Pursuant to the Resolution, the District has pledged funds on deposit in the Debt Service Fund to the payment of the Bonds. Although the County is obligated to levy *ad valorem* property taxes for the payment of the Bonds as described above, and will maintain the Debt Service Fund, none of the Bonds are a debt of the County.

The moneys in the Debt Service Fund, to the extent necessary to pay the principal of and interest on the Bonds as the same becomes due and payable, will be transferred by the County to the Paying Agent. The Paying Agent will in turn remit the funds to DTC for remittance of such principal and interest to its Participants for subsequent disbursement to the Beneficial Owners of the Bonds.

The amount of the annual *ad valorem* property taxes levied by the County to repay the Bonds will be determined by the relationship between the assessed valuation of taxable property in the District and the amount of debt service due on the Bonds in any year. Fluctuations in the annual debt service on the Bonds and the assessed value of taxable property in the District may cause the annual tax rate to fluctuate. Economic and other factors beyond the District’s control, such as general market decline in land values, outbreak of disease, disruption in financial markets that may reduce the availability of financing for purchasers of property, outbreak of disease, reclassification of property to a class exempt from taxation, whether by ownership or use (such as exemptions for property owned by the State and local agencies and property used for qualified education, hospital, charitable or religious purposes), or the complete or partial destruction of the taxable property caused by a natural or manmade disaster, such as earthquake, flood, fire, wildfire, drought or toxic contamination, could cause a reduction in the assessed value of taxable

property within the District and necessitate a corresponding increase in the annual tax rate. For further information regarding the District's assessed valuation, tax rates, overlapping debt, and other matters concerning taxation, see "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Article XIII A of the California Constitution," "TAX BASE FOR PAYMENT OF BONDS – Assessed Valuations" and "DISTRICT FINANCIAL INFORMATION – Considerations Regarding COVID-19" herein.

Statutory Lien

Pursuant to Government Code Section 53515, the Bonds will be secured by a statutory lien on all revenues received pursuant to the levy and collection of *ad valorem* property taxes for the payment thereof. The lien automatically attaches, without further action or authorization by the Board, and is valid and binding from the time the Bonds are executed and delivered. The revenues received pursuant to the levy and collection of the *ad valorem* property tax will be immediately subject to the lien, and such lien will be enforceable against the District, its successor, transferees and creditors, and all other parties asserting rights therein, irrespective of whether such parties have notice of the lien and without the need for physical delivery, recordation, filing or further act.

This statutory lien, by its terms, secures not only the Bonds, but also any other bonds of the District issued after January 1, 2016 and payable, both as to principal and interest, from the proceeds of *ad valorem* property taxes that may be levied pursuant to paragraphs (2) and (3) of subdivision (b) of Section 1 of Article XIII A of the State Constitution. The statutory lien provision does not specify the relative priority of obligations so secured or a method of allocation in the event that the revenues received pursuant to the levy and collection of such *ad valorem* property taxes are insufficient to pay all amounts then due and owing that are secured by the statutory lien.

General Provisions

The Bonds will be issued in book-entry form only, and will be initially issued and registered in the name of Cede & Co. as nominee for DTC. See "– Book-Entry Only System" herein. Beneficial Owners will not receive physical certificates representing their interest in the Bonds, but instead will receive credit balances on the books of their respective nominees. The Bonds will be dated as of the Date of Delivery.

Interest on the Bonds accrues from the Date of Delivery and is payable semiannually on each Bond Payment Date, commencing August 1, 2021. Interest on the Bonds will be computed on the basis of a 360-day year of twelve, 30-day months. Each Bond will bear interest from the Bond Payment Date next preceding the date of authentication thereof unless it is authenticated as of a day during the period from the 16th day of the month next preceding any Bond Payment Date to that Bond Payment Date, inclusive, in which event it will bear interest from such Bond Payment Date, or unless it is authenticated on or before July 15, 2021, in which event it will bear interest from the Date of Delivery. The Bonds are issuable in denominations of \$5,000 principal amount or any integral multiple thereof, and mature on August 1, in the years and amounts set forth on the inside cover page hereof.

Payment. The principal of the Bonds will be payable in lawful money of the United States of America to the registered Owner thereof, upon the surrender thereof at the designated office of the Paying Agent. The interest on the Bonds will be payable in lawful money to the person whose name appears on the bond registration books of the Paying Agent as the registered Owner thereof as of the close of business on the 15th day of the month preceding any Bond Payment Date (a "Record Date"), whether or not such day is a business day. Such interest is to be paid by wire transfer on such Bond Payment Date to such registered Owner to the bank and account number on file with the Paying Agent as of the Record

Date. The Paying Agent is authorized to pay the Bonds when duly presented for payment at maturity, and to cancel all Bonds upon payment thereof. So long as the Bonds are held in the book-entry system of DTC, all payments of principal of and interest on the Bonds will be made by the Paying Agent to Cede & Co. (as a nominee of DTC), as the registered Owner of the Bonds.

Annual Debt Service

The following table displays the annual debt service requirements of the District for the Bonds (assuming no optional redemptions):

Year Ending <u>August 1</u>	Annual Principal <u>Payment</u>	Annual Interest <u>Payment</u> ⁽¹⁾	Total Annual Debt <u>Service Payment</u>
2021	--	\$219,879.44	\$219,879.44
2022	--	2,473,643.76	2,473,643.76
2023	\$5,755,000.00	2,473,643.76	8,228,643.76
2024	4,475,000.00	2,358,543.76	6,833,543.76
2025	--	2,269,043.76	2,269,043.76
2026	--	2,269,043.76	2,269,043.76
2027	--	2,269,043.76	2,269,043.76
2028	840,000.00	2,269,043.76	3,109,043.76
2029	950,000.00	2,252,243.76	3,202,243.76
2030	1,135,000.00	2,233,243.76	3,368,243.76
2031	1,270,000.00	2,199,193.76	3,469,193.76
2032	1,440,000.00	2,161,093.76	3,601,093.76
2033	1,625,000.00	2,117,893.76	3,742,893.76
2034	1,815,000.00	2,069,143.76	3,884,143.76
2035	2,050,000.00	2,014,693.76	4,064,693.76
2036	2,250,000.00	1,953,193.76	4,203,193.76
2037	2,490,000.00	1,885,693.76	4,375,693.76
2038	2,735,000.00	1,810,993.76	4,545,993.76
2039	3,005,000.00	1,728,943.76	4,733,943.76
2040	3,280,000.00	1,638,793.76	4,918,793.76
2041	3,575,000.00	1,540,393.76	5,115,393.76
2042	3,890,000.00	1,433,143.76	5,323,143.76
2043	4,220,000.00	1,316,443.76	5,536,443.76
2044	4,565,000.00	1,189,843.76	5,754,843.76
2045	4,930,000.00	1,052,893.76	5,982,893.76
2046	5,320,000.00	904,993.76	6,224,993.76
2047	5,760,000.00	745,393.76	6,505,393.76
2048	6,150,000.00	608,593.76	6,758,593.76
2049	9,425,000.00	462,531.26	9,887,531.26
2050	<u>10,050,000.00</u>	<u>238,687.50</u>	<u>10,288,687.50</u>
Total	<u>\$93,000,000.00</u>	<u>\$50,159,929.72</u>	<u>\$143,159,929.72</u>

⁽¹⁾ Interest payments on the Bonds will be made semiannually on February 1 and August 1 of each year, commencing August 1, 2021.

See “CARLSBAD UNIFIED SCHOOL DISTRICT – District Debt Structure – General Obligation Bonds” herein for a full table of the annual debt service requirements for the District’s outstanding general obligation bonded debt.

Application and Investment of Bond Proceeds

The Bonds are being issued by the District to (i) finance the repair, upgrading, acquisition, construction and equipping of certain District property and facilities and (ii) pay the costs of issuing the Bonds.

Building Fund. The net proceeds of the sale of the Bonds will be deposited into the fund held by the County and designated as the “Carlsbad Unified School District Election of 2018 General Obligation Bonds, Series B Building Fund” (the “Building Fund”) and will be applied only for the purposes approved by the voters of the District pursuant to the 2018 Authorization. Any interest earnings on moneys held in the Building Fund will be retained therein. The County will have no responsibility for assuring the proper use of the proceeds of the Bonds.

Debt Service Fund. Any premium or accrued interest received by the District from the sale of the Bonds will be kept separate and apart in the fund designated as the “Carlsbad Unified School District Election of 2018 General Obligation Bonds, Series B Debt Service Fund” (the “Debt Service Fund”), which fund is held by the County for the payment of principal of and interest on the Bonds, and for no other purpose. Any interest earnings on moneys held in the Debt Service Fund will be retained therein. Any excess proceeds of the Bonds not needed for authorized purposes for which the Bonds are being issued will be transferred to the Debt Service Fund and applied to the payment of the principal of and interest on the Bonds. Pursuant to the Resolution, the District has pledged monies on deposit in the Debt Service Fund to the payment of the Bonds. If, after payment in full of the Bonds, there remain excess proceeds, any such excess amounts will be transferred to the general fund of the District.

Investment of Proceeds. Moneys in the Building Fund and the Debt Service Fund are expected to be invested through the County’s pooled investment fund. See “APPENDIX E – SAN DIEGO COUNTY INVESTMENT POOL” attached hereto.

Redemption

Optional Redemption. The Bonds maturing on or before August 1, 2031 are not subject to redemption. The Bonds maturing on or after August 1, 2032 are subject to redemption prior to their respective stated maturity dates, at the option of the District, from any source of available funds, in whole or in part on any date, on or after August 1, 2031, at a redemption price equal to the principal amount of the Bonds called for redemption, together with interest accrued thereon to the date of redemption, without premium.

Mandatory Sinking Fund Redemption. The Bonds maturing on August 1, 2046 (the “2046 Term Bonds”) are subject to redemption prior to maturity from mandatory sinking fund payments on August 1 of each year, on and after August 1, 2042, at a redemption price equal to the principal amount thereof as of the date fixed for redemption, together with interest accrued to the date set for such redemption, without premium. The principal amount represented by such 2046 Term Bonds to be so redeemed and the redemption dates therefor, and the final payment date is as indicated in the table on the following page:

Redemption Date (August 1)	Principal Amount
2042	\$3,890,000
2043	4,220,000
2044	4,565,000
2045	4,930,000
2046 ⁽¹⁾	<u>5,320,000</u>
Total	<u>\$22,925,000</u>

⁽¹⁾ Maturity.

In the event that a portion of the 2046 Term Bonds shown above is optionally redeemed prior to maturity, the remaining mandatory sinking fund payments shown above shall be reduced proportionately, or as otherwise directed by the District, in integral multiples of \$5,000 of principal amount, in respect of the portion of such 2046 Term Bonds optionally redeemed.

The Bonds maturing on August 1, 2050 (the “2050 Term Bonds”) are subject to redemption prior to maturity from mandatory sinking fund payments on August 1 of each year, on and after August 1, 2047, at a redemption price equal to the principal amount thereof as of the date fixed for redemption, together with interest accrued to the date set for such redemption, without premium. The principal amount represented by such 2050 Term Bonds to be so redeemed and the redemption dates therefor, and the final payment date is as indicated in the following table:

Redemption Date (August 1)	Principal Amount
2047	\$5,760,000
2048	6,150,000
2049	9,425,000
2050 ⁽¹⁾	<u>10,050,000</u>
Total	<u>\$31,385,000</u>

⁽¹⁾ Maturity.

In the event that a portion of the 2050 Term Bonds shown above is optionally redeemed prior to maturity, the remaining mandatory sinking fund payments shown above shall be reduced proportionately, or as otherwise directed by the District, in integral multiples of \$5,000 of principal amount, in respect of the portion of such 2050 Term Bonds optionally redeemed.

Selection of Bonds for Redemption. Whenever provision is made for the optional redemption of Bonds and less than all outstanding Bonds are to be redeemed, the Paying Agent, upon written instruction from the District, shall select the Bonds for redemption as so directed and if not directed, in inverse order of maturity. Within a maturity, the Paying Agent shall select the Bonds for redemption by lot. Redemption by lot shall be in such manner as the Paying Agent shall determine; provided, however, that with respect to redemption by lot, the portion of any Bond to be redeemed in part shall be in the principal amount of \$5,000 or any integral multiple thereof.

Notice of Redemption. When optional redemption is authorized or required pursuant to the Resolution, the Paying Agent, upon written instruction from the District, shall give notice (a “Redemption Notice”) of the redemption of the Bonds. Such Redemption Notice shall specify (a) the Bonds or designated portions thereof (in the case of redemption of the Bonds in part but not in whole) which are to be redeemed, (b) the date of redemption, (c) the place or places where the redemption will be made,

including the name and address of the Paying Agent, (d) the redemption price, (e) the CUSIP numbers (if any) assigned to the Bonds to be redeemed, (f) the Bond numbers of the Bonds to be redeemed in whole or in part and, in the case of any Bond to be redeemed in part only, the portion of the principal amount of such Bond to be redeemed, and (g) the original issue date, interest rate and stated maturity date of each Bond to be redeemed in whole or in part. Such Redemption Notice shall further state that on the specified date there shall become due and payable upon each Bond or portion thereof being redeemed at the redemption price thereof, together with the interest accrued to the redemption date, and that from and after such date, interest thereon shall cease to accrue.

The Paying Agent will take the following actions with respect to each such Redemption Notice: (a) at least 20 but not more than 45 days prior to the redemption date, such Redemption Notice will be given to the respective Owners of Bonds designated for redemption by registered or certified mail, postage prepaid, at their addresses appearing on the bond register; (b) at least 20 but not more than 45 days prior to the redemption date, such Redemption Notice will be given by (i) registered or certified mail, postage prepaid, (ii) telephonically confirmed facsimile transmission, or (iii) overnight delivery service, to the Securities Depository; (c) at least 20 but not more than 45 days prior to the redemption date, such Redemption Notice will be given by (i) registered or certified mail, postage prepaid, or (ii) overnight delivery service, to one of the Information Services; and (d) provide such Redemption Notice to such other persons as may be required pursuant to the Continuing Disclosure Certificate.

“Information Services” means the Municipal Securities Rulemaking Board’s Electronic Municipal Market Access System; or, such other services providing information with respect to called municipal obligations as the District may specify in writing to the Paying Agent or as the Paying Agent may select.

“Securities Depository” means The Depository Trust Company, 55 Water Street, New York, New York 10041.

A certificate of the Paying Agent or the District that a Redemption Notice has been given as provided in the Resolution will be conclusive as against all parties. Neither failure to receive any Redemption Notice nor any defect in any such Redemption Notice so given will affect the sufficiency of the proceedings for the redemption of the affected Bonds. Each transfer of funds made by the Paying Agent for the purpose of redeeming Bonds shall bear or include the CUSIP number identifying, by issue and maturity, the Bonds being redeemed with the proceeds of such transfer.

Conditional Notice of Redemption. With respect to any notice of optional redemption of Bonds (or portions thereof) as described above, unless upon the giving of such notice such Bonds (or portions thereof) shall be deemed to have been defeased as described in “– Defeasance” herein, such notice will state that such redemption will be conditional upon the receipt by an independent escrow agent selected by the District on or prior to the date fixed for such redemption of the moneys necessary and sufficient to pay the principal of, and premium, if any, and interest on, such Bonds (or portions thereof) to be redeemed, and that, if such moneys shall not have been so received, said notice shall be of no force and effect, no portion of the Bonds will be subject to redemption on such date and such Bonds will not be required to be redeemed on such date. In the event that such Redemption Notice contains such a condition and such moneys are not so received, the redemption will not be made and the Paying Agent will, within a reasonable time thereafter (but in no event later than the date originally set for redemption), give notice to the persons to whom and in the manner in which the Redemption Notice was given, that such moneys were not so received. In addition, the District will have the right to rescind any Redemption Notice by written notice to the Paying Agent on or prior to the date fixed for such redemption. The Paying Agent shall distribute a notice of such rescission in the same manner as the Redemption Notice was originally provided.

Partial Redemption of Bonds. Upon the surrender of any Bond redeemed in part only, the Paying Agent will execute and deliver to the Owner thereof a new Bond or Bonds of like tenor and maturity and of authorized denominations equal in principal amount to the unredeemed portion of the Bond surrendered (the “Transfer Amount”). Such partial redemption is valid upon payment of the amount required to be paid to such Owner, and the District will be released and discharged thereupon from all liability to the extent of such payment.

Effect of Notice of Redemption. If notice of redemption is given as described above, and the moneys for the redemption (including the interest accrued to the applicable date of redemption) has been set aside as described in “– Defeasance” herein, the Bonds to be redeemed shall become due and payable on such date of redemption.

If on such redemption date, moneys for the optional redemption of all the Bonds to be redeemed, together with interest accrued to such redemption date, shall be held in trust, so as to be available therefor on such redemption date, and if a Redemption Notice thereof shall have been given as described above, then from and after such redemption date, interest on the Bonds to be redeemed will cease to accrue and become payable. All money held for the redemption of Bonds shall be held in trust for the account of the Owners of the Bonds to be so redeemed.

Bonds No Longer Outstanding. When any Bonds (or portions thereof), which have been duly called for redemption prior to maturity pursuant to the Resolution, or with respect to which irrevocable instructions to call for redemption prior to maturity at the earliest redemption date have been given to the Paying Agent, in form satisfactory to it, and sufficient moneys shall be held irrevocably in trust for the payment of the redemption price of such Bonds or portions thereof and accrued interest thereon to the date fixed for redemption, then such Bonds will no longer be deemed outstanding and shall be surrendered to the Paying Agent for cancellation.

Book-Entry Only System

The information in this section concerning DTC and DTC’s book-entry system has been obtained from sources that the District believes to be reliable, but none of the District, Municipal Advisor, or the Underwriter take any responsibility for the accuracy or completeness thereof. The District, Municipal Advisor, and the Underwriter cannot and do not give any assurances that DTC or the Direct Participants or Indirect Participants (as defined herein) will distribute to the Beneficial Owners (a) payments of interest, principal or premium, if any, with respect to the Bonds, (b) certificates representing ownership interest in or other confirmation or ownership interest in the Bonds, or (c) redemption or other notices sent to DTC or Cede & Co., its nominee, as the registered owner of the Bonds, or that they will so do on a timely basis or that DTC or the Direct Participants or Indirect Participants will act in the manner described in this Official Statement. The current “Rules” applicable to DTC are on file with the Securities and Exchange Commission and the current “Procedures” of DTC to be followed in dealing with the Direct Participants or Indirect Participants are on file with DTC.

The DTC, New York, NY, will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC’s partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Bond certificate will be issued for each maturity of the Bonds, each in the aggregate principal amount of such maturity, and will be deposited with DTC.

DTC, the world’s largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a “banking organization” within the meaning of the New York Banking Law, a member of the Federal Reserve System, a “clearing corporation” within the meaning of

the New York Uniform Commercial Code, and a “clearing agency” registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.6 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC’s participants (“Direct Participants”) deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants’ accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation (“DTCC”). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly (“Indirect Participants”). DTC has a S&P (defined herein) rating of “AA+” by Standard & Poor’s. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com. However, the information presented on such website is not incorporated herein by reference.

Purchases of Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC’s records. The ownership interest of each Beneficial Owner is in turn to be recorded on the Direct and Indirect Participants’ records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in the Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC’s partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC’s records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, defaults, and proposed amendments to the Resolution. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the District as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds and distributions on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the District or the Paying Agent, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Paying Agent, or the District, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds or distributions to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the District or the Paying Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

For every transfer and exchange of Bonds, Owners requesting such transfer or exchange may be charged a sum sufficient to cover any tax, governmental charge or transfer fees that may be imposed in relation thereto, which charge may include transfer fees imposed by the Paying Agent, DTC or the DTC Participant in connection with such transfers or exchanges.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the District or the Paying Agent. Under such circumstances, in the event that a successor depository is not obtained, Bond certificates are required to be printed and delivered.

The District may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, Bond certificates will be printed and delivered to DTC.

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the District believes to be reliable, but the District takes no responsibility for the accuracy thereof.

Discontinuation of Book-Entry Only System; Registration, Exchange and Transfer of Bonds

So long as any of the Bonds remain outstanding, the District will cause the Paying Agent to maintain at its principal office all books and records necessary for the registration, exchange and transfer of such Bonds, which shall at all times be open to inspection by the District, and, upon presentation for such purpose, the Paying Agent shall, under such reasonable regulations as it may prescribe, register, exchange or transfer or cause to be registered, exchanged or transferred, on said books, Bonds as provided in the Resolution.

In the event that the book-entry system described above is no longer used with respect to the Bonds, the following provisions will govern the payment, registration, transfer, exchange and replacement of the Bonds.

The principal of the Bonds and any premium and interest upon the redemption thereof prior to the maturity will be payable in lawful money of the United States of America upon presentation and surrender of the Bonds at the designated office of the Paying Agent, initially located in San Francisco, California. Interest on the Bonds will be paid by the Paying Agent by wire transfer to the bank and account number on file with the Paying Agent as of the Record Date.

Any Bond may be exchanged for Bonds of like Series, tenor, maturity and Transfer Amount upon presentation and surrender at the designated office of the Paying Agent, together with a request for exchange signed by the Owner or by a person legally empowered to do so in a form satisfactory to the Paying Agent. A Bond may be transferred on the Bond Register only upon presentation and surrender of the Bond at the designated office of the Paying Agent together with an assignment executed by the Owner or by a person legally empowered to do so in a form satisfactory to the Paying Agent. Upon exchange or transfer, the Paying Agent will complete, authenticate, and deliver a new bond or bonds of like series and tenor, and of any authorized denomination or denominations requested by the Owner equal to the Transfer Amount of the Bond surrendered and bearing or accruing interest at the same rate and maturing on the same date.

Neither the District nor the Paying Agent will be required to (a) issue or transfer any Bonds during a period beginning with the opening of business on the 16th day next preceding either any Bond Payment Date or any date of selection of Bonds to be redeemed and ending with the close of business on the Bond Payment Date or any day on which the applicable Redemption Notice is given or (b) transfer any Bonds which have been selected or called for redemption in whole or in part.

Defeasance

All or any portion of the outstanding maturities of the Bonds may be defeased prior to maturity in the following ways:

(a) Cash: by irrevocably depositing with an independent escrow agent selected by the District an amount of cash which, together with amounts transferred from the Debt Service Fund, if any, is sufficient to pay all Bonds outstanding and designated for defeasance (including all principal thereof, accrued interest thereon, and redemption premiums, if any) at or before their maturity date; or

(b) Government Obligations: by irrevocably depositing with an independent escrow agent selected by the District noncallable Government Obligations, together with amounts transferred from the Debt Service Fund, if any, and any other cash, if required, in such amount as will, together with interest to accrue thereon, in the opinion of an independent certified public accountant, be fully sufficient to pay and discharge all Bonds outstanding and designated for defeasance (including all principal thereof, accrued interest thereon, and redemption premiums, if any) at or before their maturity date;

then, notwithstanding that any of such Bonds shall not have been surrendered for payment, all obligations of the District with respect to all such designated outstanding Bonds will cease and terminate, except only the obligation of the independent escrow agent selected by the District to pay or cause to be paid from funds deposited pursuant to paragraphs (a) or (b) above, to the owners of such designated Bonds not so surrendered and paid all sums due with respect thereto.

“Government Obligations” means direct and general obligations of the United States of America, obligations that are unconditionally guaranteed as to principal and interest by the United States of America (which may consist of obligations of the Resolution Funding Corporation that constitute interest strips), or obligations the payment of the principal of and interest on which is secured, guaranteed or otherwise backed by, directly or indirectly, a pledge of the full faith and credit of the United States of America. In the case of direct and general obligations of the United States of America, Government Obligations shall include evidences of direct ownership of proportionate interests in future interest or principal payments of such obligations. Investments in such proportionate interests must be limited to circumstances where (a) a bank or trust company acts as custodian and holds the underlying United States obligations; (b) the owner of the investment is the real party in interest and has the right to proceed directly and individually against the obligor of the underlying United States obligations; and (c) the underlying United States obligations are held in a special account, segregated from the custodian’s general assets, and are not available to satisfy any claim of the custodian, any person claiming through the custodian, or any person to whom the custodian may be obligated; provided that such obligations are rated or assessed at least as high as direct and general obligations of the United States of America by either Moody’s Investors Service (“Moody’s”) or S&P Global Ratings, a business unit of Standard & Poor’s Financial Services LLC (“S&P”).

ESTIMATED SOURCES AND USES OF FUNDS

The estimated sources and uses of funds with respect to the Bonds are as follows:

Sources of Funds	
Principal Amount of Bonds	\$93,000,000.00
Original Issue Premium	<u>6,176,487.50</u>
Total Sources	<u>99,176,487.50</u>
Uses of Funds	
Building Fund	92,755,000.00
Debt Service Fund	5,862,822.21
Costs of Issuance ⁽¹⁾	245,000.00
Underwriter’s Discount	<u>313,665.29</u>
Total Uses	<u>\$99,176,487.50</u>

⁽¹⁾ A portion of the proceeds of the Bonds will be used to pay costs of issuance thereof, including, but not limited to, legal fees, municipal advisory fees, printing costs, rating agency fees, the costs and fees of the Paying Agent, and other costs of issuance of the Bonds.

TAX BASE FOR PAYMENT OF BONDS

The information in this section describes ad valorem property taxation, assessed valuation, and other measures of the tax base of the District. The principal of and interest on the Bonds are payable solely from the proceeds of ad valorem property taxes levied and collected by the County on taxable property in the District. The District’s general fund is not a source for the repayment of the Bonds.

Ad Valorem Property Taxation

District property taxes are assessed and collected by the County at the same time and on the same tax rolls as County, city and special district taxes. Assessed valuations are the same for both District and County taxing purposes.

Taxes are levied for each fiscal year on taxable real and personal property which is located in the District as of the preceding January 1. For assessment and collection purposes, property is classified either as “secured” or “unsecured” and is listed accordingly on separate parts of the assessment roll. The “secured roll” is that part of the assessment roll containing State assessed public utilities property and real property having a tax lien which is sufficient, in the opinion of the assessor, to secure payment of the taxes. Unsecured property is assessed on the “unsecured roll.” Unsecured property comprises certain property not attached to land such as personal property or business property. Boats and airplanes are examples of such property. A supplemental roll is developed when property changes hands or new construction is completed. The County levies and collects all property taxes for property falling within the County’s taxing boundaries.

The valuation of secured property is established as of January 1 and is subsequently enrolled in August. Property taxes on the secured roll are payable in two installments, due November 1 and February 1 of the calendar year. If unpaid, such taxes become delinquent on December 10 and April 10, respectively, and a 10% penalty attaches to any delinquent installment plus any additional amount determined by the Treasurer. After the second installment of taxes on the secured roll is delinquent, the tax collector shall collect a cost of \$10 for preparing the delinquent tax records and giving notice of delinquency. Property on the secured roll with delinquent taxes is declared tax-defaulted on July 1 of the calendar year. Such property may thereafter be redeemed, until the right of redemption is terminated, by payment of the delinquent taxes and the delinquency penalty, plus a \$15 redemption fee and a redemption penalty of 1.5% per month to the time of redemption. If taxes are unpaid for a period of five years or more, the property is subject to sale by the Treasurer.

Property taxes on the unsecured roll as of July 31 become delinquent if they are not paid by August 31 and are thereafter subject to a delinquent penalty of 10%. Taxes added to the unsecure tax roll after July 31, if unpaid are delinquent and subject to a penalty of 10% on the last day of the month succeeding the month of enrollment. In the case of unsecured property taxes, an additional penalty of 1.5% per month begins to accrue when such taxes remain unpaid on the last day of the second month after the 10% penalty attaches. The taxing authority has four ways of collecting unsecured personal property taxes: (1) a civil action against the assessee; (2) filing a certificate in the office of the county clerk specifying certain facts in order to obtain a judgment lien on specific property of the assessee; (3) filing a certificate of delinquency for record in the county recorder’s office in order to obtain a lien on specified property of the assessee; and (4) seizure and sale of personal property, improvements or possessory interests belonging or assessed to the assessee. See also “– Tax Levies, Collections and Delinquencies” herein.

State law exempts from taxation \$7,000 of the full cash value of an owner-occupied dwelling, but this exemption does not result in any loss of revenue to local agencies, since the State reimburses local agencies for the value of the exemptions.

All property is assessed using full cash value as defined by Article XIII A of the State Constitution. State law provides exemptions from *ad valorem* property taxation for certain classes of property, such as churches, colleges, non-profit hospitals, and charitable institutions.

Assessed valuation growth allowed under Article XIII A (new construction, certain changes of ownership, 2% inflation) is allocated on the basis of “situs” among the jurisdictions that serve the tax rate area within which the growth occurs. Local agencies and K-14 school districts (as defined herein) share the growth of “base” revenues from the tax rate area. Each year’s growth allocation becomes part of each agency’s allocation in the following year.

Assessed Valuations

Property within the District has a total assessed valuation for fiscal year 2020-21 of \$26,743,252,908. The following table shows a 10-year history of assessed valuations in the District.

ASSESSED VALUATIONS Fiscal Years 2011-12 through 2020-21 Carlsbad Unified School District

	<u>Local Secured</u>	<u>Utility</u>	<u>Unsecured</u>	<u>Total</u>	<u>Percent Change</u>
2011-12	\$15,777,488,319	\$146,025,804	\$782,408,112	\$16,705,922,235	--
2012-13	15,684,309,743	165,925,804	793,041,360	16,643,276,907	(0.37)%
2013-14	16,027,982,766	116,800,000	842,981,609	16,987,764,375	2.07
2014-15	17,339,892,057	99,891,000	898,041,290	18,337,824,347	7.95
2015-16	18,343,553,082	80,601,000	872,862,734	19,297,025,816	5.23
2016-17	19,458,398,988	76,100,000	1,462,284,238	20,996,783,226	8.81
2017-18	21,179,696,381	60,600,000	922,273,497	22,162,569,878	5.55
2018-19	22,463,459,489	438,346,568	946,249,014	23,848,055,071	7.61
2019-20	23,847,064,661	594,046,568	1,068,752,549	25,509,863,778	6.97
2020-21	24,988,725,697	601,746,568	1,152,780,643	26,743,252,908	4.83

Source: California Municipal Statistics, Inc.; Percent change figures provided by the Municipal Advisor.

Economic and other factors beyond the District's control, such as a general market decline in real property values, outbreak of disease, disruption in financial markets that may reduce the availability of financing for purchasers of property, reclassification of property to a class exempt from taxation, whether by ownership or use (such as exemptions for property owned by the State and local agencies and property used for qualified education, hospital, charitable or religious purposes), or the complete or partial destruction of the taxable property caused by a natural or manmade disaster, such as earthquake, drought, flood, fire or toxic contamination, could cause a reduction in the assessed value of taxable property within the District. Any such reduction would result in a corresponding increase in the annual tax rate levied by the County to pay the debt service with respect to the Bonds. See "THE BONDS – Security and Sources of Payment" and "DISTRICT FINANCIAL INFORMATION – Considerations Regarding COVID-19" herein.

Appeals and Adjustments of Assessed Valuations

Under State law, property owners may apply for a reduction of their property tax assessment by filing a written application, in form prescribed by the State Board of Equalization ("SBE"), with the appropriate county board of equalization or assessment appeals board. In most cases, the appeal is filed because the applicant believes that present market conditions (such as residential home prices) cause the property to be worth less than its current assessed value. Any reduction in the assessment ultimately granted as a result of such appeal applies to the year for which application is made and during which the written application was filed. Such reductions are subject to yearly reappraisals and may be adjusted back to their original values when market conditions improve. Once the property has regained its prior value, adjusted for inflation, it once again is subject to the annual inflationary factor growth rate allowed under Article XIII A. See "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Article XIII A of the California Constitution" herein.

A second type of assessment appeal involves a challenge to the base year value of an assessed property. Appeals for reduction in the base year value of an assessment, if successful, reduce the assessment for the year in which the appeal is taken and prospectively thereafter. The base year is determined by the completion date of new construction or the date of change of ownership. Any base year appeal must be made within four years of the change of ownership or new construction date.

In addition to the above-described taxpayer appeals, county assessors may independently reduce assessed valuations based on changes in the market value of property, or for other factors such as the complete or partial destruction of taxable property caused by natural or man-made disasters such as earthquakes, floods, fire, drought or toxic contamination pursuant to relevant provisions of the State Constitution.

Whether resulting from taxpayer appeals or county assessor reductions, adjustments to assessed value are subject to yearly reappraisals by the county assessor and may be adjusted back to their original values when real estate market conditions improve. Once property has regained its prior assessed value, adjusted for inflation, it once again is subject to the annual inflationary growth rate factor allowed under Article XIII A. See also “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Article XIII A of the California Constitution” herein.

No assurance can be given that property tax appeals or actions by the County Assessor in the future will not significantly reduce the assessed valuation of property within the District.

Assembly Bill 102. On June 27, 2017, the Governor signed into law Assembly Bill 102 (“AB 102”). AB 102 restructures the functions of the SBE and creates two new separate agencies: (i) the California Department of Tax and Fee Administration, and (ii) the Office of Tax Appeals. Under AB 102, the California Department of Tax and Fee Administration will take over programs previously in the SBE Property Tax Department, such as the Tax Area Services Section, which is responsible for maintaining all property tax-rate area maps and for maintaining special revenue district boundaries. Under AB 102, the SBE will continue to perform the duties assigned by the State Constitution related to property taxes, however, beginning January 1, 2018, the SBE will only hear appeals related to the programs that it constitutionally administers and the Office of Tax Appeals will hear tax appeals will hear appeals on all other taxes and fee matters, such as sales and use tax and other special taxes and fees. AB 102 obligates the Office of Tax Appeals to adopt regulations as necessary to carry out its duties, powers, and responsibilities. No assurances can be given as to the effect of such regulations on the appeals process or on the assessed valuation of property within the District.

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Assessed Valuation of Single Family Homes

The following table shows a per-parcel analysis of single family residences within the District, in terms of their fiscal year 2020-21 assessed valuation.

ASSESSED VALUATION OF SINGLE FAMILY HOMES Fiscal Year 2020-21 Carlsbad Unified School District

	<u>No. of Parcels</u>	<u>2020-21 Assessed Valuation</u>	<u>Average Assessed Valuation</u>	<u>Median Assessed Valuation</u>
Single Family Residential	17,263	\$11,468,957,603	\$664,366	\$625,063

<u>2020-21 Assessed Valuation</u>	<u>No. of Parcels⁽¹⁾</u>	<u>% of Total</u>	<u>Cumulative % of Total</u>	<u>Total Valuation</u>	<u>% of Total</u>	<u>Cumulative % of Total</u>
\$0 - \$99,999	676	3.916%	3.916%	\$48,762,882	0.425%	0.425%
100,000 - 199,999	1,107	6.413	10.328	168,094,213	1.466	1.891
200,000 - 299,999	1,635	9.471	19.800	411,095,246	3.584	5.475
300,000 - 399,999	1,569	9.089	28.888	550,308,287	4.798	10.273
400,000 - 499,999	1,534	8.886	37.774	690,011,011	6.016	16.290
500,000 - 599,999	1,657	9.599	47.373	911,283,971	7.946	24.235
600,000 - 699,999	1,686	9.767	57.140	1,094,626,826	9.544	33.780
700,000 - 799,999	1,718	9.952	67.091	1,288,080,834	11.231	45.011
800,000 - 899,999	1,622	9.396	76.487	1,374,411,306	11.984	56.994
900,000 - 999,999	1,210	7.009	83.496	1,144,550,685	9.980	66.974
1,000,000 - 1,099,999	814	4.715	88.212	852,745,167	7.435	74.409
1,100,000 - 1,199,999	585	3.389	91.601	671,611,261	5.856	80.265
1,200,000 - 1,299,999	454	2.630	94.230	565,982,793	4.935	85.200
1,300,000 - 1,399,999	332	1.923	96.154	446,430,195	3.893	89.093
1,400,000 - 1,499,999	175	1.014	97.167	253,100,567	2.207	91.299
1,500,000 - 1,599,999	151	0.875	98.042	233,291,625	2.034	93.334
1,600,000 - 1,699,999	90	0.521	98.563	148,106,128	1.291	94.625
1,700,000 - 1,799,999	50	0.290	98.853	87,394,606	0.762	95.387
1,800,000 - 1,899,999	35	0.203	99.056	64,594,984	0.563	95.950
1,900,000 - 1,999,999	39	0.226	99.282	76,046,527	0.663	96.613
2,000,000 and greater	<u>124</u>	<u>0.718</u>	<u>100.000</u>	<u>388,428,489</u>	<u>3.387</u>	<u>100.000</u>
	17,263	100.000%		\$11,468,957,603	100.000%	

⁽¹⁾ Improved single family residential parcels. Excludes condominiums and parcels with multiple family units.
Source: California Municipal Statistics, Inc.

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Assessed Valuation and Parcels by Land Use

The following table shows a per-parcel analysis of the distribution of taxable property within the District by principal use, and the fiscal year 2020-21 assessed valuation of such parcels.

ASSESSED VALUATION AND PARCELS BY LAND USE

Fiscal Year 2020-21

Carlsbad Unified School District

	2020-21 <u>Assessed Valuation</u> ⁽¹⁾	% of <u>Total</u>	No. of <u>Parcels</u>	% of <u>Total</u>
<u>Non-Residential:</u>				
Agricultural/Rural	\$43,110,607	0.17%	17	0.04%
Commercial	4,203,080,244	16.82	786	1.79
Vacant Commercial	188,055,005	0.75	84	0.19
Industrial	2,941,308,225	11.77	475	1.08
Vacant Industrial	86,616,591	0.35	33	0.08
Recreational/Open Space	352,712,104	1.41	171	0.39
Government/Social/Institutional	<u>94,673,678</u>	<u>0.38</u>	<u>65</u>	<u>0.15</u>
Subtotal Non-Residential	\$7,909,556,454	31.65%	1,631	3.72%
<u>Residential:</u>				
Single Family Residence	\$11,468,957,603	45.90%	17,263	39.33%
Condominium/Townhouse	3,267,764,810	13.08	6,143	13.99
Mobile Home	244,351,182	0.98	949	2.16
Mobile Home Park	21,725,417	0.09	5	0.01
2-4 Residential Units	351,702,057	1.41	471	1.07
5+ Residential Units/Apartments	1,255,726,247	5.03	193	0.44
Timeshare properties	364,061,158	1.46	16,701	38.05
Misc. Residential Improvements	1,677,829	0.01	198	0.45
Vacant Residential	<u>103,202,940</u>	<u>0.41</u>	<u>343</u>	<u>0.78</u>
Subtotal Residential	\$17,079,169,243	68.35%	42,266	96.28%
Total	\$24,988,725,697	100.00%	43,897	100.00%

⁽¹⁾ Local Secured Assessed Valuation, excluding tax-exempt property.

Source: California Municipal Statistics, Inc.

Assessed Valuation by Jurisdiction

The following table shows the fiscal year 2020-21 assessed valuation of the District by jurisdiction.

ASSESSED VALUATION BY JURISDICTION

Fiscal Year 2020-21

Carlsbad Unified School District

<u>Jurisdiction:</u>	<u>Assessed Valuation in District</u>	<u>% of District</u>	<u>Assessed Valuation of Jurisdiction</u>	<u>% of Jurisdiction in District</u>
City of Carlsbad	\$26,259,840,602	98.19%	\$36,906,318,830	71.15%
City of Oceanside	473,683,874	1.77	26,418,566,611	1.79
City of Vista	<u>9,728,432</u>	<u>0.04</u>	12,912,011,373	0.08
Total District	\$26,743,252,908	100.00%		
San Diego County	\$26,743,252,908	100.00%	\$585,657,954,957	4.57%

Source: California Municipal Statistics, Inc.

Tax Levies, Collections and Delinquencies

Property taxes on the secured roll are due in two installments, November 1 and February 1 of the calendar year, and if unpaid, become delinquent after December 10 and April 10, respectively. A 10% penalty attaches to any delinquent installment plus a minimum \$10 cost on the second installment, plus any additional amount determined by the treasurer-tax collector of the county. See “– *Ad Valorem* Property Taxation” herein.

Pursuant to Revenue and Taxation Code Section 4985.2, the County Treasurer may cancel any penalty, costs or other charges resulting from tax delinquency upon a finding that the late payment is due to reasonable cause and circumstances beyond the taxpayer’s control, and occurred notwithstanding the exercise of ordinary care in the absence of willful neglect, provided the property taxes are paid within four fiscal years of such taxes coming due. See “DISTRICT FINANCIAL INFORMATION – Considerations Regarding COVID-19” herein.

In addition, on May 6, 2020, the Governor signed Executive Order N-61-20 (“Order N-61-20”). Under Order N-61-20, certain provisions of the State Revenue and Taxation Code are suspended until May 6, 2021 to the extent said provisions require a tax collector to impose penalties, costs or interest for the failure to pay secured or unsecured property taxes, or to pay a supplemental bill, before the date that such taxes become delinquent, subject to certain conditions set forth in Order N-61-20.

The table on the following page shows secured *ad valorem* property tax levies within the District, and amounts delinquent as of June 30, for fiscal years 2010-11 through 2019-20.

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SECURED TAX CHARGES AND DELINQUENCIES
Fiscal Years 2010-11 through 2019-20
Carlsbad Unified School District

	Secured Tax Charge⁽¹⁾	Amt. Del. June 30	% Del. June 30
2010-11	\$56,898,696.18	(2)	(2)
2011-12	56,253,406.27	(2)	(2)
2012-13	56,607,278.92	(2)	(2)
2013-14	57,930,386.33	(2)	(2)
2014-15	62,659,685.43	(2)	(2)
2015-16	66,147,838.84	(2)	(2)
2016-17	70,468,125.13	(2)	(2)
2017-18	74,498,758.56	(2)	(2)
2018-19	78,934,667.82	(2)	(2)
2019-20	84,816,597.03	(2)	(2)

	Secured Tax Charge⁽³⁾	Amt. Del. June 30	% Del. June 30
2010-11	\$6,154,493.44	(2)	(2)
2011-12	11,041,339.12	(2)	(2)
2012-13	11,435,148.54	(2)	(2)
2013-14	11,356,118.03	(2)	(2)
2014-15	11,725,462.42	(2)	(2)
2015-16	11,878,735.32	(2)	(2)
2016-17	8,383,112.02	(2)	(2)
2017-18	12,857,714.65	(2)	(2)
2018-19	13,367,347.84	(2)	(2)
2019-20	20,687,573.42	(2)	(2)

⁽¹⁾ 1% general fund apportionment.

⁽²⁾ San Diego County utilizes the Teeter Plan for assessment levy and distribution. This method guarantees distribution of 100% of the assessments levied to the taxing entity, with the County retaining all penalties and interest. See “– Alternative Method of Tax Apportionment – Teeter Plan” below.

⁽³⁾ Reflects general obligation bond debt service levy only.

Source: California Municipal Statistics, Inc.

Alternative Method of Tax Apportionment - “Teeter Plan”

The Board of Supervisors of the County has approved the implementation of the Alternative Method of Distribution of Tax Levies and Collections and of Tax Sale Proceeds (the “Teeter Plan”), as provided for in Revenue and Taxation Code Section 4701 *et seq.* Under the Teeter Plan, the County apportions the unpaid secured property taxes as of June 30 of the current fiscal year (irrespective of actual collections) to its local political subdivisions, including the District, for which the County acts as the tax-levying or tax-collecting agency.

The Teeter Plan is applicable to all tax levies for which the County acts as the tax-levying or tax-collecting agency, or for which the County treasury is the legal depository of the tax collections. As adopted by the County, the Teeter Plan excludes Mello-Roos Community Facilities Districts and special assessment districts which provide for accelerated judicial foreclosure of property for which assessments are delinquent.

The secured *ad valorem* property tax to be levied to pay the interest on and principal of the Bonds will be subject to the Teeter Plan, beginning in the first year of such levy. The District will receive 100% of the secured *ad valorem* property tax levied to pay the Bonds irrespective of actual delinquencies in the collection of the tax by the County.

The Teeter Plan is to remain in effect unless the Board of Supervisors of the County orders its discontinuance or unless, prior to the commencement of any fiscal year of the County (which commences on July 1), the Board of Supervisors receives a petition for its discontinuance joined in by a resolution adopted by at least two-thirds of the participating revenue districts in the County. In the event the Board of Supervisors is to order discontinuance of the Teeter Plan subsequent to its implementation, only those secured property taxes actually collected would be allocated to political subdivisions (including the District) for which the County acts as the tax-levying or tax-collecting agency.

There can be no assurance that the County will always maintain the Teeter Plan or will have sufficient funds available to distribute the full amount of the District's share of property tax collections to the District. The ability of the County to maintain the Teeter Plan may depend on its financial resources and may be affected by future property tax delinquencies. Property tax delinquencies may be impacted by economic and other factors beyond the District's or the County's control, including the ability or willingness of property owners to pay property taxes during an economic recession or depression. An economic recession or depression could be caused by many factors outside the control of the District, including high interest rates, reduced consumer confidence, reduced real wages or reduced economic activity as a result of the spread of COVID-19 or other outbreak of disease or natural or manmade disaster. See "DISTRICT FINANCIAL INFORMATION – Considerations Regarding COVID-19" herein. However, notwithstanding any possible future change to or discontinuation of the Teeter Plan, State law requires the County to levy *ad valorem* property taxes sufficient to pay the Bonds when due.

Tax Rates

A representative tax rate area (a "TRA") located within the District is TRA 2-006. The table below shows the total *ad valorem* property tax rates, as a percentage of assessed valuation, levied by all taxing entities in this TRA during the five-year period from fiscal years 2016-17 through 2020-21.

SUMMARY OF AD VALOREM TAX RATES (TRA 2-006)⁽¹⁾ Fiscal Years 2016-17 through 2020-21 Carlsbad Unified School District

	<u>2016-17</u>	<u>2017-18</u>	<u>2018-19</u>	<u>2019-20</u>	<u>2020-21</u>
General Tax Rate	1.00000%	1.00000%	1.00000%	1.00000%	1.0000%
Carlsbad Unified School District	0.05280	0.06110	0.05930	0.08503	0.08270
Mira Costa Community College District	--	0.01440	0.01290	0.01299	0.01373
Metropolitan Water District	<u>0.00350</u>	<u>0.00350</u>	<u>0.00350</u>	<u>0.00350</u>	<u>0.00350</u>
Total	1.05630%	1.0790%	1.07570%	1.10152%	1.09993%

Fiscal year 2020-21 assessed valuation of TRA 9-000 is \$6,752,866,899.

Source: California Municipal Statistics, Inc.

Principal Taxpayers

The more property (by assessed value) which is owned by a single taxpayer within the District, the greater amount of tax collections that are exposed to weaknesses in such a taxpayer's financial situation and ability or willingness to pay property taxes. The following table lists the 20 largest local secured taxpayers in the District in terms of their fiscal year 2020-21 secured assessed valuations. Each taxpayer listed below is a name listed on the tax rolls. The District cannot make any representation as to whether individual persons, corporations or other organizations are liable for tax payments with respect to multiple properties held in various names that in aggregate may be larger than is suggested by the table below.

20 LARGEST LOCAL SECURED TAXPAYERS Fiscal Year 2020-21 Carlsbad Unified School District

1.	Poseidon Resources (Channelside) LLC	Seawater Desalination Plant	\$424,822,973	1.70%
2.	Grand Pacific Carlsbad Hotel LP	Hotel	280,765,268	1.12
3.	Legoland California LLC	Theme Park	252,623,430	1.01
4.	Levine Investments LP	Industrial	248,656,265	1.00
5.	LC Investment 2010 LLC	Hotel	234,679,998	0.94
6.	RPI Carlsbad LP	Shopping Center/Movie Theater	178,546,161	0.71
7.	XHR Carlsbad LLC	Hotel	163,200,000	0.65
8.	CPG Carlsbad Holdings LLC	Outlet Stores	132,112,916	0.53
9.	Pacific View Apartments Carlsbad LLC	Apartments	130,023,872	0.52
10.	H.G. Fenton Company	Industrial	121,942,885	0.49
11.	DP Carlsbad Magnifica Investors LP	Apartments	120,582,934	0.48
12.	Brookwood CBI LLC	Industrial	102,363,689	0.41
13.	Shapell Montecito LLC	Apartments	101,943,424	0.41
14.	Isis Pharmaceuticals Inc.	Commercial Building	99,041,192	0.40
15.	BA Leasing BSC LLC	Industrial	88,948,861	0.36
16.	LMV Carlsbad Holdings LP	Apartments	88,358,615	0.35
17.	Grand Pacific Palisades Owners Assn. Inc.	Resort/Timeshare	70,094,142	0.28
18.	PR Atlas LLC	Commercial Building	70,068,149	0.28
19.	Gateway Pacific View LLC	Industrial	68,754,250	0.28
20.	Carlsbad 2200 LLC	Commercial Building	<u>67,305,022</u>	<u>0.27</u>
			\$3,044,834,046	12.18%

⁽¹⁾ The District has a fiscal year 2020-21 local secured assessed valuation of \$24,988,725,697.

Source: California Municipal Statistics, Inc.

Statement of Direct and Overlapping Debt

Set forth on the following page is a direct and overlapping debt report (the "Debt Report") prepared by California Municipal Statistics, Inc., for debt issued as of March 1, 2021. The Debt Report is included for general information purposes only. The District has not reviewed the Debt Report for completeness or accuracy and makes no representation in connection therewith.

The Debt Report generally includes long-term obligations sold in the public credit markets by public agencies whose boundaries overlap the boundaries of the District in whole or in part. Such long-term obligations generally are not payable from revenues of the District (except as indicated) nor are they necessarily obligations secured by land within the District. In many cases long-term obligations issued by a public agency are payable only from the general fund or other revenues of such public agency.

The table shows the percentage of each overlapping entity's assessed value located within the boundaries of the District. The table also shows the corresponding portion of the overlapping entity's

existing debt payable from property taxes levied within the District. The total amount of debt for each overlapping entity is not given in the table.

The first column in the table names each public agency which has outstanding debt as of the date of the report and whose territory overlaps the District in whole or in part. The second column shows the percentage of each overlapping agency's assessed value located within the boundaries of the District. This percentage, multiplied by the total outstanding debt of each overlapping agency (which is not shown in the table) produces the amount shown in the third column, which is the apportionment of each overlapping agency's outstanding debt to taxable property in the District.

**STATEMENT OF DIRECT AND OVERLAPPING DEBT
Carlsbad Unified School District**

2020-21 Assessed Valuation: \$26,743,252,908

<u>DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT:</u>	<u>% Applicable</u>	<u>Debt 3/1/21</u>
Metropolitan Water District	0.819%	\$219,738
Mira Costa Community College District	22.301	68,300,158
Palomar Community College District	0.007	45,914
Carlsbad Unified School District	100.000	224,807,031⁽¹⁾
Palomar Pomerado Health System	0.111	461,235
Carlsbad Unified School District Community Facilities District No. 1	100.000	1,215,000
City of Carlsbad Community Facilities District No. 3, Improvement Area No. 1	50.657	3,513,063
City of Carlsbad Community Facilities District No. 3, Improvement Area No. 2	100.000	11,115,000
City of Carlsbad 1915 Act Bonds	89.742	<u>20,618,225</u>
TOTAL DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT		\$330,295,364

<u>DIRECT AND OVERLAPPING GENERAL FUND DEBT:</u>		
San Diego County General Fund Obligations	4.566%	\$9,660,971
San Diego County Pension Obligation Bonds	4.566	18,269,708
San Diego County Superintendent of Schools General Fund Obligations	4.566	391,991
Palomar Community College District General Fund Obligations	0.007	117
Carlsbad Unified School District Certificates of Participation	100.000	38,190,000
City of Oceanside General Fund Obligations	1.793	477,271
City of Oceanside Pension Obligation Bonds	1.793	305,707
City of Vista General Fund Obligations	0.075	<u>65,663</u>
TOTAL DIRECT AND OVERLAPPING GENERAL FUND DEBT		\$67,361,428

OVERLAPPING TAX INCREMENT DEBT (Successor Agency): \$2,850,000

COMBINED TOTAL DEBT \$400,506,792⁽²⁾

Ratios to 2020-21 Assessed Valuation:

Direct Debt (\$224,807,031)..... 0.84%
 Total Direct and Overlapping Tax and Assessment Debt..... 1.24%
Combined Direct Debt (\$262,997,031)..... 0.98%
 Combined Total Debt 1.50%

Ratios to Redevelopment Incremental Valuation (\$1,522,649,119):

Total Overlapping Tax Increment Debt..... 0.19%

⁽¹⁾ Excludes the Bonds as described herein.

⁽²⁾ Excludes tax and revenue anticipation notes, enterprise revenue, mortgage revenue and non-bonded capital lease obligations.

Source: California Municipal Statistics, Inc.

CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS

The principal of and interest on the Bonds are payable solely from the proceeds of an ad valorem property tax levied by the County for the payment thereof. See “The Bonds – Security and Sources of Payment” herein. Articles XIII A, XIII B, XIII C and XIII D of the State Constitution, Propositions 98 and 111, and certain other provisions of law discussed below, are included in this section to describe the potential effect of these Constitutional and statutory measures on the ability of the County to levy taxes on behalf of the District and of the District to spend tax proceeds for operating and other purposes, and it should not be inferred from the inclusion of such materials that these laws impose any limitation on the ability of the County to levy taxes for payment of the principal of and interest on the Bonds.

Article XIII A of the California Constitution

Article XIII A (“Article XIII A”) of the State Constitution limits the amount of *ad valorem* property taxes on real property to 1% of “full cash value” as determined by the county assessor. Article XIII A defines “full cash value” to mean “the county assessor’s valuation of real property as shown on the 1975-76 bill under “full cash value,” or thereafter, the appraised value of real property when purchased, newly constructed or a change in ownership has occurred after the 1975 assessment,” subject to exemptions in certain circumstances of property transfer or reconstruction. Determined in this manner, the full cash value is also referred to as the “base year value.” The “full cash value” is subject to annual adjustment to reflect increases, not to exceed 2% for any year, or decreases in the consumer price index or comparable local data, or to reflect reductions in property value caused by damage, destruction or other factors.

Article XIII A has been amended to allow for temporary reductions of assessed value in instances where the fair market value of real property falls below the adjusted base year value described above. Proposition 8—approved by the voters in November of 1978—provides for the enrollment of the lesser of the base year value or the market value of real property, taking into account reductions in value due to damage, destruction, depreciation, obsolescence, removal of property, or other factors causing a similar decline. In these instances, the market value is required to be reviewed annually until the market value exceeds the base year value, adjusted for inflation. Reductions in assessed value could result in a corresponding increase in the annual tax rates levied by the County to pay debt service on the Bonds. See “THE BONDS – Security and Sources of Payment” and “TAX BASE FOR PAYMENT OF BONDS” herein.

Article XIII A requires a vote of two-thirds or more of the qualified electorate of a city, county, special district or other public agency to impose special taxes, while totally precluding the imposition of any additional *ad valorem* property, sales or transaction tax on real property. Article XIII A exempts from the 1% tax limitation any taxes above that level required to pay debt service (a) on any indebtedness approved by the voters prior to July 1, 1978, or (b) as the result of an amendment approved by State voters on June 3, 1986, on any bonded indebtedness approved by two-thirds or more of the votes cast by the voters for the acquisition or improvement of real property on or after July 1, 1978, or (c) bonded indebtedness incurred by a school district or community college district for the construction, reconstruction, rehabilitation or replacement of school facilities or the acquisition or lease of real property for school facilities, approved by 55% or more of the votes cast on the proposition, but only if certain accountability measures are included in the proposition. The tax for payment of the Bonds falls within the exception described in (c) of the immediately preceding sentence. In addition, Article XIII A requires the approval of two-thirds or more of all members of the legislature of the State (the “State Legislature”) to change any State taxes for the purpose of increasing tax revenues.

Proposition 19

On November 3, 2020, State voters approved Proposition 19, a legislatively referred constitutional amendment (“Proposition 19”), which amends Article XIII A to: (i) expand special rules that give property tax savings to homeowners that are over the age of 55, severely disabled, or whose property has been impacted by wildfire or natural disaster, when they buy a different home; (ii) narrow existing special rules for inherited properties; and (iii) dedicate most of the potential new State revenue generated from Proposition 19 toward fire protection. The District cannot make any assurance as to what effect the implementation of Proposition 19 will have on District revenues or the assessed valuation of real property in the District.

Legislation Implementing Article XIII A

Legislation has been enacted and amended a number of times since 1978 to implement Article XIII A. Under current law, local agencies are no longer permitted to levy directly any property tax (except to pay voter-approved indebtedness). The 1% property tax is automatically levied by the relevant county and distributed according to a formula among taxing agencies. The formula apportions the tax roughly in proportion to the relative shares of taxes levied prior to 1979.

Increases of assessed valuation resulting from reappraisals of property due to new construction or change in ownership or from the annual adjustment not to exceed 2% are allocated among the various jurisdictions in the “taxing area” based upon their respective “situs.” Any such allocation made to a local agency continues as part of its allocation in future years.

All taxable property value included in this Official Statement is shown at 100% of taxable value (unless noted differently) and all tax rates reflect the \$1 per \$100 of taxable value.

Both the United States Supreme Court and the State Supreme Court have upheld the general validity of Article XIII A.

Proposition 50 and Proposition 171

On June 3, 1986, the voters of the State approved Proposition 50. Proposition 50 amends Section 2 of Article XIII A of the State Constitution to allow owners of property that was “substantially damaged or destroyed” by a disaster, as declared by the Governor (the “Damaged Property”), to transfer their existing base year value (the “Original Base Year Value”) to a comparable replacement property within the same county, which is acquired or constructed within five years after the disaster. At the time of such transfer, the Damaged Property will be reassessed at its full cash value immediately prior to damage or destruction (the “Original Cash Value”); however, such property will retain its base year value notwithstanding such a transfer. Property is substantially damaged or destroyed if either the land or the improvements sustain physical damage amounting to more than 50 percent of either the land or improvements full cash value immediately prior to the disaster. There is no filing deadline, but the assessor can only correct four years of assessments when the owner fails to file a claim within four years of acquiring a replacement property.

Under Proposition 50, the base year value of the replacement property (the “Replacement Base Year Value”) depends on the relation of the full cash value of the replacement property (the “Replacement Cash Value”) to the Original Cash Value: if the Replacement Cash Value exceeds 120 percent of the Original Cash Value, then the Replacement Base Year Value is calculated by combining the Original Base Year Value with such excessive Replacement Cash Value; if the Replacement Cash Value does not exceed 120 percent of the Original Cash Value, then the Replacement Base Year Value

equals the Original Base Year Value; if the Replacement Cash Value is less than the Original Cash Value, then the Replacement Base Year Value equals the Replacement Cash Value. The replacement property must be comparable in size, utility, and function to the Damaged Property.

On November 2, 1993, the voters of the State approved Proposition 171. Proposition 171 amends subdivision (e) of Section 2 of Article XIII A of the State Constitution to allow owners of Damaged Property to transfer their Original Base Year Value to a “comparable replacement property” located within another county in the State, which is acquired or newly constructed within three years after the disaster.

Inter-county transfers under Proposition 171 are more restrictive than intra-county transfers under Proposition 50. For example, Proposition 171 (1) only applies to (a) structures that are owned and occupied by property owners as their principal place of residence and (b) land of a “reasonable size that is used as a site for a residence;” (2) explicitly does not apply to property owned by firms, partnerships, associations, corporations, companies, or legal entities of any kind; (3) only applies to replacement property located in a county that adopted an ordinance allowing Proposition 171 transfers; (4) claims must be timely filed within three years of the date of purchase or completion of new construction; and (5) only applies to comparable replacement property, which has a full cash value that is of “equal or lesser value” than the Original Cash Value.

Within the context of Proposition 171, “equal or lesser value” means that the amount of the Replacement Cash Value does not exceed either (1) 105 percent of the Original Cash Value when the replacement property is acquired or constructed within one year of the destruction, (2) 110 percent of the Original Cash Value when the replacement property is acquired or constructed within two years of the destruction, or (3) 115 percent of the Original Cash Value when the replacement property is acquired or constructed within three years of the destruction.

Unitary Property

Some amount of property tax revenue of the District is derived from utility property which is considered part of a utility system with components located in many taxing jurisdictions (“unitary property”). Under the State Constitution, such property is assessed by the SBE as part of a “going concern” rather than as individual pieces of real or personal property. Such State-assessed unitary and certain other property is allocated to the counties by the SBE, taxed at special county-wide rates, and the tax revenues distributed to taxing jurisdictions (including the District) according to statutory formulae generally based on the distribution of taxes in the prior year. So long as the District is not a community funded district, taxes lost through any reduction in assessed valuation will be compensated by the State as equalization aid under the State’s school financing formula. See “DISTRICT FINANCIAL INFORMATION – State Funding of Education” herein. Article XIII B of the California Constitution.

Article XIII B (“Article XIII B”) of the State Constitution, as subsequently amended by Propositions 98 and 111, respectively, limits the annual appropriations of the State and of any city, county, school district, authority or other political subdivision of the State to the level of appropriations of the particular governmental entity for the prior fiscal year, as adjusted for changes in the cost of living and in population and for transfers in the financial responsibility for providing services and for certain declared emergencies. As amended, Article XIII B defines:

- (a) “change in the cost of living” with respect to school districts to mean the percentage change in State per capita income from the preceding year, and

- (b) “change in population” with respect to a school district to mean the percentage change in the ADA of the school district from the preceding fiscal year.

For fiscal years beginning on or after July 1, 1990, the appropriations limit of each entity of government shall be the appropriations limit for the 1986-87 fiscal year adjusted for the changes made from that fiscal year pursuant to the provisions of Article XIII B, as amended.

The appropriations of an entity of local government subject to Article XIII B limitations include the proceeds of taxes levied by or for that entity and the proceeds of certain State subventions to that entity. “Proceeds of taxes” include, but are not limited to, all tax revenues and the proceeds to the entity from (a) regulatory licenses, user charges and user fees (but only to the extent that these proceeds exceed the reasonable costs in providing the regulation, product or service), and (b) the investment of tax revenues.

Appropriations subject to limitation do not include (a) refunds of taxes, (b) appropriations for debt service such as the Bonds, (c) appropriations required to comply with certain mandates of the courts or the federal government, (d) appropriations of certain special districts, (e) appropriations for all qualified capital outlay projects as defined by the State Legislature, (f) appropriations derived from certain fuel and vehicle taxes and (g) appropriations derived from certain taxes on tobacco products.

Article XIII B includes a requirement that all revenues received by an entity of government other than the State in a fiscal year and in the fiscal year immediately following it in excess of the amount permitted to be appropriated during that fiscal year and the fiscal year immediately following it shall be returned by a revision of tax rates or fee schedules within the next two subsequent fiscal years.

Article XIII B also includes a requirement that 50% of all revenues received by the State in a fiscal year and in the fiscal year immediately following it in excess of the amount permitted to be appropriated during that fiscal year and the fiscal year immediately following it shall be transferred and allocated to the State School Fund pursuant to Section 8.5 of Article XVI of the State Constitution. See “– Propositions 98 and 111” herein.

Article XIII C and Article XIII D of the California Constitution

On November 5, 1996, the voters of the State approved Proposition 218, popularly known as the “Right to Vote on Taxes Act.” Proposition 218 added to the State Constitution Articles XIII C and XIII D (respectively, “Article XIII C” and “Article XIII D”), which contain a number of provisions affecting the ability of local agencies, including school districts, to levy and collect both existing and future taxes, assessments, fees and charges.

According to the “Title and Summary” of Proposition 218 prepared by the State Attorney General, Proposition 218 limits “the authority of local governments to impose taxes and property-related assessments, fees and charges.” Among other things, Article XIII C establishes that every tax is either a “general tax” (imposed for general governmental purposes) or a “special tax” (imposed for specific purposes), prohibits special purpose government agencies such as school districts from levying general taxes, and prohibits any local agency from imposing, extending or increasing any special tax beyond its maximum authorized rate without a two-thirds vote; and also provides that the initiative power will not be limited in matters of reducing or repealing local taxes, assessments, fees and charges. Article XIII C further provides that no tax may be assessed on property other than *ad valorem* property taxes imposed in accordance with Articles XIII and XIII A of the State Constitution and special taxes approved by a two-thirds vote under Article XIII A, Section 4. Article XIII D deals with assessments and property-related fees and charges, and explicitly provides that nothing in Article XIII C or XIII D will be

construed to affect existing laws relating to the imposition of fees or charges as a condition of property development.

The District does not impose any taxes, assessments, or property-related fees or charges which are subject to the provisions of Proposition 218. It does, however, receive a portion of the basic 1% *ad valorem* property tax levied and collected by the County pursuant to Article XIII A of the State Constitution. The provisions of Proposition 218 may have an indirect effect on the District, such as by limiting or reducing the revenues otherwise available to other local governments whose boundaries encompass property located within the District thereby causing such local governments to reduce service levels and possibly adversely affecting the value of property within the District.

Proposition 26

On November 2, 2010, voters in the State approved Proposition 26. Proposition 26 amends Article XIII C of the State Constitution to expand the definition of “tax” to include “any levy, charge, or exaction of any kind imposed by a local government” except the following: (1) a charge imposed for a specific benefit conferred or privilege granted directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of conferring the benefit or granting the privilege; (2) a charge imposed for a specific government service or product provided directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of providing the service or product; (3) a charge imposed for the reasonable regulatory costs to a local government for issuing licenses and permits, performing investigations, inspections, and audits, enforcing agricultural marketing orders, and the administrative enforcement and adjudication thereof; (4) a charge imposed for entrance to or use of local government property, or the purchase, rental, or lease of local government property; (5) a fine, penalty, or other monetary charge imposed by the judicial branch of government or a local government, as a result of a violation of law; (6) a charge imposed as a condition of property development; and (7) assessments and property-related fees imposed in accordance with the provisions of Article XIII D. Proposition 26 provides that the local government bears the burden of proving by a preponderance of the evidence that a levy, charge, or other exaction is not a tax, that the amount is no more than necessary to cover the reasonable costs of the governmental activity, and that the manner in which those costs are allocated to a payor bear a fair or reasonable relationship to the payor’s burdens on, or benefits received from, the governmental activity.

Propositions 98 and 111

On November 8, 1988, voters of the State approved Proposition 98, a combined initiative constitutional amendment and statute called the “Classroom Instructional Improvement and Accountability Act” (the “Accountability Act”). Certain provisions of the Accountability Act have, however, been modified by Proposition 111, discussed below, the provisions of which became effective on July 1, 1990. The Accountability Act changed State funding of public education below the university level and the operation of the State’s appropriations limit. The Accountability Act guarantees State funding for K-12 school districts and community college districts (hereinafter referred to collectively as “K-14 school districts”) at a level equal to the greater of (a) the same percentage of the State general fund revenues as the percentage appropriated to such districts in the 1986-87 fiscal year, and (b) the amount actually appropriated to such districts from the State general fund in the previous fiscal year, adjusted for increases in enrollment and changes in the cost of living. The Accountability Act permits the State Legislature to suspend this formula for a one-year period.

The Accountability Act also changed how tax revenues in excess of the State appropriations limit are distributed. Any excess State tax revenues up to a specified amount are, instead of being returned to taxpayers, transferred to K-14 school districts. Any such transfer to K-14 school districts would be

excluded from the appropriations limit for K-14 school districts and the K-14 school district appropriations limit for the next year is automatically increased by the amount of such transfer. These additional moneys enter the base funding calculation for K-14 school districts for subsequent years, creating further pressure on other portions of the State budget, particularly if revenues decline in a year following an Article XIII B surplus. The maximum amount of excess tax revenues which can be transferred to K-14 school districts is 4% of the minimum State spending for education mandated by the Accountability Act.

Since the Accountability Act is unclear in some details, there can be no assurances that the State Legislature or a court might not interpret the Accountability Act to require a different percentage of State general fund revenues to be allocated to K-14 school districts, or to apply the relevant percentage to the State's budgets in a different way than is proposed in the Governor's Budget.

On June 5, 1990, the voters of the State approved Proposition 111 (Senate Constitutional Amendment No. 1) called the "Traffic Congestion Relief and Spending Limitation Act of 1990" ("Proposition 111") which further modified Article XIII B and Sections 8 and 8.5 of Article XVI of the State Constitution with respect to appropriations limitations and school funding priority and allocation.

The most significant provisions of Proposition 111 are summarized as follows:

- a. Annual Adjustments to Spending Limit. The annual adjustments to the Article XIII B spending limit were liberalized to be more closely linked to the rate of economic growth. Instead of being tied to the Consumer Price Index, the "change in the cost of living" is now measured by the change in State per capita personal income. The definition of "change in population" specifies that a portion of the State's spending limit is to be adjusted to reflect changes in school attendance.
- b. Treatment of Excess Tax Revenues. "Excess" tax revenues with respect to Article XIII B are now determined based on a two-year cycle, so that the State can avoid having to return to taxpayers excess tax revenues in one year if its appropriations in the next fiscal year are under its limit. In addition, the Proposition 98 provision regarding excess tax revenues was modified. After any two-year period, if there are excess State tax revenues, 50% of the excess are to be transferred to K-14 school districts with the balance returned to taxpayers; under prior law, 100% of excess State tax revenues went to K-14 school districts, but only up to a maximum of 4% of the schools' minimum funding level. Also, reversing prior law, any excess State tax revenues transferred to K-14 school districts are not built into the school districts' base expenditures for calculating their entitlement for State aid in the next year, and the State's appropriations limit is not to be increased by this amount.
- c. Exclusions from Spending Limit. Two exceptions were added to the calculation of appropriations which are subject to the Article XIII B spending limit: (i) all appropriations for "qualified capital outlay projects" as defined by the State Legislature, and (ii) any increases in gasoline taxes above the 1990 level (then nine cents per gallon), sales and use taxes on such increment in gasoline taxes, and increases in receipts from vehicle weight fees above the levels in effect on January 1, 1990. These latter provisions were necessary to make effective the transportation funding package approved by the State Legislature and the Governor, which was expected to raise over \$15 billion in additional taxes from 1990 through 2000 to fund transportation programs.

- d. Recalculation of Appropriations Limit. The Article XIII B appropriations limit for each unit of government, including the State, is to be recalculated beginning in fiscal year 1990-91. It is based on the actual limit for fiscal year 1986-87, adjusted forward to 1990-91 as if Proposition 111 had been in effect.
- e. School Funding Guarantee. There is a complex adjustment in the formula enacted in Proposition 98 which guarantees K-14 school districts a certain amount of State general fund revenues. Under prior law, K-14 school districts were guaranteed the greater of (1) 40.9% of State general fund revenues ("Test 1") or (2) the amount appropriated in the prior year adjusted for changes in the cost of living (measured as in Article XIII B by reference to per capita personal income) and enrollment ("Test 2"). Under Proposition 111, K-14 school districts will receive the greater of (1) Test 1, (2) Test 2, or (3) a third test ("Test 3"), which will replace Test 2 in any year when growth in per capita State general fund revenues from the prior year is less than the annual growth in the State per capita personal income. Under Test 3, K-14 school districts will receive the amount appropriated in the prior year adjusted for change in enrollment and per capita State general fund revenues, plus an additional small adjustment factor. If Test 3 is used in any year, the difference between Test 3 and Test 2 will become a "credit" to schools (also referred to as a "maintenance factor") which will be paid in future years when State general fund revenue growth exceeds personal income growth.

Proposition 39

On November 7, 2000, State voters approved an amendment (commonly known as "Proposition 39") to the State Constitution. Proposition 39 is an initiated amendment that (1) allows school facilities bond measures to be approved by 55% (rather than two-thirds) of the voters in local elections and permits property taxes to exceed the current 1% limit in order to repay the bonds and (2) changes existing statutory law regarding charter school facilities. As adopted, the constitutional amendments may be changed only with another statewide vote of the people. The statutory provisions could be changed by a majority vote of both houses of the State Legislature and approval by the Governor, but only to further the purposes of the proposition. The local school jurisdictions affected by this proposition are K-12 school districts, including the District, community college districts, and county offices of education. As noted above, the State Constitution previously limited property taxes to 1% of the value of property. Prior to the approval of Proposition 39, property taxes could only exceed this limit to pay for (1) any local government debts approved by the voters prior to July 1, 1978 or (2) bonds to acquire or improve real property that receive two-thirds voter approval after July 1, 1978.

The 55% vote requirement authorized by Proposition 39 applies only if the local bond measure presented to the voters includes: (1) a requirement that the bond funds can be used only for construction, rehabilitation, equipping of school facilities, or the acquisition or lease of real property for school facilities; (2) a specific list of school projects to be funded and certification that the school board has evaluated safety, class size reduction, and information technology needs in developing the list; and (3) a requirement that the school board conduct annual, independent financial and performance audits until all bond funds have been spent to ensure that the bond funds have been used only for the projects listed in the measure. Legislation approved in June 2000 placed certain limitations on local school bonds to be approved by 55% of the voters. These provisions require that such bonds may be issued only if the tax rate projected to be levied as the result of any single election would not exceed \$60 (for a unified school district), \$30 (for a high school or elementary school district), or \$25 (for a community college district) per \$100,000 of taxable property value, when assessed valuation is projected to increase in accordance with Article XIII A of the State Constitution. These requirements are not part of Proposition 39 and can

be changed with a majority vote of both houses of the State Legislature and approval by the Governor. See “– Article XIII A of the California Constitution” herein.

Proposition 1A and Proposition 22

On November 2, 2004, State voters approved Proposition 1A, which amended the State Constitution to significantly reduce the State’s authority over major local government revenue sources. Under Proposition 1A, the State cannot (i) reduce local sales tax rates or alter the method of allocating the revenue generated by such taxes, (ii) shift property taxes from local governments to schools or community colleges, (iii) change how property tax revenues are shared among local governments without two-third approval of both houses of the State Legislature or (iv) decrease vehicle license fee revenues without providing local governments with equal replacement funding. Proposition 1A does allow the State to approve voluntary exchanges of local sales tax and property tax revenues among local governments within a county. Proposition 1A also amends the State Constitution to require the State to suspend certain State laws creating mandates in any year that the State does not fully reimburse local governments for their costs to comply with the mandates. This provision does not apply to mandates relating to schools or community colleges or to those mandates relating to employee rights.

Proposition 22, The Local Taxpayer, Public Safety, and Transportation Protection Act, approved by the voters of the State on November 2, 2010, prohibits the State from enacting new laws that require redevelopment agencies to shift funds to schools or other agencies and eliminates the State’s authority to shift property taxes temporarily during a severe financial hardship of the State. In addition, Proposition 22 restricts the State’s authority to use State fuel tax revenues to pay debt service on State transportation bonds, to borrow or change the distribution of State fuel tax revenues, and to use vehicle license fee revenues to reimburse local governments for State mandated costs. Proposition 22 impacts resources in the State’s general fund and transportation funds, the State’s main funding source for schools and community colleges, as well as universities, prisons and health and social services programs. According to an analysis of Proposition 22 submitted by the Legislative Analyst’s Office (the “LAO”) on July 15, 2010, the reduction in resources available for the State to spend on these other programs as a consequence of the passage of Proposition 22 was expected to be approximately \$1 billion in fiscal year 2010-11, with an estimated immediate fiscal effect equal to approximately 1% of the State’s total general fund spending. The longer-term effect of Proposition 22, according to the LAO analysis, was expected to be an increase in the State’s general fund costs by approximately \$1 billion annually for several decades. See also “DISTRICT FINANCIAL INFORMATION – State Dissolution of Redevelopment Agencies” herein.

Jarvis vs. Connell

On May 29, 2002, the State Court of Appeal for the Second District decided the case of *Howard Jarvis Taxpayers Association, et al. v. Kathleen Connell* (as Controller of the State). The Court of Appeal held that either a final budget bill, an emergency appropriation, a self-executing authorization pursuant to state statutes (such as continuing appropriations) or the State Constitution or a federal mandate is necessary for the State Controller to disburse funds. The foregoing requirement could apply to amounts budgeted by the District as being received from the State. To the extent the holding in such case would apply to State payments reflected in the District’s budget, the requirement that there be either a final budget bill or an emergency appropriation may result in the delay of such payments to the District if such required legislative action is delayed, unless the payments are self-executing authorizations or are subject to a federal mandate. On May 1, 2003, the State Supreme Court upheld the holding of the Court of Appeal, stating that the Controller is not authorized under State law to disburse funds prior to the enactment of a budget or other proper appropriation, but under federal law, the Controller is required, notwithstanding a budget impasse and the limitations imposed by State law, to timely pay those State

employees who are subject to the minimum wage and overtime compensation provisions of the federal Fair Labor Standards Act.

Propositions 30 and 55

The California Children’s Education and Health Care Protection Act of 2016 (also known as “Proposition 55”) is a constitutional amendment approved by the voters of the State on November 8, 2016. Proposition 55 extends, through 2030, the increases to personal income tax rates for high-income taxpayers that were approved as part of Temporary Taxes to Fund Education, Guaranteed Local Public Safety Funding, Initiative Constitutional Amendment (also known as “Proposition 30”). Proposition 30 increased the marginal personal income tax rate by: (i) 1% for taxable income over \$250,000 but less than \$300,001 for single filers (over \$500,000 but less than \$600,001 for joint filers and over \$340,000 but less than \$408,001 for head-of-household filers), (ii) 2% for taxable income over \$300,000 but less than \$500,001 for single filers (over \$600,000 but less than \$1,000,001 for joint filers and over \$408,000 but less than \$680,001 for head-of-household filers), and (iii) 3% for taxable income over \$500,000 for single filers (over \$1,000,000 for joint filers and over \$680,000 for head-of-household filers).

The revenues generated from the personal income tax increases will be included in the calculation of the Proposition 98 minimum funding guarantee for school districts and community college districts. See “– Propositions 98 and 111” herein. From an accounting perspective, the revenues generated from the personal income tax increases are being deposited into the State account created pursuant to Proposition 30 called the Education Protection Account (the “EPA”). Pursuant to Proposition 30, funds in the EPA will be allocated quarterly, with 89% of such funds provided to school districts and 11% provided to community college districts. The funds are being distributed to school districts and community college districts in the same manner as existing unrestricted per-student funding, except that no school district will receive less than \$200 per unit of ADA and no community college district will receive less than \$100 per full time equivalent student. The governing board of each school district and community college district is granted sole authority to determine how the moneys received from the EPA are spent, provided that the appropriate governing board is required to make these spending determinations in open session at a public meeting and such local governing board is prohibited from using any funds from the EPA for salaries or benefits of administrators or any other administrative costs.

Proposition 2

On November 4, 2014, State voters approved the Rainy Day Budget Stabilization Fund Act (also known as “Proposition 2”). Proposition 2 is a legislatively-referred constitutional amendment which makes certain changes to State budgeting practices, including substantially revising the conditions under which transfers are made to and from the State’s Budget Stabilization Account (the “BSA”) established by the California Balanced Budget Act of 2004 (also known as “Proposition 58”).

Under Proposition 2, and beginning in fiscal year 2015-16 and each fiscal year thereafter, the State will generally be required to annually transfer to the BSA an amount equal to 1.5% of estimated State general fund revenues (the “Annual BSA Transfer”). Supplemental transfers to the BSA (a “Supplemental BSA Transfer”) are also required in any fiscal year in which the estimated State general fund revenues that are allocable to capital gains taxes exceed 8% of the total estimated general fund tax revenues. Such excess capital gains taxes—net of any portion thereof owed to K-14 school districts pursuant to Proposition 98—will be transferred to the BSA. Proposition 2 also increases the maximum size of the BSA to an amount equal to 10% of estimated State general fund revenues for any given fiscal year. In any fiscal year in which a required transfer to the BSA would result in an amount in excess of the 10% threshold, Proposition 2 requires such excess to be expended on State infrastructure, including deferred maintenance.

For the first 15-year period ending with the 2029-30 fiscal year, Proposition 2 provides that half of any required transfer to the BSA, either annual or supplemental, must be appropriated to reduce certain State liabilities, including making certain payments owed to K-14 school districts, repaying State interfund borrowing, reimbursing local governments for State mandated services, and reducing or prefunding accrued liabilities associated with State-level pension and retirement benefits. Following the initial 15-year period, the Governor and the State Legislature are given discretion to apply up to half of any required transfer to the BSA to the reduction of such State liabilities. Any amount not applied towards such reduction must be transferred to the BSA or applied to infrastructure, as described above.

Proposition 2 changes the conditions under which the Governor and the State Legislature may draw upon or reduce transfers to the BSA. The Governor does not retain unilateral discretion to suspend transfers to the BSA, nor does the State Legislature retain discretion to transfer funds from the BSA for any reason, as previously provided by law. Rather, the Governor must declare a “budget emergency,” defined as an emergency within the meaning of Article XIII B of the State Constitution or a determination that estimated resources are inadequate to fund State general fund expenditures, for the current or ensuing fiscal year, at a level equal to the highest level of State spending within the three immediately preceding fiscal years. Any such declaration must be followed by a legislative bill providing for a reduction or transfer. Draws on the BSA are limited to the amount necessary to address the budget emergency, and no draw in any fiscal year may exceed 50% of the funds on deposit in the BSA unless a budget emergency was declared in the preceding fiscal year.

Proposition 2 also requires the creation of the Public School System Stabilization Account (the “PSSSA”) into which transfers will be made in any fiscal year in which a Supplemental BSA Transfer is required (as described above). Such transfer will be equal to the portion of capital gains taxes above the 8% threshold that would otherwise be paid to K-14 school districts as part of the minimum funding guarantee. A transfer to the PSSSA will only be made if certain additional conditions are met, as follows: (i) the minimum funding guarantee was not suspended in the immediately preceding fiscal year, (ii) the operative Proposition 98 formula for the fiscal year in which a PSSSA transfer might be made is “Test 1,” (iii) no maintenance factor obligation is being created in the budgetary legislation for the fiscal year in which a PSSSA transfer might be made, (iv) all prior maintenance factor obligations have been fully repaid, and (v) the minimum funding guarantee for the fiscal year in which a PSSSA transfer might be made is higher than the immediately preceding fiscal year, as adjusted for ADA growth and cost of living. Proposition 2 caps the size of the PSSSA at 10% of the estimated minimum funding guarantee in any fiscal year, and any excess funds must be paid to K-14 school districts. Reductions to any required transfer to the PSSSA, or draws on the PSSSA, are subject to the same budget emergency requirements described above. However, Proposition 2 also mandates draws on the PSSSA in any fiscal year in which the estimated minimum funding guarantee is less than the prior year’s funding level, as adjusted for ADA growth and cost of living.

SB 858. Senate Bill 858 (“SB 858”) became effective upon the passage of Proposition 2. SB 858 includes provisions which could limit the amount of reserves that may be maintained by a school district in certain circumstances. Under SB 858, in any fiscal year immediately following a fiscal year in which the State has made a transfer into the PSSSA, any adopted or revised budget by a school district would need to contain a combined unassigned and assigned ending fund balance that (a) for school districts with an ADA of less than 400,000, is not more than two times the amount of the reserve for economic uncertainties mandated by the State Education Code, or (b) for school districts with an ADA that is more than 400,000, is not more than three times the amount of the reserve for economic uncertainties mandated by the State Education Code. In certain cases, the county superintendent of schools may grant a school district a waiver from this limitation on reserves for up to two consecutive years within a three-year period if there are certain extraordinary fiscal circumstances.

The District, which has an ADA of less than 400,000, is required to maintain a reserve for economic uncertainty in an amount equal to 3% of its general fund expenditures and other financing uses.

SB 751. Senate Bill 751 (“SB 751”), enacted on October 11, 2017, alters the reserve requirements imposed by SB 858. Under SB 751, in a fiscal year immediately after a fiscal year in which the amount of moneys in the PSSSA is equal to or exceeds 3% of the combined total general fund revenues appropriated for school districts and allocated local proceeds of taxes for that fiscal year, a school district budget that is adopted or revised cannot have an assigned or unassigned ending fund balance that exceeds 10% of those funds. SB 751 excludes from the requirements of those provisions community funded school districts (also known as basic aid districts) and small school districts having fewer than 2,501 units of ADA.

The Bonds are payable from *ad valorem* property taxes to be levied within the District pursuant to the State Constitution and other State law. Accordingly, the District does not expect SB 858 or SB 751 to adversely affect its ability to pay the principal of and interest on the Bonds as and when due.

Proposition 51

The Kindergarten Through Community College Public Education Facilities Bond Act of 2016 (also known as “Proposition 51”) is a voter initiative that was approved by voters on November 8, 2016. Proposition 51 authorizes the sale and issuance of \$9 billion in general obligation bonds for the new construction and modernization of K-14 facilities.

K-12 School Facilities. Proposition 51 includes \$3 billion for the new construction of K-12 facilities and an additional \$3 billion for the modernization of existing K-12 facilities. K-12 school districts will be required to pay for 50% of the new construction costs and 40% of the modernization costs with local revenues. If a school district lacks sufficient local funding, it may apply for additional State grant funding, up to 100% of the project costs. In addition, a total of \$1 billion will be available for the modernization and new construction of charter school facilities (\$500 million) and technical education facilities (\$500 million). Generally, 50% of modernization and new construction project costs for charter school and technical education facilities must come from local revenues. However, school districts that cannot cover their local share for these two types of projects may apply for State loans. State loans must be repaid over a maximum of 30 years for charter school facilities and 15 years for career technical education facilities. For career technical education facilities, State grants are capped at \$3 million for a new facility and \$1.5 million for a modernized facility. Charter schools must be deemed financially sound before project approval.

Community College Facilities. Proposition 51 includes \$2 billion for community college district facility projects, including buying land, constructing new buildings, modernizing existing buildings, and purchasing equipment. In order to receive funding, community college districts must submit project proposals to the Chancellor of the community college system, who then decides which projects to submit to the State Legislature and Governor based on a scoring system that factors in the amount of local funds contributed to the project. The Governor and State Legislature will select among eligible projects as part of the annual State budget process.

The District makes no guarantees that it will either pursue or qualify for Proposition 51 state facilities funding.

Future Initiatives

Article XIII A, Article XIII B, Article XIII C and Article XIII D of the State Constitution and

Propositions 22, 26, 30, 39, 98, 55 and 51 were each adopted as measures that qualified for the ballot pursuant to the State's initiative process. From time to time other initiative measures could be adopted further affecting District revenues or the District's ability to expend revenues. The nature and impact of these measures cannot be anticipated by the District.

DISTRICT FINANCIAL INFORMATION

The information in this section concerning the State funding of public education is provided as supplementary information only, and it should not be inferred from the inclusion of this information in this Official Statement that the principal of or interest on the Bonds are payable from the general fund of the District. The principal of and interest on the Bonds are payable solely from the proceeds of an ad valorem property tax which is required to be levied by the County in the District in an amount sufficient for the payment thereof. See "THE BONDS – Security and Sources of Payment" herein.

State Funding of Education

School district revenues consist primarily of guaranteed State moneys, local property taxes and funds received from the State in the form of categorical aid under ongoing programs of local assistance. All State aid is subject to the appropriation of funds in the State's annual budget.

Revenue Limit Funding. Previously, school districts operated under general purpose revenue limits established by the State Department of Education. In general, revenue limits were calculated for each school district by multiplying the ADA for such district by a base revenue limit per unit of ADA. Revenue limit calculations were subject to adjustment in accordance with a number of factors designed to provide cost of living adjustments ("COLAs") and to equalize revenues among school districts of the same type. Funding of a school district's revenue limit was provided by a mix of local property taxes and State apportionments of basic and equalization aid. Since fiscal year 2013-14, school districts have been funded based on a uniform system of funding grants assigned to certain grade spans. See "– Local Control Funding Formula" herein.

The following table reflects the District's historical ADA and the revenue limit rates per unit of ADA for fiscal years 2007-08 through 2012-13.

AVERAGE DAILY ATTENDANCE AND REVENUE LIMIT
Fiscal Years 2007-08 through 2012-13
Carlsbad Unified School District

<u>Year</u>	<u>Average Daily Attendance⁽¹⁾</u>	<u>Base Revenue Limit Per ADA⁽²⁾</u>	<u>Deficit Revenue Limit per ADA⁽²⁾</u>
2007-08	10,285	\$5,775.31	\$5,775.31
2008-09	10,313	6,104.31	5,625.49
2009-10	10,418	6,366.31	5,197.77
2010-11	10,593	6,349.70	5,202.22
2011-12	10,619	6,492.88	5,155.22
2012-13	10,471	6,705.16	5,211.79

⁽¹⁾ Reflects ADA as of the second principal reporting period (P-2 ADA), ending on or before the last attendance month prior to April 15 of each school year. An attendance month is each four-week period of instruction beginning with the first day of school for any school district.

⁽²⁾ Deficit revenue limit funding, if provided for in State budgetary legislation, reduced the revenue limit allocations received by school districts by applying a deficit factor to the base revenue limit for a given fiscal year, and resulted from an insufficiency of appropriation funds in the State budget to provide for State aid owed to school districts. The State's practice of deficit limit funding was most recently reinstated beginning in fiscal year 2008-09 and eliminated with the implementation of the LCFF (defined herein).

Source: Carlsbad Unified School District.

Local Control Funding Formula. State Assembly Bill 97 (Stats. 2013, Chapter 47) (“AB 97”), as amended by Senate Bill 91 (Stats. 2013, Chapter 49) (“SB 91”), established the current system for funding school districts, charter schools and county offices of education.

The primary component of AB 97 was the implementation of the Local Control Funding Formula (“LCFF”), which replaced the revenue limit funding system for determining State apportionments, as well as the majority of categorical program funding. State allocations are now provided on the basis of target base funding grants per unit of ADA (a “Base Grant”) assigned to each of four grade spans. Each Base Grant is subject to certain adjustments and add-ons, as discussed below. During the implementation period of the LCFF, an annual transition adjustment was calculated for each school district, equal to such district’s proportionate share of appropriations included in the State budget to close the gap between the prior-year funding level and the target allocation following full implementation of the LCFF. In each year, school districts had the same proportion of their respective funding gaps closed, with dollar amounts varying depending on the size of a district’s funding gap.

The Base Grants per unit of ADA for each grade span are as follows: (i) \$7,702 for grades K-3; (ii) \$7,818 for grades 4-6; (iii) \$8,050 for grades 7-8; and (iv) \$9,329 for grades 9-12. During the implementation period of the LCFF, Base Grants were required to be adjusted annually for COLAs by applying the implicit price deflator for government goods and services. The provision of COLAs is now subject to appropriation for such adjustment in the annual State budget. The differences among Base Grants are linked to differentials in statewide average revenue limit rates by district type, and are intended to recognize the generally higher costs of education at higher grade levels. See “– State Budget Measures” herein for information on the adjusted Base Grants provided by current State budgetary legislation.

The Base Grants for grades K-3 and 9-12 are subject to adjustments of 10.4% and 2.6%, respectively, to cover the costs of class size reduction in early grades and the provision of career technical education in high schools. Unless otherwise collectively bargained for, school districts serving students in grades K-3 must maintain an average class enrollment of 24 or fewer students in grades K-3 at each school site in order to continue receiving the adjustment to the K-3 Base Grant. Such school districts must also make progress towards this class size reduction goal in proportion to the growth in their funding over the implementation period. AB 97 also provides additional add-ons to school districts that received categorical block grant funding pursuant to the Targeted Instructional Improvement and Home-to-School Transportation programs during fiscal year 2012-13.

School districts that serve students of limited English proficiency (“EL” students), students from low income families that are eligible for free or reduced priced meals (“LI” students) and foster youth are eligible to receive additional funding grants. Enrollment counts are unduplicated, such that students may not be counted as both EL and LI (foster youth automatically meet the eligibility requirements for free or reduced priced meals, and are therefore not discussed herein separately). AB 97 authorizes a supplemental grant add-on (each, a “Supplemental Grant”) for school districts that serve EL/LI students, equal to 20% of the applicable Base Grant multiplied by such districts’ percentage of unduplicated EL/LI student enrollment. School districts whose EL/LI populations exceed 55% of their total enrollment are eligible for a concentration grant add-on (each, a “Concentration Grant”) equal to 50% of the applicable Base Grant multiplied by the percentage of such district’s unduplicated EL/LI student enrollment in excess of the 55% threshold.

The table on the following page shows a breakdown of the District’s ADA by grade span, total enrollment, and the percentage of EL/LI student enrollment, for fiscal years 2013-14 through 2019-20, and estimated amounts for fiscal year 2020-21. However, the District’s actual pupil attendance, and

associated ADA figures, may be impacted by COVID-19. See “– Considerations Regarding COVID-19” herein.

ADA, ENROLLMENT AND EL/LI ENROLLMENT PERCENTAGE

Fiscal Years 2013-14 through 2020-21

Carlsbad Unified School District

Fiscal Year	Average Daily Attendance⁽¹⁾					Enrollment	
	K-3	4-6	7-8	9-12	Total ADA	Total Enrollment	% of EL/LI Enrollment⁽²⁾
2013-14	3,062.58	2,519.71	1,709.42	3,269.70	10,561.41	10,993	20.90%
2014-15	3,089.37	2,517.59	1,617.84	3,371.44	10,596.24	11,049	23.00
2015-16	3,017.16	2,522.02	1,662.17	3,436.89	10,638.24	11,077	22.00
2016-17	3,024.10	2,459.82	1,763.63	3,494.49	10,742.04	11,169	21.72
2017-18	3,099.00	2,484.52	1,734.00	3,576.87	10,894.39	11,326	25.47
2018-19	3,090.09	2,469.99	1,757.60	3,620.69	10,938.37	11,428	24.56
2019-20	3,107.48	2,470.36	1,755.12	3,679.51	11,012.47	11,481	26.17
2020-21 ⁽³⁾	3,107.48	2,470.36	1,755.12	3,679.51	11,012.47	10,862	22.18

⁽¹⁾ Except for fiscal year 2020-21, reflects P-2 ADA. For the 2019-20 school year, due to the outbreak of COVID-19, P-2 ADA only reflects full school months from July 1, 2019 through February 29, 2020. See “– Considerations Regarding COVID-19” herein.

⁽²⁾ Fiscal years 2013-14 through 2019-20 reflect certified enrollment as of the fall census day (the first Wednesday in October), which is reported to the California Longitudinal Pupil Achievement Data System (“CALPADS”) in each school year and used to calculate each school district’s unduplicated EL/LI student enrollment. Adjustments may be made to the certified EL/LI counts by the California Department of Education. CALPADS figures generally exclude preschool and adult transitional students. For purposes of calculating Supplemental and Concentration Grants, a school district’s fiscal year 2013-14 percentage of unduplicated EL/LI students will be expressed solely as a percentage of its total fiscal year 2013-14 total enrollment. For fiscal year 2014-15, the percentage of unduplicated EL/LI enrollment will be based on the two-year average of EL/LI enrollment in fiscal years 2013-14 and 2014-15. Beginning in fiscal year 2015-16, a school district’s percentage of unduplicated EL/LI students is based on a rolling average of such district’s EL/LI enrollment for the then-current fiscal year and the two immediately preceding fiscal years.

⁽³⁾ Estimated.

Source: Carlsbad Unified School District.

For certain school districts that would have received greater funding levels under the prior revenue limit system, the LCFF provided for a permanent economic recovery target (“ERT”) add-on, equal to the difference between the revenue limit allocations such districts would have received under the prior system in fiscal year 2020-21, and the target LCFF allocations owed to such districts in the same year. To derive the projected funding levels, the LCFF assumes the discontinuance of deficit revenue limit funding, implementation of COLA in fiscal years 2014-15 through 2020-21, and restoration of categorical funding to pre-recession levels. The ERT add-on was paid incrementally over the implementation period of LCFF. The District does not qualify for the ERT add-on.

The sum of a school district’s adjusted Base, Supplemental and Concentration Grants will be multiplied by such district’s P-2 ADA for the current or prior year, whichever is greater (with certain adjustments applicable to small school districts). This funding amount, together with any applicable ERT or categorical block grant add-ons, yields a district’s total LCFF allocation. Generally, the amount of annual State apportionments received by a school district will amount to the difference between such total LCFF allocation and such district’s share of applicable local property taxes. Most school districts receive a significant portion of their funding from such State apportionments. As a result, decreases in State revenues may significantly affect appropriations made by the State Legislature to school districts.

Certain school districts, known as “community funded” or “basic aid” districts, have allocable local property tax collections that equal or exceed such districts’ total LCFF allocation, and result in the receipt of no State apportionment aid. Community funded school districts receive only special categorical funding, which is deemed to satisfy the “basic aid” requirement of \$120 per student per year guaranteed

by Article IX, Section 6 of the State Constitution. The implication for community funded districts is that the legislatively determined allocations to school districts, and other politically determined factors, are less significant in determining their primary funding sources. Rather, property tax growth and the local economy are the primary determinants. The District does not currently qualify as a community funded district.

Accountability. Regulations adopted by the State Board of Education require that school districts increase or improve services for EL/LI students in proportion to the increase in funds apportioned to such districts on the basis of the number and concentration of such EL/LI students, and detail the conditions under which school districts can use supplemental or concentration funding on a school-wide or district-wide basis.

School districts are also required to adopt local control and accountability plans (“LCAPs”) disclosing annual goals for all students, as well as certain numerically significant student subgroups, to be achieved in eight areas of State priority identified by the LCFF. LCAPs may also specify additional local priorities. LCAPs must specify the actions to be taken to achieve each goal, including actions to correct identified deficiencies with regard to areas of State priority. LCAPs are required to cover a three-year period and be updated annually. The State Board of Education has adopted a template LCAP for use by school districts.

Support and Intervention. AB 97, as amended by SB 91, established a new system of support and intervention to assist school districts in meeting the performance expectations outlined in their respective LCAPs. School districts must adopt their LCAPs (or annual updates thereto) in tandem with their annual operating budgets, and not later than five days thereafter submit such LCAPs or updates to their respective county superintendents of schools. On or before August 15 of each year, a county superintendent may seek clarification regarding the contents of a district’s LCAP (or annual update thereto), and the district is required to respond to such a request within 15 days. Within 15 days of receiving such a response, the county superintendent can submit non-binding recommendations for amending the LCAP or annual update, and such recommendations must be considered by the respective school district at a public hearing within 15 days. A district’s LCAP or annual update must be approved by the county superintendent by October 8 of each year if the superintendent determines that (i) the LCAP or annual update adheres to the State template, and (ii) the district’s budgeted expenditures are sufficient to implement the actions and strategies outlined in the LCAP.

A school district is required to receive additional support if its respective LCAP or annual update thereto is not approved, if the district requests technical assistance from its respective county superintendent, or if the district does not improve student achievement across more than one State priority for one or more student subgroups. Such support can include a review of a district’s strengths and weaknesses in the eight State priority areas, or the assignment of an academic expert to assist the district with identifying and implementing programs designed to improve outcomes. Assistance may be provided by the California Collaborative for Educational Excellence, a State agency created by the LCFF and charged with assisting school districts with achieving the goals set forth in their LCAPs. The State Board of Education has developed rubrics to assess school district performance and the need for support and intervention.

The State Superintendent of Public Instruction (the “State Superintendent”) is further authorized, with the approval of the State Board of Education, to intervene in the management of persistently underperforming school districts. The State Superintendent may intervene directly or assign an academic trustee to act on his or her behalf. In so doing, the State Superintendent is authorized to (i) modify a district’s LCAP, (ii) impose budget revisions designed to improve student outcomes, and (iii) stay or rescind actions of the local governing board that would prevent such district from improving student

outcomes; provided, however, that the State Superintendent is not authorized to rescind an action required by a local collective bargaining agreement.

Other Revenue Sources

Other State Sources. In addition to State allocations determined pursuant to the LCFF, the District receives other State revenues consisting primarily of restricted revenues designed to implement State mandated programs. Beginning in fiscal year 2013-14, categorical spending restrictions associated with a majority of State mandated programs were eliminated, and funding for these programs was folded into the LCFF. Categorical funding for certain programs was excluded from the LCFF, and school districts will continue to receive restricted State revenues to fund these programs.

Federal and Local Sources. The federal government provides funding for several of the District's programs, including special education programs, programs under the Every Student Succeeds Act, and specialized programs such as Drug Free Schools, Innovative Strategies, and Vocational & Applied Technology. In addition, school districts may receive additional local revenues beyond local property tax collections, such as leases and rentals, interest earnings, interagency services, foundations, parcel taxes, developer fees, redevelopment revenues and other local sources. With respect to the District, certain of these are discussed below.

Developer Fees. The District collects developer fees to finance essential school facilities within the District that are deposited into the Capital Facilities Fund. The following table of developer fee revenues reflects the collection of fees from fiscal year 2012-13 through 2019-20 and an estimated amount for fiscal year 2020-21.

DEVELOPER FEES
Fiscal Years 2012-13 through 2020-21
Carlsbad Unified School District

<u>Year</u>	<u>Total Revenues</u>
2012-13	\$288,825
2013-14	913,601
2014-15	1,060,999
2015-16	1,137,940
2016-17	2,943,469
2017-18	2,226,434
2018-19	1,028,680
2019-20	1,633,433
2020-21 ⁽¹⁾	1,460,000

⁽¹⁾ Estimated.

Source: Carlsbad Unified School District.

Foundation. The Carlsbad Educational Foundation (“the Foundation”) is an independent 501(c)(3) nonprofit corporation that supports the District. It was established in 1983 by a group of citizens. The District deposits the cash contributions made by the Foundation into its unrestricted general fund. The following table shows a six-year history of cash contributions made by the Foundation to the District:

FOUNDATION CONTRIBUTIONS
Fiscal Years 2014-15 through 2019-20
Carlsbad Unified School District

<u>Fiscal Year</u>	<u>Donations</u>
2014-15	\$480,466
2015-16	544,793
2016-17	494,109
2017-18	526,211
2018-19	524,953
2019-20	620,683

Source: The Carlsbad Unified School District.

Tax Offset Revenues and Pass-Through Revenues. The District receives tax offset revenue from the County as a part of certain redevelopment projects within the boundaries of the District (the “Tax Offset Revenues”). The Tax Offset Revenues received by the District are deposited directly into the District’s general fund and are offset against the State apportionment received by the District. The amount of Tax Offset Revenues received by the District from fiscal years 2013-14 through 2019-20, and an estimated amount for fiscal year 2020-21 are shown in the following table.

TAX OFFSET REVENUES AND PASS-THROUGH REVENUES
Fiscal Years 2013-14 through 2020-21
Carlsbad Unified School District

<u>Fiscal Year</u>	<u>Tax Offset Revenues⁽¹⁾</u>
2013-14	\$671,043
2014-15	843,357
2015-16	846,023
2016-17	2,259,818
2017-18	1,961,903
2018-19	3,416,755
2019-20	2,952,915
2020-21 ⁽²⁾	3,285,689

⁽¹⁾ Tax Offset Revenues received by the District are offset against the State apportionments received by the District.

⁽²⁾ Estimated.

Source: Carlsbad Unified School District.

Dissolution of Redevelopment Agencies

On December 30, 2011, the State Supreme Court issued its decision in the case of *California Redevelopment Association v. Matosantos* (“*Matosantos*”), finding ABx1 26, a trailer bill to the 2011-12 State budget, to be constitutional. As a result, all redevelopment agencies in the State ceased to exist as a matter of law on February 1, 2012.

ABx1 26 was modified by Assembly Bill No. 1484 (Chapter 26, Statutes of 2011-12) (“AB 1484”), which, together with ABx1 26, is referred to herein as the “Dissolution Act.” The Dissolution Act provides that all rights, powers, duties and obligations of a redevelopment agency under the California Community Redevelopment Law that have not been repealed, restricted or revised pursuant to ABx1 26 will be vested in a successor agency, generally the county or city that authorized the creation of the redevelopment agency (each, a “Successor Agency”). All property tax revenues that would have been allocated to a redevelopment agency, less the corresponding county auditor-controller’s cost to administer the allocation of property tax revenues, are now allocated to a corresponding Redevelopment Property Tax Trust Fund (“Trust Fund”), to be used for the payment of pass-through payments to local taxing entities, and thereafter to bonds of the former redevelopment agency and any “enforceable obligations” of the Successor Agency, as well as to pay certain administrative costs. The Dissolution Act defines “enforceable obligations” to include bonds, loans, legally required payments, judgments or settlements, legal binding and enforceable obligations, and certain other obligations.

Among the various types of enforceable obligations, the first priority for payment is tax allocation bonds issued by the former redevelopment agency; second is revenue bonds, which may have been issued by the host city, but only where the tax increment revenues were pledged for repayment and only where other pledged revenues are insufficient to make scheduled debt service payments; third is administrative costs of the Successor Agency, equal to at least \$250,000 in any year, unless the oversight board reduces such amount for any fiscal year or a lesser amount is agreed to by the Successor Agency; then, fourth is tax revenues in the Trust Fund in excess of such amounts, if any, will be allocated as residual distributions to local taxing entities in the same proportions as other tax revenues. Moreover, all unencumbered cash and other assets of former redevelopment agencies will also be allocated to local taxing entities in the same proportions as tax revenues. Notwithstanding the foregoing portion of this paragraph, the order of payment is subject to modification in the event a Successor Agency timely reports to the State Controller and the Department of Finance that application of the foregoing will leave the Successor Agency with amounts insufficient to make scheduled payments on enforceable obligations. If the county auditor-controller verifies that the Successor Agency will have insufficient amounts to make scheduled payments on enforceable obligations, it shall report its findings to the State Controller. If the State Controller agrees there are insufficient funds to pay scheduled payments on enforceable obligations, the amount of such deficiency shall be deducted from the amount remaining to be distributed to taxing agencies, as described as the fourth distribution above, then from amounts available to the Successor Agency to defray administrative costs. In addition, if a taxing agency entered into an agreement pursuant to Health and Safety Code Section 33401 for payments from a redevelopment agency under which the payments were to be subordinated to certain obligations of the redevelopment agency, such subordination provisions shall continue to be given effect.

As noted above, the Dissolution Act expressly provides for continuation of pass-through payments to local taxing entities, including the District. Per statute, 100% of contractual and statutory two percent pass-throughs, and 56.7% of statutory pass-throughs authorized under the Community Redevelopment Law Reform Act of 1993 (AB 1290, Chapter 942, Statutes of 1993) (“AB 1290”), are restricted to educational facilities without offset against apportionments by the State. Only 43.3% of AB 1290 pass-throughs are offset against State aid so long as the District uses the moneys received for land acquisition, facility construction, reconstruction, or remodeling, or deferred maintenance as provided under Education Code Section 42238(h).

ABx1 26 states that in the future, pass-throughs shall be made in the amount “which would have been received had the redevelopment agency existed at that time,” and that the County Auditor-Controller shall “determine the amount of property taxes that would have been allocated to each redevelopment agency had the redevelopment agency not been dissolved pursuant to the operation of ABx1 26 using

current assessed values and pursuant to statutory pass-through formulas and contractual agreements with other taxing agencies.”

Successor Agencies continue to operate until all enforceable obligations have been satisfied and all remaining assets of the Successor Agency have been disposed of. AB 1484 provides that once the debt of the Successor Agency is paid off and remaining assets have been disposed of, the Successor Agency shall terminate its existence and all pass-through payment obligations shall cease.

The District can make no representations as to the extent to which any apportionments from the State may be offset by the future receipt of residual distributions or from unencumbered cash and assets of former redevelopment agencies or any other surplus property tax revenues pursuant to the Dissolution Act.

Considerations Regarding COVID-19

An outbreak of disease or similar public health threat, such as the current coronavirus (“COVID-19”) outbreak, or fear of such an event, could have an adverse impact on the District’s financial condition and operating results.

The spread of COVID-19 is having significant negative impacts throughout the world, including in the District. The World Health Organization has declared the COVID-19 outbreak to be a pandemic, and states of emergency have been declared by the State and the United States. The purpose behind these declarations are to coordinate and formalize emergency actions and across federal, State and local governmental agencies, and to proactively prepare for a wider spread of the virus. On March 27, 2020 the Coronavirus Aid, Relief, and Economic Security Act (the “CARES Act”) was signed by the President of the United States. The CARES Act appropriates over \$2 trillion to, among other things, (i) provide cash payments to individuals, (ii) expand unemployment assistance and eligibility, (iii) provide emergency grants and loans for small businesses, (iv) provide loans and other assistance to corporations, including the airline industry, (v) provide funding for hospitals and community health centers, (vi) expand funding for safety net programs, including child nutrition programs, and (vii) provide aid to state and local governments. On December 27, 2020, the President of the United States signed the Consolidated Appropriations Act, 2021, which includes approximately \$900 billion worth of provisions for additional COVID-related relief, including extension of or additional funding for various relief programs implemented by the CARES Act. The Consolidated Appropriations Act, 2021 provides approximately \$82 billion of COVID-19 related relief for education, including \$54.3 billion for K-12 schools (largely through Title I funding), \$22.7 billion for higher education and \$4 billion for state governors to spend at their discretion. See also “– State Budget Measures” herein. On March 12, 2021, the President signed the American Rescue Plan Act of 2021, which will provide approximately \$1.9 trillion in federal economic stimulus intended to accelerate the recovery from the COVID-19 pandemic. The American Rescue Plan provides direct payments to individuals, extends unemployment benefits, provides funding to distribute COVID-19 vaccines and provides funding for schools, higher education institutions, state, tribal governments and businesses. The District can make no representation whether the American Rescue Plan will provide additional funding for the District, or the timing of the receipt of such potential funding.

State law allows school districts to apply for a waiver to hold them harmless from the loss of LCFF funding based on attendance and state instructional time penalties when they are forced to close schools due to emergency conditions. In addition, the Governor has enacted Executive Order N-26-20 (“Executive Order N-26-20”), which (i) generally streamlines the process of applying for such waivers for closures related to COVID-19 and (ii) directs school districts to use LCFF apportionment to fund distance learning and high quality educational opportunities, provide school meals and, as practicable, arrange for the supervision of students during school hours.

On March 17, 2020, Senate Bill 89 (“SB 89”) and Senate Bill 117 (“SB 117”) were signed by the Governor, both of which took effect immediately. SB 89 amends the Budget Act of 2019 by appropriating \$500,000,000 from the State general fund for any purpose related to the Governor’s March 4, 2020 emergency proclamation. SB 117, among other things, (i) specifies that for school districts that comply with Executive Order N-26-20, the ADA reported to the State Department of Education for the second period and the annual period for apportionment purposes for the 2019-20 school year only includes all full school months from July 1, 2019 through February 29, 2020, (ii) prevents the loss of funding related to an instructional time penalty because of a school closed due to the COVID-19 by deeming the instructional days and minutes requirements to have been met during the period of time the school was closed due to COVID-19, (iii) requires a school district to be credited with the ADA it would have received had it been able to operate its After School Education and Safety Program during the time the school was closed due to COVID-19, and (iv) appropriates \$100,000,000 from the State general fund to the State Superintendent to be apportioned to certain local educational agencies for purposes of purchasing personal protective equipment, or paying for supplies and labor related to cleaning school sites.

The District received \$192,510 pursuant to SB 117, as well as \$6,931,599 through the CARES Act funding, to offset increased costs due to COVID-19. The District also anticipates receiving an additional \$3,335,710 in additional funding as a result of the Consolidated Appropriations Act, 2021. However, no assurances can be given that the District will ultimately receive projected relief funding, or what the timing of receipt of such funds might be.

On March 19, 2020, the Governor ordered all State residents to stay home or at their place of residence to protect the general health and well-being, except as needed to maintain continuity of 16 critical infrastructure sectors described therein (the “Stay Home Order”). As a result of the outbreak of COVID-19, the District closed its schools for in-person learning for the remainder of the 2019-20 school year effective March 16, 2020 and began instruction through distance learning. The District closed its schools following the issuance of the Stay Home Order and opened the 2020-21 school year in an all distance learning environment. In September of 2020, the District phased into a hybrid model for its elementary schools, rotating cohorts for receiving in-person instruction on campus. This hybrid model was expanded to secondary schools on March 17, 2021. The District has reopened schools to all grade levels five days per week effective March 29, 2021.

To date there have been a number of confirmed cases of COVID-19 in the County and no representation can be made as to whether the number of cases will grow. The COVID-19 outbreak has resulted in the imposition of restrictions on mass gatherings and widespread temporary closings of businesses, universities and schools (including the District’s schools). In addition, stock markets in the U.S. and globally have been volatile, with significant declines attributed to coronavirus concerns.

On June 29, 2020, Senate Bill 98 (“SB 98”), the education omnibus bill to the 2020-21 State Budget, was signed by the Governor, which took effect immediately. SB 98 provides that distance learning may be offered by a school district during the 2020-21 academic year on a local educational agency or schoolwide level as a result of an order or guidance from a State public health officer or a local public health officer or for pupils who are medically fragile or would be put at risk by in-person instruction, or who are self-quarantining because of exposure to COVID-19. SB 98 provides requirements for distance learning, including, but not limited to: (i) confirmation or provision of access for all pupils to connectivity and devices adequate to participate in the educational program and complete assigned work, (ii) content aligned to grade level standards that is provided at a level of quality and intellectual challenge substantially equivalent to in-person instruction, (iii) support for pupils who are not performing at grade level or need support in other areas, (iv) special education services, (v) designated and integrated instruction in English language development for English learners, and (vi) daily live interaction with

certificated employees and peers. For additional information about the provisions of SB 98, see “– State Budget Measures” herein.

On August 28, 2020, the Governor released a revised system of guidelines for reopening – Blueprint for a Safer Economy (“Blueprint”). Blueprint assigns each of the State’s 58 counties into four color-coded tiers – purple, red, orange and yellow, in descending order of severity – based on the number of new daily cases of COVID-19 and the percentage of positive tests. Counties must remain in a tier for at least three weeks before advancing to the next one. To move forward, a county must meet the next tier’s criteria for two consecutive weeks. If a county’s case rate and positive rate fall into different tiers, the county remains in the stricter tier. The County is currently assigned to the orange tier as of May 25, 2021.

Under the Blueprint, schools can reopen for in-person instruction in accordance with the California Department of Public Health’s “COVID-19 and Reopening In-Person Instruction Framework & Public Health Guidance for K-12 Schools in California, 2020-2021 School Year” (the “Guidelines”). The Guidelines became effective January 25, 2021, were most recently updated on February 22, 2021, and consolidate and update prior State public health guidance and orders related to schools. Pursuant to the Guidelines, prior to reopening for in-person instruction, all schools must complete and post to their website a COVID-19 Safety Plan (“CSP”), and, if in the purple tier, submit the CSP to the local health department and the State Safe Schools for All Team. Schools in the red, orange and yellow tiers may reopen for in-person instruction at all grades. Schools serving grades 7-12 in the purple tier may not reopen for in-person instruction. Schools serving grades K-6 may open for in-person instruction in the purple tier if the adjusted case rate is less than 25 cases per 100,000 population. Schools have a three-week period to open, starting the day the county meets the criterion for reopening, even if the county stops meeting the criterion during that window. If a school opened while the county was in the red, orange, or yellow tier, and the county reverts to the purple tier, or if a school opened while the county was in the purple tier, and the county case rate later exceeds the criteria described above, individual school sites may not be required to close. K-6 schools in the purple tier that had received a waiver under previous guidance from the State and had subsequently begun their reopening of in-person instruction may also continue to offer in-person instruction.

Other potential impacts to the District associated with the COVID-19 outbreak include, but are not limited to, increasing costs and challenges relating to establishing distance learning programs or other measures to permit instruction while schools remain closed, disruption of the regional and local economy with corresponding decreases in tax revenues, including property tax revenue, sales tax revenue and other revenues, increases in tax delinquencies, potential declines in property values, and decreases in new home sales, and real estate development. The economic consequences and the declines in the U.S. and global stock markets resulting from the spread of COVID-19, and responses thereto by local, State, and the federal governments, could have a material impact on the investments in the State pension trusts, which could materially increase the unfunded actuarial accrued liability of the STRS Defined Benefit Program and PERS Schools Pool, which, in turn, could result in material changes to the District’s required contribution rates in future fiscal years. See “CARLSBAD UNIFIED SCHOOL DISTRICT – District Retirement Systems” herein.

The COVID-19 outbreak is ongoing, and the ultimate geographic spread of the virus, the duration and severity of the outbreak, and the economic and other of actions that may be taken by governmental authorities to contain the outbreak or to treat its impact are uncertain. Additional information with respect to events surrounding the outbreak of COVID-19 and responses thereto can be found on State and local government websites, including but not limited to: San Diego County’s Health & Human Services Agency (<https://www.sandiegocounty.gov/hhsa/>), the Governor’s office (<http://www.gov.ca.gov>) and the California Department of Public Health (<https://covid19.ca.gov/>). The District has not incorporated by

reference the information on such websites, and the District does not assume any responsibility for the accuracy of the information on such websites.

The ultimate impact of COVID-19 on the District's operations and finances is unknown. There can be no assurances that the spread of COVID-19, or the responses thereto by local, State, or the federal government, will not materially adversely impact the local, state and national economies or the assessed valuation of property within the District, or adversely impact enrollment or ADA within the District and, notwithstanding SB 117 or the Blueprint, materially adversely impact the financial condition or operations of the District. See also "TAX BASE FOR PAYMENT OF THE BONDS – Assessed Valuations" herein.

Accounting Practices

The accounting practices of the District conform to generally accepted accounting principles in accordance with policies and procedures of the California School Accounting Manual. This manual, according to Education Code Section 41010 is to be followed by all State school districts.

The District's expenditures are accrued at the end of the fiscal year to reflect the receipt of goods and services in that year. Revenues generally are recorded on a cash basis, except for items that are susceptible to accrual (measurable and/or available to finance operations). Current taxes are considered susceptible to accrual. Delinquent taxes not received after the fiscal year end are not recorded as revenue until received. Revenues from specific state and federally funded projects are recognized when qualified expenditures have been incurred. State block grant apportionments are accrued to the extent that they are measurable and predictable. The State Department of Education sends the District updated information from time to time explaining the acceptable accounting treatment of revenue and expenditure categories.

The District's accounting is organized on the basis of fund groups, with each group consisting of a separate set of self-balancing accounts containing assets, liabilities, fund balances, revenues and expenditures. The major fund classification is the general fund which accounts for all financial resources not requiring a special type of fund. The District's fiscal year begins on July 1 and ends on June 30.

Comparative Financial Statements

The District's general fund finances the legally authorized activities of the District for which restricted funds are not provided. General fund revenues are derived from such sources as State school fund apportionments, taxes, use of money and property, and aid from other governmental agencies. Audited financial statements for the District for the fiscal year ended June 30, 2020, and prior fiscal years are on file with the District and available for public inspection at the Carlsbad Unified School District, 6225 El Camino Real, Carlsbad, California 92009, telephone: (760) 331-5000, Attention: Assistant Superintendent of Business Services. The audited financial statements for the year ended June 30, 2020, are included in APPENDIX B attached hereto.

The table on the following page reflects the District's audited general fund revenues, expenditures and fund balances from fiscal year 2015-16 through fiscal year 2019-20.

AUDITED GENERAL FUND REVENUES, EXPENDITURES AND FUND BALANCE⁽¹⁾
Fiscal Years 2015-16 through 2019-20
Carlsbad Unified School District

	Audited Actuals <u>2015-16</u>	Audited Actuals <u>2016-17</u>	Audited Actuals <u>2017-18</u>	Audited Actuals <u>2018-19</u>	Audited Actuals <u>2019-20</u>
REVENUES:					
LCFF Sources ⁽¹⁾	--	--	--	\$97,720,795	\$102,050,868
State Apportionments	\$4,954,477	\$6,593,985	\$7,219,842	--	--
Education Protection Account Funds	2,127,834	2,149,942	2,180,194	--	--
Local Sources	73,077,642	77,734,957	80,838,648	--	--
Federal Sources	3,461,789	3,574,622	3,668,263	3,697,138	3,520,973
Other State Sources	13,741,120	10,408,169	9,921,445	15,387,039	12,169,937
Other Local Sources	<u>8,802,944</u>	<u>8,342,662</u>	<u>8,587,570</u>	<u>9,406,559</u>	<u>9,569,996</u>
TOTAL REVENUES	106,165,806	108,804,337	112,415,962	126,211,531	127,311,774
EXPENDITURES:					
Current:					
Instruction	64,015,696	66,878,680	72,901,487	80,151,680	81,763,123
Instruction-Related Services:	9,838,247	10,497,835	11,015,630	12,413,905	12,875,813
Pupil Services	8,101,216	8,643,863	9,177,391	10,507,024	10,696,138
Ancillary Services	1,309,110	1,441,191	1,529,877	1,547,880	1,430,941
Community Services	121,711	104,775	100,831	95,578	84,440
General Administration	6,301,307	6,233,947	6,517,594	7,504,584	7,299,845
Plant Services	9,394,865	9,988,209	9,877,327	10,720,617	10,208,076
Other outgo	747,005	805,839	1,398,611	1,366,073	1,279,357
Capital Outlay	--	1,262,755	645,472	--	--
Debt Service	--	--	--	--	--
Debt Issue Costs	--	--	--	--	--
Principal	--	--	--	--	--
Interest	--	--	--	--	--
TOTAL EXPENDITURES	100,767,209	105,857,094	113,164,220	124,716,962	125,637,733
EXCESS (DEFICIENCY) OF REVENUES OVER EXPENDITURES	5,398,597	2,947,243	(748,258)	1,494,569	1,674,041
OTHER FINANCING SOURCES (USES):					
Transfers In	--	--	--	--	--
Transfers Out	--	(100,000)	(100,000)	--	(10,000)
Other Sources	--	--	--	--	--
NET FINANCING SOURCES (USES)	--	(100,000)	(100,000)	--	(10,000)
NET CHANGE IN FUND BALANCES	5,398,597	2,847,243	(848,258)	1,494,569	1,664,041
Fund Balance, July 1	<u>15,225,224</u>	<u>20,623,821</u>	<u>23,471,064</u>	<u>22,622,806</u>	<u>24,117,375</u>
Fund Balance, June 30	<u>\$20,623,821</u>	<u>\$23,471,064</u>	<u>\$22,622,806</u>	<u>\$24,117,375</u>	<u>\$25,781,416</u>

⁽¹⁾ Beginning in fiscal year 2018-19, LCFF is presented in aggregated form.
Source: Carlsbad Unified School District.

Budget Process

State Budgeting Requirements. The District is required by provisions of the Education Code to maintain a balanced budget each year, in which the sum of expenditures and the ending fund balance cannot exceed the sum of revenues and the carry-over fund balance from the previous year. The State Department of Education imposes a uniform budgeting and accounting format for school districts. The budget process for school districts was substantially amended by Assembly Bill 1200 ("AB 1200"), which became State law on October 14, 1991. Portions of AB 1200 are summarized below. Additional amendments to the budget process were made by Assembly Bill 2585, effective as of September 9, 2014,

including the elimination of the dual budget cycle option for school districts. All school districts must now be on a single budget cycle.

School districts must adopt a budget on or before July 1 of each year. The budget must be submitted to the county superintendent within five days of adoption or by July 1, whichever occurs first. The county superintendent will examine the adopted budget for compliance with the standards and criteria adopted by the State Board of Education and identify technical corrections necessary to bring the budget into compliance, and will determine if the budget allows the district to meet its current obligations, if the budget is consistent with a financial plan that will enable the district to meet its multi-year financial commitments, whether the budget includes the expenditures necessary to implement a LCAP, and whether the budget's ending fund balance exceeds the minimum recommended reserve for economic uncertainties.

On or before September 15, the county superintendent will approve, conditionally approve or disapprove the adopted budget for each school district. Budgets will be disapproved if they fail the above standards. The district board must be notified by September 15 of the county superintendent's recommendations for revision and reasons for the recommendations. The county superintendent may assign a fiscal advisor or appoint a committee to examine and comment on the superintendent's recommendations. The committee must report its findings no later than September 20. Any recommendations made by the county superintendent must be made available by the district for public inspection. No later than October 22, the county superintendent must notify the State Superintendent of Public Instruction of all school districts whose budget may be disapproved.

A school district whose budget has been disapproved must revise and readopt its budget by October 8, reflecting changes in projected income and expense since July 1, including responding to the county superintendent's recommendations. The county superintendent must determine if the budget conforms with the standards and criteria applicable to final school district budgets and not later than November 8, must approve or disapprove the revised budgets. If the budget is disapproved, the county superintendent will call for the formation of a budget review committee pursuant to Education Code Section 42127.1. No later than November 8, the county superintendent must notify the State Superintendent of Public Instruction of all school districts whose budget has been disapproved. Until a school district's budget is approved, the school district will operate on the lesser of its proposed budget for the current fiscal year or the last budget adopted and reviewed for the prior fiscal year.

Interim Financial Reporting. Under the provisions of AB 1200, each school district is required to file interim certifications with the county office of education as to its ability to meet its financial obligations for the remainder of the then-current fiscal year and, based on current forecasts, for the subsequent two fiscal years. The county office of education reviews the certification and issues either a positive, negative or qualified certification. A positive certification is assigned to any school district that will meet its financial obligations for the current fiscal year and subsequent two fiscal years. A negative certification is assigned to any school district that will be unable to meet its financial obligations for the remainder of the current fiscal year or the subsequent fiscal year. A qualified certification is assigned to any school district that may not meet its financial obligations for the current fiscal year or the two subsequent fiscal years.

Within the past five years, the District has submitted, and the County superintendent of schools has accepted, "positive" certifications on each of its interim financial reports.

Budgeting Trends. The table on the following page summarizes the District's general fund adopted budgets for fiscal years 2016-17 through 2020-21, audited ending results for fiscal years 2016-17 through 2019-20, and projected totals for fiscal year 2020-21.

GENERAL FUND BUDGETING⁽¹⁾
Fiscal Years 2016-17 through 2020-21
Carlsbad Unified School District

	Fiscal Year 2016-17⁽²⁾		Fiscal Year 2017-18⁽²⁾		Fiscal Year 2018-19		Fiscal Year 2019-20		Fiscal Year 2020-21⁽³⁾	
	Adopted Budget	Audited Actuals	Adopted Budget	Audited Actuals	Adopted Budget	Audited Actuals	Adopted Budget	Audited Actuals	Adopted Budget	Projected Actuals
REVENUES:										
LCFF/Revenue Limit Sources	\$85,312,700	\$86,478,884	\$88,847,900	\$90,238,684	\$96,607,941	\$97,720,795	\$101,012,449	\$102,050,868	\$101,906,503	\$101,809,942
Federal Revenue	3,441,880	3,574,622	3,530,933	3,668,263	3,546,771	3,697,138	3,679,372	3,520,973	9,680,349	13,364,204
Other State Revenue	9,559,686	10,408,169	7,050,888	9,921,445	11,508,449	15,387,039	8,110,292	12,169,937	9,850,898	10,922,581
Other Local Revenue	<u>6,281,894</u>	<u>8,342,662</u>	<u>6,139,270</u>	<u>8,587,570</u>	<u>6,091,088</u>	<u>9,406,559</u>	<u>6,732,985</u>	<u>9,569,996</u>	<u>7,785,602</u>	<u>8,562,389</u>
Total Revenues	104,596,160	108,804,337	105,568,991	112,415,962	117,754,249	126,211,531	119,535,098	127,311,774	129,223,352	134,659,116
EXPENDITURES:										
Certificated Salaries	47,445,505	48,777,164	48,336,918	50,529,603	52,353,841	53,896,715	53,403,261	55,794,489	56,023,161	58,746,906
Classified Salaries	13,863,841	13,791,833	13,939,029	14,238,095	15,321,119	15,170,890	15,871,625	16,026,272	16,704,941	16,356,213
Employee Benefits	26,449,499	26,528,090	28,484,141	28,496,912	32,161,831	35,713,001	33,125,833	35,727,899	34,478,982	35,290,032
Books and Supplies	4,037,382	3,187,442	5,063,391	4,180,401	4,174,212	3,378,302	4,019,184	2,404,578	6,317,000	6,887,012
Services and Operating Expenditures	11,406,493	11,503,971	12,410,710	13,675,126	14,408,028	14,659,723	15,345,866	14,325,348	18,570,036	18,180,231
Direct Support/Indirect Costs	(280)	--	--	--	--	--	--	--	--	--
Other Outgo	723,848	805,839	773,078	1,398,611	1,225,168	1,366,073	1,279,000	1,279,357	979,252	903,408
Capital Outlay	<u>1,030,736</u>	<u>1,262,755</u>	<u>452,475</u>	<u>645,472</u>	<u>50,000</u>	<u>532,258</u>	<u>100,000</u>	<u>79,790</u>	--	<u>46,000</u>
Total Expenditures	104,957,304	105,857,094	109,459,742	113,164,220	119,694,199	124,716,962	123,144,769	125,637,733	133,073,372	136,409,802
EXCESS (DEFICIENCY) OF REVENUES OVER (UNDER) EXPENDITURES	(360,864)	2,947,243	(3,890,751)	(748,258)	(1,939,950)	1,494,569	(3,609,671)	1,674,041	(3,850,020)	(1,750,686)
OTHER FINANCING SOURCES (USES):										
Operating Transfer Out	<u>(100,000)</u>	<u>(100,000)</u>	<u>(100,000)</u>	<u>(100,000)</u>	<u>(100,000)</u>	--	--	<u>(100,000)</u>	<u>(100,000)</u>	<u>(575,000)</u>
Total Other Financing Sources (Uses)	(100,000)	(100,000)	(100,000)	(100,000)	(100,000)	--	--	(100,000)	(100,000)	<u>(575,000)</u>
NET CHANGE IN FUND BALANCES	(460,864)	2,847,243	(3,990,751)	(848,258)	(2,039,950)	1,494,569	(3,609,671)	1,664,041	(3,950,020)	(2,325,686)
FUND BALANCE, JULY 1	<u>20,623,821</u>	<u>20,623,821</u>	<u>23,471,064</u>	<u>23,471,064</u>	<u>22,622,805</u>	<u>22,622,806</u>	<u>24,117,375</u>	<u>24,117,375</u>	<u>25,781,416</u>	25,781,416
FUND BALANCE, JUNE 30	<u>\$20,162,957</u>	<u>\$23,471,064</u>	<u>\$19,480,313</u>	<u>\$22,622,806</u>	<u>\$20,582,855</u>	<u>\$24,117,375</u>	<u>\$20,507,704</u>	<u>\$25,781,416</u>	<u>\$21,831,396</u>	<u>\$23,455,730</u>

Note: Sums may differ from totals due to rounding.

⁽¹⁾ From the District's Comprehensive Audited Financial Report for fiscal years 2016-17 through 2019-20.

⁽²⁾ On behalf payments of \$2,737,163 and \$3,669,407 for fiscal years 2016-17 and 2017-18 respectively, are not included in the actual revenues and expenditures, but have been included in the budgeted amounts.

⁽³⁾ From the District's Second Interim Financial Report for fiscal year 2020-21, approved by the Board on March 10, 2021.

Source: Carlsbad Unified School District.

State Budget Measures

The following information concerning the State's budgets has been obtained from publicly available information which the District believes to be reliable; however, the District does not guarantee the accuracy or completeness of this information and has not independently verified such information. Furthermore, it should not be inferred from the inclusion of this information herein that the principal of or interest on the Bonds is payable from the general fund of the District. The Bonds are payable solely from the proceeds of an ad valorem property tax required to be levied by the County on taxable property within the District in an amount sufficient for the payment thereof.

2020-21 State Budget. On June 29, 2020, the Governor signed into law the State budget for fiscal year 2020-21 (the "2020-21 Budget"). The following information is drawn from the DOF's and LAO's summaries of the 2020-21 Budget.

As with the Governor's May revision (the "May Revision") to the proposed State budget, the 2020-21 Budget acknowledged that the rapid onset of COVID-19 had an immediate and severe impact on the State's economy. The ensuing recession caused significant job losses, precipitous drops in family and business income, and exacerbated inequality. The 2020-21 Budget included a number of measures intended to address a projected deficit of \$54.3 billion identified by the May Revision, and occasioned principally by declines in the State's three main tax revenues (personal income, sales and use, and corporate). The measures included in the 2020-21 Budget, and described below, were intended to close this deficit and set aside \$2.6 billion in the State's traditional general fund reserve, including \$716 million for the State to respond to the changing conditions of the COVID-19 pandemic:

- *Draw Down of Reserves* – The 2020-21 Budget drew down \$8.8 billion in total State reserves, including \$7.8 billion from the BSA, \$450 million from the Safety Net Reserve and all funds in the PSSSA.
- *Triggers* – The 2020-21 Budget included \$11.1 billion in reductions and deferrals that would have been restored if at least \$14 billion in federal funds were received by October 15, 2020. If the State had received less than this amount, reductions and deferrals were to be partially restored. The triggers included \$6.6 billion in deferred spending on education, \$970 million in funding for the California State University and University of California systems, \$2.8 billion in State employee compensation and \$150 million for courts, as well as funding for various other State programs. The triggers would also have funded an additional \$250 million for county programs to backfill revenue losses. Such federal funds, however, were not received by the October 15 date identified in the 2020-21 Budget. The District can make no representation as to whether such federal funds will be received or in what amount. See "– Future Actions and Events" herein.
- *Federal Funds* – The 2020-21 Budget relied on \$10.1 billion in federal funds allocated to the State, including \$8.1 billion of which had already been received as of the passage of the 2020-21 Budget. This relief included a temporary increase in the federal government's share of Medicaid costs, a portion of the State's Coronavirus Relief Fund allocation pursuant to the CARES Act and federal funds provided for childcare programs.
- *Borrowing/Transfers/Deferrals* – The 2020-21 Budget relied on \$9.3 billion in special fund borrowing and transfers, as well as deferrals to K-14 education discussed further herein. Approximately \$900 million of special fund borrowing was associated with reductions to State employee compensation and was to be subject to the triggers discussed above.

- *Increased Revenues* – The 2020-21 Budget temporarily suspended for three years net operating loss tax deductions for medium and large businesses and limited business tax credits, with an estimated increase in tax revenues of \$4.3 billion in fiscal year 2020-21.
- *Cancelled Expansions, Updated Assumptions and Other Measures* – The 2020-21 Budget included an additional \$10.6 billion of measures, including cancelling multiple programmatic expansions, anticipated governmental efficiencies, higher ongoing revenues above the forecast included in the May Revision, and lower health and human services caseload costs than assumed by the May Revision.

For fiscal year 2019-20, the 2020-21 Budget projected total general fund revenues and transfers of \$137.6 billion and authorized expenditures of \$146.9 billion. The State was projected to end the 2019-20 fiscal year with total available general fund reserves of \$17 billion, including \$16.1 billion in the BSA and \$900 million in the Safety Net Reserve Fund. For fiscal year 2020-21, the 2020-21 Budget projected total general fund revenues and transfers of \$137.7 billion and authorized expenditures of \$133.9 billion. The State was projected to end the 2020-21 fiscal year with total available general fund reserves of \$11.4 billion, including \$2.6 billion in the traditional general fund reserve (of which \$716 million is earmarked for COVID-related responses), \$8.3 billion in the BSA and \$450 million in the Safety Net Reserve Fund.

As a result of the projected reduction of State revenues occasioned by the COVID-19 pandemic, the 2020-21 Budget estimated that the Proposition 98 minimum funding guarantee for fiscal year 2020-21 would be \$70.1 billion, approximately \$10 billion below the revised prior-year funding level. For K-12 school districts, this would have resulted in per-pupil spending in fiscal year 2020-21 of \$10,654, a reduction of \$1,339 from the prior year.

The 2020-21 Budget proposed several measures intended to ameliorate the immediate impact of State revenue declines, and avoid a permanent decline in education funding:

- *Local Control Funding Formula* – The 2020-21 Budget provided for \$1.9 billion in LCFF apportionment deferrals for fiscal year 2019-20. The deferrals increased to \$11 billion in fiscal year 2020-21, which was to result in LCFF funding remaining at 2019-20 levels in both years. The 2020-21 Budget also suspended the statutory COLA in fiscal 2020-21. Of the total deferrals, \$5.8 billion were to be triggered off in fiscal year 2020-21 if sufficient federal funding for this purpose was received. Such federal funds, however, were not received by the October 15 date identified in the 2020-21 Budget. The District can make no representation as to whether such federal funds will be received or in what amount. See “– Future Actions and Events” herein.
- *Learning Loss Mitigation* – The 2020-21 Budget included a one-time investment of \$5.3 billion (\$4.75 billion in CARES Act funding and \$539.9 million in Proposition 98 funding) to local educational agencies to address learning losses related to COVID-19 school closures. Of these funds, \$2.9 billion was to be allocated based on LCFF supplemental and concentration grant allocations, \$1.5 billion based on the number of students with exceptional needs, and \$979.8 million based on total LCFF allocations.
- *Supplemental Appropriations* – The 2020-21 Budget provided for a new, multi-year payment obligation to supplement K-14 education funding. The total obligation would equal approximately \$12.4 billion, and reflected the administration’s estimate of the additional funding K-14 school districts would have received in the absence of COVID-19-related reductions. Under this proposal the State will make annual payments toward this obligation beginning in fiscal year 2021-22. These payments would equal 1.5% of State general fund

revenue. The 2020-21 Budget also increased the share of State general fund revenue required to be spent on K-14 school districts from 38% to 40% by fiscal year 2023-24.

- *CalSTRS/CalPERS* – The 2020-21 Budget redirected \$2.3 billion in funds previously appropriated for prefunding CalSTRS and CalPERS liabilities, and instead applied them to further reduce local educational agency contribution rates for such programs in fiscal years 2020-21 and 2021-22. This reduced CalSTRS employer rates to 16.15% in fiscal year 2020-21 and 16.02% in fiscal year 2021-22. CalPERS employer rates would be reduced to 20.7% in fiscal year 2020-21 and 22.84% in fiscal year 2021-22. See also “CARLSBAD UNIFIED SCHOOL DISTRICT – District Retirement Systems” herein.
- *Federal Funds* – In addition to the CARES Act funding previously discussed, the 2020-21 Budget appropriated \$1.6 billion in federal Elementary and Secondary School Emergency Relief funds awarded to the State. Of this amount, approximately \$1.5 billion was to be allocated to local educational agencies in proportion to the amount of federal Title I-A funding such agencies receive, to be used for COVID-19 related costs. The remaining amount was to be allocated to state-level activities.
- *Temporary Revenue Increases* – As discussed above, as part of closing the State’s projected deficit, the 2020-21 Budget provided for a temporary revenue increase of approximately \$4.3 billion in fiscal year 2020-21, of which approximately \$1.6 billion counted towards the Proposition 98 funding guarantee.

Other significant features of K-12 education funding in the 2020-21 Budget included the following:

- *Special Education* – The 2020-21 Budget increased special education base rates to \$625 per pupil, and provided \$100 million to increase funding for students with low-incidence disabilities.
- *Average Daily Attendance* – The 2020-21 Budget provided for a hold-harmless for calculating apportionments in fiscal year 2020-21. ADA will be based on the 2019-20 year, except for new charter schools commencing instruction in fiscal year 2020-21. The 2020-21 Budget also provided an exemption for local educational agencies from certain annual minimum instructional minute requirements, and included requirements for distance learning to ensure that, in the absence of in-person instruction, students continue to receive access to quality education.
- *LCAPs* – In April of 2020, the Governor issued an executive order allowing local educational agencies to submit their LCAP (as defined herein) for fiscal year 2020-21 in December, in lieu of the usual July 1 deadline. Recognizing that federal relief funds needed to be expended on an accelerated timeline, and to ensure transparency, the 2020-21 Budget replaced the December LCAP with a Learning Continuity and Attendance Plan to be completed by September 30, 2020. The 2020-21 Budget required the State Superintendent of Public Instruction to develop a template of this plan for use by local educational agencies which included a description of how such agencies would provide continuity of learning during the pandemic, expenditures related to addressing the impacts of the pandemic, and how such agencies increased or improved services in proportion to concentration funding received under the LCFF.

- *Employee Protections* – The 2020-21 Budget suspended school districts’ window to lay off teachers and other non-administrative certificated staff, which typically runs from the time the budget is approved by the State Legislature to August 15. The 2020-21 Budget also suspended layoffs of classified staff working in transportation, nutrition and custodial services from July 1, 2020 through June 30, 2021.

For additional information regarding the 2020-21 Budget, see the DOF website at www.dof.ca.gov and the LAO website at www.lao.ca.gov. However, the information presented on such websites is not incorporated herein by reference.

Proposed Fiscal Year 2021-22 Budget. On January 8, 2021, the Governor released his proposed State budget for fiscal year 2021-22 (the “Proposed 2021-22 Budget”). The information below is drawn from the DOF and LAO summaries of the Proposed 2021-22 Budget.

The Proposed 2021-22 Budget indicates that, since the adoption of the 2020-21 Budget, the administration’s economic forecast and revenue projections have significantly improved, driven in large part by a rebound in the stock market and an attendant growth in capital gains tax revenues. However, the Proposed 2021-22 Budget acknowledges that the risks to the revenue forecast remain higher than usual, and economic inequality has intensified since the beginning of the COVID-19 pandemic. The Proposed 2021-22 Budget acknowledges that the State is currently in the midst of a second and more serious wave of COVID-19 infections, but that federally-approved COVID-19 vaccines are arriving to assist the recovery from the pandemic.

The Proposed 2021-22 Budget indicates that the revenue forecast was finalized prior to the passage of the Consolidated Appropriations Act, 2021. See “DISTRICT FINANCIAL INFORMATION – Considerations Regarding COVID-19” herein. Of the almost \$900 billion in federal funding that was approved, the Proposed 2021-22 Budget identifies approximately \$106 billion allocable to the State, including \$42.4 billion in direct assistance to individuals and families (including \$38.3 billion in unemployment benefits and direct payments), \$2.2 billion for COVID-19 testing, tracing and vaccine distribution, \$700 million for health and mental health services, \$50.1 billion in business and transportation support, and \$10.1 billion for education. The Governor’s May revision to the Proposed 2021-22 Budget will include a revised revenue forecast that will reflect this federal assistance. The Proposed 2021-22 Budget also acknowledges that further federal relief will be critical to assisting individuals and businesses survive and recover from the pandemic.

For fiscal year 2020-21, the Proposed 2021-22 Budget projects total general fund revenues and transfers of \$168.1 billion and expenditures of \$156 billion. The State is projected to end the 2020-21 fiscal year with total available general fund reserves of approximately \$22.7 billion, including \$9 billion in the traditional State reserve, \$12.5 billion in the BSA, \$747 million in the PSSSA and \$450 million in the Safety Net Reserve Fund. For fiscal year 2021-22, the Proposed 2021-22 Budget projects total general fund revenues and transfers of \$170.6 billion and authorizes expenditures of \$164.5 billion. The State is projected to end the 2021-22 fiscal year with total available general fund reserves of approximately \$22 billion, including \$2.9 billion in the traditional general fund reserve, \$15.6 billion in the BSA, \$3 billion in the PSSSA and \$450 million in the Safety Net Reserve Fund. As a result of the projected year-end balance in the PSSSA, school district reserve caps would be triggered in fiscal year 2022-23 under the provisions of SB 858 and SB 751. See also “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Proposition 2” herein.

In recognition of the need to address the various impacts of the COVID-19 pandemic, the Proposed 2021-22 Budget includes a package of measures intended to be implemented through legislative

action earlier than the traditional State budget timeline. For immediate action in January, this package includes \$3 billion in direct support for small businesses and low income earners (the latter principally through a income tax refund) and \$2 billion to support the re-opening of K-12 schools (as further described herein). For early action in the spring, the package includes \$4.6 billion in instructional support for K-14 school districts, \$973 million in jobs and workforce training, \$561 million in environmental sustainability measures and \$262 million in housing and homelessness-related measures.

As a result of the expected increases in State general fund revenues, the Proposed 2021-22 Budget sets the Proposition 98 minimum funding guarantee for fiscal year 2021-22 at \$85.8 billion, including \$60.8 billion from the State general fund. This represents a year-to-year increase of \$14.9 billion (or 21%) over the level included in the 2020-21 Budget. With respect to K-12 education, the minimum funding guarantee is set at \$75.9 billion. The Proposed 2021-22 Budget also makes retroactive increases to the minimum funding guarantee in fiscal years 2019-20 and 2020-21 of \$1.9 billion and \$11.9 billion, respectively, due almost exclusively to increases in allocable general fund revenues in those years. As a result of these revisions, total per-pupil expenditures for K-12 education are projected to be \$18,837 in fiscal year 2020-21 and \$18,000 in fiscal year 2021-22. The year-to-year decrease reflects a significant allocation of one-time federal funding in fiscal year 2020-21. Ongoing per-pupil spending from Proposition 98 funding is \$12,648 in fiscal year 2021-22, an increase of \$1,994 from the level provided in the 2020-21 Budget.

Other significant features of K-12 education funding include the following:

- *Re-opening Schools* – \$2 billion in one-time Proposition 98 funding available beginning in February, 2021 to augment resources for local educational agencies to resume safe, in-person instruction. Funding will be available on a per-pupil basis for all county schools, school districts and charter schools (with the exception of non-classroom based charter schools and independent study programs) that continue or commence in-person instruction by set dates. Specifically, all such educational agencies that continue or resume instruction (i) by February 16, for all transitional Kindergarten through 2nd grade students, disabled students, foster and homeless youth, and students without access to technology or high-speed internet, and (ii) by March 15 for all 3rd grade students, will be eligible for base grants starting at \$450 and increasing to more than \$700 per pupil for schools with higher enrollments of EL/LI students. Schools with later start dates will qualify for proportionally lower base grants, except those schools in counties with high rates of COVID-19 community spread. Schools in counties with high rates of community spread will be eligible for the full February grant amount if they re-open for instruction pursuant to State and local health guidance. Funds may be used for any purpose that supports instruction, including enhancing and expanding COVID-19 testing, personal protective equipment, improving ventilation and the safety of indoor and outdoor spaces, teacher and staff salaries for those providing and supporting in-person instruction, and social and mental health supportive services. See also “– Assembly Bill 86” herein.
- *Local Control Funding Formula* – \$64.5 billion in total LCFF funding, including an allocation to fund a combined COLA of 3.84%. This reflects both the 2.31% COLA that would have been due in fiscal year 2020-21, and which was suspended by the 2020-21 Budget, and a 1.5% adjustment for fiscal year 2021-22. With few exceptions, the Proposed 2021-22 Budget assumes in-person instruction in fiscal year 2021-22, and accordingly does not provide an ADA hold-harmless for purposes of calculating apportionments. However, because of the hold-harmless provided for fiscal year 2020-21 by the prior year’s budgetary legislation, local educational agencies that experience enrollment declines in fiscal year 2021-22 will retain the ability to receive apportionments based on the higher of their 2019-20 or

2020-21 ADA. The Proposed 2021-22 Budget also provides an increase of \$10.2 million in ongoing Proposition 98 funding to reflect a 1.5% COLA for county offices of education.

- *Categorical Programs* – An increase of \$85.7 million in ongoing Proposition 98 funding to reflect a 1.5% COLA for categorical programs which remain outside of the LCFF.
- *Deferrals* – The 2020-21 Budget deferred approximately \$12.5 billion in payments to K-14 school districts. The Proposed 2021-22 Budget would pay down \$8.4 billion of this amount, with districts receiving the associated cash in fiscal year 2021-22. Approximately \$4 billion would remain deferred from fiscal year 2021-22 to fiscal year 2022-23.
- *Supplemental Payment* – The 2020-21 Budget provided for a new, multi-year payment obligation to avoid a permanent decline in K-14 education funding as a result of then-projected reductions in available revenues. The Proposed 2021-22 Budget would eliminate this supplemental payment obligation in its entirety, but would fund a one-time payment of \$2.3 billion in fiscal year 2021-22.
- *Educator and Professional Development* – \$315.3 million to develop quality training in high-need areas and provide timely access to training. The Proposed 2021-22 Budget also includes \$225 million to improve the State’s teacher pipeline, including providing grants to students enrolled in teacher preparation programs, support for clinical teacher preparation programs and grants to recruit non-certificated school employees.
- *Community Schools* – \$264.9 million in one-time Proposition 98 funding to expand networks of community schools and establish new community schools, which typically integrate health, mental health and other services for students and families and provide these services directly on school campuses.
- *Learning Loss Mitigation* – \$4.6 billion in one-time Proposition 98 funding to facilitate targeted interventions by local educational agencies that focus on student achievement and well-being most affected by COVID-19 related disruptions to educational learning, including interventions with low-income families, English-learners and foster and homeless youth. See also “– Assembly Bill 86” herein.
- *Federal Funds* – As a result of recent federal stimulus legislation, the Proposed 2021-22 Budget estimates that the State could receive more than \$6 billion for the Elementary and Secondary Schools Emergency Relief Fund and \$400 million for the Governor’s Emergency Education Relief Fund. These funds are expected to assist schools in reopening and remaining open for in-person instruction.
- *Proposition 51* – a total allocation of \$1.5 billion in Proposition 51 bond funds for K-12 school facility projects.

For additional information regarding the Proposed 2021-22 Budget, see the DOF website at www.dof.ca.gov and the LAO website at www.lao.ca.gov. However, the information presented on such websites is not incorporated herein by reference.

Assembly Bill 86. On March 4, 2021, the Governor signed into law Assembly Bill 86 (“AB 86”), urgency legislation which provides approximately \$6.6 billion to accelerate the return of in-person school instruction and expand student support. Specifically, AB 86 provides \$2 billion for in-person instruction grants to local educational agencies (with the exception of non-classroom based charter schools and independent study programs) that can be used for, among other things, personal protective equipment, ventilation upgrades and COVID-19 testing. To qualify for the funding, local educational agencies will be required to offer in-person instruction for Kindergarten through second grade, and all grades levels for high-need students, by March 31, 2021, losing 1% of eligible funds for every day thereafter if they do not. Schools in the Blueprint’s red, orange or yellow tiers are required to offer in-person instruction to all elementary grades and at least one middle or high school grade or risk losing the same amount of funding. Local educational agencies will forfeit eligibility for all funding if they do not resume in-person instruction by May 15, 2021. Funding will be allocated proportionally on the basis of LCFF funding entitlements, determined as of the fiscal year 2020-21 second principal apportionment certification.

The remaining \$4.6 billion is allocated for supplemental instruction and support for social and emotional well-being. Schools will be able to use the funds for, among other things, providing more instructional time (including summer school), tutoring, learning recovery programs, mental health services, access to school meal programs, programs to address pupil trauma and supports for credit-deficient students. Funding will be allocated proportionally on the basis of LCFF funding entitlements, determined as of the fiscal year 2020-21 second principal apportionment certification. Local educational agencies will also receive an additional \$1,000 for each homeless pupil enrolled in the 2020-21 fiscal year.

AB 86 also codifies several State programs that support the safe re-opening of schools, including (i) setting aside 10% of available vaccines for education workers, (ii) COVID-19-related data reporting requirements, and (iii) additional funding for the State’s “Safe Schools Team,” which provides technical assistance and oversight to schools that experience COVID-19 outbreaks.

May Revision. On May 14, 2021, the Governor released his May revision (the “May Revision”) to the Proposed 2021-22 Budget. The following information is drawn from the DOF’s summary of the May Revision.

The May Revision reflects a significantly improved fiscal outlook since the beginning of the COVID-19 pandemic. As compared to the \$54 billion deficit projected in the 2020-21 State Budget, the May Revision projects a total budgetary surplus of approximately \$75.7 billion. This figure includes funds available for certain constitutionally-required spending on K-14 school districts, reserves and debt payments. Revenue projections are also significantly improved from the levels included in the Proposed 2021-22 Budget, primarily due to strong State cash trends, the passage of two major federal relief bills and continued improvement in the stock market. The State is also expected to receive an additional \$27 billion in COVID-19 relief funds from the American Rescue Plan (as defined herein). See “DISTRICT FINANCIAL INFORMATION – Considerations Regarding COVID-19” herein. This brings the total amount of federal stimulus funds for State programs to over \$275 billion.

For fiscal year 2020-21, the May Revision projects total general fund revenues and transfers of \$187 billion and expenditures of \$165.2 billion. The State is projected to end the 2020-21 fiscal year with total available general fund reserves of approximately \$39.3 billion, including \$24.3 billion in the traditional State reserve, \$12.5 billion in the BSA, \$2 billion in the PSSSA and \$450 million in the Safety Net Reserve Fund. For fiscal year 2021-22, the May Revision projects total general fund revenues and transfers of \$176 billion and authorizes expenditures of \$196.8 billion. The State is projected to end the 2021-22 fiscal year with total available general fund reserves of approximately \$24.4 billion, including \$3.4 billion in the traditional general fund reserve, \$15.9 billion in the BSA, \$4.6 billion in the PSSSA

and \$450 million in the Safety Net Reserve Fund. As a result of the projected year-end balance in the PSSSA, school district reserve caps would be triggered in fiscal year 2022-23 under the provisions of SB 858 and SB 751. See also “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Proposition 2” herein.

The May Revision sets the Proposition 98 minimum funding guarantee for fiscal year 2021-22 at \$93.7 billion. The Proposed 2021-22 Budget also makes retroactive increases to the minimum funding guarantee in fiscal years 2019-20 and 2020-21, due almost exclusively to increases in allocable general fund revenues in those years. Over the three-year period, the minimum funding guarantee has increased \$17.7 billion over the amount projected by the 2020-21 Budget. As a result of these revisions, total per-pupil expenditures for K-12 education are projected to be \$13,977 in fiscal year 2021-22.

Additionally, excess revenues above the State appropriations limit in fiscal year 2020-21 and 2021-22 create a Constitutional obligation for the State to make a one-time payment to K-14 school districts in addition to the Proposition 98 minimum funding guarantee, and allocated based on K-12 ADA and full-time equivalent community college students. While this payment amount will not be finalized until the State’s 2023-24 budget, the Administration currently anticipates that it will total approximately \$8.1 billion, and will be provided to K-14 school districts in the 2022-23 fiscal year.

Other significant features of K-12 education funding include the following:

- *Re-opening Schools* – The May Revision assumes a return to full-time, in-person instruction for the 2021-22 school year. Consistent with all school years prior to 2020-21, this mode of instruction will be the default for all students and schools, and generally one of only two ways in which local educational agencies can earn state apportionment funding in 2021-22. In connection therewith, the May Revision proposes \$2 billion one-time Proposition 98 funding for health and safety activities, including testing and vaccine initiatives, enhanced cleaning, personal protective equipment, and improved ventilation. These funds will supplement the \$2 billion appropriated by AB 86. See “– Assembly Bill 86” herein. Acknowledging that some parents may still be hesitant to send their children back to school for in-person instruction, the May Revision proposes a series of improvements to the State’s existing independent study programs that are intended to provide local educational agencies with an option to generate State funding via high-quality non-classroom based instruction.
- *Local Control Funding Formula* – The Proposed 2021-22 Budget included \$64.5 billion in total LCFF Funding, including a combined COLA of 3.84% covering fiscal years 2020-21 and 2021-22. The May Revision would increase this COLA by 0.2%, for a total combined COLA of 4.05%. To assist local educational agencies address ongoing fiscal pressures, the May Revision also includes \$520 million in Proposition 98 funding to provide a 1% increase in LCFF base funding. The May Revision also provides an increase of \$29.7 million in ongoing Proposition 98 funding to reflect a 2.7% COLA for county offices of education.
- *Categorical Programs* – An increase of \$2.4 million in ongoing Proposition 98 funding to reflect a 1.7% COLA for categorical programs which remain outside of the LCFF.
- *Deferrals* – The 2020-21 Budget deferred approximately \$12.5 billion in payments to K-14 school districts. The Proposed 2021-22 Budget proposed paying down \$8.4 billion of this amount, with districts receiving the associated cash in fiscal year 2021-22. The May Revision pays down an additional \$1.1 billion, leaving approximately \$2.6 billion that would remain deferred from fiscal year 2021-22 to fiscal year 2022-23.

- *Supplemental Payment* – The 2020-21 Budget provided for a new, multi-year payment obligation to avoid a permanent decline in K-14 education funding as a result of then-projected reductions in available revenues. The Proposed 2021-22 Budget would have eliminated this supplemental payment obligation in its entirety, but proposed a one-time payment of \$2.3 billion in fiscal year 2021-22. As a result of revised increases in the minimum funding guarantee, the May Revision would also eliminate the one-time payment.
- *Community Schools* – \$3 billion in one-time Proposition 98 funding, available over several fiscal years, to further expand the implementation and use of community school models, which typically integrate health, mental health and other services for students and families and provide these services directly on school campuses.
- *Student Support* – An ongoing increase of \$1.1 billion to LCFF concentration grants for student support. Local educational agencies that are recipients of these funds will be required to demonstrate how these funds will be used to increase the number of certificated and classified staff on their campuses, including counselors, nurses, teachers, paraprofessionals and other student support providers. In addition, the May Revision also provides \$30 million in one-time Proposition 98 funding to county offices of education to work with local partners to coordinate and provide direct student support services. Finally, the May Revision provides \$2 billion in one-time federal funds and \$623 million in one-time Proposition 98 funding to provide research-tested interventions for students, including intensive tutoring. These funds are in addition to similar funding provided by AB 86. See “– Assembly Bill 86” herein.
- *Educator Development* – \$3.3 billion to support various educator initiatives, including workforce preparation, training and retention.
- *Nutrition* – \$150 million in ongoing Proposition 98 funding to encourage local educational agencies to participate in one of the federal universal meal provisions, which allow schools to serve breakfast and lunch meals at no charge to all students. The May Revision also provides \$100 million in one-time Proposition 98 funding to provide school kitchen infrastructure upgrades and training for cafeteria staff.
- *Special Education* – \$277.7 million in one-time federal funding to local educational agencies to increase statewide special education resources. The May Revision also includes \$117.7 million in Proposition 98 funding to fund a 1.5% COLA for State special education funding.
- *Career Technical Education* – \$86.4 million in one-time Proposition 98 funding for career technical regional occupational centers or programs operated by a joint powers authority to address costs associated with COVID-19.

For additional information regarding the May Revision, see the DOF website at www.dof.ca.gov. However, the information presented on such website is not incorporated herein by reference.

Future Actions and Events. The District cannot predict what additional actions will be taken in the future by the State legislature and the Governor to address changing State revenues and expenditures. The District also cannot predict the impact such actions will have on State revenues available in the current or future years for education. The State budget will be affected by national and State economic conditions and other factors over which the District will have no control. Certain actions or results could produce a significant shortfall of revenue and cash, and could consequently impair the State’s ability to fund schools. The COVID-19 pandemic has already resulted in significant negative economic effects at State and federal levels, and additional negative economic effects are possible, each

of which could negatively impact anticipated State revenue levels. In addition, the pandemic could also result in higher State expenditures, of both a direct nature (such as those related to managing the outbreak) and an indirect nature (such as higher public usage of need-based programs resulting from unemployment or disability). See “DISTRICT FINANCIAL INFORMATION – Considerations Regarding COVID-19” herein. The District also cannot predict whether the federal government will provide additional funding in amounts sufficient to offset any of the fiscal impacts of the COVID-19 pandemic described above. State budget shortfalls in future fiscal years may also have an adverse financial impact on the financial condition of the District. However, the obligation to levy *ad valorem* property taxes upon all taxable property within the District for the payment of principal of and interest on the Bonds would not be impaired.

CARLSBAD UNIFIED SCHOOL DISTRICT

The information in this section concerning the operations of the District and the District’s finances are provided as supplementary information only, and it should not be inferred from the inclusion of this information in this Official Statement that the principal of and interest on the Bonds are payable from the general fund of the District. The Bonds are payable solely from the revenues generated by an ad valorem property tax required to be levied by the County on taxable property within the District for the payment thereof. See “THE BONDS – Security and Sources of Payment” herein.

Introduction

The District was established as a unified school district in 1921. The District is located in the northwestern portion of the County and encompasses approximately 30.2 square miles. The District provides kindergarten through twelfth grade education services, maintaining nine elementary schools, three middle schools, two high schools, one alternative school and one independent study school. For fiscal year 2020-21 the District’s ADA is estimated to be 11,012 and the total assessed value of property within the District is \$26,743,252,908.

Unless otherwise indicated, the following financial, statistical and demographic data has been provided by the District. Additional information concerning the district and copies of the most recent and subsequent audited financial reports of the District may be obtained by contacting: Carlsbad Unified School District, 6225 El Camino Real, Carlsbad, California 92009, telephone: (760) 331-5000, Attention: Assistant Superintendent of Business Services.

Administration

The District is governed by a five-member Board of Trustees, each member of which is elected to a four-year term. Elections for positions to the Board are held every two years, alternating between two and three available positions. Current members of the Board, together with their offices and the date each member’s term expires, are listed below:

BOARD OF TRUSTEES Carlsbad Unified School District

<u>Name</u>	<u>Office</u>	<u>Term Expires</u>
Claudine Jones	President	December 2022
Elisa Williamson	Vice President	December 2024
Ray Pearson	Clerk	December 2024
Kathy Rallings	Member	December 2022
Veronica Williams	Member	December 2022

The Superintendent of the District is responsible for administering the affairs of the District in accordance with the policies of the Board. Dr. Benjamin Churchill is the Superintendent of the District. Brief biographies of the Superintendent and Assistant Superintendent of Business Services follow:

Benjamin Churchill Ed.D., Superintendent. Dr. Benjamin Churchill became the Superintendent of the District on July 1, 2016. Prior thereto, he served as Assistant Superintendent and Chief Academic Officer for Community Unit School District 300 in Alonquin, Illinois for five years. In addition, during his 25-year career in education, he has served as a high school principal, an associate principal of curriculum and instruction, and a high school English teacher, including six years as an English language teacher in Hangzhou, China. Dr. Churchill holds a B.A. in philosophy from Valparaiso University, a M.Ed. in teaching and learning from DePaul University, an M.A. in school leadership from Northeastern Illinois University, and an Ed.D. in advanced education administration from Argosy University.

Eric Dill, Assistant Superintendent of Business Services. Eric Dill joined the District on March 15, 2021. Previously, he served as the Chief Business Officer for the Santa Clara County Office of Education and the Chief Business Official for Santa Clara Unified School District. He spent 17 of his nearly 20 years in school business at San Dieguito Union High School District, which also serves the City of Carlsbad. His service included two years as Superintendent and six years as Associate Superintendent of Business Services having previously worked as Executive Director of Business Services, Director of Risk Management, and Loss Control Analyst. Mr. Dill graduated from San Diego State University with a Bachelor of Arts in English, and has been a Certified Chief Business Official with the California Association of School Business Officials since 2010.

Historical Enrollment

On average throughout the District, the regular education pupil-teacher ratio is approximately 24:1 for grades K-3, 31.3:1 for grades 4-6, 34.5:1 for grades 7-8 and 36.0:1 for grades 9-12. The table on the following page shows enrollment figures for the District for fiscal years indicated.

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HISTORICAL ENROLLMENT
Fiscal Years 2011-12 through 2020-21
Carlsbad Unified School District

<u>Fiscal Year</u>	<u>Average Daily Attendance⁽¹⁾</u>	<u>Enrollment⁽²⁾</u>
2011-12	10,619	11,063
2012-13	10,496	10,956
2013-14	10,564	10,993
2014-15	10,596	11,049
2015-16	10,633	11,077
2016-17	10,742	11,169
2017-18	10,894	11,326
2018-19	10,938	11,428
2019-20	11,012	11,481
2020-21 ⁽³⁾	11,012	10,862

⁽¹⁾ Except for fiscal years 2019-20 and 2020-21, reflects P-2 ADA, ending on or before the last attendance month prior to April 15 of each school year. An attendance month is equal to each four-week period of instruction beginning with the first day of school for a particular school district. For fiscal year 2019-20, due to the outbreak of COVID-19, P-2 ADA only reflects full school months from July 1, 2019 through February 29, 2020. See “– Considerations Regarding COVID-19” herein. Excludes charter school students.

⁽²⁾ Enrollment is as of the fall census day (the first Wednesday in October) reported to CALPADS. See also “DISTRICT FINANCIAL INFORMATION – State Funding of Education – Local Control Funding Formula” herein.

⁽³⁾ Estimated.

Source: Carlsbad Unified School District

Labor Relations

The District currently employs 619.03 certificated employees full time equivalent (“FTE”) and 394.41 classified employees FTE. District employees, except management and some part-time employees, are represented by two bargaining units as noted below:

<u>Labor Organization</u>	<u>Number of Employees In Bargaining Unit</u>	<u>Contract Expiration Date</u>
Carlsbad Unified Teachers Association (“CUTA”)	586.03	June 30, 2023
Laborers’ International Union of North America (“LIUNA”)	379.41	June 30, 2023

Source: Carlsbad Unified School District.

District Retirement Systems

The information set forth below regarding the District’s retirement programs, other than the information provided by the District regarding its annual contributions thereto, has been obtained from publicly available sources which are believed to be reliable but are not guaranteed as to accuracy or completeness, and should not be construed as a representation by none of the District, Municipal Advisor or the Underwriter.

STRS. All full-time certificated employees, as well as certain classified employees, are members of the State Teachers’ Retirement System (“STRS”). STRS provides retirement, disability and survivor benefits to plan members and beneficiaries under a defined benefit program (the “STRS Defined Benefit Program”). The STRS Defined Benefit Program is funded through a combination of investment earnings

and statutorily set contributions from three sources: employees, employers, and the State. Benefit provisions and contribution amounts are established by State statutes, as legislatively amended from time to time.

Prior to fiscal year 2014-15, and unlike typical defined benefit programs, none of the employee, employer nor State contribution rates to the STRS Defined Benefit Program varied annually to make up funding shortfalls or assess credits for actuarial surpluses. In recent years, the combined employer, employee and State contributions to the STRS Defined Benefit Program have not been sufficient to pay actuarially required amounts. As a result, and due to significant investment losses, the unfunded actuarial liability of the STRS Defined Benefit Program has increased significantly in recent fiscal years. In September 2013, STRS projected that the STRS Defined Benefit Program would be depleted in 31 years assuming existing contribution rates continued, and other significant actuarial assumptions were realized. In an effort to reduce the unfunded actuarial liability of the STRS Defined Benefit Program, the State passed the legislation described below to increase contribution rates.

Prior to July 1, 2014, K-14 school districts were required by such statutes to contribute 8.25% of eligible salary expenditures, while participants contributed 8% of their respective salaries. On June 24, 2014, the Governor signed AB 1469 (“AB 1469”) into law as a part of the State’s fiscal year 2014-15 budget. AB 1469 seeks to fully fund the unfunded actuarial obligation with respect to service credited to members of the STRS Defined Benefit Program before July 1, 2014 (the “2014 Liability”), within 32 years, by increasing member, K-14 school district and State contributions to STRS. Commencing July 1, 2014, the employee contribution rate increased over a three-year phase-in period in accordance with the following schedule:

**MEMBER CONTRIBUTION RATES
STRS (Defined Benefit Program)**

<u>Effective Date</u>	<u>STRS Members Hired Prior to January 1, 2013</u>	<u>STRS Members Hired After January 1, 2013</u>
July 1, 2014	8.150%	8.150%
July 1, 2015	9.200	8.560
July 1, 2016	10.250	9.205

Source: AB 1469.

Pursuant to the Reform Act (defined below), the contribution rates for members hired after the Implementation Date (defined below) will be adjusted if the normal cost increases by more than 1% since the last time the member contribution was set. The contribution rate for employees hired after the Implementation Date increased from 9.205% of creditable compensation for fiscal year commencing July 1, 2017 to 10.205% of creditable compensation effective July 1, 2018. For fiscal year commencing July 1, 2019, the contribution rate was 10.250% for employees hired before the Implementation Date and 10.205% for employees hired after the Implementation Date. For fiscal year commencing July 1, 2020, the contribution rate will be 10.250% for employees hired before the Implementation Date and 10.205% for employees hired after the Implementation Date.

Pursuant to AB 1469, K-14 school districts' contribution rate increased over a seven-year phase-in period in accordance with the following schedule:

**K-14 SCHOOL DISTRICT CONTRIBUTION RATES
STRS (Defined Benefit Program)**

<u>Effective Date</u>	<u>K-14 school districts</u>
July 1, 2014	8.88%
July 1, 2015	10.73
July 1, 2016	12.58
July 1, 2017	14.43
July 1, 2018	16.28
July 1, 2019	18.13
July 1, 2020	19.10

Source: AB 1469.

Based upon the recommendation from its actuary, for fiscal year 2021-22 and each fiscal year thereafter the STRS Teachers' Retirement Board (the "STRS Board"), is required to increase or decrease the K-14 school districts' contribution rate to reflect the contribution required to eliminate the remaining 2014 Liability by June 30, 2046; provided that the rate cannot change in any fiscal year by more than 1% of creditable compensation upon which members' contributions to the STRS Defined Benefit Program are based; and provided further that such contribution rate cannot exceed a maximum of 20.25%. In addition to the increased contribution rates discussed above, AB 1469 also requires the STRS Board to report to the State Legislature every five years (commencing with a report due on or before July 1, 2019) on the fiscal health of the STRS Defined Benefit Program and the unfunded actuarial obligation with respect to service credited to members of that program before July 1, 2014. The reports are also required to identify adjustments required in contribution rates for K-14 school districts and the State in order to eliminate the 2014 Liability.

On June 27, 2019, the Governor signed SB 90 ("SB 90") into law as a part of the 2019-20 Budget. Pursuant to SB 90, the State legislature appropriated \$2.246 billion to be transferred to the Teacher's Retirement Fund for the STRS Defined Benefit Program to pay in advance, on behalf of employers, part of the contributions required for fiscal years 2019-20 and 2020-21, resulting in K-14 school districts having to contribute 1.03% less in fiscal year 2019-20 and 0.70% less in fiscal year 2020-21, resulting in employer contribution rates of 17.1% in fiscal year 2019-20 and 18.4% in fiscal year 2020-21. In addition, the State made a contribution of \$1.117 billion to be allocated to reduce the employer's share of the unfunded actuarial obligation determined by the STRS Board upon recommendation from its actuary. This additional payment will be reflected in the June 30, 2020 actuarial valuation. Subsequently, the State's 2020-21 Budget redirected \$2.3 billion previously appropriated to STRS and PERS pursuant to SB 90 for long-term unfunded liabilities to further reduce the employer contribution rates in fiscal year 2020-21 and 2021-22. As a result, the effective employer contribution rate is 16.15% in fiscal year 2020-21 and is projected to be 16.02% in fiscal year 2021-22. See "DISTRICT FINANCIAL INFORMATION – State Budget Measures – 2020-21 Budget" herein.

The District's contributions to STRS were \$6,179,127, \$7,175,543, \$8,664,997 and \$9,438,501 in fiscal years 2016-17, 2017-18, 2018-19 and 2019-20, respectively. The District has budgeted \$9,461,538 for its contribution to STRS in fiscal year 2020-21.

The State also contributes to STRS, currently in an amount equal to 8.328% for fiscal year 2020-21. The State's contribution reflects a base contribution rate of 2.017%, and a supplemental contribution

rate that will vary from year to year based on statutory criteria. Based upon the recommendation from its actuary, for fiscal year 2017-18 and each fiscal year thereafter, the STRS Board is required, with certain limitations, to increase or decrease the State's contribution rates to reflect the contribution required to eliminate the unfunded actuarial accrued liability attributed to benefits in effect before July 1, 1990. The STRS Board-approved State supplemental contribution rate for fiscal year 2020-21 reflects an increase of 0.5% of payroll, the maximum allowed under current law.

In addition, the State is currently required to make an annual general fund contribution up to 2.5% of the fiscal year covered STRS member payroll to the Supplemental Benefit Protection Account (the "SBPA"), which was established by statute to provide supplemental payments to beneficiaries whose purchasing power has fallen below 85% of the purchasing power of their initial allowance.

PERS. Classified employees working four or more hours per day are members of the Public Employees' Retirement System ("PERS"). PERS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by the State statutes, as legislatively amended from time to time. PERS operates a number of retirement plans including the Public Employees Retirement Fund ("PERF"). PERF is a multiple-employer defined benefit retirement plan. In addition to the State, employer participants on June 30, 2019 included 1,612 public agencies and 1,319 K-14 school districts and charter schools. PERS acts as the common investment and administrative agent for the member agencies. The State and K-14 school districts (for "classified employees," which generally consist of school employees other than teachers) are required by law to participate in PERF. Employees participating in PERF generally become fully vested in their retirement benefits earned to date after five years of credited service. One of the plans operated by PERS is for K-14 school districts throughout the State (the "Schools Pool").

Contributions by employers to the Schools Pool are based upon an actuarial rate determined annually and contributions by plan members vary based upon their date of hire. Pursuant to SB 90, the State Legislature appropriated \$904 million to the Schools Pool, including transfers in fiscal years 2019-20 and 2020-21 to the Public Employees Retirement Fund to pay, in advance on behalf of K-14 school district employers, part of the contributions required for K-14 school district employers for such fiscal years, as well as additional amounts to be applied toward certain unfunded liabilities for K-14 school district employers. In June 2020, SB 90 was amended by Assembly Bill/Senate Bill 111 ("AB 84"). Under AB 84, \$144 million of the State contribution under SB 90 was deemed to satisfy a portion of the State's required contribution in fiscal year 2019-20, and the amounts previously allocated toward future liabilities were redirected such that, \$430 million will satisfy a portion of the employer contribution rate in fiscal year 2020-21, and \$330 million will satisfy a portion of the employer contribution rate in fiscal year 2021-22. As a result of the payments made by the State pursuant to SB 90, as amended by AB 84, the employer contribution rate was 19.721% for fiscal year 2019-20, 20.7% in fiscal year 2020-21, and will be 22.91% in fiscal year 2021-22. See also "DISTRICT FINANCIAL INFORMATION – State Budget Measures" herein. Participants enrolled in PERS prior to January 1, 2013 contribute at a rate established by statute, which is 7% of their respective salaries in fiscal year 2020-21 and will be 7% of such salaries in fiscal year 2021-22, while participants enrolled after January 1, 2013 contribute at an actuarially determined rate, which is 7% in fiscal year 2020-21 and will be 7% in fiscal year 2021-22. See "– California Public Employees' Pension Reform Act of 2013" herein.

The District's contributions to PERS was \$1,809,876, \$2,187,480, \$2,786,392 and \$3,097,825 in fiscal years 2016-17, 2017-18, 2018-19 and 2019-20, respectively. The District has budgeted \$3,239,412 for its contribution to PERS for fiscal year 2020-21.

State Pension Trusts. Each of STRS and PERS issues a separate comprehensive financial report that includes financial statements and required supplemental information. Copies of such financial reports may be obtained from each of STRS and PERS as follows: (i) STRS, P.O. Box 15275, Sacramento, California 95851-0275; (ii) PERS, P.O. Box 942703, Sacramento, California 94229-2703. Moreover, each of STRS and PERS maintains a website, as follows: (i) STRS: www.calstrs.com; (ii) PERS: www.calpers.ca.gov. However, the information presented in such financial reports or on such websites is not incorporated into this Official Statement by any reference.

Both STRS and PERS have substantial statewide unfunded liabilities. The amount of these unfunded liabilities will vary depending on actuarial assumptions, returns on investments, salary scales and participant contributions. The table on the following page summarizes information regarding the actuarially-determined accrued liability for both STRS and PERS. Actuarial assessments are “forward-looking” information that reflect the judgment of the fiduciaries of the pension plans, and are based upon a variety of assumptions, one or more of which may not materialize or be changed in the future. Actuarial assessments will change with the future experience of the pension plans.

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FUNDED STATUS
STRS (Defined Benefit Program) and PERS (Schools Pool)
(Dollar Amounts in Millions)⁽¹⁾
Fiscal Years 2010-11 through 2019-20

<u>STRS</u>					
<u>Fiscal Year</u>	<u>Accrued Liability</u>	<u>Value of Trust Assets (MVA)⁽²⁾</u>	<u>Unfunded Liability (MVA)⁽²⁾</u>	<u>Value of Trust Assets (AVA)⁽³⁾</u>	<u>Unfunded Liability (AVA)⁽³⁾</u>
2010-11	\$208,405	\$147,140	\$68,365	\$143,930	\$64,475
2011-12	215,189	143,118	80,354	144,232	70,957
2012-13	222,281	157,176	74,374	148,614	73,667
2013-14	231,213	179,749	61,807	158,495	72,718
2014-15	241,753	180,633	72,626	165,553	76,200
2015-16	266,704	177,914	101,586	169,976	96,728
2016-17	286,950	197,718	103,468	179,689	107,261
2017-18	297,603	211,367	101,992	190,451	107,152
2018-19	310,719	225,466	102,636	205,016	105,703

<u>PERS</u>					
<u>Fiscal Year</u>	<u>Accrued Liability</u>	<u>Value of Trust Assets (MVA)</u>	<u>Unfunded Liability (MVA)</u>	<u>Value of Trust Assets (AVA)⁽³⁾</u>	<u>Unfunded Liability (AVA)⁽³⁾</u>
2010-11	\$58,358	\$45,901	\$12,457	\$51,547	\$6,811
2011-12	59,439	44,854	14,585	53,791	5,648
2012-13	61,487	49,482	12,005	56,250	5,237
2013-14	65,600	56,838	8,761	-- ⁽⁴⁾	-- ⁽⁴⁾
2014-15	73,325	56,814	16,511	-- ⁽⁴⁾	-- ⁽⁴⁾
2015-16	77,544	55,785	21,759	-- ⁽⁴⁾	-- ⁽⁴⁾
2016-17	84,416	60,865	23,551	-- ⁽⁴⁾	-- ⁽⁴⁾
2017-18	92,071	64,846	27,225	-- ⁽⁴⁾	-- ⁽⁴⁾
2018-19	99,528	68,177	31,351	-- ⁽⁴⁾	-- ⁽⁴⁾
2019-20 ⁽⁵⁾	104,062	71,400	32,662	-- ⁽⁴⁾	-- ⁽⁴⁾

⁽¹⁾ Amounts may not add due to rounding.

⁽²⁾ Reflects market value of assets, including the assets allocated to the SBPA reserve. Since the benefits provided through the SBPA are not a part of the projected benefits included in the actuarial valuations summarized above, the SBPA reserve is subtracted from the STRS Defined Benefit Program assets to arrive at the value of assets available to support benefits included in the respective actuarial valuations.

⁽³⁾ Reflects actuarial value of assets.

⁽⁴⁾ Effective for the June 30, 2014 actuarial valuation, PERS no longer uses an actuarial value of assets.

⁽⁵⁾ On April 19, 2021, the PERS Board (defined below) approved the K-14 school district contribution rate for fiscal year 2021-22 and released certain actuarial information to be incorporated into the June 30, 2020 actuarial valuation to be released in the latter half of 2021. For fiscal year 2021-22, the impact of the additional \$330 million State contribution made pursuant to AB 84 is directly reflected in the actuarially determined contribution for the first time, because the additional payment was in the Schools Pool as of the June 30, 2020 actuarial valuation date, which served to reduce the required employer contribution rate by 2.16% of payroll.

Source: PERS Schools Pool Actuarial Valuation; STRS Defined Benefit Program Actuarial Valuation.

The STRS Board has sole authority to determine the actuarial assumptions and methods used for the valuation of the STRS Defined Benefit Program. Based on the multi-year CalSTRS Experience Analysis (spanning from July 1, 2010, through June 30, 2015) (the “2017 Experience Analysis”), on February 1, 2017, the STRS Board adopted a new set of actuarial assumptions that reflect member’s increasing life expectancies and current economic trends. These new assumptions were first reflected in the STRS Defined Benefit Program Actuarial Valuation, as of June 30, 2016 (the “2016 STRS Actuarial Valuation”). The new actuarial assumptions include, but are not limited to: (i) adopting a generational

mortality methodology to reflect past improvements in life expectancies and provide a more dynamic assessment of future life spans, (ii) decreasing the investment rate of return (net of investment and administrative expenses) to 7.25% for the 2016 STRS Actuarial Valuation and 7.00% for the June 30, 2017 actuarial evaluation (the “2017 STRS Actuarial Valuation”), and (iii) decreasing the projected wage growth to 3.50% and the projected inflation rate to 2.75%.

Based on the multi-year CalSTRS Experience Analysis (spanning from July 1, 2015, through June 30, 2018) (the “2020 Experience Analysis”), on January 31, 2020, the STRS Board adopted a new set of actuarial assumptions that were first reflected in the STRS Defined Benefit Program Actuarial Valuation, as of June 30, 2019 (the “2019 STRS Actuarial Valuation”). While no changes were made to the actuarial assumptions discussed above, which were established as a result of the 2017 Experience Analysis, certain demographic changes were made, including: (i) lowering the termination rates to reflect a continued trend of lower than expected teachers leaving their employment prior to retirement, and (ii) adopting changes to the retirement rates for both employees hire before the Implementation Date and after the Implementation Date to better reflect the anticipated impact of years of service on retirements. The 2019 STRS Actuarial Valuation continues using the Entry Age Normal Actuarial Cost Method.

Based on salary increases less than assumed, additional State contributions, and actuarial asset gains recognized from the current and prior years, the 2019 STRS Actuarial Valuation reports that the unfunded actuarial obligation decreased by \$1.5 billion since the 2018 STRS Actuarial Valuation and the funded ratio increased by 2.0% to 66.0% over such time period.

According to the 2019 STRS Actuarial Valuation, the future revenues from contributions and appropriations for the STRS Defined Benefit Program are projected to be approximately sufficient to finance its obligations with a projected ending funded ratio in fiscal year ending June 30, 2046 of 99.9%, except for a small portion of the unfunded actuarial obligation related to service accrued on or after July 1, 2014 for member benefits adopted after 1990, for which AB 1469 provides no authority to the STRS Board to adjust rates to pay down that portion of the unfunded actuarial obligation. This finding reflects the scheduled contribution rate increases directed by statute, assumes additional increases in the scheduled contribution rates allowed under the current law will be made, and is based on the valuation assumptions and valuation policy adopted by the STRS Board, including a 7.00% investment rate of return assumption and includes the \$1.117 billion State contribution made in July 2019 pursuant to SB 90.

The actuary for the STRS Defined Benefit Program notes in the 2019 STRS Actuarial Report that, since such report is dated as of June 30, 2019, the significant declines in the investment markets that have occurred in the first half the 2020 calendar year are not directly reflected in the 2019 STRS Actuarial Report. The actuary notes that such declines will almost certainly impact the future of the STRS Defined Benefit Program funding, and that, all things being equal, it is expected that the actuarial valuation for the fiscal year ending June 30, 2020 will show a greater increase in the projected State contribution rate (and possibly the employer rate) and a possible decline in the funded ratio. See “DISTRICT FINANCIAL INFORMATION – Considerations Regarding COVID-19” herein.

In recent years, the PERS Board of Administration (the “PERS Board”) has taken several steps, as described below, intended to reduce the amount of the unfunded accrued actuarial liability of its plans, including the Schools Pool.

On March 14, 2012, the PERS Board voted to lower the PERS’ rate of expected price inflation and its investment rate of return (net of administrative expenses) (the “PERS Discount Rate”) from 7.75% to 7.5%. On February 18, 2014, the PERS Board voted to keep the PERS Discount Rate unchanged at 7.5%. On November 17, 2015, the PERS Board approved a new funding risk mitigation policy to incrementally lower the PERS Discount Rate by establishing a mechanism whereby such rate is reduced

by a minimum of 0.05% to a maximum of 0.25% in years when investment returns outperform the existing PERS Discount Rate by at least four percentage points. On December 21, 2016, the PERS Board voted to lower the PERS Discount Rate to 7.0% over a three year phase-in period in accordance with the following schedule: 7.375% for the June 30, 2017 actuarial valuation, 7.25% for the June 30, 2018 actuarial valuation and 7.00% for the June 30, 2019 actuarial valuation. The new discount rate went into effect July 1, 2017 for the State and July 1, 2018 for K-14 school districts and other public agencies. Lowering the PERS Discount Rate means employers that contract with PERS to administer their pension plans will see increases in their normal costs and unfunded actuarial liabilities. Active members hired after January 1, 2013, under the Reform Act (defined below) will also see their contribution rates rise.

On April 17, 2013, the PERS Board approved new actuarial policies aimed at returning PERS to fully-funded status within 30 years. The policies include a rate smoothing method with a 30-year fixed amortization period for gains and losses, a five-year increase of public agency contribution rates, including the contribution rate at the onset of such amortization period, and a five year reduction of public agency contribution rates at the end of such amortization period. The new actuarial policies were first included in the June 30, 2014 actuarial valuation and were implemented with respect to the State, K-14 school districts and all other public agencies in fiscal year 2015-16.

Also, on February 20, 2014, the PERS Board approved new demographic assumptions reflecting (i) expected longer life spans of public agency employees and related increases in costs for the PERS system and (ii) trends of higher rates of retirement for certain public agency employee classes, including police officers and firefighters. The new actuarial assumptions were first reflected in the Schools Pool in the June 30, 2015 actuarial valuation. The increase in liability due to the new assumptions will be amortized over 20 years with increases phased in over five years, beginning with the contribution requirement for fiscal year 2016-17. The new demographic assumptions affect the State, K-14 school districts and all other public agencies.

The PERS Board is required to undertake an experience study every four years under its Actuarial Assumptions Policy and State law. As a result of the most recent experience study, on December 20, 2017, the PERS Board approved new actuarial assumptions, including (i) lowering the inflation rate to 2.625% for the June 30, 2018 actuarial valuation and to 2.50% for the June 30, 2019 actuarial valuation, (ii) lowering the payroll growth rate to 2.875% for the June 30, 2018 actuarial valuation and 2.75% for the June 30, 2019 actuarial valuation, and (iii) certain changes to demographic assumptions relating to the salary scale for most constituent groups, and modifications to the mortality, retirement, and disability retirement rates.

On February 14, 2018, the PERS Board approved a new actuarial amortization policy with an effective date for actuarial valuations beginning on or after June 30, 2019, which includes (i) shortening the period over which actuarial gains and losses are amortized from 30 years to 20 years, (ii) requiring that amortization payments for all unfunded accrued liability bases established after the effective date be computed to remain a level dollar amount throughout the amortization period, (iii) removing the 5-year ramp-up and ramp-down on unfunded accrued liability bases attributable to assumptions changes and non-investment gains/losses established on or after the effective date and (iv) removing the 5-year ramp-down on investment gains/losses established after the effective date. While PERS expects that reducing the amortization period for certain sources of unfunded liability will increase future average funding ratios, provide faster recovery of funded status following market downturns, decrease expected cumulative contributions, and mitigate concerns over intergenerational equity, such changes may result in increases in future employer contribution rates.

On April 19, 2021, the PERS Board established the employer contribution rates for 2020-21 and released certain information from the Schools Pool Actuarial Valuation as of June 30, 2020, ahead of its

release date in the latter half of 2021. From June 30, 2019 to June 30, 2020 the funded status for the Schools Pool increased by 0.1% (from 68.5% to 68.6%); primarily due to the additional State contribution in July 2019 offset by the lower than expected investment return in fiscal year 2019-20. The return on assets for the year ending June 30, 2020 was approximately 4.7%, reduced for administrative expenses, which was lower than the assumed return of 7.0%, leading to an investment experience loss. PERS attributes the slight decline in the funded status over the last five years to investment losses in excess of investment gains, adoption of new assumptions, both demographic and economic (particularly the lowering of the discount rate from 7.5% to 7.0%), and negative amortization. Assuming all actuarial assumptions are realized, including investment return of 7% in fiscal year 2020-21, that no changes to assumptions, methods of benefits will occur during the projection period, along with the expected reductions in normal cost due to the continuing transition of active members from those employees hired prior to the Implementation Date (defined below), to those hired after such date, the projected contribution rate for 2022-23 is projected to be 26.1%, with annual increases in most years thereafter, resulting in a projected 27.6% employer contribution rate for fiscal year 2026-27.

The District can make no representations regarding the future program liabilities of STRS, or whether the District will be required to make additional contributions to STRS in the future above those amounts required under AB 1469. The District can also provide no assurances that the District's required contributions to PERS will not increase in the future.

California Public Employees' Pension Reform Act of 2013. On September 12, 2012, the Governor signed into law the California Public Employees' Pension Reform Act of 2013 (the "Reform Act"), which makes changes to both STRS and PERS, most substantially affecting new employees hired after January 1, 2013 (the "Implementation Date"). For STRS participants hired after the Implementation Date, the Reform Act changes the normal retirement age by increasing the eligibility for the 2% age factor (the age factor is the percent of final compensation to which an employee is entitled to for each year of service) from age 60 to 62 and increasing the eligibility of the maximum age factor of 2.4% from age 63 to 65. Similarly, for non-safety PERS participants hired after the Implementation Date, the Reform Act changes the normal retirement age by increasing the eligibility for the 2% age factor from age 55 to 62 and increases the eligibility requirement for the maximum age factor of 2.5% to age 67. Among the other changes to PERS and STRS, the Reform Act also: (i) requires all new participants enrolled in PERS and STRS after the Implementation Date to contribute at least 50% of the total annual normal cost of their pension benefit each year as determined by an actuary, (ii) requires STRS and PERS to determine the final compensation amount for employees based upon the highest annual compensation earnable averaged over a consecutive 36-month period as the basis for calculating retirement benefits for new participants enrolled after the Implementation Date (previously 12 months for STRS members who retire with 25 years of service), and (iii) caps "pensionable compensation" for new participants enrolled after the Implementation Date at 100% of the federal Social Security contribution (to be adjusted annually based on changes to the Consumer Price Index for all Urban Consumers) and benefit base for members participating in Social Security or 120% for members not participating in social security (to be adjusted annually based on changes to the Consumer Price Index for all Urban Consumers), while excluding previously allowed forms of compensation under the formula such as payments for unused vacation, annual leave, personal leave, sick leave, or compensatory time off.

GASB Statement Nos. 67 and 68. On June 25, 2012, the Governmental Accounting Standards Board ("GASB") approved Statements Nos. 67 and 68 ("Statements") with respect to pension accounting and financial reporting standards for state and local governments and pension plans. The new Statements, No. 67 and No. 68, replace GASB Statement No. 27 and most of Statements No. 25 and No. 50. The changes impact the accounting treatment of pension plans in which state and local governments participate. Major changes include: (1) the inclusion of unfunded pension liabilities on the government's balance sheet (currently, such unfunded liabilities are typically included as notes to the government's

financial statements); (2) more components of full pension costs being shown as expenses regardless of actual contribution levels; (3) lower actuarial discount rates being required to be used for underfunded plans in certain cases for purposes of the financial statements; (4) closed amortization periods for unfunded liabilities being required to be used for certain purposes of the financial statements; and (5) the difference between expected and actual investment returns being recognized over a closed five-year smoothing period. In addition, according to GASB, Statement No. 68 means that, for pensions within the scope of the Statement, a cost-sharing employer that does not have a special funding situation is required to recognize a net pension liability, deferred outflows of resources, deferred inflows of resources related to pensions and pension expense based on its proportionate share of the net pension liability for benefits provided through the pension plan. Because the accounting standards do not require changes in funding policies, the full extent of the effect of the new standards on the District is not known at this time. The reporting requirements for pension plans took effect for the fiscal year beginning July 1, 2013 and the reporting requirements for government employers, including the District, took effect for the fiscal year beginning July 1, 2014.

For fiscal year ending June 30, 2020, the District's proportionate share of the net STRS pension liability was \$91,277,565. As of such date, the District's proportionate share of the net PERS pension liability was \$31,819,313. See also "APPENDIX B – 2019-20 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT – Note 11" attached hereto for more information.

Other Post-Employment Benefits

Benefits Plan. The District provides certain post-employment benefits through a single-employer defined benefit health care plan (the "Plan"). The Plan provides medical benefits to eligible retirees and their eligible dependents to age 65 (the "Post-Employment Benefits"). Eligibility for Post-Employment Benefits requires retirement from the District with at least 10 years of eligible service (15 years for classified employees and certificated employees hired after November 1, 2008). The retirees are required to contribute to the cost of the health care coverage based on an active employee contribution schedule. As of July 1, 2020, membership in the Plan consisted of 978 eligible active employees and 167 eligible retirees. See "APPENDIX B – 2019-20 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT – Note 10 – Other Postemployment Benefits" attached hereto.

Funding Policy. The District currently funds the Plan on a "pay-as-you-go" basis to cover the cost of premiums for current retirees. During fiscal years, 2016-17, 2017-18, 2018-19 and 2019-20 the District recognized \$1,162,784, \$984,268, \$1,024,539 and \$1,083,755 of expenditures for the Benefits, respectively, all of which were used for current premiums. For fiscal year 2020-21, the District has projected expenditures of \$1,028,000 for the Benefits, all of which are expected to be used for current premiums.

Accrued Liability. The District has implemented *Governmental Accounting Standards Board Statement #74, Financial Reporting for Postemployment Benefit Plans Other Than Pensions* ("GASB Statement No. 74") and *Governmental Accounting Standards Board Statement #75, Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions* ("GASB Statement No. 75"), pursuant to which the District has commissioned and received an actuarial study of its liability with respect to the Program benefits. GASB Statements No. 74 and No. 75 (discussed below) require biennial actuarial valuations for all plans. The most recent actuarial study was dated June 30, 2020 (the "Study"). The Study concluded that, as of a June 30, 2020 measurement date, the Total OPEB Liability (the "TOL") with respect to such Program benefits, was \$35,604,116. Because the District does not maintain a qualifying irrevocable trust, the District's Net OPEB Liability (the "NOL") is equal to the TOL.

GASB Statement Nos. 74 and 75. On June 2, 2015, GASB Statement No. 74 and GASB Statement No. 75 with respect to pension accounting and financial reporting standards for public sector post-retirement benefit programs and the employers that sponsor them. GASB Statement No. 74 replaces GASB Statements No. 43 and 57 and GASB Statement No. 75 replaces GASB Statement No. 45.

Most of GASB Statement No. 74 applies to plans administered through trusts, in which contributions are irrevocable, trust assets are dedicated to providing other post-employment benefits to plan members, and trust assets are legally protected from creditors. GASB Statements No. 74 and No. 75 will require a liability for OPEB obligations, known as the NOL, to be recognized on the balance sheet of the plan and the participating employer's financial statements. In addition, an OPEB expense (service cost plus interest on total OPEB liability plus current-period benefit changes minus member contributions minus assumed earning on plan investments plus administrative expenses plus recognition of deferred outflows minus recognition of deferred inflows) will be recognized in the income statement of the participating employers. In the notes to its financial statements, employers providing other post-employment benefits will also have to include information regarding the year-to-year change in the NOL and a sensitivity analysis of the NOL to changes in the discount rate and healthcare trend rate. The required supplementary information will also be required to show a 10-year schedule of the plan's net OPEB liability reconciliation and related ratios, and any actuarially determined contributions and investment returns.

Under GASB Statement No. 74, the measurement date must be the same as the plan's fiscal year end, but the actuarial valuation date may be any date up to 24 months prior to the measurement date. For the Total OPEB Liability (the "TOL"), if the valuation date is before the measurement date, the results must be projected forward from the valuation date to the measurement date using standard actuarial roll-forward techniques. For plans that are unfunded or have assets insufficient to cover the projected benefit payments, a discount rate reflecting a 20-year tax-exempt municipal bond yield or index rate must be used. For plans with assets that meet the GASB Statement No. 74 requirements, a projection of the benefit payments and future Fiduciary Net Position (the "FNP") is performed based on the funding policy and assumptions of the plan, along with the methodology specified in GASB.

GASB Statement No. 74 has an effective date for plan fiscal years beginning after June 15, 2016 and GASB Statement No. 75 is effective for employer fiscal years beginning after June 15, 2017. The District has recognized GASB Statement No. 74 and GASB Statement No. 75 in their financial statements for fiscal year 2019-20. See "APPENDIX B – 2019-20 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT" attached hereto. The full extent of the effect of the new standards on the District is not known at this time.

Risk Management

The District is exposed to various loss related to torts, theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. The District is insured for property, liability, and workers compensation through the San Diego County and Imperial County Schools Risk Management Joint Powers Authority. The District has a self-insurance fund (the "Internal Service Fund") to account for and finance its uninsured risks of loss. The Internal Service Fund provides dental and vision coverage to employees.

All funds of the District participate in the program, but only the general fund makes payments to the Self Insurance Fund based on actuarial estimates of the amounts needed to pay prior and current year claims and to establish a liability for open claims and Incurred But Not Reported ("IBNR") claims. The claims and liability of \$149,394 is included in the liabilities under accounts payable and is reported in accordance with Financial Accounting Standards Board Statement No. 10, which requires that a liability

for claims be reported if information prior to the issuance of the financial statements indicates that it is probable that a liability has been incurred at the date of the financial statements and the amount of the loss can be reasonably estimated at the end of the fiscal year. Changes in the Internal Service Fund's claim liability in the fiscal year ended June 30, 2020 are indicated below.

	Beginning Fiscal Year	Current Year Claims and Changes in		Ending Fiscal Year
Internal Service Fund:	<u>Liability</u>	<u>Estimates</u>	<u>Claim</u>	<u>Liability</u>
Fiscal Year 2019-20	\$184,327	\$(946,708)	<u>Payments</u>	\$149,394
			\$911,775	

See also "APPENDIX B – 2019-20 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT – Note 13" attached hereto.

Joint Powers Agreements

The District participates in one joint power agreement ("JPA") entity, the San Diego County Schools Risk Management ("SDCSRM"). The relationship between the District and the JPA is such that the JPA is not a component unit of the District.

SDCSRM arranges for and provides various types of insurances for its member districts as requested. SDCSRM is governed by a board consisting of a representative from each member district. The board controls the operations of the JPA, including selection of management and approval of operating budgets, independent of any influence by the member districts beyond their representation on the board. Each member pays a premium commensurate with the level of coverage requested and shares surpluses and deficits proportionate to their participation in the JPA. For more information, see "APPENDIX B – 2019-20 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT – Note 14" attached hereto.

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District Debt Structure

Long-Term Debt. A schedule of changes in long-term debt for the year ended June 30, 2020, is shown below:

	Beginning Balance July 1, 2019	Restatement	Increases	Decreases	Ending Balance June 30, 2020
General Obligation (GO) Bonds					
Bond Principal	\$262,390,230	\$28,548,450	--	\$2,899,018	\$288,039,662
Bond Premiums	20,669,665	1,481,728	--	1,754,918	20,396,475
Bond Accreted Interest	<u>28,700,111</u>	<u>22,751,550</u>	<u>\$4,020,282</u>	<u>2,155,982</u>	<u>53,315,961</u>
Total GO Bonds	311,760,006	52,781,728	4,020,282	6,809,918	361,752,098
Certificates of Participation (COPs)					
COPs Principal	38,540,000	--	--	1,640,000	36,900,000
COPs Premium	<u>5,367,159</u>	--	--	<u>298,175</u>	<u>5,068,984</u>
Total COPs	43,907,159	--	--	1,938,175	41,968,984
Capital Leases	3,775,000	--	--	375,000	3,400,000
Special Tax Bonds	1,430,000	--	--	105,000	1,325,000
Compensated Absences	354,077	--	190,141	--	544,218
Net Pension Liability	111,815,993	--	--	687,523	35,604,116
Total OPEB Obligation	<u>36,291,639</u>	--	--	--	<u>123,096,878</u>
Total Governmental Activities	<u>\$509,333,874</u>	<u>\$52,781,728</u>	<u>\$15,491,308</u>	<u>\$9,915,616</u>	<u>\$567,691,294</u>

Source: Carlsbad Unified School District.

General Obligation Bonds. The District has issued general obligation bonds pursuant to several voter-approved authorizations. The proceeds of such bonds have been used to acquire, construct and equip District sites and facilities. The District has also issued several series of general obligation refunding bonds to refinance portions of its outstanding bonded indebtedness. The District does not have any meaningful amount of unauthorized bonds under the two separate voter-approved authorizations.

The following table summarizes the outstanding general obligation bond issuances by the District (not including the Bonds) as of June 30, 2020.

<u>Issuance</u>	<u>Initial Principal Amount</u>	<u>Principal Outstanding</u>	<u>Date of Delivery</u>
1997 Election, Series A	\$26,498,696	\$4,661,346	10/03/1997
2006 Election, Series A ⁽¹⁾	40,000,000	0	08/29/2007
2006 Election, Series B	79,998,017	3,413,807	05/29/2009
2006 Election, Series C	52,998,238	36,342,848	06/07/2011
2006 Election, Series D	25,000,000	25,000,000	06/07/2011
2014 Refunding Bonds ⁽²⁾	16,495,000	15,940,000	05/14/2014
2016 Refunding Bonds ⁽³⁾	38,305,000	38,005,000	02/25/2016
2017A Refunding Bonds ⁽⁴⁾	49,990,000	49,990,000	11/08/2017
2017B Refunding Bonds ⁽⁵⁾	10,100,000	10,100,000	11/08/2017
2018 Election, Series A	84,995,000	84,995,000	06/27/2019

⁽¹⁾ 2006 Election, Series A Bonds redeemed on August 1, 2017, and no longer outstanding.

⁽²⁾ Issued for the purpose of refunding a portion of the then-outstanding 2006 Series A Bonds.

⁽³⁾ Issued for the purpose of refunding a portion of the then-outstanding 2006 Series A Bonds and 2006 Series B Bonds.

⁽⁴⁾ Issued for the purpose of refunding on a crossover basis, a portion of the then-outstanding 2006 Series B Bonds.

⁽⁵⁾ Issued for the purpose of refunding a portion of the then-outstanding 2006 Series C Bonds.

Source: Carlsbad Unified School District.

The following table displays the total annual debt service requirements of the District for all its outstanding general obligation bonded debt (and assuming no optional redemptions):

OUTSTANDING GENERAL OBLIGATION BONDED INDEBTEDNESS
Carlsbad Unified School District

Year Ending (August 1)	1997 Election Series A Bonds	2006 Election Series B Bonds⁽¹⁾	2006 Election Series C Bonds	2006 Election Series D Bonds⁽²⁾	2014 Refunding Bonds	2016 Refunding Bonds	2017A Refunding Bonds	2017B Refunding Bonds	2018 Election Series A Bonds	The Bonds	Total Annual Debt Service
2021	\$3,255,000.00	\$3,078,000.00	\$1,669,500.00	\$13,727,250.00	\$1,933,850.00	\$4,380,050.00	\$2,119,400.00	\$455,000.00	\$8,155,237.50	\$219,879.44	\$38,993,166.94
2022	3,320,000.00	3,078,000.00	1,368,018.76	654,250.00	1,930,350.00	4,549,050.00	2,119,400.00	1,140,000.00	8,514,737.50	2,473,643.76	29,147,450.02
2023	--	3,078,000.00	1,368,018.76	654,250.00	1,938,350.00	4,717,800.00	2,119,400.00	1,692,600.00	2,387,737.50	8,228,643.76	26,184,800.02
2024	--	3,078,000.00	1,368,018.76	654,250.00	1,933,350.00	4,890,550.00	2,119,400.00	2,277,000.00	2,396,987.50	6,833,543.76	25,551,100.02
2025	--	3,078,000.00	1,368,018.76	654,250.00	1,934,100.00	5,071,300.00	2,194,400.00	2,911,000.00	2,465,237.50	2,269,043.76	21,945,350.02
2026	--	3,078,000.00	1,368,018.76	13,154,250.00	1,931,000.00	5,248,800.00	2,190,650.00	3,580,500.00	2,734,487.50	2,269,043.76	35,554,750.02
2027	--	3,078,000.00	7,554,343.76	--	1,936,400.00	5,442,300.00	2,191,900.00	--	2,734,487.50	2,269,043.76	25,206,475.02
2028	--	8,633,000.00	8,302,750.00	--	--	2,090,050.00	7,747,900.00	--	2,817,987.50	3,109,043.76	32,700,731.26
2029	--	8,824,700.00	9,086,031.26	--	--	2,088,300.00	7,935,900.00	--	3,010,737.50	3,202,243.76	34,147,912.52
2030	--	9,024,900.00	9,908,675.00	--	--	2,092,300.00	8,140,400.00	--	3,051,987.50	3,368,243.76	35,586,506.26
2031	--	9,231,200.00	10,784,556.26	--	--	2,089,850.00	8,345,600.00	--	3,254,387.50	3,469,193.76	37,174,787.52
2032	--	9,436,200.00	11,711,325.00	--	--	2,085,750.00	8,552,000.00	--	3,391,987.50	3,601,093.76	38,778,356.26
2033	--	9,647,800.00	15,296,325.00	--	--	--	8,763,800.00	--	3,536,987.50	3,742,893.76	40,987,806.26
2034	--	9,863,300.00	16,328,706.26	--	--	--	8,970,000.00	--	3,683,787.50	3,884,143.76	42,729,937.52
2035	--	--	23,409,518.76	--	--	--	--	--	3,786,987.50	4,064,693.76	31,261,200.02
2036	--	--	--	--	--	--	--	--	3,978,987.50	4,203,193.76	8,182,181.26
2037	--	--	--	--	--	--	--	--	4,138,337.50	4,375,693.76	8,514,031.26
2038	--	--	--	--	--	--	--	--	4,305,787.50	4,545,993.76	8,851,781.26
2039	--	--	--	--	--	--	--	--	4,475,887.50	4,733,943.76	9,209,831.26
2040	--	--	--	--	--	--	--	--	4,658,337.50	4,918,793.76	9,577,131.26
2041	--	--	--	--	--	--	--	--	4,842,537.50	5,115,393.76	9,957,931.26
2042	--	--	--	--	--	--	--	--	5,038,187.50	5,323,143.76	10,361,331.26
2043	--	--	--	--	--	--	--	--	5,239,687.50	5,536,443.76	10,776,131.26
2044	--	--	--	--	--	--	--	--	5,446,250.00	5,754,843.76	11,201,093.76
2045	--	--	--	--	--	--	--	--	5,672,187.50	5,982,893.76	11,655,081.26
2046	--	--	--	--	--	--	--	--	5,886,562.50	6,224,993.76	12,111,556.26
2047	--	--	--	--	--	--	--	--	6,064,375.00	6,505,393.76	12,569,768.76
2048	--	--	--	--	--	--	--	--	6,316,406.26	6,758,593.76	13,075,000.02
2049	--	--	--	--	--	--	--	--	--	9,887,531.26	9,887,531.26
2050	--	--	--	--	--	--	--	--	--	<u>10,288,687.50</u>	<u>10,288,687.50</u>
Total	<u>\$6,575,000.00</u>	<u>\$86,207,100.00</u>	<u>\$120,891,825.10</u>	<u>\$29,498,500.00</u>	<u>\$13,537,400.00</u>	<u>\$44,746,100.00</u>	<u>\$73,510,150.00</u>	<u>\$12,056,100.00</u>	<u>\$121,987,293.76</u>	<u>\$143,159,929.72</u>	<u>\$652,169,398.58</u>

⁽¹⁾ Debt service on the 2006 Series B Bonds is based on the year ending on May 1. [Footnote continued on following page.]

- (2) Reflects gross debt service on the District's Election of 2006 General Obligation Bonds, Series D, which were designated as federally-taxable "Qualified School Construction Bonds" pursuant to an irrevocable election by the District to have Section 6431(f)(3)(B) of the Internal Revenue Code apply thereto. As a result, the District expects to receive, on or about each interest payment date, a cash subsidy (the "Subsidy Payment") from the United States Treasury (the "Treasury") equal to the lesser of (a) the interest payable on such 2006 Series D Bonds or (b) the amount of interest that would have been payable on each such interest payment date if such interest were determined at a federally-determined tax credit rate on the date of the sale of the Series 2006 Series D Bonds. The cash payment does not constitute a full faith and credit guarantee of the United States Government, but is required to be paid by the Treasury under the American Recovery and Reinvestment Act of 2009 (the "Recovery Act"). The Subsidy Payments are subject to reduction (the "Sequestration Reduction") pursuant to the federal Balanced Budget and Emergency Deficit Control Act of 1985, as amended, which currently includes provisions reducing the Subsidy Payments by 6.2% through the end of the current federal fiscal year (September 30, 2019). In the absence of action by the U.S. Congress, the rate of the Sequestration Reduction is subject to change in the following federal fiscal year. The District cannot predict whether or how subsequent sequestration actions may affect Subsidy Payments currently scheduled for receipt in future federal fiscal years. However, notwithstanding any such reduction, the County Board of Supervisors is empowered and obligated to levy *ad valorem* property taxes in an amount sufficient to pay the principal of and interest on the 2006 Series D Bonds. The County will deposit any cash subsidy payments received into a debt service fund for such bonds.

Mello-Roos Community Facilities Districts. In 1989, the District established its Community Facilities District No. 1 ("CFD No. 1") pursuant to the Mello-Roos Community Facilities Act of 1982 (the "Mello-Roos Act"), to finance school facilities and related school improvements within the Aviara Residential Community and on other sites within the District. CFD No. 1 is located within the District in the southern portion of the City of Carlsbad. The qualified electors of CFD No. 1, by a two-thirds affirmative vote, approved a rate and method of apportionment of an annual special tax on residential and commercial property in CFD No. 1 (the "CFD No. 1 RMA") and the issuance of not-to-exceed \$14,000,000 in bonded indebtedness.

On April 11, 1990, the District issued its Carlsbad Unified School District Community Facilities District No. 1 (Aviara), Special Tax Bonds, Series 1990 in the aggregate principal amount of \$12,175,000 ("Series 1990 CFD Bonds") to provide funds to pay costs of the acquisition and construction of certain school facilities. On July 7, 1998, the District issued its 1998 Special Tax Refunding Bonds (CFD No. 1) in the aggregate principal amount of \$12,460,000 (the "1998 Refunding CFD Bonds") in order to advance refund the outstanding Series 1990 CFD Bonds. The 1998 Refunding CFD Bonds have fully matured and are no longer outstanding.

In 1994, the District established its Community Facilities District No. 3 ("CFD No. 3") pursuant to the Mello-Roos Act, to finance school facilities and related school improvements within the District. CFD No. 3 is comprised of several non-contiguous properties in the District, the largest portion of which is located in the northeastern portion of the City of Carlsbad. The qualified electors of CFD No. 3, by a two-thirds affirmative vote, approved a rate and method of apportionment of an annual special tax on residential and commercial property in CFD No. 3 and the issuance of not-to-exceed \$175,000,000 in bonded indebtedness. No bonds have been issued by the District on behalf of CFD No. 3.

The District receives approximately \$4.5 million each year from the special tax levied within CFD No. 3 and such proceeds are currently being used to offset lease payments due on the 2016 COPs (defined below) and 2013 Refunding Lease (defined below), however, such special tax revenues have not been pledged for the repayment of any of the obligations and no assurance can be given that special tax revenues will be received by the District in an amount sufficient to pay any portion of payments with respect to the 2016 COPs or payments under the 2013 Refunding Lease coming due or that the District will elect to use the proceeds from such special taxes for those purposes. See "– Certificates of Participation" and "– Lease Refinancing" below.

In 1998, the District established its Community Facilities District No. 4 ("CFD No. 4") pursuant to the Mello-Roos Act to provide funds to plan for, design, acquire, lease, expand, improve, rehabilitate and finance the costs of school and school facilities, real property or other tangible property within the boundaries of CFD No. 4. CFD No. 4, which is located in the City of Carlsbad and lies in the southern portion of the District. The qualified electors of CFD No. 4, by a two-thirds affirmative vote, approved a

rate and method of apportionment of an annual special tax on residential and commercial property in CFD No. 4. No bonds have been issued by the District on behalf of CFD No. 4.

In 2012, the District established its Community Facilities District No. 5 (“CFD No. 5”) pursuant to the Mello-Roos Act, to provide funds to design, acquire, construct, lease, expand, improve, rehabilitate and finance any elementary school, middle school, or high school needed by the District to serve the student population generated as a result of the development of property within CFD No. 5. The qualified electors of CFD No. 5, by a two-thirds affirmative vote, approved a rate and method of apportionment of an annual special tax on residential and commercial property in CFD No. 5 and the issuance of not-to-exceed \$60,000,000 in bonded indebtedness. No bonds have been issued by the District on behalf of CFD No. 5.

On June 18, 2014, the District issued its Community Facilities District No. 1 of the Carlsbad Unified School District Special Tax Bonds, Series 2014 in the aggregate principal amount of \$1,825,000 (the “Series 2014 CFD Bonds”) for the purpose of financing certain school facilities. The Series 2014 CFD Bonds are payable from a special tax levied on all taxable parcels within CFD No. 1 pursuant to the CFD No. 1 RMA. The Series 2014 CFD Bonds are special obligations of CFD No. 1, payable solely from the net proceeds of the special tax levied within CFD No. 1. The District’s general fund is not a source of payment for the Series 2014 CFD Bonds. CFD No. 1 has covenanted to levy in each year an amount of special taxes at least equal to (i) any amounts necessary to fund specified administration costs of CFD No. 1, and (ii) 110% of the debt service coming due on all outstanding special tax bonds of CFD No. 1 in such year.

The following table shows the debt service on the Series 2014 CFD Bonds.

SERIES 2014 CFD BONDS ANNUAL DEBT SERVICE
Community Facilities District No. 1

<u>Year Ending (September 1)</u>	<u>Principal</u>	<u>Interest</u>	<u>Total Payment</u>
2021	\$115,000.00	\$44,347.50	\$159,347.50
2022	120,000.00	40,150.00	160,150.00
2023	125,000.00	35,770.00	160,770.00
2024	130,000.00	31,207.50	161,207.50
2025	135,000.00	26,462.50	161,462.50
2026	140,000.00	21,535.00	161,535.00
2027	145,000.00	16,425.00	161,425.00
2028	150,000.00	11,132.50	161,132.50
2029	<u>155,000.00</u>	<u>5,657.50</u>	<u>160,657.50</u>
Total	<u>\$1,215,000.00</u>	<u>\$232,687.50</u>	<u>\$1,447,687.50</u>

Source: Carlsbad Unified School District.

Lease Refinancing. On August 8, 2013, the District entered into a lease agreement with Capital One Public Funding, LLC in the aggregate principal amount of \$6,105,000 (the “2013 Refunding Lease”), the proceeds of which were used to currently refund certain of the District’s then-outstanding lease obligations. The following table summarizes future payment requirements of the District with respect to the 2013 Refunding Lease:

2013 REFUNDING LEASE SEMI-ANNUAL PAYMENTS
Carlsbad Unified School District

<u>Period</u> <u>Ending</u>	<u>Principal</u>	<u>Interest</u>	<u>Debt</u> <u>Service</u>
4/1/2021	--	\$42,210	\$42,210
10/1/2021	\$395,000	42,210	437,210
4/1/2022	--	36,680	36,680
10/1/2022	410,000	36,680	446,680
4/1/2023	--	30,940	30,940
10/1/2023	415,000	30,940	445,940
4/1/2024	--	25,130	25,130
10/1/2024	430,000	25,130	455,130
4/1/2025	--	19,110	19,110
10/1/2025	440,000	19,110	459,110
4/1/2026	--	12,950	12,950
10/1/2026	450,000	12,950	462,950
4/1/2027	<u>475,000</u>	<u>6,650</u>	<u>481,650</u>
Total	<u>\$3,015,000</u>	<u>\$340,690</u>	<u>\$3,355,690</u>

Source: Carlsbad Unified School District.

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Certificates of Participation. On November 10, 2016, the District executed and delivered the Certificates of Participation (2016 Refunding and Financing Projects) in an aggregate principal amount of \$41,805,000 (the “2016 COPs”), the net proceeds of which were used (i) prepay all of the District’s then-outstanding Certificates of Participation (Refunding Project) 2009 Series A (the “2009 COPs”), and (ii) finance improvements to District sites and facilities.

The following table shows future annual lease payment obligations of the District with respect to the 2016 COPs.

ANNUAL LEASE PAYMENTS – CERTIFICATES OF PARTICIPATION
Carlsbad Unified School District

<u>Year Ending</u> <u>(October 1)</u>	<u>Principal</u>	<u>Interest</u>	<u>Total Payment</u>
2021	\$1,810,000.00	\$1,532,968.76	\$3,342,968.76
2022	1,895,000.00	1,442,468.76	3,337,468.76
2023	2,000,000.00	1,347,718.76	3,347,718.76
2024	2,095,000.00	1,247,718.76	3,342,718.76
2025	2,205,000.00	1,142,968.76	3,347,968.76
2026	2,315,000.00	1,032,718.76	3,347,718.76
2027	2,425,000.00	916,968.76	3,341,968.76
2028	2,550,000.00	795,718.76	3,345,718.76
2029	2,680,000.00	668,218.76	3,348,218.76
2030	2,760,000.00	561,018.76	3,321,018.76
2031	2,790,000.00	450,618.76	3,240,618.76
2032	2,475,000.00	339,018.76	2,814,018.76
2033	2,310,000.00	240,018.76	2,550,018.76
2034	1,980,000.00	147,618.76	2,127,618.76
2035	1,550,000.00	88,218.76	1,638,218.76
2036	<u>1,335,000.00</u>	<u>41,718.76</u>	<u>1,376,718.76</u>
Total	<u>\$35,175,000.00</u>	<u>\$11,995,700.16</u>	<u>\$47,170,700.16</u>

Source: Carlsbad Unified School District.

TAX MATTERS

In the opinion of Bond Counsel, under existing statutes, regulations, rulings and judicial decisions, and assuming the accuracy of certain representations and compliance with certain covenants and requirements described herein, interest on the Bonds is excluded from gross income for federal income tax purposes, and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals. In the further opinion of Bond Counsel, interest on the Bonds is exempt from State personal income tax.

The excess of the stated redemption price at maturity of a Bond over the issue price of a Bond (the first price at which a substantial amount of the Bonds of a maturity is to be sold to the public) constitutes original issue discount. Original issue discount accrues under a constant yield method, and original issue discount will accrue to a Bond Owner before receipt of cash attributable to such excludable income. The amount of original issue discount deemed received by the Bond Owner will increase the Bond Owner’s basis in the applicable Bond. In the opinion of Bond Counsel, the amount of original issue discount that accrues to the owner of the Bond is excluded from gross income of such owner for federal income tax purposes and is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals. In the opinion of Bond Counsel, the amount of original issue discount that accrues to the Bond Owner of the Bonds is exempt from State personal income tax.

Bond Counsel's opinion as to the exclusion from gross income for federal income tax purposes of interest (and original issue discount) on the Bonds is based upon certain representations of fact and certifications made by the District and others and is subject to the condition that the District comply with all requirements of the Internal Revenue Code of 1986, as amended (the "Code"), that must be satisfied subsequent to the issuance of the Bonds to assure that interest (and original issue discount) on the Bonds will not become includable in gross income for federal income tax purposes. Failure to comply with such requirements of the Code might cause the interest (and original issue discount) on the Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the Bonds. The District has covenanted to comply with all such requirements.

The amount by which a Bond Owner's original basis for determining gain or loss on sale or exchange of the applicable Bond (generally, the purchase price) exceeds the amount payable on maturity (or on an earlier call date) constitutes amortizable Bond premium, which must be amortized under Section 171 of the Code; such amortizable Bond premium reduces the Bond Owner's basis in the applicable Bond (and the amount of tax-exempt interest received), and is not deductible for federal income tax purposes. The basis reduction as a result of the amortization of Bond premium may result in a Bond Owner realizing a taxable gain when a Bond is sold by the Owner for an amount equal to or less (under certain circumstances) than the original cost of the Bond to the Owner. Purchasers of the Bonds should consult their own tax advisors as to the treatment, computation and collateral consequences of amortizable bond premium.

The Internal Revenue Service (the "IRS") has initiated an expanded program for the auditing of tax-exempt bond issues, including both random and targeted audits. It is possible that the Bonds will be selected for audit by the IRS. It is also possible that the market value of the Bonds might be affected as a result of such an audit of the Bonds (or by an audit of similar bonds). No assurance can be given that in the course of an audit, as a result of an audit, or otherwise, Congress or the IRS might not change the Code (or interpretation thereof) subsequent to the issuance of the Bonds to the extent that it adversely affects the exclusion from gross income of interest (and original issue discount) on the Bonds or their market value.

SUBSEQUENT TO THE ISSUANCE OF THE BONDS THERE MIGHT BE FEDERAL, STATE, OR LOCAL STATUTORY CHANGES (OR JUDICIAL OR REGULATORY CHANGES TO OR INTERPRETATIONS OF FEDERAL, STATE, OR LOCAL LAW) THAT AFFECT THE FEDERAL, STATE, OR LOCAL TAX TREATMENT OF THE BONDS INCLUDING THE IMPOSITION OF ADDITIONAL FEDERAL INCOME OR STATE TAXES BEING IMPOSED ON OWNERS OF TAX-EXEMPT STATE OR LOCAL OBLIGATIONS, SUCH AS THE BONDS. THESE CHANGES COULD ADVERSELY AFFECT THE MARKET VALUE OR LIQUIDITY OF THE BONDS. NO ASSURANCE CAN BE GIVEN THAT SUBSEQUENT TO THE ISSUANCE OF THE BONDS STATUTORY CHANGES WILL NOT BE INTRODUCED OR ENACTED OR JUDICIAL OR REGULATORY INTERPRETATIONS WILL NOT OCCUR HAVING THE EFFECTS DESCRIBED ABOVE. BEFORE PURCHASING ANY OF THE BONDS, ALL POTENTIAL PURCHASERS SHOULD CONSULT THEIR TAX ADVISORS REGARDING POSSIBLE STATUTORY CHANGES OR JUDICIAL OR REGULATORY CHANGES OR INTERPRETATIONS, AND THEIR COLLATERAL TAX CONSEQUENCES RELATING TO THE BONDS.

Bond Counsel's opinions may be affected by actions taken (or not taken) or events occurring (or not occurring) after the date hereof. Bond Counsel has not undertaken to determine, or to inform any person, whether any such actions or events are taken or do occur. The Resolution and the Tax Certificate relating to the Bonds permit certain actions to be taken or to be omitted if a favorable opinion of a bond counsel is provided with respect thereto. Bond Counsel expresses no opinion as to the effect on the exclusion from gross income for federal income tax purposes of interest (or original issue discount) on

any Bond if any such action is taken or omitted based upon the advice of counsel other than Bond Counsel.

Although Bond Counsel will render an opinion that interest (and original issue discount) on the Bonds is excluded from gross income for federal income tax purposes provided that the District continues to comply with certain requirements of the Code, the ownership of the Bonds and the accrual or receipt of interest (and original issue discount) with respect to the Bonds may otherwise affect the tax liability of certain persons. Bond Counsel expresses no opinion regarding any such tax consequences. Accordingly, before purchasing any of the Bonds, all potential purchasers should consult their tax advisors with respect to collateral tax consequences relating to the Bonds.

A copy of the proposed form of opinion of Bond Counsel for the Bonds is attached hereto as APPENDIX A.

LIMITATION ON REMEDIES; BANKRUPTCY

General. State law contains certain safeguards to protect the financial solvency of school districts. See “DISTRICT FINANCIAL INFORMATION – Budget Process” herein. If the safeguards are not successful in preventing a school district from becoming insolvent, the State Superintendent, operating through an administrator appointed thereby, may be authorized under State law to file a petition under Chapter 9 of the United States Bankruptcy Code (the “Bankruptcy Code”) on behalf of the school district for the adjustment of its debts, assuming that the school district meets certain other requirements contained in the Bankruptcy Code necessary for filing such a petition. School districts are not themselves authorized to file a bankruptcy proceeding, and they are not subject to involuntary bankruptcy.

Bankruptcy courts are courts of equity and as such have broad discretionary powers. If the District were to become the debtor in a proceeding under Chapter 9 of the Bankruptcy Code, the automatic stay provisions of Bankruptcy Code Sections 362 and 922 generally would prohibit creditors from taking any action to collect amounts due from the District or to enforce any obligation of the District related to such amounts due, without consent of the District or authorization of the bankruptcy court (although such stays would not operate to block creditor application of pledged special revenues to payment of indebtedness secured by such revenues). In addition, as part of its plan of adjustment in a Chapter 9 bankruptcy case, the District may be able to alter the priority, interest rate, principal amount, payment terms, collateral, maturity dates, payment sources, covenants (including tax-related covenants), and other terms or provisions of the Bonds and other transaction documents related to the Bonds, as long as the bankruptcy court determines that the alterations are fair and equitable. There also may be other possible effects of a bankruptcy of the District that could result in delays or reductions in payments on the Bonds. Moreover, regardless of any specific adverse determinations in any District bankruptcy proceeding, the fact of a District bankruptcy proceeding could have an adverse effect on the liquidity and market price of the Bonds.

Statutory Lien. Pursuant to Government Code Section 53515, the Bonds are secured by a statutory lien on all revenues received pursuant to the levy and collection of the tax, and such lien automatically arises, without the need for any action or authorization by the local agency or its governing board, and is valid and binding from the time the Bonds are executed and delivered. See “THE BONDS – Security and Sources of Payment” herein. Although a statutory lien would not be automatically terminated by the filing of a Chapter 9 bankruptcy petition by the District, the automatic stay provisions of the Bankruptcy Code would apply and payments that become due and owing on the Bonds during the pendency of the Chapter 9 proceeding could be delayed, unless the Bonds are determined to be secured by a pledge of “special revenues” within the meaning of the Bankruptcy Code and the pledged *ad valorem* property taxes are applied to pay the Bonds in a manner consistent with the Bankruptcy Code.

Special Revenues. If the *ad valorem* property tax revenues that are pledged to the payment of the Bonds are determined to be “special revenues” within the meaning of the Bankruptcy Code, then the application in a manner consistent with the Bankruptcy Code of the pledged *ad valorem* property tax revenues should not be subject to the automatic stay. “Special revenues” are defined to include, among others, taxes specifically levied to finance one or more projects or systems of the debtor, but excluding receipts from general property, sales, or income taxes levied to finance the general purposes of the debtor. State law prohibits the use of the tax proceeds for any purpose other than payment of the Bonds and the Bond proceeds can only be used to finance or refinance the acquisition or improvement of real property and other capital expenditures included in the proposition, so such tax revenues appear to fit the definition of special revenues. However, there is no binding judicial precedent dealing with the treatment in bankruptcy proceedings of *ad valorem* property tax revenues collected for the payments of bonds in the State, so no assurance can be given that a bankruptcy court would not hold otherwise.

Possession of Tax Revenues; Remedies. The County on behalf of the District is expected to be in possession of the annual *ad valorem* property taxes and certain funds to repay the Bonds and may invest these funds in the County Treasury Pool, as described in “THE BONDS – Application and Investment of Bond Proceeds” herein and “APPENDIX E – SAN DIEGO COUNTY INVESTMENT POOL” attached hereto. If the County goes into bankruptcy and has possession of tax revenues (whether collected before or after commencement of the bankruptcy), and if the County does not voluntarily pay such tax revenues to the owners of the Bonds, it is not entirely clear what procedures the owners of the Bonds would have to follow to attempt to obtain possession of such tax revenues, how much time it would take for such procedures to be completed, or whether such procedures would ultimately be successful. Further, should those investments suffer any losses, there may be delays or reductions in payments on the Bonds.

Opinion of Bond Counsel Qualified by Reference to Bankruptcy, Insolvency and Other Laws Relating to or Affecting Creditor’s Rights. The proposed form of the approving opinion of Bond Counsel attached hereto as APPENDIX A is qualified by reference to bankruptcy, insolvency and other laws relating to or affecting creditor’s rights. Bankruptcy proceedings, if initiated, could subject the owners of the Bonds to judicial discretion and interpretation of their rights in bankruptcy or otherwise, and consequently may entail risks of delay, limitation, or modification of their rights.

LEGAL MATTERS

Legality for Investment in California

Under provisions of the Financial Code, the Bonds are legal investments for commercial banks in the State to the extent that the Bonds, in the informed opinion of the bank, are prudent for the investment of funds of depositors, and, under provisions of the Government Code, are eligible for security for deposits of public moneys in the State.

Information Reporting Requirements

On May 17, 2006, the President signed the Tax Increase Prevention and Reconciliation Act of 2005 (“TIPRA”). Under Section 6049 of the Code, as amended by TIPRA, interest paid on tax-exempt obligations is subject to information reporting in a manner similar to interest paid on taxable obligations. The effective date of this provision is for interest paid after December 31, 2005, regardless of when the tax-exempt obligations were issued. The purpose of this change was to assist in relevant information gathering for the IRS relating to other applicable tax provisions. TIPRA provides that backup withholding may apply to such interest payments made after March 31, 2007 to any bondholder who fails to file an accurate Form W-9 or who meets certain other criteria. The information reporting and backup

withholding requirements of TIPRA do not affect the excludability of such interest from gross income for federal income tax purposes.

Continuing Disclosure

Current Undertaking. The District has covenanted for the benefit of the Owners and Beneficial Owners of the Bonds to provide certain financial information and operating data relating to the District (the “Annual Report”) by not later than nine months following the end of the District’s fiscal year (which currently ends June 30), commencing with the report for the 2020-21 fiscal year, and to provide notices of the occurrence of certain listed events. The Annual Reports and notices of listed events will be filed by the District in accordance with the requirements of the Rule. The specific nature of the information to be contained in the Annual Reports or the notices of listed events is included in “APPENDIX C – FORM OF CONTINUING DISCLOSURE CERTIFICATE” attached hereto. These covenants have been made in order to assist the Underwriter in complying with the Rule.

Prior Undertakings. The District has not, in the past five years, failed to file in a timely manner the annual reports or notices of listed events as required pursuant to its prior continuing disclosure undertakings.

Absence of Material Litigation

No litigation is pending or threatened concerning the validity of the Bonds, and a certificate to that effect will be furnished to purchasers at the time of the original delivery of the Bonds. The District is not aware of any litigation pending or threatened questioning the political existence of the District or contesting the District’s ability to receive *ad valorem* property taxes or to collect other revenues or contesting the District’s ability to issue and retire the Bonds.

Financial Statements

The financial statements with required supplemental information for the year ended June 30, 2020, the independent auditor’s report of the District, and the related statements of activities and of cash flows for the year then ended, and the report dated February 2, 2021 of Christy White, Inc. (the “Auditor”), are included in this Official Statement as APPENDIX B. In connection with the inclusion of the financial statements and the report of the Auditor herein, the District did not request the Auditor to, and the Auditor has not undertaken to, update its report or to take any action intended or likely to elicit information concerning the accuracy, completeness or fairness of the statements made in this Official Statement, and no opinion is expressed by the Auditor with respect to any event subsequent to the date of its report.

Legal Opinion

The legal opinion of Bond Counsel, approving the validity of the Bonds, will be supplied to the original purchasers of the Bonds without cost. A copy of the proposed form of such legal opinion is attached to this Official Statement as APPENDIX A.

MISCELLANEOUS

Rating

S&P has assigned a rating of “AA” to the Bonds. Such rating reflects only the views of such rating agency and any desired explanation of the significance of such rating should be obtained from the rating agency furnishing the same, at the following address: S&P Global Ratings, 55 Water Street, New York, New York 10041. There is no assurance such rating will continue for any given period of time or that such rating will not be revised downward or withdrawn entirely by the rating agency, if in the judgment of such rating agency, circumstances so warrant. Any such downward revision or withdrawal of such rating may have an adverse effect on the market price for the Bonds.

Generally, rating agencies base their ratings on information and materials furnished to them (which may include information and material from the District which is not included in this Official Statement) and on investigations, studies and assumptions by the rating agencies.

The District has covenanted in a Continuing Disclosure Certificate to file on the Municipal Securities Rulemaking Board’s Electronic Municipal Market Access website (“EMMA”) notices of any rating changes on the Bonds. See “APPENDIX C – FORM OF CONTINUING DISCLOSURE CERTIFICATE” attached hereto. Notwithstanding such covenant, information relating to rating changes on the Bonds may be publicly available from the rating agency prior to such information being provided to the District and prior to the date the District is obligated to file a notice of rating change on EMMA. Purchasers of the Bonds are directed to the rating agency and its website and official media outlets for the most current rating changes with respect to the Bonds after the initial issuance of the Bonds.

Underwriting

The Underwriter has agreed to purchase the Bonds at a price of \$98,862,822.21, which is equal to the aggregate principal amount of the Bonds of \$93,000,000.00, plus original issue premium of \$6,176,487.50, less an underwriting discount of \$313,665.29.

The Purchase Contract for the Bonds provides that the Underwriter will purchase all of the Bonds if any are purchased, the obligation to make such purchase being subject to certain terms and conditions set forth in said agreement, the approval of certain legal matters by counsel and certain other conditions. The Underwriter may offer and sell Bonds to certain dealers and others at prices lower than the offering prices stated on the inside cover page. The offering prices may be changed from time to time by the Underwriters.

The Underwriter has provided the following information for inclusion in this Official Statement. The District does not guarantee the accuracy or completeness of the following information, and the inclusion thereof should not be construed as a representation of the District.

The Underwriter has entered into negotiated dealer agreements (each, a “Dealer Agreement”) with each of Charles Schwab & Co., Inc. (“CS&Co.”) and LPL Financial LLC (“LPL”) for the retail distribution of certain securities offerings at the original issue prices. Pursuant to each Dealer Agreement, each of CS&Co. and LPL may purchase Bonds from the Underwriter at the original issue price less a negotiated portion of the selling concession applicable to any Bonds that such firm sells.

Additional Information

The purpose of this Official Statement is to supply information to prospective buyers of the Bonds. Quotations from and summaries and explanations of the Bonds, the Resolution providing for issuance of the Bonds, and the constitutional provisions, statutes and other documents referenced herein, do not purport to be complete, and reference is made to said documents, constitutional provisions and statutes for full and complete statements of their provisions.

Certain of the data contained herein has been taken or constructed from District records. Appropriate District officials, acting in their official capacities, have reviewed this Official Statement and have determined that, as of the date hereof, the information contained herein is, to the best of their knowledge and belief, true and correct in all material respects and does not contain an untrue statement of a material fact or omit to state a material fact necessary in order to make the statements made herein, in light of the circumstances under which they were made, not misleading. This Official Statement has been approved by the District.

Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended only as such and not as representations of fact. This Official Statement is not to be construed as a contract or agreement between the District and the purchasers or owners, beneficial or otherwise, of any of the Bonds.

CARLSBAD UNIFIED SCHOOL DISTRICT

By: _____ /s/ Eric Dill
Assistant Superintendent, Business Services

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APPENDIX A

FORM OF OPINION OF BOND COUNSEL

Upon the issuance and delivery of the Bonds, Stradling Yocca Carlson & Rauth, a Professional Corporation, Bond Counsel, proposes to render its final approving opinion with respect to the Bonds substantially in the following form:

June 29, 2021

Board of Trustees
Carlsbad Unified School District

Members of the Board of Trustees:

We have examined a certified copy of the record of the proceedings relative to the issuance and sale of \$93,000,000 Carlsbad Unified School District Election of 2018 General Obligation Bonds, Series B (the “Bonds”). As to questions of fact material to our opinion, we have relied upon the certified proceedings and other certifications of public officials furnished to us without undertaking to verify the same by independent investigation.

Based on our examination as bond counsel of existing law, certified copies of such legal proceedings and such other proofs as we deem necessary to render this opinion, we are of the opinion, as of the date hereof and under existing law, that:

1. Such proceedings and proofs show lawful authority for the issuance and sale of the Bonds pursuant to Article 4.5 of Chapter 3 of Part 1 of Division 2 of Title 5 of the Government Code of the State of California (the “Act”), commencing with Section 53506 *et seq.*, a vote of 55% of the qualified electors of the Carlsbad Unified School District (the “District”) voting at an election held on November 6, 2018, and a resolution of the Board of Trustees of the District adopted on March 10, 2021 (the “Resolution”).
2. The Bonds constitute valid and binding general obligations of the District, payable as to both principal and interest from the proceeds of a levy of *ad valorem* property taxes on all property subject to such taxes in the District, which taxes are unlimited as to rate or amount.
3. Under existing statutes, regulations, rulings and judicial decisions, interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals.
4. Interest on the Bonds is exempt from State of California personal income tax.
5. The excess of the stated redemption price at maturity over the issue price of a Bond (the first price at which a substantial amount of the Bonds of a maturity is to be sold to the public) constitutes original issue discount. Original issue discount accrues under a constant yield method, and original issue discount will accrue to a Bondowner before receipt of cash attributable to such excludable income. The amount of original issue discount deemed received by a

Bondowner will increase the Bondowner's basis in the applicable Bond. Original issue discount that accrues to the Bondowner is excluded from the gross income of such owner for federal income tax purposes, is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals, and is exempt from State of California personal income tax.

6. The amount by which a Bondowner's original basis for determining gain or loss on sale or exchange of the applicable Bond (generally, the purchase price) exceeds the amount payable on maturity (or on an earlier call date) constitutes amortizable Bond premium, which must be amortized under Section 171 of the Internal Revenue Code of 1986, as amended (the "Code"); such amortizable Bond premium reduces the Bondowner's basis in the applicable Bond (and the amount of tax-exempt interest received), and is not deductible for federal income tax purposes. The basis reduction as a result of the amortization of Bond premium may result in a Bondowner realizing a taxable gain when a Bond is sold by the Bondowner for an amount equal to or less (under certain circumstances) than the original cost of the Bond to the Bondowner. Purchasers of the Bonds should consult their own tax advisors as to the treatment, computation and collateral consequences of amortizable Bond premium.

The opinions expressed herein may be affected by actions taken (or not taken) or events occurring (or not occurring) after the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions or events are taken or do occur. The Resolution and the Tax Certificate relating to the Bonds permit certain actions to be taken or to be omitted if a favorable opinion of Bond Counsel is provided with respect thereto. No opinion is expressed herein as to the effect on the exclusion from gross income of interest (and original issue discount) for federal income tax purposes with respect to any Bond if any such action is taken or omitted based upon the advice of counsel other than ourselves. Other than expressly stated herein, we express no opinion regarding tax consequences with respect to the Bonds.

The opinions expressed herein as to the exclusion from gross income of interest (and original issue discount) on the Bonds are based upon certain representations of fact and certifications made by the District and others and are subject to the condition that the District complies with all requirements of the Code, that must be satisfied subsequent to the issuance of the Bonds to assure that such interest (and original issue discount) will not become includable in gross income for federal income tax purposes. Failure to comply with such requirements of the Code might cause interest (and original issue discount) on the Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the Bonds. The District has covenanted to comply with all such requirements.

It is possible that subsequent to the issuance of the Bonds there might be federal, state, or local statutory changes (or judicial or regulatory interpretations of federal, state, or local law) that affect the federal, state, or local tax treatment of the Bonds or the market value of the Bonds. No assurance can be given that subsequent to the issuance of the Bonds such changes or interpretations will not occur.

The rights of the owners of the Bonds and the enforceability thereof may be subject to bankruptcy, insolvency, reorganization, moratorium and other similar laws affecting creditors' rights heretofore or hereafter enacted to the extent constitutionally applicable and their enforcement may also be subject to the exercise of judicial discretion in appropriate cases, and by the limitations on legal remedies against public agencies in the State of California.

Respectfully submitted,

APPENDIX B

2019-20 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT

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CARLSBAD UNIFIED SCHOOL DISTRICT

AUDIT REPORT
JUNE 30, 2020



CARLSBAD
Unified School District

CARLSBAD UNIFIED SCHOOL DISTRICT
TABLE OF CONTENTS
JUNE 30, 2020

FINANCIAL SECTION

Independent Auditors' Report.....	1
Management's Discussion and Analysis.....	3
Basic Financial Statements	
Government-wide Financial Statements	
Statement of Net Position.....	10
Statement of Activities.....	11
Fund Financial Statements	
Governmental Funds – Balance Sheet.....	12
Reconciliation of the Governmental Funds Balance Sheet to the Statement of Net Position.....	13
Governmental Funds – Statement of Revenues, Expenditures, and Changes in Fund Balances.....	15
Reconciliation of the Governmental Funds Statement of Revenues, Expenditures, and Changes in Fund Balances to the Statement of Activities.....	16
Proprietary Funds – Statement of Net Position.....	18
Proprietary Funds – Statement of Revenues, Expenses, and Changes in Net Position.....	19
Proprietary Funds – Statement of Cash Flows.....	20
Fiduciary Funds – Statement of Net Position.....	21
Notes to Financial Statements.....	22

REQUIRED SUPPLEMENTARY INFORMATION

General Fund – Budgetary Comparison Schedule.....	58
Schedule of Changes in Total OPEB Liability and Related Ratios.....	59
Schedule of the District's Proportionate Share of the Net Pension Liability - CalSTRS.....	60
Schedule of the District's Proportionate Share of the Net Pension Liability - CalPERS.....	61
Schedule of District Contributions - CalSTRS.....	62
Schedule of District Contributions - CalPERS.....	63
Notes to Required Supplementary Information.....	64

SUPPLEMENTARY INFORMATION

Schedule of Expenditures of Federal Awards.....	66
Schedule of Average Daily Attendance (ADA).....	67
Schedule of Instructional Time.....	68
Schedule of Financial Trends and Analysis.....	69
Reconciliation of Annual Financial and Budget Report with Audited Financial Statements.....	70
Schedule of Charter Schools.....	71
Combining Statements – Non-Major Governmental Funds	
Combining Balance Sheet.....	72
Combining Statement of Revenues, Expenditures, and Changes in Fund Balances.....	73
Local Education Agency Organization Structure.....	74
Notes to Supplementary Information.....	75

CARLSBAD UNIFIED SCHOOL DISTRICT
TABLE OF CONTENTS
JUNE 30, 2020

OTHER INDEPENDENT AUDITORS' REPORTS

Report on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of
Financial Statements Performed in Accordance with *Government Auditing Standards*77

Report on Compliance For Each Major Federal Program; and Report on Internal Control Over Compliance
Required by the Uniform Guidance79

Report on State Compliance81

SCHEDULE OF FINDINGS AND QUESTIONED COSTS

Summary of Auditors' Results.....84

Financial Statement Findings85

Federal Award Findings and Questioned Costs86

State Award Findings and Questioned Costs87

Summary Schedule of Prior Audit Findings90

FINANCIAL SECTION

INDEPENDENT AUDITORS' REPORT

Governing Board
Carlsbad Unified School District
Carlsbad, California

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of the Carlsbad Unified School District, as of and for the year ended June 30, 2020, and the related notes to the financial statements, which collectively comprise the Carlsbad Unified School District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, each major fund, and the aggregate remaining fund information of Carlsbad Unified School District, as of June 30, 2020, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the required supplementary information, such as management's discussion and analysis, budgetary comparison information, schedule of changes in total OPEB liability and related ratios, schedules of proportionate share of net pension liability, and schedules of District contributions for pensions be presented to supplement the basic financial statements. Such information, although not part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Template's basic financial statements. The supplementary information listed in the table of contents, including the schedule of expenditures of Federal awards, as required by Title 2 U.S. Code of Federal Regulations (CFR) Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards, is presented for purposes of additional analysis and is not a required part of the basic financial statements.

The supplementary information listed in the table of contents is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated February 2, 2021 on our consideration of Carlsbad Unified School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of Carlsbad Unified School District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Carlsbad Unified School District's internal control over financial reporting and compliance.

A handwritten signature in blue ink that reads "Christy White, Inc." in a cursive, stylized font.

San Diego, California
February 2, 2021

CARLSBAD UNIFIED SCHOOL DISTRICT MANAGEMENT'S DISCUSSION AND ANALYSIS

INTRODUCTION

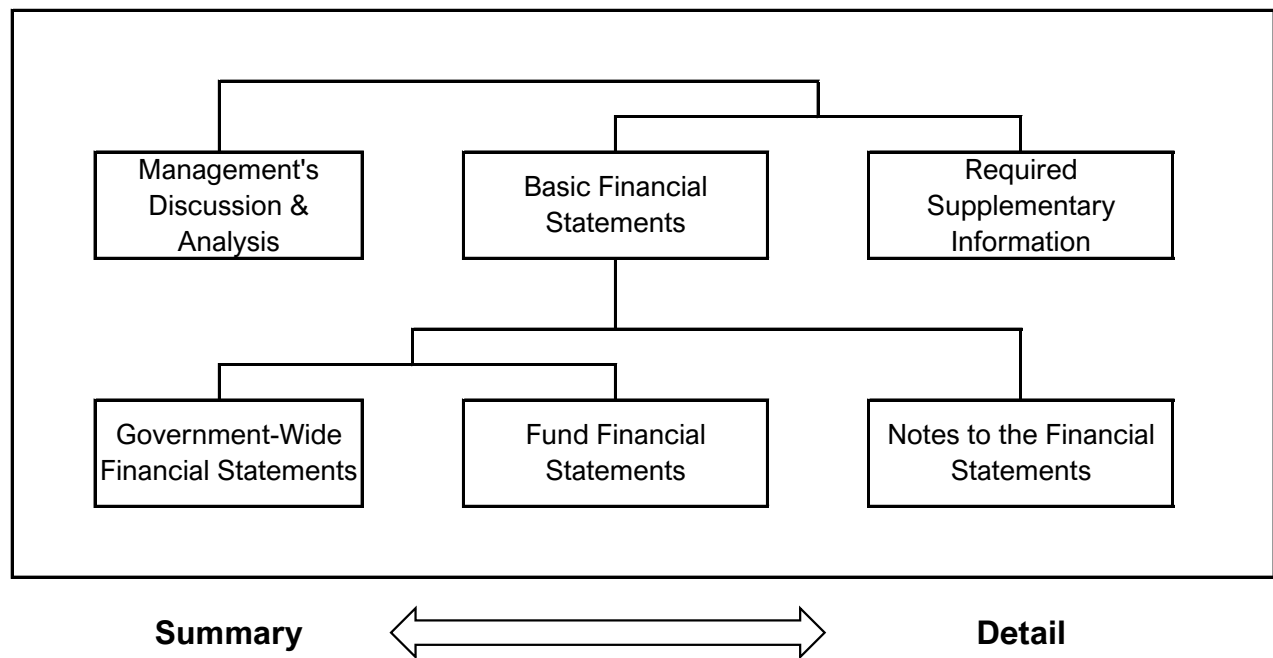
Our discussion and analysis of Carlsbad Unified School District's (District) financial performance provides an overview of the District's financial activities for the fiscal year ended June 30, 2020. It should be read in conjunction with the District's financial statements, which follow this section.

FINANCIAL HIGHLIGHTS

- The District's total net position was \$11,434,290 at June 30, 2020. This was an increase of \$4,526,762 from the prior year after restatement.
- Overall revenues were \$158,847,505 which exceeded expenses of \$154,320,743.

OVERVIEW OF FINANCIAL STATEMENTS

Components of the Financial Section



**CARLSBAD UNIFIED SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS, continued
FOR THE YEAR ENDED JUNE 30, 2020**

OVERVIEW OF FINANCIAL STATEMENTS (continued)

Components of the Financial Section (continued)

This annual report consists of three parts – Management's Discussion and Analysis (this section), the basic financial statements, and required supplementary information. The three sections together provide a comprehensive overview of the District. The basic financial statements are comprised of two kinds of statements that present financial information from different perspectives:

- ▶ **Government-wide financial statements**, which comprise the first two statements, provide both short-term and long-term information about the entity's overall financial position.
- ▶ **Fund financial statements** focus on reporting the individual parts of District operations in more detail. The fund financial statements comprise the remaining statements.
 - ▶ **Governmental Funds** provide a detailed *short-term* view that helps you determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs.
 - ▶ **Proprietary Funds** report services for which the District charges customers a fee. Like the government-wide statements, they provide both long- and short-term financial information.
 - ▶ **Fiduciary Funds** report balances for which the District is a custodian or *trustee* of the funds, such as Associated Student Bodies and pension funds.

The financial statements also include notes that explain some of the information in the statements and provide more detailed data. The basic financial statements are followed by a section of required and other supplementary information that further explain and support the financial statements.

Government-Wide Statements

The government-wide statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The statement of net position includes all of the government's assets and liabilities. All of the current year's revenues and expenses are accounted for in the statement of activities, regardless of when cash is received or paid.

The two government-wide statements report the District's net position and how it has changed. Net position is one way to measure the District's financial health. Over time, increases or decreases in the District's net position are an indicator of whether its financial health is improving or deteriorating, respectively.

The government-wide financial statements of the District include governmental activities. All of the District's basic services are included here, such as regular education, food service, maintenance and general administration. Local control formula funding and federal and state grants finance most of these activities.

**CARLSBAD UNIFIED SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS, continued
FOR THE YEAR ENDED JUNE 30, 2020**

FINANCIAL ANALYSIS OF THE ENTITY AS A WHOLE

Net Position

The District's net position was \$11,434,290 at June 30, 2020, as reflected in the table below. Of this amount, \$(110,875,962) was unrestricted. Restricted net position is reported separately to show legal constraints from debt covenants and enabling legislation that limit the Governing Board's ability to use that net position for day-to-day operations.

	Governmental Activities		
	2020	2019	Net Change
ASSETS			
Current and other assets	\$ 228,062,073	\$ 160,044,627	\$ 68,017,446
Capital assets	339,579,836	326,557,848	13,021,988
Total Assets	567,641,909	486,602,475	81,039,434
DEFERRED OUTFLOWS OF RESOURCES	53,344,738	52,200,765	1,143,973
LIABILITIES			
Current liabilities	42,885,990	15,223,765	27,662,225
Long-term liabilities	547,913,201	502,354,371	45,558,830
Total Liabilities	590,799,191	517,578,136	73,221,055
DEFERRED INFLOWS OF RESOURCES	18,753,166	12,321,298	6,431,868
NET POSITION			
Net investment in capital assets	71,245,832	103,828,241	(32,582,409)
Restricted	51,064,420	38,605,265	12,459,155
Unrestricted	(110,875,962)	(133,529,700)	22,653,738
Total Net Position	\$ 11,434,290	\$ 8,903,806	\$ 2,530,484

**CARLSBAD UNIFIED SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS, continued
FOR THE YEAR ENDED JUNE 30, 2020**

FINANCIAL ANALYSIS OF THE ENTITY AS A WHOLE (continued)

Changes in Net Position

The results of this year's operations for the District as a whole are reported in the Statement of Activities. The table below takes the information from the Statement and rearranges it, so you can see our total revenues and expenses for the year.

	Governmental Activities		
	2020	2019	Net Change
REVENUES			
Program revenues			
Charges for services	\$ 2,978,344	\$ 2,771,169	\$ 207,175
Operating grants and contributions	23,057,596	22,914,021	143,575
Capital grants and contributions	105	29,301	(29,196)
General revenues			
Property taxes	119,767,142	105,737,974	14,029,168
Unrestricted federal and state aid	9,710,038	12,448,831	(2,738,793)
Other	3,334,280	3,767,537	(433,257)
Total Revenues	158,847,505	147,668,833	11,178,672
EXPENSES			
Instruction	88,735,369	84,613,327	4,122,042
Instruction-related services	14,069,788	12,834,934	1,234,854
Pupil services	13,654,028	13,548,559	105,469
General administration	8,844,070	8,485,918	358,152
Plant services	12,179,874	12,180,175	(301)
Ancillary and community services	1,543,672	1,636,531	(92,859)
Debt service	14,014,585	4,806,271	9,208,314
Other outgo	1,279,357	1,692,873	(413,516)
Total Expenses	154,320,743	139,798,588	14,522,155
Change in net position	4,526,762	7,870,245	(3,343,483)
Net Position - Beginning, as Restated	6,907,528	1,033,561	5,873,967
Net Position - Ending	\$ 11,434,290	\$ 8,903,806	\$ 2,530,484

The cost of all our governmental activities this year was \$154,320,743 (refer to the table above). The amount that our taxpayers ultimately financed for these activities through taxes was \$119,767,142 because a portion of the cost was paid by other governments and organizations who subsidized certain programs with grants and contributions.

**CARLSBAD UNIFIED SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS, continued
FOR THE YEAR ENDED JUNE 30, 2020**

FINANCIAL ANALYSIS OF THE ENTITY AS A WHOLE (continued)

Changes in Net Position (continued)

In the table below, we have presented the net cost of each of the District's functions. Net cost shows the financial burden that was placed on the District's taxpayers by each of these functions. Providing this information allows our citizens to consider the cost of each function in comparison to the benefits they believe are provided by that function.

	Net Cost of Services	
	2020	2019
Instruction	\$ 74,074,390	\$ 65,782,217
Instruction-related services	13,109,131	11,513,409
Pupil services	9,696,960	9,249,623
General administration	8,720,755	8,063,073
Plant services	12,131,905	11,823,521
Ancillary and community services	1,511,785	1,585,563
Debt service	14,014,585	4,806,271
Transfers to other agencies	(4,974,813)	1,260,420
Total Expenses	\$ 128,284,698	\$ 114,084,097

FINANCIAL ANALYSIS OF THE DISTRICT'S MAJOR FUNDS

The financial performance of the District as a whole is reflected in its governmental funds as well. As the District completed this year, its governmental funds reported a combined fund balance of \$206,601,980, which is less than last year's restated ending fund balance of \$209,696,742. The District's General Fund had \$1,674,041 more in operating revenues than expenditures for the year ended June 30, 2020. The District's Building Fund had \$16,240,915 less in operating revenues than expenditures for the year ended June 30, 2020. The District's Bond Interest and Redemption Fund had \$11,601,549 more in operating revenues than expenditures for the year ended June 30, 2020.

CURRENT YEAR BUDGET 2019-2020

During the fiscal year, budget revisions and appropriation transfers are presented to the Board for their approval on a periodic basis to reflect changes to both revenues and expenditures that become known during the year. In addition, the Board of Education approves financial projections included with the Adopted Budget, First Interim, and Second Interim financial reports. The Unaudited Actuals reflect the District's financial projections and current budget based on State and local financial information.

**CARLSBAD UNIFIED SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS, continued
FOR THE YEAR ENDED JUNE 30, 2020**

CAPITAL ASSETS AND LONG-TERM LIABILITIES

Capital Assets

By the end of 2019-2020 the District had invested \$339,579,836 in capital assets, net of accumulated depreciation.

	Governmental Activities		
	2020	2019	Net Change
CAPITAL ASSETS			
Land	\$ 36,276,875	\$ 36,276,875	\$ -
Construction in progress	43,408,543	43,223,180	185,363
Land improvements	23,355,486	22,618,733	736,753
Buildings & improvements	317,776,226	298,930,168	18,846,058
Furniture & equipment	29,361,505	27,761,914	1,599,591
Accumulated depreciation	(110,598,799)	(102,253,022)	(8,345,777)
Total Capital Assets	\$ 339,579,836	\$ 326,557,848	\$ 13,021,988

Long-Term Liabilities

At year-end, the District had \$547,913,201 in long-term liabilities, an increase of 9.07% from last year – as shown in the table below. The increase is primarily related to the restatement of total general obligation bonds. (More detailed information about the District's long-term liabilities is presented in footnotes to the financial statements.)

	Governmental Activities		
	2020	2019	Net Change
LONG-TERM LIABILITIES			
Total general obligation bonds	\$ 361,752,098	\$ 311,760,006	\$ 49,992,092
Total certificates of participation	41,968,984	43,907,159	(1,938,175)
Special tax bonds	1,325,000	1,430,000	(105,000)
Capital leases	3,400,000	3,775,000	(375,000)
Compensated absences	544,218	354,077	190,141
Total OPEB liability	35,604,116	36,291,639	(687,523)
Net pension liability	123,096,878	111,815,993	11,280,885
Less: current portion of long-term liabilities	(19,778,093)	(6,979,503)	(12,798,590)
Total Long-term Liabilities	\$ 547,913,201	\$ 502,354,371	\$ 45,558,830

ECONOMIC FACTORS AND NEXT YEAR'S BUDGET AND RATES

At the time these financial statements were prepared and audited, the District was aware of several circumstances that could affect its future financial health.

According to the UCLA Anderson Forecast, the U.S. economy is in a "depression-like crisis" and it will take at least three years before its GDP and unemployment rate return to the levels it saw before COVID-19 pandemic struck. Between February 2020 and April 2020, California lost 2.56 million nonfarm payroll jobs, a 15% drop that's nearly double the job loss during the Great Recession in 2008 and 2009.

**CARLSBAD UNIFIED SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS, continued
FOR THE YEAR ENDED JUNE 30, 2020**

ECONOMIC FACTORS AND NEXT YEAR'S BUDGET AND RATES (continued)

Fiscal policy for the funding of public education changes annually, based on fluctuations in State revenues. Governor Gavin Newsom and the State Legislature provided resources and support beyond the Proposition 98 requirement in 2020–21, giving one-time federal resources and pension rate relief and promising more than the minimum guarantee in 2021–22.

Landmark legislation passed in Year 2013 reformed California school district finance by creating the Local Control Funding Formula (LCFF). The LCFF is designed to provide a flexible funding mechanism that links student achievement to state funding levels. The LCFF provides a per-pupil base grant amount, by grade span, that is augmented by supplemental funding for targeted student groups in low income brackets, those that are English language learners and foster youth.

Factors related to LCFF that the District is monitoring include: (1) estimates of funding in the next budget year and beyond; (2) the Local Control and Accountability Plan (LCAP) that aims to link student accountability measurements to funding allocations; (3) ensuring the integrity of reporting student data through the California Longitudinal Pupil Achievement Data System (CALPADs); and, (4) meeting annual compliance and audit requirements.

The District participates in state employee pensions plans, California State Teachers' Retirement System (CalSTRS) and California Public Employees' Retirement System (CalPERS), and both are underfunded. The District's proportionate share of the liability is reported in the Statement of Net Position as of June 30, 2020. The amount of the liability is material to the financial position of the District. In response to the ongoing pandemic, the 2020-21 State Budget reduced employer contribution rates in 2020–21 and 2021–22. This will reduce the CalSTRS employer rate from 18.4% to approximately 16.15% in 2020–21 and from 18.2% to 16.0% in 2021–22. The CalPERS employer contribution rate will be reduced from CalPERS recently set rate for 2020–21 of 22.68% to 20.7% and CalPERS 2021–22 estimated rate of 24.6% to 23.0%. Despite this reduction in the planned rate increases, the projected increased pension costs to school employers remain a significant fiscal factor.

Enrollment can fluctuate due to factors such as population growth, competition from private, parochial, inter-district transfers in or out, economic conditions and housing values. Losses in enrollment will cause a school district to lose operating revenues without necessarily permitting the district to make adjustments in fixed operating costs.

On March 27, 2020, the Coronavirus Aid, Relief, and Economic Security Act (CARES Act) was signed into law. The CARES Act provides California K-12 education with \$1.65 billion in Elementary and Secondary School Emergency Relief (ESSER) Funds, \$355 million in Governor's Emergency Education Relief (GEER) Funds, and \$4.4 billion in Coronavirus Relief Funds (CRF). CARES Act funds will be apportioned in 2020-21, however, ESSER is to be used on eligible expenditures beginning March 13, 2020 through December 30, 2020, GEER is to be used on eligible expenditures beginning March 13, 2020 through September 30, 2022, and CRF is to be used on eligible expenditures beginning March 1, 2020 through December 30, 2020. On December 27, 2020, the President signed the Consolidated Appropriations Act which extended the CRF spending deadline to December 30, 2021.

All of these factors were considered in preparing the District's budget for the 2020-21 fiscal year.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide our citizens, taxpayers, students, and investors and creditors with a general overview of the District's finances and to show the District's accountability for the money it receives. If you have questions about this report or need any additional financial information, contact the Business Office at (760) 331-5036.

CARLSBAD UNIFIED SCHOOL DISTRICT
STATEMENT OF NET POSITION
JUNE 30, 2020

	Governmental Activities
ASSETS	
Cash and investments	\$ 220,733,491
Accounts receivable	5,454,718
Inventory	169,350
Prepaid expenses	1,704,514
Capital assets, not depreciated	79,685,418
Capital assets, net of accumulated depreciation	259,894,418
Total Assets	567,641,909
DEFERRED OUTFLOWS OF RESOURCES	
Deferred outflows related to pensions	37,737,976
Deferred outflows related to OPEB	3,658,736
Deferred amount on refunding	11,948,026
Total Deferred Outflows of Resources	53,344,738
LIABILITIES	
Accrued liabilities	22,260,983
Unearned revenue	846,914
Long-term liabilities, current portion	19,778,093
Long-term liabilities, non-current portion	547,913,201
Total Liabilities	590,799,191
DEFERRED INFLOWS OF RESOURCES	
Deferred inflows related to pensions	12,844,729
Deferred inflows related to OPEB	5,908,437
Total Deferred Inflows of Resources	18,753,166
NET POSITION	
Net investment in capital assets	71,245,832
Restricted:	
Capital projects	11,519,676
Debt service	36,029,796
Educational programs	3,430,241
All others	84,707
Unrestricted	(110,875,962)
Total Net Position	\$ 11,434,290

The accompanying notes are an integral part of these financial statements.

**CARLSBAD UNIFIED SCHOOL DISTRICT
STATEMENT OF ACTIVITIES
FOR THE YEAR ENDED JUNE 30, 2020**

Function/Programs	Expenses	Program Revenues			Net (Expenses) Revenues and Changes in Net Position
		Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	
GOVERNMENTAL ACTIVITIES					Governmental Activities
Instruction	\$ 88,735,369	\$ 946,705	\$ 13,714,169	\$ 105	\$ (74,074,390)
Instruction-related services					
Instructional supervision and administration	2,038,498	2,713	714,750	-	(1,321,035)
Instructional library, media, and technology	2,137,727	-	22,060	-	(2,115,667)
School site administration	9,893,563	19	221,115	-	(9,672,429)
Pupil services					
Home-to-school transportation	2,049,156	9	4,195	-	(2,044,952)
Food services	2,972,659	1,146,533	1,018,397	-	(807,729)
All other pupil services	8,632,213	20,081	1,767,853	-	(6,844,279)
General administration					
Centralized data processing	1,492,572	-	-	-	(1,492,572)
All other general administration	7,351,498	2,239	121,076	-	(7,228,183)
Plant services	12,179,874	6,876	41,093	-	(12,131,905)
Ancillary services	1,459,232	172	10,961	-	(1,448,099)
Community services	84,440	3,034	17,720	-	(63,686)
Interest on long-term debt	14,014,585	-	-	-	(14,014,585)
Other outgo	1,279,357	849,963	5,404,207	-	4,974,813
Total Governmental Activities	\$ 154,320,743	\$ 2,978,344	\$ 23,057,596	\$ 105	(128,284,698)
General revenues					
Taxes and subventions					
Property taxes, levied for general purposes					95,524,207
Property taxes, levied for debt service					23,812,943
Property taxes, levied for other specific purposes					429,992
Federal and state aid not restricted for specific purposes					9,710,038
Interest and investment earnings					632,030
Interagency revenues					53,009
Miscellaneous					2,649,241
Subtotal, General Revenue					132,811,460
CHANGE IN NET POSITION					4,526,762
Net Position - Beginning, as Restated					6,907,528
Net Position - Ending					\$ 11,434,290

The accompanying notes are an integral part of these financial statements.

CARLSBAD UNIFIED SCHOOL DISTRICT
GOVERNMENTAL FUNDS
BALANCE SHEET
JUNE 30, 2020

	General Fund	Building Fund	Bond Interest and Redemption Fund	Non-Major Governmental Funds	Total Governmental Funds
ASSETS					
Cash and investments	\$ 29,445,958	\$ 81,672,807	\$ 95,519,529	\$ 11,935,996	\$ 218,574,290
Accounts receivable	4,966,307	352,594	-	130,414	5,449,315
Due from other funds	230,480	5,202	-	171,752	407,434
Stores inventory	37,728	-	-	131,622	169,350
Prepaid expenditures	1,660,418	2,158	-	41,938	1,704,514
Total Assets	\$ 36,340,891	\$ 82,032,761	\$ 95,519,529	\$ 12,411,722	\$ 226,304,903
LIABILITIES					
Accrued liabilities	\$ 9,815,104	\$ 8,507,928	\$ -	\$ 399,838	\$ 18,722,870
Due to other funds	171,752	1,742	-	233,940	407,434
Unearned revenue	572,619	-	-	-	572,619
Total Liabilities	10,559,475	8,509,670	-	633,778	19,702,923
FUND BALANCES					
Nonspendable	1,728,146	2,158	-	173,560	1,903,864
Restricted	3,430,240	73,520,933	95,519,529	11,604,384	184,075,086
Committed	3,124,698	-	-	-	3,124,698
Assigned	11,536,171	-	-	-	11,536,171
Unassigned	5,962,161	-	-	-	5,962,161
Total Fund Balances	25,781,416	73,523,091	95,519,529	11,777,944	206,601,980
Total Liabilities and Fund Balances	\$ 36,340,891	\$ 82,032,761	\$ 95,519,529	\$ 12,411,722	\$ 226,304,903

The accompanying notes are an integral part of these financial statements.

CARLSBAD UNIFIED SCHOOL DISTRICT
RECONCILIATION OF THE GOVERNMENTAL FUNDS BALANCE SHEET TO THE STATEMENT OF NET POSITION
JUNE 30, 2020

Total Fund Balance - Governmental Funds **\$ 206,601,980**

Amounts reported for assets and liabilities for governmental activities in the statement of net position are different from amounts reported in governmental funds because:

Capital assets:

In governmental funds, only current assets are reported. In the statement of net position, all assets are reported, including capital assets and accumulated depreciation:

Capital assets	\$ 450,178,635	
Accumulated depreciation	<u>(110,598,799)</u>	339,579,836

Deferred amount on refunding:

In governmental funds, the net effect of refunding bonds is recognized when debt is issued, whereas this amount is deferred and amortized in the government-wide financial statements:

11,948,026

Unmatured interest on long-term debt:

In governmental funds, interest on long-term debt is not recognized until the period in which it matures and is paid. In the government-wide statement of activities, it is recognized in the period that it is incurred. The additional liability for unmatrued interest owing at the end of the period was:

(3,378,813)

Long-term liabilities:

In governmental funds, only current liabilities are reported. In the statement of net position, all liabilities, including long-term liabilities, are reported. Long-term liabilities relating to governmental activities consist of:

Total general obligation bonds	\$ 361,752,098	
Total certificates of participation	41,968,984	
Special tax bonds	1,325,000	
Capital leases	3,400,000	
Compensated absences	544,218	
Total OPEB liability	35,604,116	
Net pension liability	<u>123,096,878</u>	(567,691,294)

Deferred outflows and inflows of resources relating to pensions:

In governmental funds, deferred outflows and inflows of resources relating to pensions are not reported because they are applicable to future periods. In the statement of net position, deferred outflows and inflows of resources relating to pensions are reported.

Deferred outflows of resources related to pensions	\$ 37,737,976	
Deferred inflows of resources related to pensions	<u>(12,844,729)</u>	24,893,247

(continued on the following page)

CARLSBAD UNIFIED SCHOOL DISTRICT
RECONCILIATION OF THE GOVERNMENTAL FUNDS BALANCE SHEET TO THE STATEMENT OF NET
POSITION, continued
JUNE 30, 2020

Deferred outflows and inflows of resources relating to OPEB:

In governmental funds, deferred outflows and inflows of resources relating to OPEB are not reported because they are applicable to future periods. In the statement of net position, deferred outflows and inflows of resources relating to OPEB are reported.

Deferred outflows of resources related to OPEB	\$	3,658,736	
Deferred inflows of resources related to OPEB		<u>(5,908,437)</u>	(2,249,701)

Internal service funds:

Internal service funds are used to conduct certain activities for which costs are charged to other funds on a full cost-recovery basis. Because internal service funds are presumed to operate for the benefit of governmental activities, assets, deferred outflows of resources, liabilities, and deferred inflows of resources of internal service funds are reported with governmental activities in the statement of net position. Net position for internal service funds is:

1,731,009

Total Net Position - Governmental Activities

\$ 11,434,290

**CARLSBAD UNIFIED SCHOOL DISTRICT
GOVERNMENTAL FUNDS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
FOR THE YEAR ENDED JUNE 30, 2020**

	General Fund	Building Fund	Bond Interest and Redemption Fund	Non-Major Governmental Funds	Total Governmental Funds
REVENUES					
LCFF sources	\$ 102,050,868	\$ -	\$ -	\$ -	\$ 102,050,868
Federal sources	3,520,973	-	1,130,218	912,671	5,563,862
Other state sources	12,169,937	-	91,969	68,040	12,329,946
Other local sources	9,569,996	1,773,982	24,453,345	8,689,377	44,486,700
Total Revenues	127,311,774	1,773,982	25,675,532	9,670,088	164,431,376
EXPENDITURES					
Current					
Instruction	81,763,123	-	-	-	81,763,123
Instruction-related services					
Instructional supervision and administration	2,042,652	-	-	-	2,042,652
Instructional library, media, and technology	1,785,389	-	-	-	1,785,389
School site administration	9,047,772	-	-	-	9,047,772
Pupil services					
Home-to-school transportation	2,008,167	-	-	-	2,008,167
Food services	235,112	-	-	2,379,907	2,615,019
All other pupil services	8,452,859	-	-	-	8,452,859
General administration					
Centralized data processing	1,181,246	-	-	-	1,181,246
All other general administration	6,118,599	-	-	49,003	6,167,602
Plant services	10,208,076	367	-	108,532	10,316,975
Facilities acquisition and maintenance	-	18,014,530	-	3,355,317	21,369,847
Ancillary services	1,430,941	-	-	-	1,430,941
Community services	84,440	-	-	-	84,440
Transfers to other agencies	1,279,357	-	-	-	1,279,357
Debt service					
Principal	-	-	2,899,018	2,120,000	5,019,018
Interest and other	-	-	11,174,965	1,786,766	12,961,731
Total Expenditures	125,637,733	18,014,897	14,073,983	9,799,525	167,526,138
Excess (Deficiency) of Revenues					
Over Expenditures	1,674,041	(16,240,915)	11,601,549	(129,437)	(3,094,762)
Other Financing Sources (Uses)					
Transfers in	-	-	-	3,441,316	3,441,316
Transfers out	(10,000)	-	-	(3,431,316)	(3,441,316)
Net Financing Sources (Uses)	(10,000)	-	-	10,000	-
NET CHANGE IN FUND BALANCE	1,664,041	(16,240,915)	11,601,549	(119,437)	(3,094,762)
Fund Balance - Beginning, as Restated	24,117,375	89,764,006	83,917,980	11,897,381	209,696,742
Fund Balance - Ending	\$ 25,781,416	\$ 73,523,091	\$ 95,519,529	\$ 11,777,944	\$ 206,601,980

The accompanying notes are an integral part of these financial statements.

**CARLSBAD UNIFIED SCHOOL DISTRICT
RECONCILIATION OF THE GOVERNMENTAL FUNDS STATEMENT OF REVENUES, EXPENDITURES,
AND CHANGES IN FUND BALANCES TO THE STATEMENT OF ACTIVITIES
FOR THE YEAR ENDED JUNE 30, 2020**

Net Change in Fund Balances - Governmental Funds \$ (3,094,762)

Amounts reported for governmental activities in the statement of activities are different from amounts reported in governmental funds because:

Capital outlay:

In governmental funds, the costs of capital assets are reported as expenditures in the period when the assets are acquired. In the statement of activities, costs of capital assets are allocated over their estimated useful lives as depreciation expense. The difference between capital outlay expenditures and depreciation expense for the period is:

Expenditures for capital outlay:	\$ 21,367,765	
Depreciation expense:	<u>(8,345,777)</u>	13,021,988

Debt service:

In governmental funds, repayments of long-term debt are reported as expenditures. In the government-wide statements, repayments of long-term debt are reported as reductions of liabilities. Expenditures for repayment of the principal portion of long-term debt were:

7,175,000

Deferred amounts on refunding:

In governmental funds, deferred amounts on refunding are recognized in the period they are incurred. In the government-wide statements, the deferred amounts on refunding are amortized over the life of the debt. The net effect of the deferred amounts on refunding during the period was:

(974,945)

Unmatured interest on long-term debt:

In governmental funds, interest on long-term debt is recognized in the period that it becomes due. In the government-wide statement of activities, it is recognized in the period it is incurred. Unmatured interest owing at the end of the period, less matured interest paid during the period but owing from the prior period, was:

(266,702)

Accreted interest on long-term debt:

In governmental funds, accreted interest on capital appreciation bonds is not recorded as an expenditure from current sources. In the government-wide statement of activities, however, this is recorded as interest expense for the period.

(4,020,282)

Compensated absences:

In governmental funds, compensated absences are measured by the amounts paid during the period. In the statement of activities, compensated absences are measured by the amount earned. The difference between compensated absences paid and compensated absences earned, was:

(190,141)

(continued on the following page)

**CARLSBAD UNIFIED SCHOOL DISTRICT
RECONCILIATION OF THE GOVERNMENTAL FUNDS STATEMENT OF REVENUES, EXPENDITURES,
AND CHANGES IN FUND BALANCES TO THE STATEMENT OF
ACTIVITIES, continued
FOR THE YEAR ENDED JUNE 30, 2020**

Postemployment benefits other than pensions (OPEB):

In governmental funds, OPEB expenses are recognized when employer OPEB contributions are made. In the statement of activities, OPEB expenses are recognized on the accrual basis. This year, the difference between OPEB expenses and actual employer OPEB contributions was: (2,126,457)

Pensions:

In governmental funds, pension costs are recognized when employer contributions are made. In the government-wide statement of activities, pension costs are recognized on the accrual basis. This year, the difference between accrual-basis pension costs and employer contributions was: (7,454,385)

Amortization of debt issuance premium or discount:

In governmental funds, if debt is issued at a premium or at a discount, the premium or discount is recognized as an Other Financing Source or an Other Financing Use in the period it is incurred. In the government-wide statements, the premium or discount is amortized over the life of the debt. Amortization of premium or discount for the period is: 2,053,093

Internal Service Funds:

Internal service funds are used to conduct certain activities for which costs are charged to other funds on a full cost-recovery basis. Because internal service funds are presumed to benefit governmental activities, internal service activities are reported as governmental in the statement of activities. The net increase or decrease in internal service funds was: 404,355

Change in Net Position of Governmental Activities

\$ 4,526,762

**CARLSBAD UNIFIED SCHOOL DISTRICT
 PROPRIETARY FUNDS
 STATEMENT OF NET POSITION
 JUNE 30, 2020**

	Governmental Activities Internal Service Fund
ASSETS	
Current assets	
Cash and investments	\$ 2,159,201
Accounts receivable	5,403
Total current assets	<u>2,164,604</u>
Total Assets	<u>2,164,604</u>
LIABILITIES	
Current liabilities	
Accrued liabilities	159,300
Unearned revenue	<u>274,295</u>
Total current liabilities	<u>433,595</u>
Total Liabilities	<u>433,595</u>
NET POSITION	
Restricted	<u>1,731,009</u>
Total Net Position	<u>\$ 1,731,009</u>

The accompanying notes are an integral part of these financial statements.

**CARLSBAD UNIFIED SCHOOL DISTRICT
 PROPRIETARY FUNDS
 STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION
 FOR THE YEAR ENDED JUNE 30, 2020**

	Governmental Activities Internal Service Fund
OPERATING REVENUES	
Charges for services	\$ 1,381,242
Total operating revenues	<u>1,381,242</u>
OPERATING EXPENSES	
Professional services	1,014,573
Total operating expenses	<u>1,014,573</u>
Operating income/(loss)	<u>366,669</u>
NON-OPERATING REVENUES/(EXPENSES)	
Interest income	37,686
Total non-operating revenues/(expenses)	<u>37,686</u>
CHANGE IN NET POSITION	404,355
Net Position - Beginning	1,326,654
Net Position - Ending	<u>\$ 1,731,009</u>

The accompanying notes are an integral part of these financial statements.

**CARLSBAD UNIFIED SCHOOL DISTRICT
 PROPRIETARY FUNDS
 STATEMENT OF CASH FLOWS
 FOR THE YEAR ENDED JUNE 30, 2020**

	Governmental Activities
	Internal Service Fund
Cash flows from operating activities	
Cash received from user charges	\$ 1,381,242
Cash received (paid) from assessments made to (from) other funds	186,599
Cash payments for payroll, insurance, and operating costs	(1,076,830)
Net cash provided by (used for) operating activities	491,011
Cash flows from investing activities	
Interest received	37,686
Net cash provided by (used for) investing activities	37,686
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	528,697
 CASH AND CASH EQUIVALENTS	
Beginning of year	1,630,504
End of year	\$ 2,159,201
 Reconciliation of operating income (loss) to cash provided by (used for) operating activities	
Operating income/(loss)	\$ 366,669
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:	
Changes in assets and liabilities:	
(Increase) decrease in accounts receivables	27,391
Increase (decrease) in accrued liabilities	(62,257)
Increase (decrease) in unearned revenue	159,208
Net cash provided by (used for) operating activities	\$ 491,011

The accompanying notes are an integral part of these financial statements.

CARLSBAD UNIFIED SCHOOL DISTRICT
FIDUCIARY FUNDS
STATEMENT OF NET POSITION
JUNE 30, 2020

	<u>Agency Fund</u> <u>Student Body</u> <u>Fund</u>
ASSETS	
Cash and investments	\$ 896,248
Total Assets	<u>\$ 896,248</u>
LIABILITIES	
Due to student groups	\$ 896,248
Total Liabilities	<u>\$ 896,248</u>

The accompanying notes are an integral part of these financial statements.

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2020

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

A. Financial Reporting Entity

The Carlsbad Unified School District (the "District") accounts for its financial transactions in accordance with the policies and procedures of the Department of Education's *California School Accounting Manual*. The accounting policies of the District conform to generally accepted accounting principles as prescribed by the Governmental Accounting Standards Board (GASB) and the American Institute of Certified Public Accountants (AICPA).

The District operates under a locally elected Board form of government and provides educational services to grades K-12 as mandated by the state. A reporting entity is comprised of the primary government, component units, and other organizations that are included to ensure the financial statements are not misleading. The primary government of the District consists of all funds, departments and agencies that are not legally separate from the District. For the District, this includes general operations, food service, and student-related activities.

B. Component Units

Component units are legally separate organizations for which the District is financially accountable. Component units may also include organizations that are fiscally dependent on the District in that the District approves their budget, the issuance of their debt or the levying of their taxes. In addition, component units are other legally separate organizations for which the District is not financially accountable but the nature and significance of the organization's relationship with the District is such that exclusion would cause the District's financial statements to be misleading or incomplete.

The Carlsbad Unified School District Educational Facilities Corporation (Corporation) and the Carlsbad Unified School District Community Facilities Districts (CFDs) have a financial and operational relationship which meet the reporting entity definition criteria of the Codification of Governmental Accounting and Financial Reporting Standards, Section 2100, for inclusion of the Corporation and the CFDs as component units of the District. Therefore, the financial activities of the Corporation and the CFDs have been included in the basic financial statements of the District as a blended component unit.

C. Basis of Presentation

Government-Wide Statements. The statement of net position and the statement of activities display information about the primary government (the District). These statements include the financial activities of the overall government, except for fiduciary activities. Eliminations have been made to minimize the double-counting of internal activities. Governmental activities generally are financed through taxes, intergovernmental revenue, and other non-exchange transactions.

The statement of activities presents a comparison between direct expenses and program revenue for each function of the District's governmental activities. Direct expenses are those that are specifically associated with a program or function and, therefore, are clearly identifiable to a particular function. Indirect expense allocations that have been made in the funds have been reserved for the statement of activities. Program revenues include charges paid by the recipients of the goods or services offered by the programs and grants and contributions that are restricted to meeting of operational or capital requirements of a particular program. Revenues that are not classified as program revenues are presented as general revenues. The comparison of program revenues and expenses identifies the extent to which each program or business segment is self-financing or draws from the general revenues of the District.

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

C. Basis of Presentation (continued)

Fund Financial Statements. The fund financial statements provide information about the District's funds, including its proprietary and fiduciary funds. Separate statements for each fund category – governmental, proprietary and fiduciary – are presented. The emphasis of fund financial statements is on major governmental funds, each displayed in a separate column. All remaining governmental funds are aggregated and reported as non-major funds.

Governmental funds are used to account for activities that are governmental in nature. Governmental activities are typically tax-supported and include education of pupils, operation of food service and child development programs, construction and maintenance of school facilities, and repayment of long-term debt.

Proprietary funds are used to account for activities that are more business-like than government-like in nature. Business-type activities include those for which a fee is charged to external users or to other organizational units of the District, normally on a full cost-recovery basis. Proprietary funds are generally intended to be self-supporting.

Fiduciary funds are used to account for assets held by the District in a trustee or agency capacity for others that cannot be used to support the District's own programs.

Major Governmental Funds

General Fund: The General Fund is the main operating fund of the District. It is used to account for all activities except those that are required to be accounted for in another fund. In keeping with the minimum number of funds principle, all of the District's activities are reported in the General Fund unless there is a compelling reason to account for an activity in another fund. A District may have only one General Fund.

Building Fund: This fund exists primarily to account separately for proceeds from the sale of bonds (*Education Code Section 15146*) and may not be used for any purposes other than those for which the bonds were issued. Other authorized revenues to the Building Fund are proceeds from the sale or lease-with-option-to-purchase of real property (*Education Code Section 17462*) and revenue from rentals and leases of real property specifically authorized for deposit into the fund by the governing board (*Education Code Section 41003*).

Bond Interest and Redemption Fund: This fund is used for the repayment of bonds issued for the District (*Education Code Sections 15125–15262*). The board of supervisors of the county issues the bonds. The proceeds from the sale of the bonds are deposited in the county treasury to the Building Fund of the District. Any premiums or accrued interest received from the sale of the bonds must be deposited in the Bond Interest and Redemption Fund of the District. The county auditor maintains control over the District's Bond Interest and Redemption Fund. The principal and interest on the bonds must be paid by the county treasurer from taxes levied by the county auditor-controller.

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

C. Basis of Presentation (continued)

Non-Major Governmental Funds

Special Revenue Funds: Special revenue funds are used to account for and report the proceeds of specific revenue sources that are restricted or committed to expenditures for specified purposes other than debt service or capital projects. The District maintains the following special revenue funds:

Cafeteria Fund: This fund is used to account separately for federal, state, and local resources to operate the food service program (*Education Code Sections 38090–38093*). The Cafeteria Fund shall be used only for those expenditures authorized by the governing board as necessary for the operation of the District's food service program (*Education Code Sections 38091 and 38100*).

Capital Project Funds: Capital project funds are established to account for financial resources to be used for the acquisition or construction of major capital facilities (other than those financed by proprietary funds and trust funds).

Capital Facilities Fund: This fund is used primarily to account separately for moneys received from fees levied on developers or other agencies as a condition of approving a development (*Education Code Sections 17620–17626*). The authority for these levies may be county/city ordinances (*Government Code Sections 65970–65981*) or private agreements between the District and the developer. Interest earned in the Capital Facilities Fund is restricted to that fund (*Government Code Section 66006*).

County School Facilities Fund: This fund is established pursuant to *Education Code Section 17070.43* to receive apportionments from the 1998 State School Facilities Fund (Proposition 1A), the 2002 State School Facilities Fund (Proposition 47), or the 2004 State School Facilities Fund (Proposition 55) authorized by the State Allocation Board for new school facility construction, modernization projects, and facility hardship grants, as provided in the Leroy F. Greene School Facilities Act of 1998 (*Education Code Section 17070 et seq.*).

Capital Projects Fund for Blended Component Units: This fund is used to account for capital projects financed by Mello-Roos Community Facilities Districts and similar entities that are considered blended component units of the District under generally accepted accounting principles (GAAP).

Debt Service Funds: Debt service funds are established to account for the accumulation of resources for and the payment of principal and interest on general long-term debt.

Debt Service Fund for Blended Component Units: This fund is used to account for the accumulation of resources for the payment of principal and interest on bonds issued by Mello-Roos Community Facilities Districts and similar entities that are considered blended component units of the District under generally accepted accounting principles (GAAP).

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

C. Basis of Presentation (continued)

Proprietary Funds

Internal Service Funds: Internal service funds are created principally to render services to other organizational units of the District on a cost-reimbursement basis. These funds are designed to be self-supporting with the intent of full recovery of costs, including some measure of the cost of capital assets, through user fees and charges.

Self-Insurance Fund: Self-insurance funds are used to separate moneys received for self-insurance activities from other operating funds of the District. Separate funds may be established for each type of self-insurance activity, such as workers' compensation, health and welfare, and deductible property loss (*Education Code Section 17566*).

Fiduciary Funds

Trust and Agency Funds: Trust and agency funds are used to account for assets held in a trustee or agent capacity for others that cannot be used to support the District's own programs. The key distinction between trust and agency funds is that trust funds are subject to a trust agreement that affects the degree of management involvement and the length of time that the resources are held.

Student Body Fund: The Student Body Fund is an agency fund and, therefore, consists only of accounts such as cash and balancing liability accounts, such as due to student groups. The student body itself maintains its own general fund, which accounts for the transactions of that entity in raising and expending money to promote the general welfare, morale, and educational experiences of the student body (*Education Code Sections 48930–48938*).

D. Basis of Accounting – Measurement Focus

Government-Wide, Proprietary, and Fiduciary Financial Statements

The government-wide, proprietary, and fiduciary fund financial statements are reported using the economic resources measurement focus. The government-wide, proprietary, and fiduciary fund financial statements are reported using the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded at the time liabilities are incurred, regardless of when the related cash flows take place.

Net Position equals assets and deferred outflows of resources minus liabilities and deferred inflows of resources. Net investment in capital assets consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction or improvement of those assets. The net position should be reported as restricted when constraints placed on its use are either externally imposed by creditors (such as through debt covenants), grantors, contributors, or laws or regulations of other governments or imposed by law through constitutional provisions or enabling legislation. The net position restricted for other activities results from special revenue funds and the restrictions on their use.

Proprietary funds distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the internal service fund are charges to other funds for self-insurance costs. Operating expenses for internal service funds include the costs of insurance premiums and claims related to self-insurance.

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

D. Basis of Accounting – Measurement Focus (continued)

Governmental Funds

Basis of accounting refers to when revenues and expenditures are recognized in the accounts and reported in the financial statements. Governmental funds use the modified accrual basis of accounting.

Revenues – Exchange and Non-Exchange Transactions

Revenue resulting from exchange transactions, in which each party gives and receives essentially equal value, is recorded under the accrual basis when the exchange takes place. On a modified accrual basis, revenue is recorded in the fiscal year in which the resources are measurable and become available. “Available” means the resources will be collected within the current fiscal year or are expected to be collected soon enough thereafter to be used to pay liabilities of the current fiscal year. Generally, “available” means collectible within the current period or within 60 days after year-end. However, to achieve comparability of reporting among California school districts and so as not to distort normal revenue patterns, with specific respect to reimbursement grants and corrections to State-aid apportionments, the California Department of Education has defined available for school districts as collectible within one year.

Non-exchange transactions, in which the District receives value without directly giving equal value in return, include property taxes, grants, and entitlements. Under the accrual basis, revenue from property taxes is recognized in the fiscal year for which the taxes are levied. Revenue from the grants and entitlements is recognized in the fiscal year in which all eligibility requirements have been satisfied.

Eligibility requirements include timing requirements, which specify the year when the resources are to be used or the fiscal year when use is first permitted; matching requirements, in which the District must provide local resources to be used for a specific purpose; and expenditure requirements, in which the resources are provided to the District on a reimbursement basis. Under the modified accrual basis, revenue from non-exchange transactions must also be available before it can be recognized.

Unearned Revenue

Unearned revenue arises when potential revenue does not meet both the “measurable” and “available” criteria for recognition in the current period or when resources are received by the District prior to the incurrence of qualifying expenditures. In subsequent periods, when both revenue recognition criteria are met, or when the District has a legal claim to the resources, the liability for unearned revenue is removed from the balance sheet and revenue is recognized.

Certain grants received that have not met eligibility requirements are recorded as unearned revenue. On the governmental fund financial statements, receivables that will not be collected within the available period are also recorded as unearned revenue.

Expenses/Expenditures

On the accrual basis of accounting, expenses are recognized at the time a liability is incurred. On the modified accrual basis of accounting, expenditures are generally recognized in the accounting period in which the related fund liability is incurred, as under the accrual basis of accounting. However, under the modified accrual basis of accounting, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due. Allocations of cost, such as depreciation and amortization, are not recognized in the governmental funds. When both restricted and unrestricted resources are available for use, it is the District’s policy to use restricted resources first, then unrestricted resources as they are needed.

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

E. Assets, Deferred Outflows of Resources, Liabilities, Deferred Inflows of Resources, Fund Balance and Net Position

Cash and Cash Equivalents

The District's cash and cash equivalents consist of cash on hand, demand deposits and short-term investments with original maturities of three months or less from the date of acquisition. Cash equivalents also include cash with county treasury balances for purposes of the statement of cash flows.

Investments

Investments with original maturities greater than one year are stated at fair value. Fair value is estimated based on quoted market prices at year-end. All investments not required to be reported at fair value are stated at cost or amortized cost. Fair values of investments in county and State investment pools are determined by the program sponsor.

Inventories

Inventories are recorded using the purchases method in that the cost is recorded as an expenditure at the time the individual inventory items are requisitioned. Inventories are valued at historical cost and consist of expendable supplies held for consumption.

Capital Assets

The accounting and reporting treatment applied to the capital assets associated with a fund is determined by its measurement focus. Capital assets are reported in the governmental activities column of the government-wide statement of net position but are not reported in the fund financial statements.

Capital assets are capitalized at cost (or estimated historical cost) and updated for additions and retirements during the year. Donated fixed assets are recorded at their acquisition value as of the date received. The District maintains a capitalization threshold of \$5,000. The District does not own any infrastructure as defined in GASB Statement No. 34. Improvements are capitalized; the costs of normal maintenance and repairs that do not add to the value of the asset or materially extend an asset's life are not capitalized. All reported capital assets, except for land and construction in progress, are depreciated. Improvements are depreciated over the remaining useful lives of the related capital assets. Depreciation is computed using the straight-line method over the following estimated useful lives:

<u>Asset Class</u>	<u>Estimated Useful Life</u>
Buildings and Improvements	10-50
Furniture and Equipment	5-15
Vehicles	5-15

Interfund Balances

On fund financial statements, receivables and payables resulting from short-term interfund loans are classified as "Due from other funds/Due to other funds." These amounts are eliminated in the governmental activities columns of the statement of net position.

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

E. Assets, Deferred Outflows of Resources, Liabilities, Deferred Inflows of Resources, Fund Balance and Net Position (continued)

Compensated Absences

Accumulated unpaid employee vacation benefits are accrued as a liability as the benefits are earned. The entire compensated absence liability is reported on the government-wide financial statements. For governmental funds, the current portion of unpaid compensated absences is recognized upon the occurrence of relevant events such as employee resignations and retirements that occur prior to year-end that have not yet been paid with expendable available financial resource. These amounts are recorded in the fund from which the employees who have accumulated leave are paid.

Accumulated sick leave benefits are not recognized as liabilities of the District. The District's policy is to record sick leave as an operating expense in the period taken because such benefits do not vest, nor is payment probable; however, unused sick leave is added to the creditable service period for calculation of retirement benefits when the employee retires.

Accrued Liabilities and Long-Term Obligations

All payables, accrued liabilities, and long-term obligations are reported in the government-wide and proprietary fund financial statements. In general, governmental fund payables and accrued liabilities that, once incurred, are paid in a timely manner and in full from current financial resources are reported as obligations of the funds.

Postemployment Benefits Other Than Pensions (OPEB)

For purposes of measuring the total OPEB liability, deferred outflows of resources related to OPEB and deferred inflows of resources related to OPEB, and OPEB expense have been determined by an independent actuary. For this purpose, benefit payments are recognized when currently due and payable in accordance with the benefit terms.

Generally accepted accounting principles require the reported results must pertain to liability and asset information within certain defined timeframes. For this report, the following timeframes are used:

Valuation Date	June 30, 2020
Measurement Date	June 30, 2020
Measurement Period	July 1, 2019 – June 30, 2020

Gains and losses related to changes in total OPEB liability are recognized in OPEB expense systematically over time. The first amortized amounts are recognized in OPEB expense for the year the gain or loss occurs. The remaining amounts are categorized as deferred outflows and deferred inflows of resources related to OPEB and are to be recognized in future OPEB expense. The amortization period differs depending on the source of gain or loss. The difference between projected and actual earnings is amortized on a straight-line basis over five years. All other amounts are amortized on a straight-line basis over the average expected remaining service lives of all members that are provided with benefits (active, inactive, and retired) at the beginning of the measurement period.

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

E. Assets, Deferred Outflows of Resources, Liabilities, Deferred Inflows of Resources, Fund Balance and Net Position (continued)

Premiums and Discounts

In the government-wide and proprietary fund financial statements, long-term obligations are reported as liabilities in the applicable governmental activities or proprietary fund statement of net position. Bond premiums and discounts are deferred and amortized over the life of the bonds using the straight-line method.

Deferred Outflows/Deferred Inflows of Resources

In addition to assets, the District will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net position that applies to a future period and so will not be recognized as an outflow of resources (expense/expenditure) until then.

In addition to liabilities, the District will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of net position that applies to a future period and so will not be recognized as an inflow of resources (revenue) until that time.

Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the defined benefit pension plans (the Plans) of the California State Teachers' Retirement System (CalSTRS) and the California Public Employees' Retirement System (CalPERS) and additions to/deductions from the Plans' fiduciary net position have been determined on the same basis as they are reported by the Plans. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Fund Balance

Fund balance is divided into five classifications based primarily on the extent to which the District is bound to observe constraints imposed upon the use of the resources in the governmental funds. The classifications are as follows:

Nonspendable - The nonspendable fund balance classification reflects amounts that are not in spendable form. Examples include inventory, prepaid items, the long-term portion of loans receivable, and nonfinancial assets held for resale. This classification also reflects amounts that are in spendable form but that are legally or contractually required to remain intact, such as the principal of a permanent endowment.

Restricted - The restricted fund balance classification reflects amounts subject to externally imposed and legally enforceable constraints. Such constraints may be imposed by creditors, grantors, contributors, or laws or regulations of other governments, or may be imposed by law through constitutional provisions or enabling legislation.

Committed - The committed fund balance classification reflects amounts subject to internal constraints self-imposed by formal action of the Governing Board. The constraints giving rise to committed fund balance must be imposed no later than the end of the reporting period. The actual amounts may be determined subsequent to that date but prior to the issuance of the financial statements. In contrast to restricted fund balance, committed fund balance may be redirected by the government to other purposes as long as the original constraints are removed or modified in the same manner in which they were imposed, that is, by the same formal action of the Governing Board.

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

E. Assets, Deferred Outflows of Resources, Liabilities, Deferred Inflows of Resources, Fund Balance and Net Position (continued)

Fund Balance (continued)

Assigned - The assigned fund balance classification reflects amounts that the government *intends* to be used for specific purposes. Assignments may be established either by the Governing Board or by a designee of the governing body and are subject to neither the restricted nor committed levels of constraint. In contrast to the constraints giving rise to committed fund balance, constraints giving rise to assigned fund balance are not required to be imposed, modified, or removed by formal action of the Governing Board. The action does not require the same level of formality and may be delegated to another body or official. Additionally, the assignment need not be made before the end of the reporting period, but rather may be made any time prior to the issuance of the financial statements.

Unassigned - In the General Fund only, the unassigned fund balance classification reflects the residual balance that has not been assigned to other funds and that is not restricted, committed, or assigned to specific purposes. However, deficits in any fund, including the General Fund that cannot be eliminated by reducing or eliminating amounts assigned to other purposes are reported as negative unassigned fund balance.

The District applies restricted resources first when expenditures are incurred for purposes for which either restricted or unrestricted (committed, assigned and unassigned) amounts are available. Similarly, within unrestricted fund balance, committed amounts are reduced first followed by assigned, and then unassigned amounts when expenditures are incurred for purposes for which amounts in any of the unrestricted fund balance classifications could be used.

F. Interfund Activity

Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after non-operating revenues/expenses in proprietary funds. Repayments from funds responsible for particular expenditures/expenses to the funds that initially paid for them are not presented in the financial statements. Interfund transfers are eliminated in the governmental activities columns of the statement of activities.

G. Estimates

The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

H. Budgetary Data

The budgetary process is prescribed by provisions of the California Education Code and requires the governing board to hold a public hearing and adopt an operating budget no later than July 1 of each year. The District governing board satisfied these requirements. The adopted budget is subject to amendment throughout the year to give consideration to unanticipated revenue and expenditures primarily resulting from events unknown at the time of budget adoption with the legal restriction that expenditures cannot exceed appropriations by major object account.

The amounts reported as the original budgeted amounts in the budgetary statements reflect the amounts when the original appropriations were adopted. The amounts reported as the final budgeted amounts in the budgetary statements reflect the amounts after all budget amendments have been accounted for. For purposes of the budget, on-behalf payments have not been included as revenue and expenditures as required under generally accepted accounting principles.

I. Property Tax

Secured property taxes attach as an enforceable lien on property as of January 1. Taxes are payable in two installments on November 1 and February 1 and become delinquent on December 10 and April 10, respectively. Unsecured property taxes are payable in one installment on or before August 31. The County Auditor-Controller bills and collects the taxes on behalf of the District. Local property tax revenues are recorded when received.

J. New Accounting Pronouncements

GASB Statement No. 84 – In January 2017, GASB issued Statement No. 84, *Fiduciary Activities*. This standard's primary objective is to improve guidance regarding the identification of fiduciary activities for accounting and financial reporting purposes and how those activities should be reported. The statement was postponed by GASB Statement No. 95 and is effective for periods beginning after December 15, 2019. The District has not yet determined the impact on the financial statements.

GASB Statement No. 87 – In June 2017, GASB issued Statement No. 87, *Leases*. This standard's primary objective is to better meet the information needs of financial statement users by improving accounting and financial reporting for leases by governments. The statement was postponed by GASB Statement No. 95 and is effective for periods beginning after June 15, 2021. The District has not yet determined the impact on the financial statements.

GASB Statement No. 91 – In May 2019, GASB issued Statement No. 91, *Conduit Debt Obligations*. This standard's primary objectives are to provide a single method of reporting conduit debt obligations by issuers and eliminate diversity in practice associated with (1) commitments extended by issuers, (2) arrangements associated with conduit debt obligations, and (3) related note disclosures. The statement was postponed by GASB Statement No. 95 and is effective for periods beginning after December 15, 2021. The District has not yet determined the impact on the financial statements.

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

J. New Accounting Pronouncements (continued)

GASB Statement No. 92 – In January 2020, GASB issued Statement No. 92, *Omnibus 2020*. This standard's primary objectives are to enhance comparability in accounting and financial reporting and to improve the consistency of authoritative literature by addressing practice issues that have been identified during implementation and application of certain GASB Statements. A portion of this statement was effective upon issuance, while the majority of this statement was postponed by GASB Statement No. 95 and is effective for periods beginning after June 15, 2021. The District has implemented the requirements that were effective upon issuance but has not yet determined the impact on the financial statements for the requirements of this statement that are not yet effective.

GASB Statement No. 95 – In May 2020, GASB issued Statement No. 95, *Postponement of the Effective Dates of Certain Authoritative Guidance*. This standard's primary objective is to provide temporary relief to governments and other stakeholders in light of the COVID-19 pandemic by postponing the effective dates of certain provisions in Statements and Implementation Guides that first became effective or are scheduled to become effective for periods beginning after June 15, 2018, and later. The statement is effective immediately. The District has implemented GASB Statement No. 95.

NOTE 2 – CASH AND INVESTMENTS

A. Summary of Cash and Investments

	Governmental Funds	Internal Service Funds	Governmental Activities	Fiduciary Funds
Investment in county treasury	\$ 160,558,323	\$ 1,311,029	\$ 161,869,352	\$ 269,750
Cash on hand and in banks	-	-	-	626,498
Cash with fiscal agent	57,985,967	848,172	58,834,139	-
Cash in revolving fund	30,000	-	30,000	-
Total	\$ 218,574,290	\$ 2,159,201	\$ 220,733,491	\$ 896,248

B. Policies and Practices

The District is authorized under California Government Code to make direct investments in local agency bonds, notes, or warrants within the state; U.S. Treasury instruments; registered state warrants or treasury notes; securities of the U.S. Government, or its agencies; bankers acceptances; commercial paper; certificates of deposit placed with commercial banks and/or savings and loan companies; repurchase or reverse repurchase agreements; medium term corporate notes; shares of beneficial interest issued by diversified management companies, certificates of participation, obligations with first priority security; collateralized mortgage obligations; and the County Investment Pool.

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 2 – CASH AND INVESTMENTS (continued)

B. Policies and Practices (continued)

Investment in County Treasury – The District maintains substantially all of its cash in the County Treasury in accordance with *Education Code Section 41001*. The San Diego County Treasurer’s pooled investments are managed by the County Treasurer who reports on a monthly basis to the board of supervisors. In addition, the function of the County Treasury Oversight Committee is to review and monitor the County’s investment policy. The committee membership includes the Treasurer and Tax Collector, the Auditor-Controller, Chief Administrative Officer, Superintendent of Schools Representative, and a public member. The fair value of the District’s investment in the pool is based upon the District’s pro-rata share of the fair value provided by the County Treasurer for the entire portfolio (in relation to the amortized cost of that portfolio). The balance available for withdrawal is based on the accounting records maintained by the County Treasurer, which is recorded on the amortized cost basis.

Cash with Fiscal Agent – The District maintains cash balances with Union Bank and Bank of New York related to its Community Facilities District Bonds, Risk Management JPA and the 2017 General Obligation Refunding Bonds, Series A (2024 Crossover).

C. General Authorizations

Except for investments by trustees of debt proceeds, the authority to invest District funds deposited with the county treasury is delegated to the County Treasurer and Tax Collector. Additional information about the investment policy of the County Treasurer and Tax Collector may be obtained from its website. The table below identifies the investment types permitted by California Government Code.

Authorized Investment Type	Maximum Remaining Maturity	Maximum Percentage of Portfolio	Maximum Investment in One Issuer
Local Agency Bonds, Notes, Warrants	5 years	None	None
Registered State Bonds, Notes, Warrants	5 years	None	None
U. S. Treasury Obligations	5 years	None	None
U. S. Agency Securities	5 years	None	None
Banker’s Acceptance	180 days	40%	30%
Commercial Paper	270 days	25%	10%
Negotiable Certificates of Deposit	5 years	30%	None
Repurchase Agreements	1 year	None	None
Reverse Repurchase Agreements	92 days	20% of base	None
Medium-Term Corporate Notes	5 years	30%	None
Mutual Funds	N/A	20%	10%
Money Market Mutual Funds	N/A	20%	10%
Mortgage Pass-Through Securities	5 years	20%	None
County Pooled Investment Funds	N/A	None	None
Local Agency Investment Fund (LAIF)	N/A	None	None
Joint Powers Authority Pools	N/A	None	None

D. Interest Rate Risk

Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment, the greater the sensitivity of its fair value to changes in market interest rates. The District manages its exposure to interest rate risk by investing in the County Treasury. The District maintains a pooled investment with the County Treasury with a fair value of approximately \$164,398,728 and an amortized book value of \$162,139,102. The average weighted maturity for this pool is 556 days.

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 2 – CASH AND INVESTMENTS (continued)

E. Credit Risk

Credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of a rating by a nationally recognized statistical rating organization. The investments in the County Treasury are not required to be rated. As of June 30, 2020, the pooled investments in the County Treasury were rated at least A.

F. Custodial Credit Risk – Deposits

This is the risk that in the event of a bank failure, the District's deposits may not be returned to it. The District does not have a policy for custodial credit risk for deposits. However, the California Government Code requires that a financial institution secure deposits made by state or local governmental units by pledging securities in an undivided collateral pool held by a depository regulated under state law. The market value of the pledged securities in the collateral pool must equal at least 110 percent of the total amount deposited by the public agencies. California law also allows financial institutions to secure public deposits by pledging first trust deed mortgage notes having a value of 150 percent of the secured public deposits and letters of credit issued by the Federal Home Loan Bank of San Francisco having a value of 105 percent of the secured deposits. As of June 30, 2020, the District's bank balance of \$397,374 was exposed to custodial credit risk.

G. Fair Value

The District categorizes the fair value measurements of its investments based on the hierarchy established by generally accepted accounting principles. The fair value hierarchy is based on the valuation inputs used to measure an asset's fair value. The following provides a summary of the hierarchy used to measure fair value:

Level 1 - Quoted prices (unadjusted) in active markets for identical assets.

Level 2 - Observable inputs other than Level 1 prices such as quoted prices for similar assets in active markets, quoted prices for identical or similar assets in markets that are not active, or other inputs that are observable, either directly or indirectly.

Level 3 - Unobservable inputs should be developed using the best information available under the circumstances, which might include the District's own data. The District should adjust that data if reasonable available information indicates that other market participants would use different data or certain circumstances specific to the District are not available to other market participants.

Uncategorized - Investments in the San Diego County Treasury Investment Pool are not measured using the input levels above because the District's transactions are based on a stable net asset value per share. All contributions and redemptions are transacted at \$1.00 net asset value per share.

The District's fair value measurements at June 30, 2020 were as follows:

	<u>Uncategorized</u>
Investment in county treasury	<u>\$ 164,398,728</u>
Total	<u>\$ 164,398,728</u>

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 3 – ACCOUNTS RECEIVABLE

Accounts receivable at June 30, 2020 consisted of the following:

	General Fund	Building Fund	Non-Major Governmental Funds	Internal Service Funds	Governmental Activities
Federal Government					
Categorical aid	\$ 2,152,420	\$ -	\$ 71,329	\$ -	\$ 2,223,749
State Government					
Apportionment	543,791	-	-	-	543,791
Categorical aid	1,011,769	-	6,141	-	1,017,910
Lottery	571,096	-	-	-	571,096
Local Government					
Other local sources	687,231	352,594	52,944	5,403	1,098,172
Total	\$ 4,966,307	\$ 352,594	\$ 130,414	\$ 5,403	\$ 5,454,718

NOTE 4 – CAPITAL ASSETS

Capital asset activity for the year ended June 30, 2020 was as follows:

	Balance July 01, 2019	Additions	Deletions	Balance June 30, 2020
Governmental Activities				
Capital assets not being depreciated				
Land	\$ 36,276,875	\$ -	\$ -	\$ 36,276,875
Construction in progress	43,223,180	21,367,765	21,182,402	43,408,543
Total Capital Assets not Being Depreciated	79,500,055	21,367,765	21,182,402	79,685,418
Capital assets being depreciated				
Land improvements	22,618,733	736,753	-	23,355,486
Buildings & improvements	298,930,168	18,846,058	-	317,776,226
Furniture & equipment	27,761,914	1,599,591	-	29,361,505
Total Capital Assets Being Depreciated	349,310,815	21,182,402	-	370,493,217
Less Accumulated Depreciation				
Land improvements	13,119,662	916,578	-	14,036,240
Buildings & improvements	68,721,135	6,206,939	-	74,928,074
Furniture & equipment	20,412,225	1,222,260	-	21,634,485
Total Accumulated Depreciation	102,253,022	8,345,777	-	110,598,799
Governmental Activities				
Capital Assets, net	\$ 326,557,848	\$ 34,204,390	\$ 21,182,402	\$ 339,579,836

Depreciation expense was allocated by function as follows:

Governmental Activities	
Instruction	\$ 7,287,736
Instructional library, media, and technology	18,400
School site administration	62,840
Food services	5,072
Centralized data processing	158,446
All other general administration	363,549
Plant services	449,734
Total Depreciation Expense	\$ 8,345,777

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 5 – INTERFUND TRANSACTIONS

A. Interfund Receivables/Payables (Due From/Due To)

Individual interfund receivable and payable balances at June 30, 2020 were as follows:

<u>Due To Other Funds</u>	<u>Due From Other Funds</u>			
	<u>General Fund</u>	<u>Building Fund</u>	<u>Non-Major Governmental Funds</u>	<u>Total</u>
General Fund	\$ -	\$ -	\$ 171,752	\$ 171,752
Building Fund	1,742	-	-	1,742
Non-Major Governmental Funds	228,738	5,202	-	233,940
Total	\$ 230,480	\$ 5,202	\$ 171,752	\$ 407,434

Due from the Cafeteria Fund to the General Fund for OPEB contributions and short-term borrowing.	\$ 179,735
Due from the General Fund to the Cafeteria Fund to reimburse personnel costs from ESSER funds.	171,752
Due from the Capital Facilities Fund to the General Fund for 3% administrative cost contribution.	49,003
Due from the County School Facilities Fund to the Building Fund for reimbursement of costs.	5,202
Due from the Building Fund to the General Fund for OPEB costs.	1,742
Total	\$ 407,434

B. Operating Transfers

Interfund transfers for the year ended June 30, 2020 consisted of the following:

<u>Interfund Transfers Out</u>	<u>Interfund Transfers In</u>	
	<u>Non-Major Governmental Funds</u>	<u>Total</u>
General Fund	\$ 10,000	\$ 10,000
Non-Major Governmental Funds	3,431,316	3,431,316
Total	\$ 3,441,316	\$ 3,441,316

Transfer from the Capital Project Fund for Blended Component Units to the Debt Service Fund for Blended Component Units for debt service payments.	\$ 3,431,316
Transfer from the General Fund to the Cafeteria Fund for program contributions.	10,000
Total	\$ 3,441,316

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 6 – ACCRUED LIABILITIES

Accrued liabilities at June 30, 2020 consisted of the following:

	General Fund	Building Fund	Non-Major Governmental Funds	Internal Service Funds	District-Wide	Governmental Activities
Payroll	\$ 3,798,417	\$ 6,032	\$ 86,307	\$ -	\$ -	\$ 3,890,756
Construction	-	8,501,896	306,674	-	-	8,808,570
Vendors payable	1,076,386	-	6,857	159,300	-	1,242,543
Unmatured interest	-	-	-	-	3,378,813	3,378,813
Due to grantor government	4,940,301	-	-	-	-	4,940,301
Total	\$ 9,815,104	\$ 8,507,928	\$ 399,838	\$ 159,300	\$ 3,378,813	\$ 22,260,983

NOTE 7 – UNEARNED REVENUE

Unearned revenue at June 30, 2020 consisted of the following:

	General Fund	Internal Service Funds	Governmental Activities
Federal sources	\$ 111,712	\$ -	\$ 111,712
State categorical sources	460,907	-	460,907
Local sources	-	274,295	274,295
Total	\$ 572,619	\$ 274,295	\$ 846,914

NOTE 8 – LONG-TERM LIABILITIES

A schedule of changes in long-term liabilities for the year ended June 30, 2020 consisted of the following:

	Balance July 01, 2019	Restatement	Additions	Deductions	Balance June 30, 2020	Balance Due In One Year
Governmental Activities						
General obligation bonds	\$ 262,390,230	\$ 28,548,450	\$ -	\$ 2,899,018	\$ 288,039,662	13,242,631
Unamortized premium	20,669,665	1,481,728	-	1,754,918	20,396,475	1,754,918
Accreted interest	28,700,111	22,751,550	4,020,282	2,155,982	53,315,961	2,262,369
Total general obligation bonds	311,760,006	52,781,728	4,020,282	6,809,918	361,752,098	17,259,918
Certificates of participation	38,540,000	-	-	1,640,000	36,900,000	1,725,000
Unamortized premium	5,367,159	-	-	298,175	5,068,984	298,175
Total certificates of participation	43,907,159	-	-	1,938,175	41,968,984	2,023,175
Special tax bonds	1,430,000	-	-	105,000	1,325,000	110,000
Capital leases	3,775,000	-	-	375,000	3,400,000	385,000
Compensated absences	354,077	-	190,141	-	544,218	-
Total OPEB liability	36,291,639	-	-	687,523	35,604,116	-
Net pension liability	111,815,993	-	11,280,885	-	123,096,878	-
Total	\$ 509,333,874	\$ 52,781,728	\$ 15,491,308	\$ 9,915,616	\$ 567,691,294	\$ 19,778,093

- Payments for general obligation bonds are made in the Bond Interest and Redemption Fund.
- Payments on certificates of participation are made in the Debt Service Fund for Blended Component Units.
- Payments for capital lease obligations are made in the Capital Projects Fund for Blended Component Units.
- Payments for compensated absences are typically liquidated in the General Fund and the Non-Major Governmental Funds.
- Payments for the special tax bonds are made in the Debt Service Fund for Blended Component Units.

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 8 – LONG-TERM LIABILITIES (continued)

A. General Obligation Bonds

General obligation bonds at June 30, 2020, consisted of the following:

Series	Issue Date	Maturity Date	Interest Rate	Original Issue	Bonds Outstanding July 01, 2019	Additions/ Restatements	Deductions	Bonds Outstanding June 30, 2020
1997 Election, Series A	10/3/1997	8/1/2022	4.15-5.45%	\$26,498,696	\$ 3,667,382	\$ -	\$ 964,018	\$ 2,703,364
2006 Election, Series B	5/29/2009	5/1/2034	1.73-6.00%	79,998,017	-	28,548,450	-	28,548,450
2006 Election, Series C	6/7/2011	8/1/2035	3.00-6.63%	52,998,238	36,242,848	-	545,000	35,697,848
2006 Election, Series D	6/7/2011	8/1/2026	4.58-5.23%	25,000,000	25,000,000	-	-	25,000,000
2014 Refunding Bonds	5/14/2014	8/1/2027	2.00-5.00%	16,495,000	14,620,000	-	1,390,000	13,230,000
2016 Refunding Bonds	2/25/2016	8/1/2032	3.00-5.00%	38,305,000	38,005,000	-	-	38,005,000
2017 Series A Refunding	11/8/2017	5/1/2034	4.00-5.00%	49,990,000	49,990,000	-	-	49,990,000
2017 Series B Refunding	11/8/2017	8/1/2026	2.00-5.00%	10,100,000	9,870,000	-	-	9,870,000
2018 Election, Series A	6/27/2019	8/1/1948	3.00-5.00%	84,995,000	84,995,000	-	-	84,995,000
					\$ 262,390,230	\$ 28,548,450	\$ 2,899,018	\$ 288,039,662

2017 General Obligation Refunding Bonds, Series A (2024 Crossover)

On November 8, 2017, the District issued \$49,990,000 of 2017 General Obligation Refunding Bonds, Series A (2024 Crossover). Proceeds from the bonds were used to establish an escrow portfolio to defease the remaining outstanding bonds issued in Election of 2006, Series B at the crossover date on May 1, 2024. On and prior to May 1, 2024 (the "Crossover Date"), the 2017 Series A Bonds will be special obligations of the District secured by and payable solely from proceeds of the 2017 Series A Bonds deposited into an escrow fund established therefore together with interest earnings thereon. After the Crossover Date, the 2017 Series A Bonds shall constitute general obligation bonds of the District payable solely from *ad valorem* property taxes levied on taxable property within the District. As a result, the refunded bonds are not considered to be defeased until the Crossover Date, at which time the related liability for the bonds will be removed from the District's financial statements.

2017 General Obligation Refunding Bonds, Series B

On November 8, 2017, the District issued \$10,100,000 of 2017 General Obligation Refunding Bonds, Series B. Proceeds from the bonds were used to establish an escrow portfolio to defease a portion of the remaining outstanding bonds issued in Election of 2006, Series C. The net proceeds received for the 2017 Series B Refunding Bonds were deposited into an irrevocable trust with an escrow agent to provide for future debt service payments on the Election of 2006 General Obligation Bonds, Series C that were advance refunded. As a result, the refunded bonds are considered to be defeased, and the related liability for the bonds has been removed from the District's financial statements. Amounts paid to the refunded bond escrow agent in excess of the outstanding debt at the time of payment are recorded as deferred charges on refunding on the statement of net position and are amortized as an expense over the life of the bond. This refunding reduced total debt service payments by \$10,775,000 and resulted in an economic gain (difference between the present value of the debt service payments on the old and new debt) of \$1,194,845. At June 30, 2020, the principal balance outstanding was \$9,870,000.

Election of 2018 General Obligation Bonds, Series A

On June 27, 2019, the District issued \$84,995,000 of Election 2018 General Obligation Bonds, Series A. The bonds bear interest rates ranging from 3.00 to 5.00 percent and mature on August 1, 2048. The bonds were issued to finance the repair, upgrading, acquisition, construction and equipping of certain district property and facilities. At June 30, 2020, the principal balance outstanding was \$84,995,000.

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 8 – LONG-TERM LIABILITIES (continued)

A. General Obligation Bonds (continued)

The annual requirements to amortize all general obligation bonds outstanding at June 30, 2020 were as follows:

Year Ended June 30,	Principal	Interest	Total
2021	\$ 13,242,631	\$ 9,769,725	\$ 23,012,356
2022	24,583,530	9,281,325	33,864,855
2023	12,177,204	7,617,788	19,794,992
2024	6,450,000	7,060,138	13,510,138
2025	7,505,000	6,766,538	14,271,538
2026 - 2030	71,838,037	48,881,663	120,719,700
2031 - 2035	89,103,507	37,541,925	126,645,432
2036 - 2040	21,154,753	9,185,506	30,340,259
2041 - 2045	19,835,000	5,390,000	25,225,000
2046 - 2049	22,150,000	1,789,530	23,939,530
Accretion	53,315,961	(53,315,961)	-
Total	\$ 341,355,623	\$ 89,968,177	\$ 431,323,800

B. Compensated Absences

Total unpaid employee compensated absences as of June 30, 2020 amounted to \$544,218. This amount is included as part of long-term liabilities in the government-wide financial statements.

C. Certificates of Participation

On November 1, 2016, the District issued 2016 Refunding Certificates of Participation amounting to \$41,805,000 payable in annual installments from October 1, 2017 through October 1, 2036. Interest rates range from 3.125 to 5.000 percent, payable beginning April 1, 2017. The agreement is between the District and the Carlsbad Unified School District Educational Facilities Corporation with U.S. Bank National Association as trustee. At June 30, 2020, the principal outstanding was \$36,900,000.

The annual requirements to amortize all certificates of participation outstanding at June 30, 2020 were as follows:

Year Ended June 30,	Principal	Interest	Total
2021	\$ 1,725,000	\$ 1,576,094	\$ 3,301,094
2022	1,810,000	1,487,719	3,297,719
2023	1,895,000	1,395,094	3,290,094
2024	2,000,000	1,297,719	3,297,719
2025	2,095,000	1,195,344	3,290,344
2026 - 2030	12,175,000	4,265,620	16,440,620
2031 - 2035	12,315,000	1,501,895	13,816,895
2036 - 2037	2,885,000	85,825	2,970,825
Total	\$ 36,900,000	\$ 12,805,310	\$ 49,705,310

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 8 – LONG-TERM LIABILITIES (continued)

D. Special Tax Bonds

On June 1, 2014, Special Tax Bonds, Series 2014 were issued by Carlsbad Unified School District Community Facilities District No. 1 (CFD) in the amount of \$1,825,000 and fully mature on September 1, 2029. The interest rate on the bonds is 3.65 percent. The CFDs are funded by Mello-Roos taxes which will be used to repay the bonds. At June 30, 2020, the principal outstanding was \$1,325,000.

The annual requirements to amortize the special tax bonds outstanding at June 30, 2020 were as follows:

Year Ended June 30,	Principal	Interest	Total
2021	\$ 110,000	\$ 46,355	\$ 156,355
2022	115,000	42,249	157,249
2023	120,000	37,960	157,960
2024	125,000	33,489	158,489
2025	130,000	28,835	158,835
2026 - 2030	725,000	67,979	792,979
Total	\$ 1,325,000	\$ 256,867	\$ 1,581,867

E. Capital Leases

In August 2014, the District entered into a lease agreement with Capital One Financing to refinance an equipment lease the District held with SunTrust Bank which was used to purchase equipment for the District. The lease requires annual principal payments as scheduled along with semi-annual interest payments at a rate of 2.8%. Upon final payment the title to the equipment transfers to the District.

Year Ended June 30,	Principal	Interest	Total
2021	\$ 385,000	\$ 89,810	\$ 474,810
2022	395,000	78,890	473,890
2023	410,000	67,620	477,620
2024	415,000	56,070	471,070
2025	430,000	44,240	474,240
2026 - 2027	1,365,000	51,660	1,416,660
Total	\$ 3,400,000	\$ 388,290	\$ 3,788,290

F. Other Postemployment Benefits

The District's beginning total OPEB liability was \$36,291,639 and decreased by \$687,523 during the year ended June 30, 2020. The ending total OPEB liability at June 30, 2020 was \$35,604,116. See Note 10 for additional information regarding the total OPEB liability.

G. Net Pension Liability

The District's beginning net pension liability was \$111,815,993 and increased by \$11,280,885 during the year ended June 30, 2020. The ending net pension liability at June 30, 2020 was \$123,096,878. See Note 11 for additional information regarding the net pension liability.

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 9 – FUND BALANCES

Fund balances were composed of the following elements at June 30, 2020:

	General Fund	Building Fund	Bond Interest and Redemption Fund	Non-Major Governmental Funds	Total Governmental Funds
Non-spendable					
Revolving cash	\$ 30,000	\$ -	\$ -	\$ -	\$ 30,000
Stores inventory	37,728	-	-	131,622	169,350
Prepaid expenditures	1,660,418	2,158	-	41,938	1,704,514
Total non-spendable	1,728,146	2,158	-	173,560	1,903,864
Restricted					
Educational programs	3,430,240	-	-	-	3,430,240
Capital projects	-	73,520,933	-	11,519,677	85,040,610
Debt service	-	-	95,519,529	-	95,519,529
All others	-	-	-	84,707	84,707
Total restricted	3,430,240	73,520,933	95,519,529	11,604,384	184,075,086
Committed					
Stabilization	3,124,698	-	-	-	3,124,698
Total committed	3,124,698	-	-	-	3,124,698
Assigned					
Band uniforms reserve	50,000	-	-	-	50,000
Furniture & equipment reserve	250,000	-	-	-	250,000
STRS/PERS reserve	800,000	-	-	-	800,000
Technology reserve	2,200,000	-	-	-	2,200,000
Textbook adoption reserve	500,000	-	-	-	500,000
Mandated cost reserve	634,427	-	-	-	634,427
Site donations/supplemental carryover	803,778	-	-	-	803,778
Other assigned	6,280,126	-	-	-	6,280,126
Site WASC carryover reserve	17,840	-	-	-	17,840
Total assigned	11,536,171	-	-	-	11,536,171
Unassigned	5,962,161	-	-	-	5,962,161
Total Fund Balance	\$ 25,781,416	\$ 73,523,091	\$ 95,519,529	\$ 11,777,944	\$ 206,601,980

The District is committed to maintaining a prudent level of financial resources to protect against the need to reduce service levels because of temporary revenue shortfalls or unpredicted expenditures. The District's Minimum Fund Balance Policy requires a Reserve for Economic Uncertainties, consisting of unassigned amounts, equal to no less than 3 percent of General Fund expenditures and other financing uses.

NOTE 10 – POSTEMPLOYMENT BENEFITS OTHER THAN PENSIONS (OPEB)

A. Plan Description

The Carlsbad Unified School District's defined benefit OPEB plan, Carlsbad Unified School District Retiree Benefit Plan (the Plan) is described below. The Plan is a single-employer defined benefit plan administered by the District. No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement 75.

B. Benefits Provided

The eligibility requirements and benefits provided by the Plan are described below.

Certificated Employees: The District will pay for retiree health coverage (medical, dental and vision) including dependent coverage up to the month in which the retiree turns age 65. The retiree is required to contribute to the cost of coverage based on active employee contributions. Spouse & dependents coverage (except for COBRA) ceases upon the death of the retiree. The District does not provide any financial contribution beyond age 65. Eligibility for retiree health coverage requires retirement under CalSTRS (at least age 55) with at least 10 years of service (15 years of service for employees hired on or after November 1, 2008).

Classified Employees (Including Confidential Employees): The District will pay for retiree health coverage (medical, dental and vision) including dependent coverage up to the month in which the retiree turns age 65. The retiree is required to contribute to the cost of coverage based on the active employee contributions. Spouse and dependents coverage (except for COBRA) ceases upon the death of the retiree. The District does not provide any financial contribution for coverage beyond age 65. Eligibility for retiree health coverage requires retirement under CalPERS (at least age 50) with at least 15 years of service. Employees hired after September 24, 2012 will be eligible for employee-only retirement benefits, while dependents of retirees will be eligible to purchase benefits at the prevailing District rate.

Management Employees: The District will pay for retiree health coverage (medical, dental and vision) including dependent coverage up to the month the retiree turns age 65. The retiree is required to contribute to the cost of coverage based on the active employee contributions. Spouse and dependent coverage (except for COBRA) ceases upon the death of the retiree. The District does not provide any financial contribution for coverage beyond age 65. Eligibility for retiree health coverage requires retirement under CalSTRS or CalPERS with at least 10 years of service (15 years of service for employees hired on or after November 1, 2008).

Board Members: Retired board members may continue health coverage to age 65 on a self-pay basis.

C. Contributions

For fiscal year 2019-20, the District contributed \$1,667,639 to the Plan, all of which was used for current premiums.

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 10 – POSTEMPLOYMENT BENEFITS OTHER THAN PENSIONS (OPEB) (continued)

D. Plan Membership

Membership of the Plan consisted of the following:

	<u>Number of participants</u>
Inactive employees receiving benefits	167
Inactive employees entitled to but not receiving benefits*	-
Participating active employees	<u>978</u>
Total number of participants**	<u>1,145</u>

*Information not provided

**As of the June 30, 2020 valuation date

E. Total OPEB Liability

The Carlsbad Unified School District's total OPEB liability of \$35,604,116 was measured as of June 30, 2020 and was determined by an actuarial valuation as of that date.

F. Actuarial Assumptions and Other Inputs

The total OPEB liability as of June 30, 2020 was determined by an actuarial valuation as of June 30, 2020 using the following actuarial assumptions and other inputs, applied to all periods included in the measurement and rolled forward to the measurement date of June 30, 2020:

Economic assumptions:

Inflation	2.75%
Salary increases	3.00%
Discount rate	2.45%
Healthcare cost trend rates	6.50% decreasing to 4.50%

Mortality rates are based on the SOA Pub-2010 General Headcount Weighted Mortality Table fully generational using Scale MP-2019 for PERS employees and the SOA Pub-2010 Teachers Headcount Weighted Mortality Table fully generational using Scale MP-2019 for STRS employees.

Termination rates for Certificated employees and Management employees in STRS are based on the experience rates under the California State Teachers Retirement System (STRS) pension valuation. Termination rates for Classified and some Management employees in PERS are based on the rates used by the most recent CalPERS pension valuation.

This discount rate is the average, rounded to 5 basis points, of the range of 3-20 year municipal bond rate indices: S&P Municipal Bond 20 Year High Grade Rate Index, Bond Buyer 20-Bond GO index, Fidelity GO AA 20 Year Bond Index.

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 10 – POSTEMPLOYMENT BENEFITS OTHER THAN PENSIONS (OPEB) (continued)

G. Changes in Total OPEB Liability

	<u>June 30, 2020</u>
Total OPEB Liability	
Service cost	\$ 2,852,843
Interest on total OPEB liability	1,206,786
Difference between expected and actual experience	(6,490,463)
Changes of assumptions	3,410,950
Benefits payments	(1,667,639)
Net change in total OPEB liability	(687,523)
Total OPEB liability - beginning	36,291,639
Total OPEB liability - ending	<u>\$ 35,604,116</u>
 Covered-employee payroll	 \$ 67,351,015
 District's total OPEB liability as a percentage of covered-employee payroll	 52.86%

H. Sensitivity of the Total OPEB Liability to Changes in the Discount Rate

The following presents the total OPEB liability of the Carlsbad Unified School District, as well as what the District's total OPEB liability would be if it were calculated using a discount rate that is one percentage point lower (1.50 percent) or one percentage point higher (3.50 percent) than the current discount rate:

	<u>1% Decrease</u>	<u>Valuation Discount Rate</u>	<u>1% Increase</u>
	<u>(1.5%)</u>	<u>(2.5%)</u>	<u>(3.5%)</u>
Total OPEB liability	\$ 37,923,933	\$ 35,604,116	\$ 33,366,030

I. Sensitivity of the Total OPEB Liability to Changes in the Healthcare Cost Trend Rate

The following presents the total OPEB liability of the Carlsbad Unified School District, as well as what the District's total OPEB liability would be if it were calculated using a healthcare cost trend rate that is one percentage point lower (5.50 percent) or one percentage point higher (7.50 percent) than the current healthcare cost trend rate:

	<u>1% Decrease</u>	<u>Healthcare Cost Trend Rate</u>	<u>1% Increase</u>
	<u>(5.50% decreasing to 3.50%)</u>	<u>(6.50% decreasing to 4.50%)</u>	<u>(7.50% decreasing to 5.50%)</u>
Total OPEB liability	\$ 31,957,110	\$ 35,604,116	\$ 39,831,460

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 10 – POSTEMPLOYMENT BENEFITS OTHER THAN PENSIONS (OPEB) (continued)

J. OPEB Expense and Deferred Outflows and Deferred Inflows of Resources Related to OPEB

For the year ended June 30, 2020, the Carlsbad Unified School District recognized OPEB expense of \$3,794,096. At June 30, 2020, the Carlsbad Unified School District reported deferred outflows of resources related to OPEB and deferred inflows of resources related to OPEB from the following sources:

	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
Differences between expected and actual experience	\$ -	\$ 5,769,300
Changes in assumptions	3,658,736	139,137
Total	<u>\$ 3,658,736</u>	<u>\$ 5,908,437</u>

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

<u>Year Ended June 30,</u>	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
2021	\$ 483,457	\$ 748,990
2022	483,457	748,990
2023	483,457	748,990
2024	483,457	748,990
2025	483,457	748,990
Thereafter	1,241,451	2,163,487
Total	<u>\$ 3,658,736</u>	<u>\$ 5,908,437</u>

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 11 – PENSION PLANS

Qualified employees are covered under multiple-employer contributory retirement plans maintained by agencies of the State of California. Certificated employees are members of the California State Teachers' Retirement System (CalSTRS), and classified employees are members of the California Public Employees' Retirement System (CalPERS). The District reported its proportionate share of the net pension liabilities, pension expense, deferred outflow of resources, and deferred inflow of resources for each of the above plans as follows:

	Net pension liability	Deferred outflows related to pensions	Deferred inflows related to pensions	Pension expense
STRS Pension	\$ 91,277,565	\$ 30,005,189	\$ 12,093,519	\$ 11,843,099
PERS Pension	31,819,313	7,732,787	751,210	8,147,612
Total	\$ 123,096,878	\$ 37,737,976	\$ 12,844,729	\$ 19,990,711

A. California State Teachers' Retirement System (CalSTRS)

Plan Description

The District contributes to the California State Teachers' Retirement System (CalSTRS); a cost-sharing multiple employer public employee retirement system defined benefit pension plan administered by CalSTRS. The plan provides retirement and disability benefits and survivor benefits to beneficiaries. Benefit provisions are established by state statutes, as legislatively amended, within the State Teachers' Retirement Law. CalSTRS issues a separate comprehensive annual financial report that includes financial statements and required supplementary information. Copies of the CalSTRS annual financial report may be obtained from CalSTRS, 7919 Folsom Blvd., Sacramento, CA 95826.

Benefits Provided

The CalSTRS defined benefit plan has two benefit formulas:

1. CalSTRS 2% at 60: Members first hired on or before December 31, 2012, to perform service that could be creditable to CalSTRS. CalSTRS 2% at 60 members are eligible for normal retirement at age 60, with a minimum of five years of credited service. The normal retirement benefit is equal to 2.0 percent of final compensation for each year of credited service. Early retirement options are available at age 55 with five years of credited service or as early as age 50 with 30 years of credited service. The age factor for retirements after age 60 increases with each quarter year of age to 2.4 percent at age 63 or older. Members who have 30 years or more of credited service receive an additional increase of up to 0.2 percent to the age factor, known as the career factor. The maximum benefit with the career factor is 2.4 percent of final compensation.
2. CalSTRS 2% at 62: Members first hired on or after January 1, 2013, to perform service that could be creditable to CalSTRS. CalSTRS 2% at 62 members are eligible for normal retirement at age 62, with a minimum of five years of credited service. The normal retirement benefit is equal to 2.0 percent of final compensation for each year of credited service. An early retirement option is available at age 55. The age factor for retirement after age 62 increases with each quarter year of age to 2.4 percent at age 65 or older.

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 11 – PENSION PLANS (continued)

A. California State Teachers' Retirement System (CalSTRS) (continued)

Contributions

Active plan CalSTRS 2% at 60 and 2% at 62 members are required to contribute 10.25% and 10.205% of their salary for fiscal year 2020, respectively, and the District is required to contribute an actuarially determined rate. The actuarial methods and assumptions used for determining the rate are those adopted by CalSTRS Teachers' Retirement Board. The required employer contribution rate for fiscal year 2020 was 18.13% of annual payroll reduced to 17.10% pursuant to California Senate Bill 90 (SB 90). The contribution requirements of the plan members are established by state statute. Contributions to the plan from the District were \$9,438,501 for the year ended June 30, 2020.

On-Behalf Payments

The District was the recipient of on-behalf payments made by the State of California to CalSTRS for K-12 education. These payments consist of state general fund contributions of approximately \$6,946,330 to CalSTRS.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2020, the District reported a liability for its proportionate share of the net pension liability that reflected a reduction for State pension support provided to the District. The amount recognized by the District as its proportionate share of the net pension liability, the related State support, and the total portion of the net pension liability that was associated with the District were as follows:

District's proportionate share of the net pension liability	\$ 91,277,565
State's proportionate share of the net pension liability associated with the District	49,798,408
Total	<u>\$ 141,075,973</u>

The net pension liability was measured as of June 30, 2019, and the total pension liability used to calculate the net pension liability was determined by applying update procedures to an actuarial valuation as of June 30, 2018 and rolling forward the total pension liability to June 30, 2019. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts, actuarially determined. At June 30, 2019, the District's proportion was 0.101 percent, which was an increase of 0.010 percent from its proportion measured as of June 30, 2018.

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 11 – PENSION PLANS (continued)

A. California State Teachers' Retirement System (CalSTRS) (continued)

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions (continued)

For the year ended June 30, 2020, the District recognized pension expense of \$11,843,099. In addition, the District recognized pension expense and revenue of \$1,362,459 for support provided by the State. At June 30, 2020, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
Differences between projected and actual earnings on plan investments	\$ -	\$ 3,516,040
Differences between expected and actual experience	230,427	2,572,096
Changes in assumptions	11,544,617	-
Changes in proportion and differences between District contributions and proportionate share of contributions	8,791,644	6,005,383
District contributions subsequent to the measurement date	9,438,501	-
Total	<u>\$ 30,005,189</u>	<u>\$ 12,093,519</u>

The \$9,438,501 reported as deferred outflows of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2021. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

<u>Year Ended June 30,</u>	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
2021	\$ 4,844,035	\$ 2,396,302
2022	4,844,033	4,837,317
2023	4,299,460	1,851,111
2024	4,347,876	1,532,636
2025	1,115,643	1,209,510
2026	1,115,641	266,643
Total	<u>\$ 20,566,688</u>	<u>\$ 12,093,519</u>

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 11 – PENSION PLANS (continued)

A. California State Teachers' Retirement System (CalSTRS) (continued)

Actuarial Assumptions

The total pension liability was determined by applying update procedures to an actuarial valuation as of June 30, 2018, and rolling forward the total pension liability to June 30, 2019 using the following actuarial assumptions, applied to all periods included in the measurement:

Consumer Price Inflation	2.75%
Investment Rate of Return*	7.10%
Wage Inflation	3.50%

* Net of investment expenses, but gross of administrative expenses.

CalSTRS uses custom mortality tables to best fit the patterns of mortality among its members. These custom tables are based on MP-2016 series tables adjusted to fit CalSTRS experience.

The actuarial assumptions used in the June 30, 2018 valuation were based on the results of an actuarial experience study for the period July 1, 2010–June 30, 2015.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. The best-estimate ranges were developed using capital market assumptions from CalSTRS general investment consultant (Pension Consulting Alliance–PCA) as an input to the process. The actuarial investment rate of return assumption was adopted by the board in February 2017 in conjunction with the most recent experience study. For each future valuation, CalSTRS consulting actuary (Milliman) reviews the return assumption for reasonableness based on the most current capital market assumptions. Best estimates of 20-year geometrically-linked real rates of return and the assumed asset allocation for each major asset class for the year ended June 30, 2019, are summarized in the following table:

Asset Class	Assumed Asset Allocation	Long-Term Expected Real Rate of Return*
Global Equity	47%	4.80%
Fixed Income	12%	1.30%
Real Estate	13%	3.60%
Private Equity	13%	6.30%
Risk Mitigating Strategies	9%	1.80%
Inflation Sensitive	4%	3.30%
Cash/Liquidity	2%	-0.40%
	100%	

*20-year geometric average

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 11 – PENSION PLANS (continued)

A. California State Teachers' Retirement System (CalSTRS) (continued)

Discount Rate

The discount rate used to measure the total pension liability was 7.10 percent. The projection of cash flows used to determine the discount rate assumed that contributions from plan members and employers will be made at statutory contribution rates in accordance with the rate increases per AB 1469. Projected inflows from investment earnings were calculated using the long-term assumed investment rate of return (7.10 percent) and assuming that contributions, benefit payments, and administrative expense occur midyear. Based on those assumptions, the Plan's fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate

The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.10 percent, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.10 percent) or 1-percentage-point higher (8.10 percent) than the current rate:

	1% Decrease (6.10%)	Current Discount Rate (7.10%)	1% Increase (8.10%)
District's proportionate share of the net pension liability	\$ 135,919,851	\$ 91,277,565	\$ 54,260,610

Pension Plan Fiduciary Net Position

Detailed information about the pension plan's fiduciary net position is available in the separately issued CalSTRS financial report.

NOTE 11 – PENSION PLANS (continued)

B. California Public Employees' Retirement System (CalPERS)

Plan Description

The District contributes to the School Employer Pool under the California Public Employees' Retirement System (CalPERS); a cost-sharing multiple-employer public employee retirement system defined benefit pension plan administered by CalPERS. The plan provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by state statutes, as legislatively amended, within the Public Employees' Retirement Laws. CalPERS issues a separate comprehensive annual financial report that includes financial statements and required supplementary information. Copies of the CalPERS annual financial report may be obtained from the CalPERS Executive Office, 400 P Street, Sacramento, CA 95811.

Benefits Provided

The benefits for the defined benefit plan are based on members' years of service, age, final compensation, and benefit formula. Benefits are provided for disability, death, and survivors of eligible members or beneficiaries. Members become fully vested in their retirement benefits earned to date after five years of credited service.

Contributions

Active plan members who entered into the plan prior to January 1, 2013, are required to contribute 7.0% of their salary. The California Public Employees' Pension Reform Act (PEPRA) specifies that new members entering into the plan on or after January 1, 2013, shall pay the higher of fifty percent of normal costs or 7.0% of their salary. Additionally, for new members entering the plan on or after January 1, 2013, the employer is prohibited from paying any of the employee contribution to CalPERS unless the employer payment of the member's contribution is specified in an employment agreement or collective bargaining agreement that expires after January 1, 2013.

The District is required to contribute an actuarially determined rate. The actuarial methods and assumptions used for determining the rate are those adopted by the CalPERS Board of Administration. The required employer contribution rate for fiscal year 2020 was 20.733% of annual payroll reduced to 19.721% pursuant to California Senate Bill 90 (SB 90). Contributions to the plan from the District were \$3,097,825 for the year ended June 30, 2020.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2020, the District reported a liability of \$31,819,313 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2019, and the total pension liability used to calculate the net pension liability was determined by applying update procedures to an actuarial valuation as of June 30, 2018 and rolling forward the total pension liability to June 30, 2019. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts, actuarially determined. At June 30, 2019, the District's proportion was 0.109 percent, which was an increase of 0.005 percent from its proportion measured as of June 30, 2018.

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 11 – PENSION PLANS (continued)

B. California Public Employees' Retirement System (CalPERS) (continued)

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions (continued)

For the year ended June 30, 2020, the District recognized pension expense of \$8,147,612. At June 30, 2020, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
Differences between projected and actual earnings on plan investments	\$ -	\$ 295,130
Differences between expected and actual experience	2,311,359	-
Changes in assumptions	1,514,698	-
Changes in proportion and differences between District contributions and proportionate share of contributions	808,905	456,080
District contributions subsequent to the measurement date	3,097,825	-
Total	<u>\$ 7,732,787</u>	<u>\$ 751,210</u>

The \$3,097,825 reported as deferred outflows of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2021. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

<u>Year Ended June 30,</u>	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
2021	\$ 2,694,186	\$ 556,048
2022	1,280,004	(390,557)
2023	623,524	(88,182)
2024	37,248	673,901
Total	<u>\$ 4,634,962</u>	<u>\$ 751,210</u>

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 11 – PENSION PLANS (continued)

B. California Public Employees' Retirement System (CalPERS) (continued)

Actuarial Assumptions

The total pension liability was determined by applying update procedures to an actuarial valuation as of June 30, 2018, and rolling forward the total pension liability to June 30, 2019 using the following actuarial assumptions, applied to all periods included in the measurement:

Inflation	2.50%
Discount Rate	7.15%
Salary Increases	Varies by Entry Age and Service

CalPERS uses custom mortality tables to best fit the patterns of mortality among its members. These custom tables are derived using CalPERS' membership data for all funds. The table includes 15 years of mortality improvements using the Society of Actuaries Scale 90% of scale MP 2016.

The actuarial assumptions used in the June 30, 2018, valuation were based on the results of an actuarial experience study for the period from 1997 to 2015.

The long-term expected rate of return on pension plan investments was determined using a building block method in which best estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. In determining the long-term expected rate of return, both short-term and long-term market return expectations as well as the expected pension fund cash flows were taken into account. Such cash flows were developed assuming that both members and employers will make their required contributions on time and as scheduled in all future years. Using historical returns of all the funds' asset classes, expected compound (geometric) returns were calculated over the short-term (first 10 years) and the long-term (11-60 years) using a building block approach. Using the expected nominal returns for both short-term and long-term, the present value of benefits was calculated for each fund. The expected rate of return was set by calculating the single equivalent expected return that arrived at the same present value of benefits for cash flows as the one calculated using both short-term and long-term returns. The expected rate of return was then set equivalent to the single equivalent rate calculated above and adjusted to account for assumed administrative expenses.

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 11 – PENSION PLANS (continued)

B. California Public Employees' Retirement System (CalPERS) (continued)

Actuarial Assumptions (continued)

The table below reflects long-term expected real rate of return by asset class. The rate of return was calculated using the capital market assumptions applied to determine the discount rate and asset allocation. These geometric rates of return are net of administrative expenses.

Asset Class	Assumed Asset Allocation	Real Return Years 1 – 10*	Real Return Years 11+**
Global Equity	50.0%	4.80%	5.98%
Fixed Income	28.0%	1.00%	2.62%
Inflation Assets	0.0%	0.77%	1.81%
Private Equity	8.0%	6.30%	7.23%
Real Estate	13.0%	3.75%	4.93%
Liquidity	1.0%	0.0%	-0.92%
	<u>100.0%</u>		

*An expected inflation of 2.00% used for this period.

**An expected inflation of 2.92% used for this period.

Discount Rate

The discount rate used to measure the total pension liability was 7.15 percent. A projection of the expected benefit payments and contributions was performed to determine if assets would run out. The test revealed the assets would not run out. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability for the Schools Pool. The results of the crossover testing for the Schools Pool are presented in a detailed report that can be obtained at CalPERS' website.

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate

The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.15 percent, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.15 percent) or 1-percentage-point higher (8.15 percent) than the current rate:

	1% Decrease (6.15%)	Current Discount Rate (7.15%)	1% Increase (8.15%)
District's proportionate share of the net pension liability	\$ 45,865,448	\$ 31,819,313	\$ 20,167,074

Pension Plan Fiduciary Net Position

Detailed information about the pension plan's fiduciary net position is available in the separately issued CalPERS financial report.

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 12 – COMMITMENTS AND CONTINGENCIES

A. Grants

The District received financial assistance from federal and state agencies in the form of grants. The disbursement of funds received under these programs generally requires compliance with terms and conditions specified in the grant agreements and are subject to audit by the grantor agencies. Any disallowed claims resulting from such audits could become a liability of the General Fund or other applicable funds. However, in the opinion of management, any such disallowed claims will not have a material adverse effect on the overall financial position of the District at June 30, 2020.

B. Litigation

The District is involved in various litigation arising from the normal course of business. In the opinion of management and legal counsel, the disposition of all litigation pending is not expected to have a material adverse effect on the overall financial position of the District at June 30, 2020.

C. Construction Commitments

As of June 30, 2020, the District had commitments with respect to unfinished capital projects of \$60,836,571.

NOTE 13 – RISK MANAGEMENT

All funds of the District participate in the program, but only the General Fund makes payments to the Self Insurance Fund based on actuarial estimates of the amounts needed to pay prior and current year claims and to establish a liability for open claims and Incurred But Not Reported (IBNR) claims. The claims and liability of \$149,394 is included in the liabilities under accounts payable and is reported in accordance with Financial Accounting Standards Board Statement No. 10, which requires that a liability for claims be reported if information prior to the issuance of the financial statements indicates that it is probable that a liability has been incurred at the date of the financial statements and the amount of the loss can be reasonably estimated at the end of the fiscal year. Changes in the Internal Service Fund's claim liability in the fiscal year ended June 30, 2020 are indicated below:

	General Liability
Liability Balance, July 01, 2019	\$ 184,327
Claims & changes in estimates	(946,708)
Claims payments	911,775
Liability Balance, June 30, 2020	<u>\$ 149,394</u>

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 14 – PARTICIPATION IN JOINT POWERS AUTHORITIES

The District participates in one joint venture under joint powers authorities (JPAs), the San Diego County Schools Risk Management (SDCSRM). The relationships between the District and the JPA are such that the JPA is not component unit of the District for financial reporting purposes.

The JPA has budgeting and financial reporting requirements independent of member units, and their financial statements are not presented in these financial statements. However, fund transactions between the JPA and the District are included in these statements. The audited financial statements are generally available from the respective entity.

NOTE 15 – DEFERRED OUTFLOWS/INFLOWS OF RESOURCES

A. Refunded Debt

Pursuant to GASB Statement No. 63, *Financial Reporting of Deferred Outflows of Resources, Deferred Inflows of Resources, and Net Position* and GASB Statement No. 65, *Items Previously Reported as Assets and Liabilities*, the District recognized deferred outflows or inflows of resources in the District-wide financial statements. The deferred outflow of resources pertains to the difference in the carrying value of the refunded debt and its reacquisition price (deferred amount on refunding). Previous financial reporting standards require this to be presented as part of the District's long-term debt. This deferred outflow of resources is recognized as a component of interest expense in a systematic and rational manner over the remaining life of the old debt or the new debt, whichever is shorter. At June 30, 2020, the deferred amount on refunding was \$11,948,026.

B. Pension Plans

Pursuant to GASB Statement No. 68, *Accounting and Financial Reporting for Pensions*, the District recognized deferred outflows of resources related to pensions and deferred inflows of resources related to pensions in the District-wide financial statements. Further information regarding the deferred outflows of resources and deferred inflows of resources can be found at Note 11. At June 30, 2020, total deferred outflows related to pensions was \$37,737,976 and total deferred inflows related to pensions was \$12,844,729.

C. Other Postemployment Benefits

Pursuant to GASB Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*, the District recognized deferred outflows of resources related to other postemployment benefits and deferred inflows of resources related to other postemployment benefits in the District-wide financial statements. Further information regarding the deferred outflows of resources and deferred inflows of resources can be found at Note 10. At June 30, 2020, total deferred outflows related to other postemployment benefits was \$3,658,736 and total deferred inflows related to other postemployment benefits was \$5,908,437.

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2020

NOTE 16 – RESTATEMENT OF NET POSITION AND FUND BALANCES

The beginning net position of Governmental Activities has been restated in order to properly reflect the inclusion of the 2006 Election, Series B General Obligation Bonds, removal of the associated deferred amount on refunding previously recorded, and the inclusion of cash being held in escrow related to the 2017 General Obligation Refunding Bonds, Series A (2024 Crossover). The effect on beginning net position is presented as follows:

	Governmental Activities
Net Position - Beginning, as Previously Reported	\$ 8,903,806
Restatements	
Increase in General Obligation Bonds	(52,781,728)
Decrease in Deferred Amount on Refunding	(5,325,470)
Increase in Cash with Fiscal Agent	56,110,920
Net Position - Beginning, as Restated	<u>\$ 6,907,528</u>

The beginning fund balance of the Bond Interest and Redemption Fund has been restated in order to properly reflect the inclusion of cash being held in escrow related to the 2017 General Obligation Refunding Bonds, Series A (2024 Crossover). The effect on beginning fund balance is presented as follows:

	Bond Interest and Redemption Fund
Fund Balance - Beginning, as Previously Reported	\$ 27,807,060
Restatement	
Increase in Cash with Fiscal Agent	56,110,920
Fund Balance - Beginning, as Restated	<u>\$ 83,917,980</u>

REQUIRED SUPPLEMENTARY INFORMATION

**CARLSBAD UNIFIED SCHOOL DISTRICT
GENERAL FUND – BUDGETARY COMPARISON SCHEDULE
FOR THE YEAR ENDED JUNE 30, 2020**

	Budgeted Amounts		Actual	Variances -
	Original	Final	(Budgetary Basis)	Final to Actual
REVENUES				
LCFF sources	\$ 101,012,449	\$ 101,856,226	\$ 102,050,868	\$ 194,642
Federal sources	3,679,372	3,825,397	3,520,973	(304,424)
Other state sources	8,110,292	10,260,238	12,169,937	1,909,699
Other local sources	6,732,985	9,305,768	9,569,996	264,228
Total Revenues	119,535,098	125,247,629	127,311,774	2,064,145
EXPENDITURES				
Certificated salaries	53,403,261	54,831,453	55,794,489	(963,036)
Classified salaries	15,871,625	15,658,364	16,026,272	(367,908)
Employee benefits	33,125,833	33,414,585	35,727,899	(2,313,314)
Books and supplies	4,019,184	6,436,028	2,404,578	4,031,450
Services and other operating expenditures	15,345,866	16,887,439	14,325,348	2,562,091
Capital outlay	100,000	74,000	79,790	(5,790)
Other outgo				
Excluding transfers of indirect costs	1,279,000	1,239,445	1,279,357	(39,912)
Total Expenditures	123,144,769	128,541,314	125,637,733	2,903,581
Excess (Deficiency) of Revenues				
Over Expenditures	(3,609,671)	(3,293,685)	1,674,041	4,967,726
Other Financing Sources (Uses)				
Transfers out	-	-	(10,000)	(10,000)
Net Financing Sources (Uses)	-	-	(10,000)	(10,000)
NET CHANGE IN FUND BALANCE	(3,609,671)	(3,293,685)	1,664,041	4,957,726
Fund Balance - Beginning	24,117,375	24,117,375	24,117,375	-
Fund Balance - Ending	\$ 20,507,704	\$ 20,823,690	\$ 25,781,416	\$ 4,957,726

See accompanying note to required supplementary information.

CARLSBAD UNIFIED SCHOOL DISTRICT
SCHEDULE OF CHANGES IN TOTAL OPEB LIABILITY AND RELATED RATIOS
FOR THE YEAR ENDED JUNE 30, 2020

	<u>June 30, 2020</u>	<u>June 30, 2019</u>	<u>June 30, 2018</u>
Total OPEB Liability			
Service cost	\$ 2,852,843	\$ 2,625,220	\$ 2,578,153
Interest on total OPEB liability	1,206,786	1,220,686	1,108,716
Difference between expected and actual experience	(6,490,463)	-	-
Changes of assumptions	3,410,950	835,706	(222,618)
Benefits payments	<u>(1,667,639)</u>	<u>(1,283,018)</u>	<u>(1,204,712)</u>
Net change in total OPEB liability	(687,523)	3,398,594	2,259,539
Total OPEB liability - beginning	<u>36,291,639</u>	<u>32,893,045</u>	<u>30,633,506</u>
Total OPEB liability - ending	<u>\$ 35,604,116</u>	<u>\$ 36,291,639</u>	<u>\$ 32,893,045</u>
 Covered-employee payroll	 \$ 67,351,015	 \$ 65,886,695	 \$ 64,615,000
 District's total OPEB liability as a percentage of covered-employee payroll	 52.9%	 55.08%	 50.91%

See accompanying note to required supplementary information.

CARLSBAD UNIFIED SCHOOL DISTRICT
SCHEDULE OF THE DISTRICT'S PROPORTIONATE SHARE OF THE NET PENSION LIABILITY - CALSTRS
FOR THE YEAR ENDED JUNE 30, 2020

	<u>June 30, 2020</u>	<u>June 30, 2019</u>	<u>June 30, 2018</u>	<u>June 30, 2017</u>	<u>June 30, 2016</u>	<u>June 30, 2015</u>
District's proportion of the net pension liability	0.101%	0.091%	0.093%	0.090%	0.096%	0.088%
District's proportionate share of the net pension liability	\$ 91,277,565	\$ 83,955,335	\$ 85,913,224	\$ 72,594,281	\$ 64,298,731	\$ 51,579,916
State's proportionate share of the net pension liability associated with the District	49,798,408	48,068,592	51,018,487	41,527,503	34,235,691	31,405,788
Total	\$ 141,075,973	\$ 132,023,927	\$ 136,931,711	\$ 114,121,784	\$ 98,534,422	\$ 82,985,704
District's covered payroll	\$ 54,216,721	\$ 49,726,563	\$ 49,118,657	\$ 44,593,085	\$ 44,135,320	\$ 39,111,345
District's proportionate share of the net pension liability as a percentage of its covered payroll	168.4%	168.8%	174.9%	162.8%	145.7%	131.9%
Plan fiduciary net position as a percentage of the total pension liability	72.6%	71.0%	69.5%	70.0%	74.0%	76.5%

The amounts presented for each fiscal year were determined as of the year-end that occurred one year prior.

CARLSBAD UNIFIED SCHOOL DISTRICT
SCHEDULE OF THE DISTRICT'S PROPORTIONATE SHARE OF THE NET PENSION LIABILITY - CALPERS
FOR THE YEAR ENDED JUNE 30, 2020

	<u>June 30, 2020</u>	<u>June 30, 2019</u>	<u>June 30, 2018</u>	<u>June 30, 2017</u>	<u>June 30, 2016</u>	<u>June 30, 2015</u>
District's proportion of the net pension liability	0.109%	0.104%	0.102%	0.105%	0.108%	0.109%
District's proportionate share of the net pension liability	\$ 31,819,313	\$ 27,860,658	\$ 24,222,373	\$ 20,681,289	\$ 15,921,015	\$ 12,373,971
District's covered payroll	\$ 15,510,099	\$ 14,084,605	\$ 13,031,941	\$ 12,680,645	\$ 12,011,596	\$ 11,460,654
District's proportionate share of the net pension liability as a percentage of its covered payroll	205.2%	197.8%	185.9%	163.1%	132.5%	108.0%
Plan fiduciary net position as a percentage of the total pension liability	70.0%	70.8%	71.9%	73.9%	79.4%	83.4%

The amounts presented for each fiscal year were determined as of the year-end that occurred one year prior.

**CARLSBAD UNIFIED SCHOOL DISTRICT
SCHEDULE OF DISTRICT CONTRIBUTIONS - CALSTRS
FOR THE YEAR ENDED JUNE 30, 2020**

	<u>June 30, 2020</u>	<u>June 30, 2019</u>	<u>June 30, 2018</u>	<u>June 30, 2017</u>	<u>June 30, 2016</u>	<u>June 30, 2015</u>
Contractually required contribution	\$ 9,438,501	\$ 8,664,997	\$ 7,175,543	\$ 6,179,127	\$ 4,784,838	\$ 3,919,216
Contributions in relation to the contractually required contribution*	(9,438,501)	(8,664,997)	(7,175,543)	(6,179,127)	(4,784,838)	(3,919,216)
Contribution deficiency (excess)	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
District's covered payroll	\$ 54,122,575	\$ 54,216,721	\$ 49,726,563	\$ 49,118,657	\$ 44,593,085	\$ 44,135,320
Contributions as a percentage of covered payroll	17.44%	15.98%	14.43%	12.58%	10.73%	8.88%

*Amounts do not include on-behalf contributions

**CARLSBAD UNIFIED SCHOOL DISTRICT
SCHEDULE OF DISTRICT CONTRIBUTIONS - CALPERS
FOR THE YEAR ENDED JUNE 30, 2020**

	<u>June 30, 2020</u>	<u>June 30, 2019</u>	<u>June 30, 2018</u>	<u>June 30, 2017</u>	<u>June 30, 2016</u>	<u>June 30, 2015</u>
Contractually required contribution	\$ 3,097,825	\$ 2,786,392	\$ 2,187,480	\$ 1,809,876	\$ 1,502,276	\$ 1,413,885
Contributions in relation to the contractually required contribution*	(3,097,825)	(2,786,392)	(2,187,480)	(1,809,876)	(1,502,276)	(1,413,885)
Contribution deficiency (excess)	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
District's covered payroll	\$ 15,324,798	\$ 15,510,099	\$ 14,084,605	\$ 13,031,941	\$ 12,680,645	\$ 12,011,596
Contributions as a percentage of covered payroll	20.21%	17.97%	15.53%	13.89%	11.85%	11.77%

*Amounts do not include on-behalf contributions

**CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION
FOR THE YEAR ENDED JUNE 30, 2020**

NOTE 1 – PURPOSE OF SCHEDULES

Budgetary Comparison Schedule

This schedule is required by GASB Statement No. 34 as required supplementary information (RSI) for the General Fund and for each major special revenue fund that has a legally adopted annual budget. The budgetary comparison schedule presents both (a) the original and (b) the final appropriated budgets for the reporting period as well as (c) actual inflows, outflows, and balances, stated on the District's budgetary basis. A separate column to report the variance between the final budget and actual amounts is also presented, although not required.

Schedule of Changes in Total OPEB Liability and Related Ratios

This 10-year schedule is required by GASB Statement No. 75 for all sole and agent employers that provide other postemployment benefits (OPEB). Until a full 10-year trend is compiled, the schedule will only show those years under which GASB Statement No. 75 was applicable. The schedule presents the sources of change in the total OPEB liability, and the components of the total OPEB liability and related ratios, including the total OPEB liability as a percentage of covered-employee payroll.

Changes in Benefit Terms

There were no changes in benefit terms since the previous valuations for OPEB.

Changes in Assumptions

The discount rate and healthcare cost trend rate changed since the prior measurement date from 3.15% to 2.45% and from 6.00% to 6.50%, respectively.

Schedule of the District's Proportionate Share of the Net Pension Liability

This 10-year schedule is required by GASB Statement No. 68 for each cost-sharing pension plan. Until a full 10-year trend is compiled, the schedule will only show those years under which GASB Statement No. 68 was applicable. The schedule presents the District's proportion (percentage) of the collective net pension liability, the District's proportionate share (amount) of the collective net pension liability, the District's covered payroll, the District's proportionate share (amount) of the collective net pension liability as a percentage of the employer's covered payroll, and the pension plan's fiduciary net position as a percentage of the total pension liability.

Changes in Benefit Terms

There were no changes in benefit terms since the previous valuations for CalSTRS and CalPERS.

Changes in Assumptions

There were no changes in economic assumptions since the previous valuations for CalSTRS and CalPERS.

Schedule of District Contributions

This 10-year schedule is required by GASB Statement No. 68 for each cost-sharing pension plan. Until a full 10-year trend is compiled, the schedule will only show those years under which GASB Statement No. 68 was applicable. The schedule presents the District's statutorily or contractually required employer contribution, the amount of contributions recognized by the pension plan in relation to the statutorily or contractually required employer contribution, the difference between the statutorily or contractually required employer contribution and the amount of contributions recognized by the pension plan in relation to the statutorily or contractually required employer contribution, the District's covered payroll, and the amount of contributions recognized by the pension plan in relation to the statutorily or contractually required employer contribution as a percentage of the District's covered payroll.

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION, continued
FOR THE YEAR ENDED JUNE 30, 2020

NOTE 2 – EXCESS OF EXPENDITURES OVER APPROPRIATIONS

For the year ended June 30, 2020, the District incurred an excess of expenditures over appropriations in individual major funds presented in the Budgetary Comparison Schedule by major object code as follows:

	Expenditures and Other Uses		
	Budget	Actual	Excess
General Fund			
Certificated salaries	\$ 54,831,453	\$ 55,794,489	\$ 963,036
Classified salaries	\$ 15,658,364	\$ 16,026,272	\$ 367,908
Employee benefits	\$ 33,414,585	\$ 35,727,899	\$ 2,313,314
Capital outlay	\$ 74,000	\$ 79,790	\$ 5,790
Other outgo			
Excluding transfers of indirect costs	\$ 1,239,445	\$ 1,279,357	\$ 39,912

SUPPLEMENTARY INFORMATION

**CARLSBAD UNIFIED SCHOOL DISTRICT
SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
FOR THE YEAR ENDED JUNE 30, 2020**

Federal Grantor/Pass-Through Grantor/Program or Cluster	CFDA Number	Pass-Through Entity Identifying Number	Federal Expenditures
U. S. DEPARTMENT OF EDUCATION:			
<i>Passed through California Department of Education:</i>			
Title I, Part A, Basic Grants Low-Income and Neglected [1]	84.010	14329	\$ 984,112
Title II, Part A, Supporting Effective Instruction Local Grants	84.367	14341	184,671
Title III, English Learner Student Program	84.365	14346	78,650
Title IV, Part A, Student Support and Academic Enrichment Grants	84.424	15396	70,035
Department of Rehabilitation: Workability II, Transitions Partnership Program	84.126	10006	13,643
Special Education Cluster [1]			
IDEA Basic Local Assistance Entitlement, Part B, Sec 611	84.027	13379	1,912,840
IDEA Mental Health Average Daily Attendance (ADA) Allocation, Part B, Sec 611	84.027A	15197	127,501
IDEA Preschool Grants, Part B, Section 619 (Age 3-4-5)	84.173	13430	57,692
IDEA Local Assistance, Part B, Sec 611, Private School ISPs	84.027	10115	44,752
IDEA Preschool Staff Development, Part B, Sec 619	84.173A	13431	549
Subtotal Special Education Cluster			2,143,334
Vocational Programs: Voc & Appl Tech Secondary II C, Sec 131 (Carl Perkins Act)	84.048	14893	46,527
Total U. S. Department of Education			3,520,972
U. S. DEPARTMENT OF AGRICULTURE:			
<i>Passed through California Department of Education:</i>			
Child Nutrition Cluster			
School Breakfast Program - Needy	10.553	13526	185,681
National School Lunch Program	10.555	13391	541,558
USDA Commodities [2]	10.555	*	49,886
COVID-19 Emergency Acts Funding - Unanticipated School Closures	10.555	*	114,367
Summer Food Service Program for Children	10.559	13004	14,937
Meal Supplements	10.555	*	6,243
Subtotal Child Nutrition Cluster			912,672
Total U. S. Department of Agriculture			912,672
U. S. DEPARTMENT OF THE TREASURY			
<i>Passed through California Department of Education:</i>			
COVID-19 Emergency Acts Funding:			
Coronavirus Relief Fund (CRF): Learning Loss Mitigation	21.019	10149	138,289
Total U. S. Department of the Treasury			138,289
Total Federal Expenditures			\$ 4,571,933

[1] - Major Program

[2] - In-Kind Contribution

* - Pass-Through Entity Identifying Number not available or not applicable

**CARLSBAD UNIFIED SCHOOL DISTRICT
SCHEDULE OF AVERAGE DAILY ATTENDANCE (ADA)
FOR THE YEAR ENDED JUNE 30, 2020**

	Second Period Report	Annual Report
	Certificate No. DF330D76	Certificate No. F1573482
SCHOOL DISTRICT		
TK/K through Third		
Regular ADA	3,100.63	3,100.64
Extended Year Special Education	6.22	6.22
Special Education - Nonpublic Schools	0.62	0.62
Total TK/K through Third	3,107.47	3,107.48
Fourth through Sixth		
Regular ADA	2,460.79	2,460.79
Extended Year Special Education	4.40	4.40
Special Education - Nonpublic Schools	4.26	4.26
Extended Year Special Education - Nonpublic Schools	0.91	0.91
Total Fourth through Sixth	2,470.36	2,470.36
Seventh through Eighth		
Regular ADA	1,744.05	1,744.80
Extended Year Special Education	1.12	1.12
Special Education - Nonpublic Schools	8.13	8.14
Extended Year Special Education - Nonpublic Schools	1.06	1.06
Total Seventh through Eighth	1,754.36	1,755.12
Ninth through Twelfth		
Regular ADA	3,655.79	3,655.74
Extended Year Special Education	5.57	5.57
Special Education - Nonpublic Schools	15.24	15.24
Extended Year Special Education - Nonpublic Schools	2.97	2.97
Total Ninth through Twelfth	3,679.57	3,679.52
TOTAL SCHOOL DISTRICT	11,011.76	11,012.48

**CARLSBAD UNIFIED SCHOOL DISTRICT
SCHEDULE OF INSTRUCTIONAL TIME
FOR THE YEAR ENDED JUNE 30, 2020**

Grade Level	Minutes Requirement	2019-20 Planned Instructional Minutes	2019-20 Planned Number of Days	2019-20 Actual Instructional Minutes	2019-20 Actual Number of Days	Instructional Minutes Closed due to COVID-19	Number of Days Certified Closed due to COVID-19*	Status
Kindergarten	36,000	36,000	180	24,400	122	11,600	58	Complied
Grade 1	50,400	53,940	180	36,632	122	17,308	58	Complied
Grade 2	50,400	53,940	180	36,632	122	17,308	58	Complied
Grade 3	50,400	53,940	180	36,632	122	17,308	58	Complied
Grade 4	54,000	54,005	180	36,670	122	17,335	58	Complied
Grade 5	54,000	54,005	180	36,670	122	17,335	58	Complied
Grade 6	54,000	58,800	180	39,742	122	19,058	58	Complied
Grade 7	54,000	58,800	180	39,742	122	19,058	58	Complied
Grade 8	54,000	58,800	180	39,742	122	19,058	58	Complied
Grade 9	64,800	65,211	180	44,101	122	21,110	58	Complied
Grade 10	64,800	65,271	180	44,161	122	21,110	58	Complied
Grade 11	64,800	65,590	180	44,480	122	21,110	58	Complied
Grade 12	64,800	65,211	180	44,101	122	21,110	58	Complied

*On June 25, 2020, the District certified that all schools were closed from March 16, 2020 to June 11, 2020 for a total of 58 instructional days due to COVID-19.

**CARLSBAD UNIFIED SCHOOL DISTRICT
SCHEDULE OF FINANCIAL TRENDS AND ANALYSIS
FOR THE YEAR ENDED JUNE 30, 2020**

	2021 (Budget)	2020	2019	2018
General Fund - Budgetary Basis				
Revenues And Other Financing Sources	\$ 129,223,352	\$ 127,311,774	\$ 126,211,531	\$ 112,415,962
Expenditures And Other Financing Uses	133,173,372	125,647,733	124,716,962	113,264,220
Net change in Fund Balance	<u>\$ (3,950,020)</u>	<u>\$ 1,664,041</u>	<u>\$ 1,494,569</u>	<u>\$ (848,258)</u>
Ending Fund Balance	<u>\$ 21,831,395</u>	<u>\$ 25,781,416</u>	<u>\$ 24,117,375</u>	<u>\$ 22,622,806</u>
Available Reserves*	<u>\$ 6,338,444</u>	<u>\$ 5,962,162</u>	<u>\$ 6,235,848</u>	<u>\$ 17,078,986</u>
Available Reserves As A Percentage Of Outgo	<u>4.76%</u>	<u>4.75%</u>	<u>5.00%</u>	<u>15.08%</u>
Long-term Liabilities	<u>\$ 547,913,201</u>	<u>\$ 567,691,294</u>	<u>\$ 509,333,874</u>	<u>\$ 430,551,338</u>
Average Daily Attendance At P-2	<u>11,012</u>	<u>11,012</u>	<u>10,938</u>	<u>10,894</u>

The General Fund ending fund balance has increased by \$3,158,610 over the past two years. The fiscal year 2020-21 budget projects a decrease of \$3,950,020. For a District this size, the State recommends available reserves of at least 3% of General Fund expenditures, transfers out, and other uses (total outgo).

The District has incurred operating surpluses in two of the past three years but anticipates incurring an operating deficit during the 2020-21 fiscal year. Total long-term obligations have increased by \$137,139,956 over the past two years.

Average daily attendance has increased by 118 ADA over the past two years. No change in ADA is anticipated during the 2020-21 fiscal year.

*Available reserves consist of all unassigned fund balance within the General Fund. Available reserves for 2018 include assigned fund balance as well.

**CARLSBAD UNIFIED SCHOOL DISTRICT
RECONCILIATION OF ANNUAL FINANCIAL AND BUDGET REPORT WITH AUDITED FINANCIAL
STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2020**

	Bond Interest and Redemption Fund
June 30, 2020, annual financial and budget report fund balance	<u>\$ 39,408,609</u>
Adjustments and reclassifications:	
Increase (decrease) in total fund balances:	
Cash with fiscal agent	<u>56,110,920</u>
Net adjustments and reclassifications	<u>56,110,920</u>
June 30, 2020, audited financial statement fund balance	<u><u>\$ 95,519,529</u></u>

**CARLSBAD UNIFIED SCHOOL DISTRICT
SCHEDULE OF CHARTER SCHOOLS
FOR THE YEAR ENDED JUNE 30, 2020**

The District does not sponsor any charter schools.

CARLSBAD UNIFIED SCHOOL DISTRICT
COMBINING BALANCE SHEET
JUNE 30, 2020

	Cafeteria Fund	Capital Facilities Fund	County School Facilities Fund	Capital Projects Fund for Blended Component Units	Debt Service Fund for Blended Component Units	Non-Major Governmental Funds
ASSETS						
Cash and investments	\$ 89,053	\$ 4,157,221	\$ 5,286	\$ 7,684,436	\$ -	\$ 11,935,996
Accounts receivable	91,095	17,209	21	22,089	-	130,414
Due from other funds	171,752	-	-	-	-	171,752
Stores inventory	131,622	-	-	-	-	131,622
Prepaid expenditures	41,938	-	-	-	-	41,938
Total Assets	\$ 525,460	\$ 4,174,430	\$ 5,307	\$ 7,706,525	\$ -	\$ 12,411,722
LIABILITIES						
Accrued liabilities	\$ 87,458	\$ 306,674	\$ -	\$ 5,706	\$ -	\$ 399,838
Due to other funds	179,735	49,003	5,202	-	-	233,940
Total Liabilities	267,193	355,677	5,202	5,706	-	633,778
FUND BALANCES						
Non-spendable	173,560	-	-	-	-	173,560
Restricted	84,707	3,818,753	105	7,700,819	-	11,604,384
Total Fund Balances	258,267	3,818,753	105	7,700,819	-	11,777,944
Total Liabilities and Fund Balance	\$ 525,460	\$ 4,174,430	\$ 5,307	\$ 7,706,525	\$ -	\$ 12,411,722

See accompanying note to supplementary information.

**CARLSBAD UNIFIED SCHOOL DISTRICT
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
FOR THE YEAR ENDED JUNE 30, 2020**

	Cafeteria Fund	Capital Facilities Fund	County School Facilities Fund	Capital Projects Fund for Blended Component Units	Debt Service Fund for Blended Component Units	Non-Major Governmental Funds
REVENUES						
Federal sources	\$ 912,671	\$ -	\$ -	\$ -	\$ -	\$ 912,671
Other state sources	68,040	-	-	-	-	68,040
Other local sources	1,162,313	1,723,243	105	5,803,716	-	8,689,377
Total Revenues	2,143,024	1,723,243	105	5,803,716	-	9,670,088
EXPENDITURES						
Current						
Pupil services						
Food services	2,379,907	-	-	-	-	2,379,907
General administration						
All other general administration	-	49,003	-	-	-	49,003
Plant services	-	20,975	-	87,557	-	108,532
Facilities acquisition and maintenance	-	3,228,686	-	126,631	-	3,355,317
Debt service						
Principal	-	-	-	375,000	1,745,000	2,120,000
Interest and other	-	-	-	100,450	1,686,316	1,786,766
Total Expenditures	2,379,907	3,298,664	-	689,638	3,431,316	9,799,525
Excess (Deficiency) of Revenues Over Expenditures	(236,883)	(1,575,421)	105	5,114,078	(3,431,316)	(129,437)
Other Financing Sources (Uses)						
Transfers in	10,000	-	-	-	3,431,316	3,441,316
Transfers out	-	-	-	(3,431,316)	-	(3,431,316)
Net Financing Sources (Uses)	10,000	-	-	(3,431,316)	3,431,316	10,000
NET CHANGE IN FUND BALANCE	(226,883)	(1,575,421)	105	1,682,762	-	(119,437)
Fund Balance - Beginning	485,150	5,394,174	-	6,018,057	-	11,897,381
Fund Balance - Ending	\$ 258,267	\$ 3,818,753	\$ 105	\$ 7,700,819	\$ -	\$ 11,777,944

See accompanying note to supplementary information.

CARLSBAD UNIFIED SCHOOL DISTRICT
LOCAL EDUCATION AGENCY ORGANIZATION STRUCTURE
JUNE 30, 2020

Established in 1921, Carlsbad Unified School District is located in San Diego County in southern California, approximately 25 miles north of San Diego. The District covers approximately 42 square miles and serves a Carlsbad population of over 110,000, as well as portions of the communities of Oceanside and San Marcos. Carlsbad Unified schools accommodate more than 11,000 students. The District provides a comprehensive curriculum, enabling all students to excel as they meet the challenges and opportunities of our changing world. All of our schools offer students the means to succeed by providing programs that maximize the abilities, talents, and interests, of every individual. The District is comprised of 9 elementary schools that feed into three middle schools, two high schools and one continuation high school. There have been no boundary changes made in 2019-20.

GOVERNING BOARD

Member	Office	Term Expires
Veronica Williams	President	December 2022
Claudine Jones	Vice President	December 2022
Elisa Williamson	Clerk	December 2020
Kathy Rallings	Member	December 2022
Ray Pearson	Member	December 2020

DISTRICT ADMINISTRATORS

Ben Churchill, Ed.D.
Superintendent

Chris Wright
Assistant Superintendent
Business Services

Richard Grove
Assistant Superintendent
Personnel Services

Robert Nye, Ed.D.
Assistant Superintendent
Instructional Services

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO SUPPLEMENTARY INFORMATION
JUNE 30, 2020

NOTE 1 – PURPOSE OF SCHEDULES

Schedule of Expenditures of Federal Awards

The accompanying Schedule of Expenditures of Federal Awards includes the Federal grant activity of the District and is presented on the modified accrual basis of accounting. The information in this schedule is presented in accordance with the requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Therefore, some amounts presented in this schedule may differ from amounts presented in, or used in the preparation of, the financial statements.

The following schedule provides reconciliation between revenues reported on the Statement of Revenue, Expenditures, and Changes in Fund Balance, and the related expenditures reported on the Schedule of Expenditures of Federal Awards. The reconciling amounts represent Federal funds that have been recorded as revenues in a prior year that have been expended by June 30, 2020 or Federal funds that have been recorded as revenues in the current year and were not expended by June 30, 2020.

	CFDA Number	Amount
Total Federal Revenues reported in the Statement of Revenues, Expenditures, and Changes in Fund Balance		\$ 5,563,862
Federal Interest Subsidy	*	(1,130,218)
Coronavirus Relief Fund (CRF): Learning Loss Mitigation	21.019	<u>138,289</u>
Total Expenditures reported in the Schedule of Expenditures of Federal Awards		<u>\$ 4,571,933</u>

The District has not elected to use the 10 percent de minimis indirect cost rate.

Schedule of Average Daily Attendance (ADA)

Average daily attendance (ADA) is a measurement of the number of pupils attending classes of the District. The purpose of attendance accounting from a fiscal standpoint is to provide the basis on which apportionments of state funds are made to school districts. This schedule provides information regarding the attendance of students at various grade levels and in different programs.

Schedule of Instructional Time

This schedule presents information on the amount of instructional time offered by the District and whether the District complied with the provisions of *Education Code Sections* 46200 through 46208.

Schedule of Financial Trends and Analysis

This schedule discloses the District's financial trends by displaying past years' data along with current year budget information. These financial trend disclosures are used to evaluate the District's ability to continue as a going concern for a reasonable period of time.

CARLSBAD UNIFIED SCHOOL DISTRICT
NOTES TO SUPPLEMENTARY INFORMATION, continued
JUNE 30, 2020

NOTE 1 – PURPOSE OF SCHEDULES (continued)

Reconciliation of Annual Financial and Budget Report with Audited Financial Statements

This schedule provides the information necessary to reconcile the fund balance of all funds reported on the Annual Financial and Budget Report Unaudited Actuals to the audited financial statements.

Schedule of Charter Schools

This schedule lists all charter schools chartered by the District and displays information for each charter school on whether or not the charter school is included in the District audit.

Combining Statements – Non-Major Funds

These statements provide information on the District's non-major funds.

Local Education Agency Organization Structure

This schedule provides information about the District's boundaries and schools operated, members of the governing board, and members of the administration.

OTHER INDEPENDENT AUDITORS' REPORTS

**REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON COMPLIANCE AND OTHER
MATTERS BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH
GOVERNMENT AUDITING STANDARDS**Independent Auditors' Report

Governing Board
Carlsbad Unified School District
Carlsbad, California

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of Carlsbad Unified School District, as of and for the year ended June 30, 2020, and the related notes to the financial statements, which collectively comprise the Carlsbad Unified School District's basic financial statements, and have issued our report thereon dated February 2, 2021.

Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered Carlsbad Unified School District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Carlsbad Unified School District's internal control. Accordingly, we do not express an opinion on the effectiveness of Carlsbad Unified School District's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether Carlsbad Unified School District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Christy White, Inc.

San Diego, California
February 2, 2021

**REPORT ON COMPLIANCE FOR EACH MAJOR FEDERAL PROGRAM; AND REPORT ON INTERNAL CONTROL
OVER COMPLIANCE REQUIRED BY THE UNIFORM GUIDANCE**Independent Auditors' Report

Governing Board
Carlsbad Unified School District
Carlsbad, California

Report on Compliance for Each Major Federal Program

We have audited Carlsbad Unified School District's compliance with the types of compliance requirements described in the *OMB Compliance Supplement* that could have a direct and material effect on each of Carlsbad Unified School District's major federal programs for the year ended June 30, 2020. Carlsbad Unified School District's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

Management's Responsibility

Management is responsible for compliance with federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of Carlsbad Unified School District's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about Carlsbad Unified School District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. However, our audit does not provide a legal determination of Carlsbad Unified School District's compliance.

Opinion on Each Major Federal Program

In our opinion, Carlsbad Unified School District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2020.

Report on Internal Control Over Compliance

Management of Carlsbad Unified School District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered Carlsbad Unified School District's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of Carlsbad Unified School District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

A handwritten signature in blue ink that reads "Christy White, Inc." in a cursive, slightly stylized font.

San Diego, California
February 2, 2021

REPORT ON STATE COMPLIANCEIndependent Auditors' Report

Governing Board
Carlsbad Unified School District
Carlsbad, California

Report on State Compliance

We have audited Carlsbad Unified School District's compliance with the types of compliance requirements described in the *2019-2020 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*, prescribed in Title 5, California Code of Regulations, section 19810 that could have a direct and material effect on each of Carlsbad Unified School District's state programs for the fiscal year ended June 30, 2020, as identified below.

Management's Responsibility

Management is responsible for compliance with the requirements of laws, regulations, contracts, and grants applicable to its state programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of Carlsbad Unified School District's state programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the *2019-2020 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*, prescribed in Title 5, California Code of Regulations, section 19810. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on the state programs noted below occurred. An audit includes examining, on a test basis, evidence about Carlsbad Unified School District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance with the requirements referred to above. However, our audit does not provide a legal determination of Carlsbad Unified School District's compliance with those requirements.

Opinion on State Compliance

In our opinion, Carlsbad Unified School District complied, in all material respects, with the types of compliance requirements referred to above that are applicable to the state programs noted in the table below for the year ended June 30, 2020.

Other Matters

The results of our auditing procedures disclosed instances of noncompliance, which are described in the accompanying schedule of findings and questioned costs as Findings #2020-001 and #2020-002. Our opinion on state compliance is not modified with respect to these matters.

Carlsbad Unified School District's response to the noncompliance findings identified in our audit are described in the accompanying schedule of findings and questioned costs and corrective action plan. Carlsbad Unified School District's response was not subjected to the auditing procedures applied in the audit of compliance and, accordingly, we express no opinion on the response.

Procedures Performed

In connection with the audit referred to above, we selected and tested transactions and records to determine Carlsbad Unified School District's compliance with the state laws and regulations applicable to the following items:

PROGRAM NAME	PROCEDURES PERFORMED
Local Education Agencies Other Than Charter Schools	
Attendance	Yes
Teacher Certification and Misassignments	Yes
Kindergarten Continuance	Yes
Independent Study	No
Continuation Education	No
Instructional Time	Yes
Instructional Materials	Yes
Ratios of Administrative Employees to Teachers	Yes
Classroom Teacher Salaries	Yes
Early Retirement Incentive	Not Applicable
Gann Limit Calculation	Yes
School Accountability Report Card	Yes
Juvenile Court Schools	Not Applicable
Middle or Early College High Schools	Not Applicable
K-3 Grade Span Adjustment	Yes
Transportation Maintenance of Effort	Yes
Apprenticeship: Related and Supplemental Instruction	Not Applicable
Comprehensive School Safety Plan	Yes
District of Choice	Not Applicable
School Districts, County Offices of Education, and Charter Schools	
California Clean Energy Jobs Act	Yes
After/Before School Education and Safety Program	Yes
Proper Expenditure of Education Protection Account Funds	Yes
Unduplicated Local Control Funding Formula Pupil Counts	Yes
Local Control and Accountability Plan	Yes
Independent Study-Course Based	Not Applicable

(continued on the following page)

Procedures Performed (continued)

PROGRAM NAME	PROCEDURES PERFORMED
Charter Schools	
Attendance; for charter schools	Not Applicable
Mode of Instruction; for charter schools	Not Applicable
Nonclassroom-Based Instruction/Independent Study; for charter schools	Not Applicable
Determination of Funding for Nonclassroom-Based Instruction; for charter schools	Not Applicable
Annual Instructional Minutes – Classroom Based; for charter schools	Not Applicable
Charter School Facility Grant Program	Not Applicable

We did not perform testing for Independent Study or Continuation Education. The procedures were not required to be performed because the ADA reported in those programs was below the level which required testing.

Christy White, Inc.

San Diego, California
February 2, 2021

SCHEDULE OF FINDINGS AND QUESTIONED COSTS

**CARLSBAD UNIFIED SCHOOL DISTRICT
SUMMARY OF AUDITORS' RESULTS
FOR THE YEAR ENDED JUNE 30, 2020**

FINANCIAL STATEMENTS

Type of auditors' report issued:	<u>Unmodified</u>
Internal control over financial reporting:	
Material weakness(es) identified?	<u>No</u>
Significant deficiency(ies) identified?	<u>None Reported</u>
Non-compliance material to financial statements noted?	<u>No</u>

FEDERAL AWARDS

Internal control over major program:	
Material weakness(es) identified?	<u>No</u>
Significant deficiency(ies) identified?	<u>None Reported</u>
Type of auditors' report issued:	<u>Unmodified</u>
Any audit findings disclosed that are required to be reported in accordance with Uniform Guidance 2 CFR 200.516(a)?	<u>No</u>
Identification of major programs:	

<u>CFDA Number(s)</u>	<u>Name of Federal Program or Cluster</u>
<u>84.010</u>	<u>Title I, Part A</u>
<u>84.027, 84.027A 84.173, 84.173A</u>	<u>Special Education Cluster</u>
Dollar threshold used to distinguish between Type A and Type B programs:	<u>\$ 750,000</u>
Auditee qualified as low-risk auditee?	<u>No</u>

STATE AWARDS

Internal control over state programs:	
Material weaknesses identified?	<u>No</u>
Significant deficiency(ies) identified?	<u>Yes</u>
Type of auditors' report issued on compliance for state programs:	<u>Unmodified</u>

**CARLSBAD UNIFIED SCHOOL DISTRICT
FINANCIAL STATEMENT FINDINGS
FOR THE YEAR ENDED JUNE 30, 2020**

FIVE DIGIT CODE

20000
30000

AB 3627 FINDING TYPE

Inventory of Equipment
Internal Control

There were no financial statement findings for the year ended June 30, 2020.

**CARLSBAD UNIFIED SCHOOL DISTRICT
FEDERAL AWARD FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2020**

FIVE DIGIT CODE

50000

AB 3627 FINDING TYPE

Federal Compliance

There were no federal award findings or questioned costs for the year ended June 30, 2020.

**CARLSBAD UNIFIED SCHOOL DISTRICT
STATE AWARD FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2020**

FIVE DIGIT CODE

10000
40000
42000
43000
60000
61000
62000
70000
71000
72000

AB 3627 FINDING TYPE

Attendance
State Compliance
Charter School Facilities Programs
Apprenticeship: Related and Supplemental Instruction
Miscellaneous
Classroom Teacher Salaries
Local Control Accountability Plan
Instructional Materials
Teacher Misassignments
School Accountability Report Card

FINDING #2020-001: UNDUPLICATED LOCAL CONTROL FUNDING FORMULA PUPIL COUNTS (40000)

Criteria: Students classified as free or reduced-price meal eligible (FRPM) and who are not directly certified on the CALPADS 1.18 FRPM/English Learner/Foster Youth – Student List Report must have supporting documentation that indicates the student was eligible for the determination. Auditors are required to verify compliance with Education Code Section 42238.02(b)(3)(b) in Section W of the 2019-20 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting.

Condition: Seventeen (17) out of 60 students tested from the CALPADS 1.18 FRPM/English Learner/Foster Youth – Student List Report who were classified as FRPM did not have proper supporting documentation to justify their designation. In each instance, the student did not appear to have an application on file for the 2019-20 school year and was only free or reduced status for a portion of the year due to the NSLP grace period from the prior year. We extrapolated the error rate across the entire population of 2019-20 unduplicated pupil counts meeting this criterion, which results in an audit adjustment of 276 unduplicated pupil counts.

Context: 276 of 8,703 (3,006 for 2019-20, 2,809 for 2018-19, and 2,888 for 2017-18) students reported in the District's Unduplicated Pupil Count did not have proper supporting documentation to support their FRPM designation.

Effect: The District is not in compliance with applicable State requirements.

Cause: CALPADS reporting erroneously included students that were classified as free or reduced for a portion of the year due to the NSLP grace period from the prior year.

(Continued on the following page)

**CARLSBAD UNIFIED SCHOOL DISTRICT
STATE AWARD FINDINGS AND QUESTIONED COSTS, continued
FOR THE YEAR ENDED JUNE 30, 2020**

**FINDING #2020-001: UNDUPLICATED LOCAL CONTROL FUNDING FORMULA PUPIL COUNTS (40000)
(continued)**

Questioned Costs: \$152,221, as calculated below:

UPP Audit Adjustment					
1	Total Adjusted Enrollment from the UPP exhibit as of P-2				34,258
2	Total Adjusted Unduplicated Pupil Count from the UPP exhibit as of P-2				8,703
3	Audit Adjustment - Number of Enrollment				-
4	Audit Adjustment - Number of Unduplicated Pupil Count				(276)
5	Revised Adjusted Enrollment				34,258
6	Revised Adjusted Unduplicated Pupil Count				8,427
7	UPP calculated as of P-2				0.2540
8	Revised UPP for audit finding				0.2460
9	Charter Schools Only: Determinative School District Concentration Cap				-
10	Revised UPP adjusted for Concentration Cap				0.2460
LCFF Target Supplemental Grant Funding Audit Adjustment		TK/K-3	4-6	7-8	9-12
9	Supplemental and Concentration Grant ADA	3,108.63	2,472.08	1,754.46	3,683.21
10	Adjusted Base Grant per ADA	\$8,503	\$7,818	\$8,050	\$9,572
11	Target Supplemental Grant Funding calculated as of P-2				\$4,833,035
12	Revised Target Supplemental Grant Funding for audit finding				\$4,680,814
13	Target Supplemental Grant Funding audit adjustment				(\$152,221)
LCFF Target Concentration Grant Funding Audit Adjustment					
14	Target Concentration Grant Funding calculated as of P-2				\$0
15	Revised Target Concentration Grant Funding for audit finding				\$0
16	Target Concentration Grant Funding audit adjustment				\$0
Estimated Cost of Unduplicated Pupil Count Audit Adjustment for LEAs funded at LCFF Target					
18	Total Target Supplemental and Concentration audit adjustment				(\$152,221)
Estimated Cost of Unduplicated Pupil Count Audit Adjustment for LEAs funded on LCFF Floor and Gap					
19	Statewide Gap Funding Rate as of P-2				1.0000000000
20	Estimated Cost of Unduplicated Pupil Count audit adjustment				(\$152,221)

Repeat Finding: This is a repeat finding, see finding #2019-005.

Recommendation: We recommend that the District ensure that CALPADS reporting is revised following the completion of NSLP Income Verification before the close of the Fall I Amendment Window.

Corrective Action Plan: The District's CALPADS administrators have researched and familiarized themselves with the process whereby data correctly captured in the Nutrition Services Primero system is automatically transferred to the Aeries student information system, but then must be manually uploaded from Aeries into CALPADS. Further the CALPADS administrators will be provided with training and access to other districts' CALPADS administrators so the District can improve its own internal processes.

**CARLSBAD UNIFIED SCHOOL DISTRICT
STATE AWARD FINDINGS AND QUESTIONED COSTS, continued
FOR THE YEAR ENDED JUNE 30, 2020**

**FINDING #2020-002 AFTER SCHOOL EDUCATION AND SAFETY PROGRAM – DIRECT SERVICES
REQUIREMENT (40000)**

Criteria: Pursuant to EC sections 8483.9(a)(b)(c), a fiscal agent receiving state funding for the After School Education and Safety (ASES) Program may allocate no less than 85 percent of the total grant amount to school sites for direct services; and spend no more than 15 percent of the amount of the grant for administrative costs, including indirect costs.

Condition: Through review of the ASES expenditure report for the fiscal year ended June 30, 2020, we noted that the District exceeded the allowable administrative cost threshold of 15 percent. Of the \$80,607 in total program expenditures incurred during the fiscal year ended June 30, 2020, administrative costs in the amount of \$16,056 represented approximately 20 percent of current year program expenditures.

Cause: Based on our inquiries, the impact of the school closures due to the COVID-19 pandemic led the District to fall out of compliance with this requirement.

Effect: The District did not meet the expenditure requirements for direct services provided to pupils.

Questioned Costs: The result is an excess of approximately \$3,965 from the allowable administrative cost threshold of 15 percent.

Repeat Finding: This is not a repeat finding.

Recommendation: We recommend that the program management staff implement a process to periodically monitor compliance with this requirement throughout the fiscal year.

Corrective Action Plan: The unprecedented shutdown of schools in 2019-20 prevented the District from expending its full allocation of ASES funds. Since the administrative costs are 15% of expenditures, once schools were shuttered there was no ability to expend the rest of the funds that would have then kept the District in compliance. In response, the District has implemented a stricter process to monitor expenditures on a quarterly basis to prevent such an occurrence from happening going forward.

**CARLSBAD UNIFIED SCHOOL DISTRICT
SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS
FOR THE YEAR ENDED JUNE 30, 2020**

FINDING #2019-001: ASSOCIATED STUDENT BODY INTERNAL CONTROLS (30000)

Criteria: Proper internal controls should be in place to ensure Associated Student Body (ASB) funds are properly collected, deposited and expended as part of the District's fiduciary duty. In addition, adequate internal controls will ensure that fiduciary fund assets are safeguarded.

Condition: During our evaluation of internal controls over ASB activities, we noted a lack of proper internal controls and audit documentation relating to cash disbursements and receipts. The deficiencies in internal controls noted include the following:

- Shipping receipts are not always collected or reviewed by ASB Accounting Technician prior to payments being made to vendors. This was noted in two out of ten checks selected for review at Carlsbad High School. Without this control in place, there is a risk that payments will be inappropriately made for goods or services that were not yet received.
- During our testing of ASB disbursements at Carlsbad High School, we noted an expenditure for the repair of a district-owned golf cart. As outlined in the FCMAT ASB Accounting Manual, repair and maintenance of district-owned equipment is prohibited with the exception of equipment that the ASB donated to the District and for which the donation agreement includes a provision that the ASB will maintain the donation in the future, including paying for any repair, maintenance or replacement. From our understanding, the ASB had no agreement in place with the District at the time of expenditure.

Cause: Lack of adequate oversight and/or noncompliance with District accounting policies.

Effect: A lack of proper internal controls can lead to accounting irregularities to go undetected and increase the potential for the misappropriation of fiduciary fund assets.

Repeat Finding: This finding is partially related to finding #2018-001.

Recommendation: Recommendations related to each deficiency are included above. In addition, training and instruction on the use of standardized formats should continue to be provided annually with compliance follow-up by the district office. The District should provide each student body account clerk with the latest FCMAT Associated Student Body Accounting Manual & Desk Reference and reinforce the importance for sound internal control procedures to be implemented. Proper controls over cash receipting and cash disbursements are integral for proper safeguarding of assets.

Corrective Action Plan: The Director of Fiscal Services has met with the Principal, Assistant Principal and ASB account technician at Carlsbad High School to discuss both issues. A donation form has been created for districtwide use for ASB equipment purchased through the district and has been shared with all secondary site administration, ASB advisors, and ASB accounting technicians. Chapter 16 of the FCMAT ASB Manual will accompany the form as well to provide further details. All staff involved in ASB transactions across the district have been reminded of the importance of proper receipt confirmation prior to invoice payment being made. Internal audits will be made during the year by Fiscal Services to ensure compliance.

Current Status: Implemented.

**CARLSBAD UNIFIED SCHOOL DISTRICT
SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS continued
FOR THE YEAR ENDED JUNE 30, 2020**

FINDING #2019-002: LEASE-LEASEBACK BIDDING PROCEDURES (30000)

Criteria: Education Code 17406 outlines the requirements for awarding of contracts through the lease-leaseback method. Specifically, Education Code (a)(2)(F)(ii) outlines that the district shall evaluate the qualifications of the proposers based solely upon the criteria and evaluation methodology set forth in the request for proposals (RFP) and assign a best value score to each proposal. Once the evaluation is complete, all responsive proposals shall be ranked from the highest best value to the lowest best value to the school district.

Condition: During our testing of bidding procedures, we noted that the determination of best value and final RFP scoring was not available for the contracts outlined below. As a result, it was not clear which proposal was determined to provide the best value to the District.

- Kelly Elementary School (FAC 1819-09)
- Hope Elementary School (FAC 1819-10)
- Carlsbad High School – Chiller and Science Building (FAC 1819-17)

Cause: Administrative oversight, in addition to recent turnover in purchasing and construction departments.

Effect: The District was not able demonstrate compliance with the related Education Code requirements for the contracts specified above.

Repeat Finding: This is not a repeat finding.

Recommendation: We recommend that the District implement procedures to ensure that best value evaluations and RFP scoring are maintained and available for review in order to demonstrate that the District followed the appropriate competitive selection process. Finalized scoring documents should be signed and dated by the appropriate staff members.

Corrective Action Plan: To ensure any change in personnel does not impact continuity or traceability for projects, all completed rubrics from evaluators will be scanned and will become a part of the district's bid documents electronically. Forms will be submitted to the Construction Management Administrative Assistant immediately following evaluation to be scanned. The Construction Management Administrative Assistant will be responsible for organizing and maintaining all district bid documents electronically.

Current Status: Implemented.

**CARLSBAD UNIFIED SCHOOL DISTRICT
SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS continued
FOR THE YEAR ENDED JUNE 30, 2020**

FINDING #2019-003: CASH RECEIPTS (30000)

Criteria: Effective internal controls over the cash receipting process require adequate division of responsibilities among those who perform accounting procedures or control activities and those who handle assets.

Condition: During our testing of internal control procedures related to cash receipting at the district level we noted deficiencies in internal controls related to segregation of duties. Currently, the checks and cash the District receives are received by various members of the Fiscal Services department, including the Accounting Technician who prepares the deposit.

Perspective: Review of internal controls with District staff.

Cause: District does not have proper segregation of duties as it relates to the cash receipting process.

Effect: Increased risk of fraud in the cash receipting process.

Repeat Finding: This is not a repeat finding.

Recommendation: We recommend that the district designate one staff member to receive all cash and checks collected at the district who is separate from the deposit and reconciliation process.

Corrective Action Plan: The process has been revised so that one designated accounting technician receives all cash and checks, issues receipts, runs a tape, and fills out and signs a detailed deposit form. A different designated account technician creates a deposit spreadsheet from the receipts, including account numbers, verifies the total to the deposit form and prepares the deposit for the bank. The Lead Accountant enters the journal in PeopleSoft from the spreadsheet.

Current Status: Implemented.

**CARLSBAD UNIFIED SCHOOL DISTRICT
SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS continued
FOR THE YEAR ENDED JUNE 30, 2020**

FINDING #2019-004: JOURNAL ENTRIES (30000)

Criteria: Proper internal accounting controls include segregation of duties that require journal entries to be reviewed by someone other than the person creating the entry, knowledgeable about accounting principles prior to entry to the general ledger.

Condition: Journal entries are created and posted by various District staff and are not reviewed by a second knowledgeable person.

Perspective: The condition referred to above was the result of our inquiry with District personnel about the journal entry process.

Cause: The District does not have a policy requiring secondary review of journal entries.

Effect: Without a review and approval for each journal entry, there is an increased risk that an inappropriate entry may be recorded to the District's general ledger either by mistake or intentionally, and not be detected by a District employee performing their regular duties.

Repeat Finding: This is not a repeat finding.

Recommendation: The review of each entry by a second knowledgeable person should be documented. A copy of each entry should be printed and filed with supporting documentation attached.

Corrective Action Plan: All general ledger journal entries for actual expenditures will flow through the approval process in PeopleSoft to the Director, Fiscal Services, for review and approval.

Current Status: Implemented.

**CARLSBAD UNIFIED SCHOOL DISTRICT
SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS continued
FOR THE YEAR ENDED JUNE 30, 2020**

FINDING #2019-005: UNDUPLICATED LOCAL CONTROL FUNDING FORMULA PUPIL COUNTS (40000)

Criteria: Students classified as free or reduced-price meal eligible (FRPM) and who are not directly certified on the CALPADS 1.18 FRPM/English Learner/Foster Youth – Student List Report must have supporting documentation that indicates the student was eligible for the determination. Auditors are required to verify compliance with Education Code Section 42238.02(b)(3)(b) in Section W of the 2018-19 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting.

Condition: Four (4) out of 60 students tested from the CALPADS 1.18 FRPM/English Learner/Foster Youth – Student List Report who were classified as FRPM did not have proper supporting documentation to justify their designation. The student in question was selected for NSLP Income Verification and changed to “Paid” status as a result of nonresponse to verification requests. Upon further review of 100% of the NSLP Income Verification sample selected for 2018-19, we identified a total of 31 students that were incorrectly classified.

Context: 31 of 8,155 (2,840 for 2018-19, 2,888 for 2017-18, and 2,427 for 2016-17) students reported in the District’s Unduplicated Pupil Count did not have proper supporting documentation to support their FRPM designation.

Effect: The District is not in compliance with applicable State requirements.

Cause: CALPADS reporting was not revised subsequent to the completion of NSLP Income Verification for the 2018-19 school year.

(Continued on the following page)

**CARLSBAD UNIFIED SCHOOL DISTRICT
SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS continued
FOR THE YEAR ENDED JUNE 30, 2020**

FINDING #2019-005: UNDUPLICATED LOCAL CONTROL FUNDING FORMULA PUPIL COUNTS (40000) (continued)

Questioned Costs: \$16,466, as calculated below:

UPP Audit Adjustment				
1	Total Adjusted Enrollment from the UPP exhibit as of P-2			33,948
2	Total Adjusted Unduplicated Pupil Count from the UPP exhibit as of P-2			8,155
3	Audit Adjustment - Number of Enrollment			-
4	Audit Adjustment - Number of Unduplicated Pupil Count			(31)
5	Revised Adjusted Enrollment			33,948
6	Revised Adjusted Unduplicated Pupil Count			8,124
7	UPP calculated as of P-2			0.2402
8	Revised UPP for audit finding			0.2393
9	Charter Schools Only: Determinative School District Concentration Cap			-
10	Revised UPP adjusted for Concentration Cap			0.2393
LCFF Target Supplemental Grant Funding Audit Adjustment				
		TK/K-3	4-6	7-8
9	Supplemental and Concentration Grant ADA	3,091.45	2,470.12	1,758.44
10	Adjusted Base Grant per ADA	\$8,235	\$7,571	\$7,796
11	Target Supplemental Grant Funding calculated as of P-2			\$4,394,213
12	Revised Target Supplemental Grant Funding for audit finding			\$4,377,747
13	Target Supplemental Grant Funding audit adjustment			(\$16,466)
LCFF Target Concentration Grant Funding Audit Adjustment				
14	Target Concentration Grant Funding calculated as of P-2			\$0
15	Revised Target Concentration Grant Funding for audit finding			\$0
16	Target Concentration Grant Funding audit adjustment			\$0
Estimated Cost of Unduplicated Pupil Count Audit Adjustment for LEAs funded at LCFF Target				
18	Total Target Supplemental and Concentration audit adjustment			(\$16,466)
Estimated Cost of Unduplicated Pupil Count Audit Adjustment for LEAs funded on LCFF Floor and Gap				
19	Statewide Gap Funding Rate as of P-2			1.0000000000
20	Estimated Cost of Unduplicated Pupil Count audit adjustment			(\$16,466)

Repeat Finding: This is not a repeat finding.

Recommendation: We recommend that the District ensure that CALPADS reporting is revised following the completion of NSLP Income Verification before the close of the Fall I Amendment Window.

Corrective Action Plan: The District has established a protocol for communication between our Nutrition Services Department and our IT Department where the CALPADS reporting is completed. Upon completion of verification, the Nutrition Services software is updated based upon findings of the verification process. District's Database Administrator has access to this software. Prior to the end of the Fall 1 Amendment Window for CALPADS, the Nutrition Services Department Administrative Assistant will provide the District's Database Administrator a printed list of the current FRPM list to ensure CALPADS records are updated.

Current Status: Partially Implemented, see finding #2020-001.

**CARLSBAD UNIFIED SCHOOL DISTRICT
SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS continued
FOR THE YEAR ENDED JUNE 30, 2020**

FINDING #2019-006: AFTER SCHOOL EDUCATION AND SAFETY (ASES) (40000)

Criteria: Pursuant to California Education Code Section 8483 (c)(1)(A), the District is required to provide ASES program enrollment priority to pupils who are identified as homeless youth or as being in foster care at the time of enrollment.

Condition: Through testing of ASES enrollment requirements and review of the related program enrollment documents, the District was not able to provide evidence of compliance with the requirements outlined above.

Effect: The District is not in compliance with requirements set forth by California Education Code.

Cause: Administrative oversight in confirming that program enrollment documents and procedures are compliant with current requirements.

Questioned Costs: Not applicable.

Repeat Finding: This is not a repeat finding.

Recommendation: We recommend that the District revise the program enrollment applications and implement procedures to ensure that first priority of program enrollment is provided to pupils who are identified as either homeless youth or in foster care at the time they apply for enrollment.

Corrective Action Plan: Carlsbad Education Foundation implemented procedures and updated their ASES application materials for the 2019-20 school year to include program enrollment priority to pupils who are identified as homeless youth or as being in foster care at the time of enrollment.

Current Status: Implemented.

APPENDIX C

FORM OF CONTINUING DISCLOSURE CERTIFICATE

This Continuing Disclosure Certificate (the “Disclosure Certificate”) is executed and delivered by the Carlsbad Unified School District (the “District”) in connection with the issuance of \$93,000,000 of the District’s Election of 2018 General Obligation Bonds, Series B (the “Bonds”). The Bonds are being issued pursuant to a resolution adopted by the Board of Trustees of the District on March 10, 2021 (the “Resolution”). The District covenants and agrees as follows:

SECTION 1. Purpose of the Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the District for the benefit of the Holders and Beneficial Owners of the Bonds and in order to assist the Participating Underwriter in complying with Securities and Exchange Commission Rule 15c2-12(b)(5).

SECTION 2. Definitions. In addition to the definitions set forth in the Resolution, which apply to any capitalized term used in this Disclosure Certificate unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

“Annual Report” shall mean any Annual Report provided by the District pursuant to, and as described in, Sections 3 and 4 of this Disclosure Certificate.

“Beneficial Owner” shall mean any person which (a) has the power, directly or indirectly, to vote or consent with respect to, or to dispose of ownership of, any Bonds (including persons holding Bonds through nominees, depositories or other intermediaries), or (b) is treated as the owner of any Bonds for federal income tax purposes.

“Dissemination Agent” shall mean initially, Willdan Financial Services, or any successor Dissemination Agent designated in writing by the District (which may be the District) and which has filed with the District a written acceptance of such designation.

“Financial Obligation” shall mean: (a) a debt obligation; (b) a derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation; or (c) a guarantee of (a) or (b). The term “Financial Obligation” does not include municipal securities as to which a final official statement has been provided to the Repository consistent with the Rule.

“Holders” shall mean registered owners of the Bonds.

“Listed Events” shall mean any of the events listed in Section 5(a) or Section 5(b) of this Disclosure Certificate.

“Official Statement” means that certain official statement, dated June 8, 2021, relating to the offering and sale of the Bonds.

“Participating Underwriter” shall mean J.P. Morgan Securities LLC, as the original Underwriter of the Bonds required to comply with the Rule in connection with the offering of the Bonds.

“Repository” shall mean, the Municipal Securities Rulemaking Board, which can be found at <http://emma.msrb.org/>, or any other repository of disclosure information that may be designated by the Securities and Exchange Commission as such for purposes of the Rule in the future.

“Rule” shall mean Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

“State” shall mean the State of California.

SECTION 3. Provision of Annual Reports.

(a) The District shall, or shall cause the Dissemination Agent to, not later than nine months after the end of the District’s fiscal year (presently ending June 30), commencing with the report for the 2020-21 fiscal year, provide to the Repository an Annual Report which is consistent with the requirements of Section 4 of this Disclosure Certificate. The Annual Report may be submitted as a single document or as separate documents comprising a package, and may cross-reference other information as provided in Section 4 of this Disclosure Certificate; *provided* that the audited financial statements of the District may be submitted separately from the balance of the Annual Report and later than the date required above for the filing of the Annual Report if they are not available by that date. If the District’s fiscal year changes, it shall give notice of such change in the same manner as for a Listed Event under Section 5(b).

(b) Not later than thirty (30) days (nor more than sixty (60) days) prior to said date the Dissemination Agent shall give notice to the District that the Annual Report shall be required to be filed in accordance with the terms of this Disclosure Certificate. Not later than fifteen (15) Business Days prior to said date, the District shall provide the Annual Report in a format suitable for reporting to the Repository to the Dissemination Agent (if other than the District). If the District is unable to provide to the Repository an Annual Report by the date required in subsection (a), the District shall send a notice in a timely manner to the Repository in substantially the form attached as Exhibit A with a copy to the Dissemination Agent. The Dissemination Agent shall not be required to file a Notice to Repository of Failure to File an Annual Report.

(c) The Dissemination Agent shall file a report with the District stating it has filed the Annual Report in accordance with its obligations hereunder, stating the date it was provided to the Repository.

SECTION 4. Content and Form of Annual Reports. (a) The District’s Annual Report shall contain or include by reference the following:

1. The audited financial statements of the District for the prior fiscal year, prepared in accordance with generally accepted accounting principles as promulgated to apply to governmental entities from time to time by the Governmental Accounting Standards Board. If the District’s audited financial statements are not available by the time the Annual Report is required to be filed pursuant to Section 3(a), the Annual Report shall contain unaudited financial statements in a format similar to the financial statements contained in the final Official Statement, and the audited financial statements shall be filed in the same manner as the Annual Report when they become available.

2. Material financial information and operating data with respect to the District of the type included in the Official Statement in the following categories (to the extent not included in the District’s audited financial statements):

- (a) State funding received by the District for the last completed fiscal year;
- (b) average daily attendance of the District for the last completed fiscal year;
- (c) outstanding District indebtedness;
- (d) summary financial information on revenues, expenditures and fund balances for the District's general fund reflecting adopted budget for the current fiscal year;
- (e) assessed valuation of taxable property within the District for the then current fiscal year; and
- (f) secured *ad valorem* property tax charges and delinquencies within the District, to the extent that the County is no longer on the Teeter Plan.

Any or all of the items listed above may be included by specific reference to other documents, including official statements of debt issues of the District or related public entities, which have been submitted to the Repository or the Securities and Exchange Commission. If the document included by reference is a final official statement, it must be available from the Municipal Securities Rulemaking Board. The District shall clearly identify each such other document so included by reference.

(b) The Annual Report shall be filed in an electronic format, and accompanied by identifying information, prescribed by the Municipal Securities Rulemaking Board.

SECTION 5. Reporting of Significant Events.

(a) Pursuant to the provisions of this Section 5(a), the District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds in a timely manner not in excess of 10 business days after the occurrence of the event:

- 1. principal and interest payment delinquencies.
- 2. tender offers.
- 3. defeasances.
- 4. rating changes.
- 5. adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, or Notices of Proposed Issue (IRS Form 5701-TEB).
- 6. unscheduled draws on the debt service reserves reflecting financial difficulties.
- 7. unscheduled draws on credit enhancement reflecting financial difficulties.
- 8. substitution of the credit or liquidity providers or their failure to perform.
- 9. default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a Financial Obligation of the District, any of which reflect financial difficulties.

10. bankruptcy, insolvency, receivership or similar event (within the meaning of the Rule) of the District. For the purposes of the event identified in this Section 5(a)(10), the event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for the District in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the District, or if such jurisdiction has been assumed by leaving the existing governmental body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the District.

(b) Pursuant to the provisions of this Section 5(b), the District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds, if material:

1. non-payment related defaults.
2. modifications to rights of Bondholders.
3. optional, contingent or unscheduled bond calls.
4. unless described under Section 5(a)(5) above, material notices or determinations with respect to the tax status of the Bonds, or other material events affecting the tax status of the Bonds.
5. release, substitution or sale of property securing repayment of the Bonds.
6. the consummation of a merger, consolidation, or acquisition involving the District or the sale of all or substantially all of the assets of the District, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms.
7. appointment of a successor or additional trustee or paying agent with respect to the Bonds or the change of name of such a trustee or paying agent.
8. incurrence of a Financial Obligation of the District, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a Financial Obligation of the District, any of which affect Bondowners.

(c) Whenever the District obtains knowledge of the occurrence of a Listed Event under Section 5(b) hereof, the District shall as soon as possible determine if such event would be material under applicable federal securities laws.

(d) If the District determines that knowledge of the occurrence of a Listed Event under Section 5(b) hereof would be material under applicable federal securities laws, the District shall (i) file a notice of such occurrence with the Repository in a timely manner not in excess of 10 business days after the occurrence of the event or (ii) provide notice of such reportable event to the Dissemination Agent in format suitable for filing with the Repository in a timely manner not in excess of 10 business days after the occurrence of the event. The Dissemination Agent shall have no duty to independently prepare or file

any report of Listed Events. The Dissemination Agent may conclusively rely on the District's determination of materiality pursuant to Section 5(c).

SECTION 6. Termination of Reporting Obligation. The District's obligations under this Disclosure Certificate shall terminate upon the legal defeasance, prior redemption or payment in full of all of the Bonds. If such termination occurs prior to the final maturity of the Bonds, the District shall give notice of such termination in the same manner as for a Listed Event under Section 5(a) or Section 5(b), as applicable.

SECTION 7. Dissemination Agent. The District may, from time to time, appoint or engage a Dissemination Agent (or substitute Dissemination Agent) to assist it in carrying out its obligations under this Disclosure Certificate, and may discharge any such Agent, with or without appointing a successor Dissemination Agent. The Dissemination Agent may resign upon fifteen (15) days written notice to the District. Upon such resignation, the District shall act as its own Dissemination Agent until it appoints a successor. The Dissemination Agent shall not be responsible in any manner for the content of any notice or report prepared by the District pursuant to this Disclosure Certificate and shall not be responsible to verify the accuracy, completeness or materiality of any continuing disclosure information provided by the District. The District shall compensate the Dissemination Agent for its fees and expenses hereunder as agreed by the parties. Any entity succeeding to all or substantially all of the Dissemination Agent's corporate trust business shall be the successor Dissemination Agent without the execution or filing of any paper or further act.

SECTION 8. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Certificate, the District may amend this Disclosure Certificate, and any provision of this Disclosure Certificate may be waived, provided that the following conditions are satisfied:

- (a) If the amendment or waiver relates to the provisions of Sections 3(a), 4, 5(a) or 5(b), it may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature or status of an obligated person with respect to the Bonds, or the type of business conducted;
- (b) The undertaking, as amended or taking into account such waiver, would, in the opinion of nationally recognized bond counsel, have complied with the requirements of the Rule at the time of the original issuance of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances;
- (c) The amendment or waiver does not, in the opinion of nationally recognized bond counsel, materially impair the interests of the Holders or Beneficial Owners of the Bonds; and
- (d) No duties of the Dissemination Agent hereunder shall be amended without its written consent thereto.

In the event of any amendment or waiver of a provision of this Disclosure Certificate, the District shall describe such amendment in the next Annual Report, and shall include, as applicable, a narrative explanation of the reason for the amendment or waiver and its impact on the type (or in the case of a change of accounting principles, on the presentation) of financial information or operating data being presented by the District. In addition, if the amendment relates to the accounting principles to be followed in preparing financial statements, (i) notice of such change shall be given in the same manner as for a Listed Event under Section 5(b), and (ii) the Annual Report for the year in which the change is made should present a comparison (in narrative form and also, if feasible, in quantitative form) between the

financial statements as prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles.

SECTION 9. Additional Information. Nothing in this Disclosure Certificate shall be deemed to prevent the District from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Certificate. If the District chooses to include any information in any Annual Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Certificate, the District shall have no obligation under this Certificate to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

SECTION 10. Default. In the event of a failure of the District to comply with any provision of this Disclosure Certificate any Holder or Beneficial Owner of the Bonds may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the District to comply with its obligations under this Disclosure Certificate. A default under this Disclosure Certificate shall not be deemed an event of default under the Resolution, and the sole remedy under this Disclosure Certificate in the event of any failure of the District to comply with this Disclosure Certificate shall be an action to compel performance.

SECTION 11. Duties, Immunities and Liabilities of Dissemination Agent. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Certificate. The Dissemination Agent acts hereunder solely for the benefit of the District; this Disclosure Certificate shall confer no duties on the Dissemination Agent to the Participating Underwriter, the Holders and the Beneficial Owners. The District agrees to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which it may incur arising out of or in the exercise or performance of its powers and duties hereunder, including the costs and expenses (including attorney's fees) of defending against any claim of liability, but excluding liabilities due to the Dissemination Agent's negligence or willful misconduct. The obligations of the District under this Section shall survive resignation or removal of the Dissemination Agent and payment of the Bonds. The Dissemination Agent shall have no liability for the failure to report any event or any financial information as to which the District has not provided an information report in format suitable for filing with the Repository. The Dissemination Agent shall not be required to monitor or enforce the District's duty to comply with its continuing disclosure requirements hereunder.

SECTION 12. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the District, the Dissemination Agent, the Participating Underwriter and Holders and Beneficial Owners from time to time of the Bonds, and shall create no rights in any other person or entity.

Dated: June 29, 2021

CARLSBAD UNIFIED SCHOOL DISTRICT

By: _____
Eric Dill
Assistant Superintendent, Business Services

EXHIBIT A

NOTICE TO REPOSITORY OF FAILURE TO FILE ANNUAL REPORT

Name of District: CARLSBAD UNIFIED SCHOOL DISTRICT

Name of Bond Issue: Election of 2018 General Obligation Bonds, Series B

Date of Issuance: June 29, 2021

NOTICE IS HEREBY GIVEN that the District has not provided an Annual Report with respect to the above-named Bonds as required by the Continuing Disclosure Certificate relating to the Bonds. The District anticipates that the Annual Report will be filed by _____.

Dated:_____

CARLSBAD UNIFIED SCHOOL DISTRICT

By _____[form only; no signature required]_____

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APPENDIX D

GENERAL ECONOMIC AND DEMOGRAPHIC INFORMATION FOR THE CITY OF CARLSBAD AND SAN DIEGO COUNTY

The following information regarding economic activity within San Diego County (the “County”) and City of Carlsbad (“Carlsbad”), in which the District is located is provided as background information only, to describe the general economic health of the region.

Introduction

City of Carlsbad. The City of Carlsbad (the “City”) is located on the coast of Southern California in San Diego County about 35 miles north of San Diego and 86 miles south of Los Angeles. It is bordered by two lagoons, Buena Vista and Batiquitos, on the north and south respectively. City limits cover approximately 42 square miles. The City, a general law city with the council-manager form of government, was incorporated July 16, 1952. A five-member City Council is elected at large for four-year alternating terms at elections held every two years. The mayor is the presiding officer of the council and also is elected to serve a four-year term. The city manager, appointed by the council for an indeterminate term, acts as chief executive officer in carrying out council policies.

San Diego County. The County is the southernmost major metropolitan area in the State of California. The County covers 4,255 square miles, extending 70 miles along the Pacific Coast from the border with Mexico to Orange County, and inland 75 miles to Imperial County. The County was incorporated on February 18, 1850 and functions under a charter adopted in 1933, and is amended from time to time. The County is governed by a five-member Board of Supervisors elected to four-year terms in district nonpartisan elections. The Board of Supervisors appoints the Chief Administrative Officer and the County Counsel. Elected officials include the Assessor/County Clerk/Recorder, District Attorney, Sheriff and Treasurer/Tax Collector.

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Population

The table below shows historical population figures for the City, the County and the State for the last 10 years.

POPULATION ESTIMATES
2011 through 2020
City of Carlsbad, San Diego County and State of California

<u>Year⁽¹⁾</u>	<u>City of Carlsbad</u>	<u>San Diego County</u>	<u>State of California</u>
2011	106,768	3,125,654	37,561,624
2012	108,272	3,161,808	37,924,661
2013	109,655	3,199,900	38,269,864
2014	111,117	3,232,762	38,556,731
2015	111,803	3,265,038	38,870,150
2016	112,462	3,285,150	39,131,307
2017	112,990	3,306,889	39,398,702
2018	113,635	3,326,318	39,586,646
2019	113,635	3,340,312	39,695,376
2020	114,463	3,343,355	39,782,870

⁽¹⁾ As of January 1.

Source: State Department of Finance.

Income

The following table summarizes per capita personal income for the County, the State and the United States for the past 10 years that data is currently available.

PER CAPITA PERSONAL INCOME
2010 through 2019
San Diego County, the State of California, and the United States

<u>Year</u>	<u>San Diego County</u>	<u>State of California</u>	<u>United States</u>
2010	\$44,138	\$43,636	\$40,547
2011	46,531	46,175	42,739
2012	48,315	48,813	44,605
2013	49,525	49,303	44,860
2014	52,214	52,363	47,071
2015	54,822	55,833	49,019
2016	56,506	58,048	50,015
2017	58,380	60,549	52,118
2018	61,147	63,720	54,606
2019	63,729	66,619	56,490

Note: All dollar estimates are in current dollars (not adjusted for inflation).

Source: U.S. Department of Commerce, Bureau of Economic Analysis.

Commercial Activity

The following tables show summaries of annual taxable sales for the City and the County from 2015 through 2019.

**TAXABLE SALES
2015 through 2019
City of Carlsbad
(Dollars in Thousands)**

<u>Year</u>	<u>Retail Permits</u>	<u>Retail Stores Taxable Transactions</u>	<u>Total Permits</u>	<u>Total Taxable Transactions</u>
2015	2,520	\$2,188,539	4,552	\$2,874,383
2016	2,549	2,203,819	4,572	2,906,545
2017	2,565	2,288,415	4,666	3,067,168
2018	2,584	2,310,782	4,845	3,196,922
2019	2,621	2,335,237	4,967	3,195,642

⁽¹⁾ Preliminary, subject to change.

Source: *Taxable Sales in California, California Department of Tax and Fee Administration ("CDTFA") for 2015-19.*

**TAXABLE SALES
2015 through 2019
San Diego County
(Dollars in Thousands)**

<u>Year</u>	<u>Retail Permits</u>	<u>Retail Stores Taxable Transactions</u>	<u>Total Permits</u>	<u>Total Taxable Transactions</u>
2015	58,740	\$38,521,521	95,480	\$54,717,543
2016	58,391	39,089,506	95,326	55,921,010
2017	59,798	40,371,715	97,412	57,551,360
2018 ⁽¹⁾	59,836	41,886,825	100,674	59,041,042
2019 ⁽¹⁾	59,447	42,748,210	101,901	61,106,480

⁽¹⁾ Preliminary, subject to change.

Source: *Taxable Sales in California, California Department of Tax and Fee Administration ("CDTFA") for 2015-19.*

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Employment

The following table summarizes civilian labor force, employment and unemployment statistics for the City, County and State from 2015 through 2019.

CIVILIAN LABOR FORCE, EMPLOYMENT AND UNEMPLOYMENT 2015 through 2019 City of Carlsbad, San Diego County and State of California

<u>Year</u>	<u>Area</u>	<u>Labor Force</u>	<u>Employment</u>	<u>Unemployment</u>	<u>Unemployment Rate (%)</u>
2015	City of Carlsbad	53,400	50,900	2,500	4.7
	San Diego County	1,548,600	1,468,100	80,500	5.2
	State of California	18,828,800	17,660,700	1,168,100	6.2
2016	City of Carlsbad	53,900	51,600	2,300	4.3
	San Diego County	1,563,000	1,489,100	73,900	4.7
	State of California	19,021,200	17,980,100	1,041,100	5.5
2017	City of Carlsbad	54,600	52,600	2,100	3.8
	San Diego County	1,572,800	1,509,600	63,200	4.0
	State of California	19,176,400	18,257,100	919,300	4.8
2018	City of Carlsbad	55,100	53,400	1,700	3.1
	San Diego County	1,581,500	1,528,100	53,500	3.4
	State of California	19,280,800	18,460,700	820,100	4.3
2019	City of Carlsbad	55,400	53,800	1,600	2.9
	San Diego County	1,590,600	1,539,900	50,700	3.2
	State of California	19,411,600	18,627,400	784,200	4.0

Note: Data is based on annual averages, unless otherwise specified, and is not seasonally adjusted.

Source: U.S. Department of Labor – Bureau of Labor Statistics, California Employment Development Department. March 2019 Benchmark.

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Industry

The County is included in the San Diego-Carlsbad Metropolitan Statistical Area (the “MSA”). The distribution of employment is presented in the following table for the past five years. These figures may be multi county-wide statistics and may not necessarily accurately reflect employment trends in the County.

INDUSTRY EMPLOYMENT & LABOR FORCE ANNUAL AVERAGES 2015 through 2019 San Diego-Carlsbad Metropolitan Statistical Area

	<u>2015</u>	<u>2016</u>	<u>2017</u>	<u>2018</u>	<u>2019</u>
Total Farm	9,100	8,900	8,700	9,300	9,600
Mining and Logging and Construction	70,200	76,600	79,800	84,000	84,400
Manufacturing	106,600	108,400	109,400	112,300	115,100
Wholesale Trade	44,100	43,700	43,800	43,800	44,200
Retail Trade	146,800	147,500	149,000	148,000	145,400
Transportation, Warehousing & Utilities	28,400	29,700	32,000	33,300	34,400
Information	23,400	23,200	23,400	23,600	23,500
Financial Activities	71,400	73,000	74,600	76,000	76,400
Professional and Business Services	229,500	234,700	239,000	248,900	256,600
Education and Health Services	192,700	198,700	204,300	208,900	216,000
Leisure and Hospitality	182,400	190,400	195,600	199,600	202,400
Other Services	53,200	54,400	55,000	55,500	55,800
Government	<u>236,200</u>	<u>242,200</u>	<u>246,300</u>	<u>248,100</u>	<u>249,600</u>
Total All Industries	1,393,900	1,431,500	1,460,900	1,491,400	1,513,500

Note: May not add to total due to independent rounding.

Source: California Employment Development Department, Labor Market Information Division. March 2019 Benchmark.

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Largest Employers

The following tables summarize the largest employers in the City and the County.

LARGEST EMPLOYERS

City of Carlsbad

2020

<u>Rank</u>	<u>Employer</u>	<u>Employees</u>
1.	ViaSat	2,345
2.	Legoland California	2,300
3.	Thermo Fisher Scientific	1,982
4.	Omni La Costa Resort & Spa	1,300
5.	Carlsbad Unified School District ⁽¹⁾	1,056
6.	TaylorMade Golf Company	960
7.	Gemological Institute of America	856
8.	City of Carlsbad	748
9.	Nortex Security Control	637
10.	HM Electronics	571

⁽¹⁾ For updated information regarding the District's employees, see "CARLSBAD UNIFIED SCHOOL DISTRICT – Labor Relations" in the front part of this Official Statement.

Source: *City of Carlsbad 'Comprehensive Annual Financial Report' for the year ending June 30, 2020.*

LARGEST EMPLOYERS

San Diego County

2020

<u>Rank</u>	<u>Employer</u>	<u>Employees</u>
1.	Federal Government ⁽¹⁾	48,500
2.	State of California	45,200
3.	University of California (includes UC Health)	35,802
4.	Sharp Healthcare	18,770
5.	County of San Diego	18,025
6.	Scripps Health	15,334
7.	San Diego Unified School District	13,559
8.	Qualcomm Inc.	13,000
9.	City of San Diego	11,820
10.	Kaiser Permanente	9,630

⁽¹⁾ Includes Department of Defense.

Source: *San Diego County 'Comprehensive Annual Financial Report' for the year ending June 30, 2020.*

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Building Activity

The following tables show the annual building permit valuations and number of permits for new dwelling units issued from 2015 through 2019 for the City and the County.

BUILDING PERMIT VALUATIONS

City of Carlsbad 2015 through 2019 (Dollars in Thousands)

Valuation (\$000's)	<u>2015</u>	<u>2016</u>	<u>2017</u>	<u>2018</u>	<u>2019</u>
Residential	\$105,677	\$189,782	\$220,706	\$109,404	\$109,263
Non-residential	<u>81,496</u>	<u>121,805</u>	<u>268,016</u>	<u>173,932</u>	<u>101,429</u>
Total	\$187,173	\$311,587	\$488,722	\$283,336	\$210,692
New Housing Units					
Single Units	220	274	372	256	227
Multiple Units	<u>4</u>	<u>394</u>	<u>356</u>	<u>31</u>	<u>114</u>
Total	224	668	728	287	341

Note: Totals may not add to sum because of rounding.

Source: Construction Industry Research Board.

BUILDING PERMIT VALUATIONS

San Diego County 2015 through 2019 (Dollars in Thousands)

Valuation (in \$000s)	<u>2015</u>	<u>2016</u>	<u>2017</u>	<u>2018</u>	<u>2019</u>
Residential	\$2,447,042	\$2,472,237	\$2,632,826	\$2,673,873	\$2,084,655
Non-residential	<u>1,862,502</u>	<u>1,782,421</u>	<u>2,371,303</u>	<u>1,901,844</u>	<u>2,359,541</u>
Total	\$4,309,544	\$4,254,658	\$5,004,129	\$4,575,717	\$4,444,196
New Housing Units					
Single Units	3,136	2,420	3,960	3,438	3,045
Multiple Units	<u>6,869</u>	<u>7,680</u>	<u>6,056</u>	<u>6,132</u>	<u>4,405</u>
Total	10,005	10,100	10,016	9,570	7,450

Note: Totals may not add to sum because of rounding.

Source: Construction Industry Research Board.

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APPENDIX E

SAN DIEGO COUNTY INVESTMENT POOL

The following information concerning the San Diego County Treasury Pool (the “Treasury Pool”) has been provided by the Treasurer-Tax Collector (the “Treasurer”) of San Diego County (the “County”), and has not been confirmed or verified by the District, the Municipal Advisor or the Underwriter. The District and the Municipal Advisor have not made an independent investigation of the investments in the Treasury Pool and have made no assessment of the current County investment policy. The value of the various investments in the Treasury Pool will fluctuate on a daily basis as a result of a multitude of factors, including generally prevailing interest rates and other economic conditions. Additionally, the Treasurer, with the consent of the County Board of Supervisors, may change the County investment policy at any time. Therefore, there can be no assurance that the values of the various investments in the Treasury Pool will not vary significantly from the values described herein. Finally, neither the District nor the Municipal Advisor make any representation as to the accuracy or adequacy of such information or as to the absence of material adverse changes in such information subsequent to the date hereof, or that the information contained or incorporated hereby by reference is correct as of any time subsequent to its date. Additional information regarding the Treasury Pool may be obtained from the Treasurer at <http://www.sdtreastax.com>; however, the information presented on such website is not incorporated herein by any reference.

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COUNTY OF SAN DIEGO INVESTMENT POOL TREASURY INVESTMENT RESULTS

APR
2021

TABLE OF CONTENTS

03	Summary Portfolio Statistics
04	Cash Flow Analysis
05	Participant Cash Balances
06	Investment Fund Participants
07	Asset Allocation
07	Asset Credit Quality
08	Appendix
	09 - Investment Policy Compliance Report
	10 - Investment Inventory Report
	33 - Investment Transaction Report

Note: The Information provided, including all charts, tables, graphs and numerical representations, are provided to readers solely as a general overview of the economic and market conditions which the Treasurer utilizes in making investment decisions.

SUMMARY PORTFOLIO STATISTICS

County of San Diego Pooled Money Fund

As of April 30, 2021

Investment Type	Par Value	Book Value	Market Value	% of Portfolio	Market Price	Days To Maturity	YTM	Accrued Interest	Unrealized Gain/Loss
ABS	585,881,860	586,890,527	590,304,372	4.56%	100.75	971	1.72%	536,240	3,413,844
Agency	3,111,768,000	3,115,676,413	3,135,805,507	24.26%	100.77	1157	0.99%	8,251,615	20,129,094
Bank Deposit	289,645,900	289,645,900	289,645,900	2.24%	100.00	0	0.10%	-	-
Commercial Paper	2,317,500,000	2,316,673,738	2,316,673,738	17.88%	99.96	80	0.17%	-	-
Corporate	753,041,000	756,040,919	766,128,592	5.95%	101.74	361	1.84%	4,445,014	10,087,674
Local Gov Investment Pool	249,685,061	249,685,061	249,685,061	1.93%	100.00	0	0.07%	-	-
Money Market Fund FI	4,800,000	4,800,000	4,800,000	0.04%	100.00	0	0.02%	-	-
Municipal Bonds	232,255,000	233,445,125	235,347,117	1.82%	101.33	1091	0.86%	587,273	1,901,992
Negotiable CD	3,495,000,000	3,495,000,000	3,495,072,485	27.00%	100.00	80	0.20%	3,356,442	72,485
Supranationals	1,069,208,000	1,076,316,368	1,094,163,282	8.47%	102.33	1077	1.42%	3,299,022	17,846,914
US Treasury	750,000,000	747,596,592	757,767,403	5.86%	101.04	1095	1.17%	2,031,592	10,170,811
Total for April 2021	12,858,784,821	12,871,770,643	12,935,393,457	100%	100.60	558	0.72%	22,507,198	63,622,814
Total for March 2021	11,485,371,042	11,501,278,880	11,558,839,912	100.00%	100.64	606	0.83%	21,967,072	57,561,032
Change from Prior Month	1,373,413,779	1,370,491,763	1,376,553,545		(0.04)	(48)	-0.11%	540,126	6,061,782

Portfolio Effective Duration 1.20

Return Information	Monthly Return	Annualized	Fiscal Year To Date Return	Annualized	Calendar YTD Return	Annualized
Book Value	0.07%	0.78%	0.90%	1.07%	0.28%	1.69%

Notes

Yield to maturity (YTM) is the estimated rate of return on a bond given its purchase price, assuming all coupon payments are made on a timely basis and reinvested at this same rate of return to the maturity date. Weighted Average Maturity (WAM) is average time it takes for securities in a portfolio to mature, weighted in proportion to the dollar amount that is invested in the portfolio.

Yields for the portfolio are aggregated based on the book value of each security.

Monthly Investment Returns are reported gross of fees. Administration fees since fiscal year 17-18 have averaged approximately 7 basis points per annum.

**All Investments held during the month of March 2021 were in compliance with the Investment Policy dated January 1, 2021.

PROJECTED LIQUIDITY

County of San Diego Pooled Money Fund

As of April 30, 2021

(\$000)

	May-21	Jun-21	Jul-21	Aug-21	Sep-21	Oct-21
Beginning Pool Book Balance	12,871,771	11,543,728	10,455,817	9,245,995	8,293,720	7,900,946
Inflows						
Investment Inflows	1,516,137	1,140,000	1,486,591	935,000	627,120	385,000
Projected Credits	508,250	691,208	1,061,527	1,222,475	812,850	1,212,825
	2,024,387	1,831,208	2,548,118	2,157,475	1,439,970	1,597,825
Outflows						
Investment Purchases	90,000	-	-	-	-	-
Projected Debits	1,836,293	1,779,119	2,271,349	2,174,750	1,205,624	1,216,019
	1,926,293	1,779,119	2,271,349	2,174,750	1,205,624	1,216,019
Net Cash Flows	(1,328,043)	(1,087,911)	(1,209,822)	(952,275)	(392,774)	(3,194)
 MONTH END POOL BALANCE	 11,543,728	 10,455,817	 9,245,995	 8,293,720	 7,900,946	 7,897,752
 PROJECTED MONTH END LIQUIDITY	 \$ 451,425	 \$ 503,514	 \$ 780,283	 \$ 763,008	 \$ 997,354	 \$ 1,379,160

**The projected cash flows indicate sufficient liquidity to meet all scheduled expenditures for the next 6 months.*

Note: The above is not meant to be a complete Cash Flow Statement. The data represents a subset of the main cash flow items and does not include accrued interest or other adjustment items.

PARTICIPANT CASH BALANCES

County of San Diego Pooled Money Fund

As of April 30, 2021

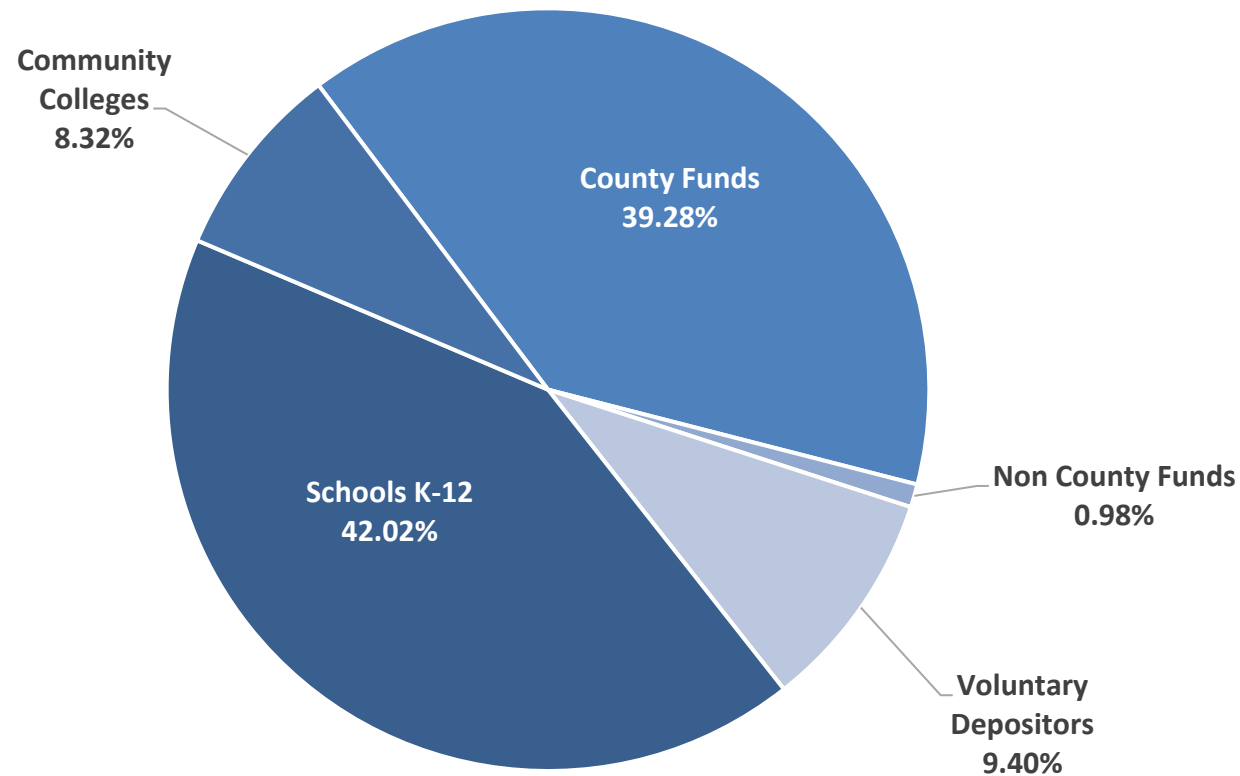
(\$000)

PARTICIPANT	FMV 02/28/21	FMV 03/31/21	FMV 04/30/21	% of Total	PARTICIPANT	FMV 02/28/21	FMV 03/31/21	FMV 04/30/21	% of Total
COUNTY	1,353,335	1,768,052	2,384,273	18.43%	Leucadia Wastewater District	8,026	7,987	8,025	0.06%
COUNTY - SPECIAL TRUST FUNDS	2,452,933	2,335,530	2,696,405	20.85%	Lower Sweetwater FPD	497	506	595	0.00%
NON-COUNTY INVESTMENT FUNDS	136,633	142,799	126,911	0.98%	Metropolitan Transit System	56,260	47,179	47,433	0.37%
SCHOOLS - (K THRU 12)	5,233,983	5,148,957	5,435,005	42.02%	Mission Resource Conservation District	105	100	109	0.00%
COMMUNITY COLLEGES					North County Transit District	28,272	30,133	30,275	0.23%
San Diego	129,144	117,938	140,432	1.10%	North County Cemetery District	7,620	7,594	7,931	0.06%
Grossmont-Cuyamaca	137,871	134,617	145,490	1.12%	North County Dispatch	5,654	5,728	5,464	0.04%
MiraCosta	355,425	346,637	361,634	2.80%	North County FPD	3,285	2,973	6,165	0.05%
Palomar	231,957	230,238	245,600	1.90%	Otay Water District	41,521	41,317	51,493	0.40%
Southwestern	137,868	175,469	183,663	1.42%	Palomar Health Care District*	0	0	0	0.00%
Total Community Colleges	992,265	1,004,898	1,076,818	8.32%	Pomerado Cemetery District	2,153	2,176	1,996	0.02%
FIRST 5 COMMISSION	44,706	47,820	46,311	0.36%	Public Agencies Self-Insurance System	3,514	3,497	3,514	0.03%
SANCAL	33	33	33	0.00%	Ramona Cemetery District	1,004	985	1,018	0.01%
SDCERA	7,752	2,156	7,715	0.06%	Rancho Santa Fe FPD	9,631	8,456	10,489	0.08%
CITIES					Resource Conservation District of Greater SD*	0	0	0	0.00%
Chula Vista	141,836	149,223	149,860	1.16%	Rincon del Diablo Municipal Water District	6,860	6,826	6,859	0.05%
Coronado	38,319	53,131	78,427	0.61%	SANDAG	128,754	238,417	239,025	1.85%
Del Mar	2,783	2,769	2,783	0.02%	SD County Regional Airport Authority	265,516	273,833	276,960	2.14%
El Cajon	1	0	0	0.00%	San Diego Housing Commission	22,242	22,133	22,239	0.17%
Encinitas	4,220	4,200	4,220	0.03%	San Diego Geographic Information Source	865	816	924	0.01%
National City	36,512	36,332	36,507	0.28%	San Diego Law Library	4,818	4,263	4,213	0.03%
Oceanside*	0	0	0	0.00%	San Diego Local Agency Formation Comm	2,058	1,909	1,619	0.01%
Solana Beach*	0	0	0	0.00%	San Diego Regional Training Center	429	379	339	0.00%
INDEPENDENT AGENCIES					San Dieguito River Park	975	953	879	0.01%
Air Pollution Control District	0	70,571	69,889	0.54%	San Marcos FPD	1	1	1	0.00%
Alpine FPD	1,911	2,035	2,710	0.02%	San Miguel Consolidated FPD	16,353	15,842	19,763	0.15%
Bonita-Sunnyside FPD	5,097	5,177	5,435	0.04%	Santa Fe Irrigation District	4,528	4,506	4,528	0.04%
Borrego Springs FPD	1,504	1,370	1,568	0.01%	Serra Cooperative Library System	0	0	0	0.00%
Canebrake County Water District	55	55	55	0.00%	Upper San Luis Rey Resource Conserv Dist	76	76	79	0.00%
Deer Springs FPD	13,254	13,348	13,288	0.10%	Vallecitos Water District	5,562	5,535	5,561	0.04%
Fallbrook Public Utility District	0	0	0	0.00%	Valley Center FPD	1,612	1,571	1,797	0.01%
Grossmont Healthcare District	2	2	2	0.00%	Valley Center Cemetery District	415	414	425	0.00%
Julian-Cuyamaca FPD	518	516	520	0.00%	Valley Center Water District	19,602	21,105	21,722	0.17%
Lake Cuyamaca Rec & Park District	452	435	414	0.00%	Vista FPD	4,066	4,046	4,074	0.03%
Lakeside FPD	9,077	8,175	10,732	0.08%	Whispering Palms Community Services District*	0	0	0	0.00%
					Total Voluntary Participants	960,312	1,158,603	1,215,982	9.40%
					Pooled Money Fund Total	\$11,129,462	\$11,558,840	\$12,935,394	100.00%

* **Footnote:** The Oracle ending balances for these pool participants are under \$500. Due to rounding, the FMV will show as zero even though there is an Oracle balance.

INVESTMENT FUND PARTICIPANTS

County of San Diego Pooled Money Fund
As of April 30, 2021

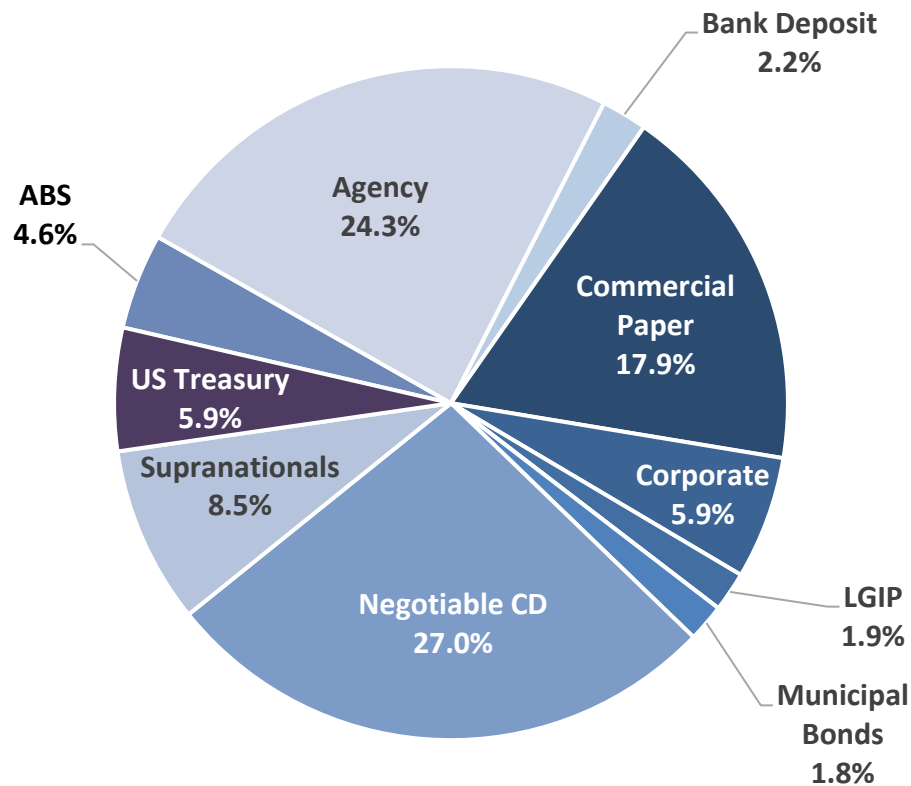


*Totals may not add to 100% due to rounding

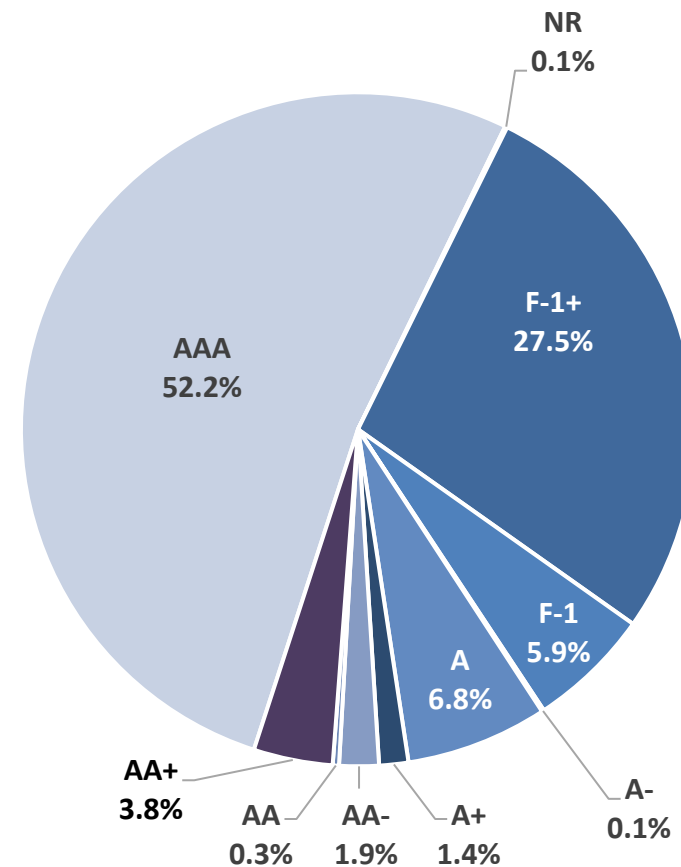
INVESTMENT FUND OVERVIEW

County of San Diego Pooled Money Fund As of April 30, 2021

ASSET ALLOCATION



CREDIT QUALITY**



Note: Totals in both charts may not add to 100% due to rounding.

**If a security is not rated by Fitch, the report uses the lowest rating provided by either Moody's or Standard and Poor's using the Fitch scale.



APPENDIX



INVESTMENT POLICY COMPLIANCE REPORT

County of San Diego Pooled Money Fund As of April 30, 2021

Category	Standard	Comment
U.S. Treasury Issues	No limitations; Issued at the Federal level; Obligations are bills, notes, and bonds issued by the Treasury and are direct obligations of the Federal Government	Complies
Federal Agencies	35% max per Agency issuer; Issued at the Federal level; Agency obligations are notes and bonds of the federal agencies and government sponsored enterprise, including: FNMA, FHLB, FFCB, FHLMC, GNMA, TVA	Complies
Supranational Obligations	30% max; 10% max per issuer; "AA" rated or higher by at least one NRSRO; USD denominated senior unsecured unsubordinated obligations; Issued or unconditionally guaranteed by IBRD, IFC, or IADB	Complies
Municipal Securities (Local Agency & State Obligations)	30% max; 10% max per issuer; Minimum Credit Requirements: a) For securities with maturities 13 months or less, the rating must be in the highest short-term rating category by at least one NRSRO; b) For securities with maturities greater than 13 months, the rating must be "A" or higher by at least one NRSRO	Complies
Corporate Medium Term Notes	30% max; 10% max per issuer (inclusive of any other non-MTN investments with said issuer); Minimum Credit Requirements: a) For securities with maturities 13 months or less, the rating must be in the highest short-term rating category by at least one NRSRO; b) For securities with maturities greater than 13 months, the ratings must be "A" or higher by at least one NRSRO	Complies
Pass-Through Securities	20% max; 10% max per issuer; "AA" rated or higher by at least one NRSRO; Limited to equipment lease-backed certificates, consumer receivable pass-through certificates, or consumer receivable-backed bonds	Complies
Negotiable Certificates of Deposit (NCD)	30% max; 10% max per issuer (inclusive of any other non-NCD investments with said issuer); Minimum Credit Requirements: a) For securities with maturities 13 months or less, the rating must be in the highest short-term rating category by at least one NRSRO; b) For securities with maturities greater than 13 months, the ratings must be "A" or higher by at least one NRSRO; 5 years max maturity of an NCD Security; 13 months max maturity of any FDIC insured CDs	Complies
FDIC & NCUA Insured Deposits	5% max; 5 max per issuer; 13 months max maturity; There is no minimum credit requirement of FDIC or NCUA insured deposit accounts whether directly placed or placed through a private sector entity; The full amount of deposit and the interest that may accrue on each deposit shall at all times be insured by the FDIC or NCUA	Complies
Collateralized Certificates of Deposit	5% max; 5 max per issuer; 13 months max maturity; Deposit may not exceed the total of the paid-in capital and surplus of a depository; The depository must maintain securities with a market value of at least 10% in excess of the total amount of the Fund's deposits; The County Treasurer may waive the first \$250,000 of collateral for each depository, so long as the amount is insured by an agency of the Federal Government; Institutions at or above the highest short-term rating category by at least one NRSRO may pledge mortgage-based collateral for County deposits	Complies
Banker's Acceptances	40% max; 5% max per issuer; 180 days max maturity; Highest short-term rating category by at least one NRSRO	Complies
Commercial Paper	40% max; 10% max per issuer (inclusive of any other non-CP investments with said issuer); 270 days max maturity; Highest short-term rating category by at least one NRSRO	Complies
Money Market Mutual Funds	20% max; 10% max per fund; Highest rating category by at least two NRSROs; or Retained an investment adviser registered or exempt from SEC registration with > 5 years experience managing money market mutual funds with AUM >\$500 million; The purchase price of the mutual fund shall not include any commission	Complies
Local Government Investment Pool (LGIP)	5% max; Highest rating category by at least one NRSRO; Investments consist of (i) shares of beneficial interest issued by a joint powers authority (JPA) or (ii) the Local Agency Investment Fund (LAIF); Invest in LGIPs that comply with California Government Code and all relevant sections of the Investment Policy and are managed to maintain a stable NAV.	Complies
Repurchase Agreements	40% max; 10% max exposure per broker-dealer when the dollar-weighted average maturity is >5 days or 15% of the fund when the dollar-weighted average maturity is 5 days or less; 1 year max maturity; Collateral eligible for repurchase agreements maturing from 7 days to 1 year shall be Treasury and Agency Obligations	Complies
Reverse Repurchase Agreements	20% max; 10% max per broker/dealer; 92 days max maturity if a securities lending loan, unless the agreement includes a written guarantee of a minimum earning or spread for the entire period of the RFP	Complies
Securities Lending	20% max exposed to securities lending and/or Reverse Repurchase Agreements; 10% max per loan with a single counterparty at any one time; 92 days max maturity; Loans must be secured by cash collateral or securities and maintained at a value of at least equal to 102% of the market value of the securities loan	Complies
Covered Call Option/Put Option	10% max; 90 days max maturity	Complies
Prohibited	Inverse floaters; Ranges notes, Interest-only strips from pool of mortgages; Any security that could result in zero interest accrual	Complies
Credit Rating Policy	For securities with maturities 13 months or less, the rating must be in the highest short-term rating category by at least one NRSRO; For securities with maturities greater than 13 months, the ratings must be "A" or higher by at least one NRSRO	Complies
Duration	2 years maximum effective duration	Complies
Maturity	5 years maximum maturity with shorter limitations specified for certain types of securities; At least 35% of the Fund maturing within 1 year; At least 15% of the Fund maturing within 90 days	Complies
U.S. Treasury Issues	No limitations; Issued at the Federal level; Obligations are bills, notes, and bonds issued by the Treasury and are direct obligations of the Federal Government	Complies
Federal Agencies	35% max per Agency issuer; Issued at the Federal level; Agency obligations are notes and bonds of the federal agencies and government sponsored enterprise, including: FNMA, FHLB, FFCB, FHLMC, GNMA, TVA	Complies

*Complied at time of purchase

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund As of April 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
ABS									
89238UAB6	Toyota Auto Receivables Trust 2019-C A2A 2.000% Due 04/15/2022	85,177.74	08/14/2019 2.01%	85,173.78 85,177.74	100.05 0.44%	85,217.77 75.71	0.00% 40.03	Aaa / AAA NR	0.96 0.04
43815NAB0	Honda Auto Receivables Trust 2019-3 A2 1.900% Due 04/15/2022	1,830,359.48	08/27/2019 1.91%	1,830,231.35 1,830,359.48	100.10 0.23%	1,832,154.68 1,545.64	0.01% 1,795.20	Aaa / AAA NR	0.96 0.06
44891JAB4	Hyundai Auto Receivables Trust 2019-B A2 1.930% Due 07/15/2022	481,751.30	11/06/2019 1.94%	481,721.48 481,749.01	100.10 0.33%	482,210.41 413.24	0.00% 461.40	NR / AAA AAA	1.21 0.06
89233MAB9	Toyota Auto Receivables Owners 2019-D A2 1.920% Due 07/15/2022	4,460,337.58	11/13/2019 1.93%	4,460,007.96 4,460,297.05	100.22 0.26%	4,470,297.51 3,806.15	0.03% 10,000.46	Aaa / AAA NR	1.21 0.13
43815HAC1	Honda Auto Receivables Trust 2018-3 A3 2.950% Due 08/22/2022	5,015,514.75	05/03/2019 2.53%	5,051,171.93 5,029,635.82	100.72 0.23%	5,051,852.20 4,109.94	0.04% 22,216.38	Aaa / NR AAA	1.31 0.27
65479CAB4	Nissan Auto Receivables Owner 2020-B A2A 0.470% Due 10/17/2022	10,616,993.93	06/30/2020 0.47%	10,616,677.55 10,616,869.39	100.07 0.19%	10,624,532.00 2,217.77	0.08% 7,662.61	Aaa / AAA NR	1.47 0.25
43813RAB3	Honda Auto Receivables 2020-1 A2 1.630% Due 10/21/2022	6,225,162.80	02/26/2020 1.64%	6,224,532.19 6,224,981.88	100.34 0.47%	6,246,075.46 2,818.62	0.05% 21,093.58	Aaa / NR AAA	1.48 0.29
89232HAB1	Toyota Auto Receivable Own 2020-A A2 1.670% Due 11/15/2022	12,497,833.72	02/12/2020 1.68%	12,497,679.99 12,497,791.70	100.37 0.09%	12,544,300.67 9,276.17	0.10% 46,508.97	Aaa / AAA NR	1.55 0.23
43813DAB4	Honda Auto Receivables 2020-2 A2 0.740% Due 11/15/2022	2,753,290.57	05/27/2020 0.75%	2,753,084.63 2,753,207.76	100.16 0.20%	2,757,739.89 905.53	0.02% 4,532.13	Aaa / AAA NR	1.55 0.30
36258MAB0	GM Financial Securitized Auto 2019-4 A2A 1.840% Due 11/16/2022	196,574.80	03/25/2020 2.60%	194,386.37 196,574.80	100.08 0.07%	196,729.50 150.71	0.00% 154.70	Aaa / NR AAA	1.55 0.04
89231AAD3	Toyota Auto Receivables Trust 2018-C A3 3.020% Due 12/15/2022	20,321,290.56	Various 2.45%	20,579,766.82 20,442,729.75	101.02 0.38%	20,528,262.91 27,275.69	0.16% 85,533.16	Aaa / AAA NR	1.63 0.38
41284UAB0	Harley-Davidson Motorcycle Tr 2020-A A2A 1.830% Due 01/17/2023	1,117,627.34	01/29/2020 1.84%	1,117,571.01 1,117,619.41	100.16 0.29%	1,119,431.19 909.00	0.01% 1,811.78	Aaa / AAA NR	1.72 0.10
34533GAB5	Ford Credit Auto Owner Trust 2020-B A2 0.500% Due 02/15/2023	12,737,548.14	06/19/2020 0.51%	12,736,987.68 12,737,332.24	100.08 0.23%	12,747,776.39 2,830.57	0.10% 10,444.15	NR / AAA AAA	1.80 0.30
43813KAB8	Honda Auto Receivables Trust 2020-3 A2 0.270% Due 02/21/2023	15,676,596.06	09/29/2020 0.28%	15,675,525.35 15,675,930.18	100.04 0.20%	15,682,098.55 1,528.47	0.12% 6,168.37	NR / AAA AAA	1.81 0.47
09661RAB7	BMW Vehicle Owner Trust 2020-A A2 0.390% Due 02/27/2023	3,982,267.03	07/15/2020 0.40%	3,981,984.29 3,982,148.94	100.06 0.18%	3,984,747.98 258.85	0.03% 2,599.04	NR / AAA AAA	1.83 0.29
89231PAD0	Toyota Auto Receivables Trust 2018-D A3 3.180% Due 03/15/2023	8,194,508.60	11/07/2018 3.21%	8,192,736.14 8,193,746.74	101.21 0.23%	8,293,309.79 11,581.57	0.06% 99,563.05	Aaa / AAA NR	1.87 0.41
44933FAB2	Hyundai Auto Receivables Trust 2020-B A2 0.380% Due 03/15/2023	4,517,539.30	07/22/2020 0.39%	4,517,102.00 4,517,317.98	100.06 0.21%	4,520,317.59 762.96	0.03% 2,999.61	NR / AAA AAA	1.87 0.37

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund As of April 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
47787NAB5	John Deere Owner Trust 2020-B A2 0.410% Due 03/15/2023	1,949,229.33	07/22/2020 0.42%	1,949,134.41 1,949,186.98	100.06 0.23%	1,950,305.30 355.19	0.02% 1,118.32	Aaa / NR AAA	1.87 0.31
43814WAC9	Honda Auto Receivables Trust 2019-1 A3 2.830% Due 03/20/2023	6,484,481.46	02/27/2019 2.85%	6,484,307.68 6,484,400.78	101.30 0.35%	6,568,961.28 6,626.78	0.05% 84,560.50	NR / AAA AAA	1.89 0.52
17305EFR1	Citibank Credit Card Issuance 2014-A5 A5 2.680% Due 06/07/2023	7,000,000.00	03/18/2019 2.73%	6,991,796.84 6,999,626.21	100.26 0.19%	7,017,927.00 75,040.00	0.05% 18,300.79	NR / AAA AAA	2.10 0.10
65478NAD7	Nissan Auto Receivables Trust 2018-C A3 3.220% Due 06/15/2023	5,231,205.05	12/06/2019 2.18%	5,340,937.75 5,297,283.40	101.49 0.10%	5,308,956.45 7,486.44	0.04% 11,673.05	Aaa / AAA NR	2.13 0.47
43815MAC0	Honda Auto Receivables Trust 2019-2 A3 2.520% Due 06/21/2023	23,562,734.84	05/29/2019 2.54%	23,561,855.95 23,562,272.30	101.42 0.31%	23,896,877.98 16,493.91	0.18% 334,605.68	Aaa / NR AAA	2.14 0.64
89239AAD5	Toyota Auto Receivables Trust 2019-A A3 2.910% Due 07/17/2023	13,544,887.62	02/13/2019 2.94%	13,542,419.74 13,543,654.44	101.47 0.28%	13,743,794.29 17,518.05	0.11% 200,139.85	Aaa / AAA NR	2.21 0.56
43815NAC8	Honda Auto Receivables Trust 2019-3 A3 1.780% Due 08/15/2023	24,000,000.00	08/27/2019 1.79%	23,999,800.80 23,999,910.32	101.12 0.28%	24,267,648.00 18,986.67	0.19% 267,737.68	Aaa / AAA NR	2.29 0.74
65479HAC1	Nissan Auto Receivables Trust 2019-B A3 2.500% Due 11/15/2023	23,870,809.30	05/28/2019 2.53%	23,865,412.11 23,867,740.31	101.44 0.29%	24,215,026.37 26,523.12	0.19% 347,286.06	Aaa / NR AAA	2.55 0.65
36260KAB0	GM Financial Securitized Auto 2020-4 A2 0.260% Due 11/16/2023	7,223,465.36	10/14/2020 0.27%	7,222,938.04 7,223,110.07	100.03 0.20%	7,225,603.51 782.54	0.06% 2,493.44	NR / AAA AAA	2.55 0.50
02582JHZ6	American Express Credit Trust 2018-4 A 2.990% Due 12/15/2023	38,000,000.00	12/17/2018 3.15%	37,881,250.00 37,998,110.80	100.12 0.18%	38,044,422.00 50,497.78	0.29% 46,311.20	NR / AAA AAA	2.63 0.04
47788UAB8	John Deere Owner Trust 2021-A A2 0.200% Due 12/15/2023	9,000,000.00	03/10/2021 0.21%	8,998,987.50 8,999,073.11	99.92 0.31%	8,993,043.00 800.00	0.07% (6,030.11)	Aaa / NR AAA	2.63 0.69
254683CG8	Discover Card Execution Note T 2018-A4 A4 3.110% Due 01/16/2024	30,000,000.00	03/27/2019 2.42%	30,460,546.88 30,041,071.36	100.61 0.18%	30,182,880.00 41,466.67	0.23% 141,808.64	NR / AAA AAA	2.72 0.21
89233MAD5	Toyota Auto Receivables Owners 2019-D A3 1.920% Due 01/16/2024	13,500,000.00	11/13/2019 1.93%	13,499,025.30 13,499,487.59	101.45 0.33%	13,696,033.50 11,520.00	0.11% 196,545.91	Aaa / AAA NR	2.72 0.91
43813VAC2	Honda Auto Receivables 2019-4 A3 1.830% Due 01/18/2024	22,500,000.00	11/26/2019 1.84%	22,495,990.50 22,497,812.05	101.51 0.29%	22,839,255.00 14,868.75	0.18% 341,442.95	NR / AAA AAA	2.72 0.97
05588CAC6	BMW Vehicle Owner Trust 2019-A A3 1.920% Due 01/25/2024	9,384,274.28	09/18/2019 1.93%	9,383,013.03 9,383,481.83	101.08 0.23%	9,486,056.12 3,002.97	0.07% 102,574.29	NR / AAA AAA	2.74 0.64
02582JF8	American Express Credit Trust 2018-6 A 3.060% Due 02/15/2024	40,253,000.00	03/27/2019 2.49%	40,825,347.34 40,579,872.50	100.60 0.17%	40,495,645.08 54,744.08	0.31% (84,227.42)	Aaa / NR AAA	2.80 0.21
44891JAC2	Hyundai Auto Receivables Trust 2019-B A3 1.940% Due 02/15/2024	8,500,000.00	11/06/2019 1.95%	8,499,608.15 8,499,805.90	101.31 0.25%	8,611,333.00 7,328.89	0.07% 111,527.10	NR / AAA AAA	2.80 0.77
44933LAB9	Hyundai Auto Receivables Trust 2021-A A2 0.230% Due 02/15/2024	12,000,000.00	04/28/2021 0.24%	11,998,800.00 11,998,806.36	99.98 0.25%	11,997,684.00 230.00	0.09% (1,122.36)	NR / AAA AAA	2.80 1.01

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund As of April 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
254683CH6	Discover Card Execution Note T 2018-A5 A5 3.320% Due 03/15/2024	8,750,000.00	07/11/2019 2.18%	8,959,179.69 8,785,956.86	101.16 0.22%	8,851,745.00 12,911.11	0.07% 65,788.14	Aaa / NR AAA	2.88 0.37
02582JH4	American Express Credit Trust 2018-8 A 3.180% Due 04/15/2024	22,120,000.00	06/13/2019 2.23%	22,584,865.63 22,197,195.87	101.13 0.17%	22,369,779.04 31,262.93	0.17% 172,583.17	NR / AAA AAA	2.96 0.37
36257PAD0	GM Financial Securitized Auto 2019-3 A3 2.180% Due 04/16/2024	23,797,399.48	07/10/2020 0.25%	24,372,813.16 24,151,500.21	101.21 0.28%	24,084,372.32 21,615.97	0.19% (67,127.89)	NR / AAA AAA	2.96 0.63
43813RAC1	Honda Auto Receivables 2020-1 A3 1.610% Due 04/22/2024	16,500,000.00	02/26/2020 1.62%	16,496,766.00 16,497,682.69	101.56 0.38%	16,757,532.00 7,379.17	0.13% 259,849.31	Aaa / NR AAA	2.98 1.26
65479JAD5	Nissan Auto Receivables Owner 2019-C A3 1.930% Due 07/15/2024	12,000,000.00	10/23/2019 1.94%	11,999,366.40 11,999,570.38	101.63 0.28%	12,195,288.00 10,293.33	0.09% 195,717.62	Aaa / AAA NR	3.21 0.98
47789KAC7	John Deere Owner Trust 2020-A A3 1.100% Due 08/15/2024	12,000,000.00	03/11/2020 1.11%	11,999,266.80 11,999,455.31	100.85 0.39%	12,101,676.00 5,866.67	0.09% 102,220.69	Aaa / NR AAA	3.30 1.19
36258NAC6	GM Financial Securitized Auto 2020-1 A3 1.840% Due 09/16/2024	13,000,000.00	01/15/2020 1.86%	12,996,938.50 12,998,294.06	101.43 0.19%	13,185,718.00 9,966.67	0.10% 187,423.94	Aaa / AAA NR	3.38 0.86
41284UAD6	Harley-Davidson Motorcycle Tr 2020-A A3 1.870% Due 10/15/2024	6,000,000.00	01/29/2020 1.89%	5,998,691.40 5,999,039.65	101.46 0.14%	6,087,318.00 4,986.67	0.05% 88,278.35	Aaa / AAA NR	3.46 0.84
89236XAC0	Toyota Auto Receivables 2020-D A3 0.350% Due 01/15/2025	7,000,000.00	10/13/2020 0.36%	6,998,695.90 6,998,863.63	100.00 0.35%	6,999,930.00 1,088.89	0.05% 1,066.37	NR / AAA AAA	3.72 1.27
43813GAC5	Honda Auto Receivables Trust 2021-1 A3 0.270% Due 04/21/2025	13,250,000.00	02/24/2021 0.27%	13,249,757.53 13,249,771.81	99.89 0.34%	13,235,756.25 993.75	0.10% (14,015.56)	Aaa / NR AAA	3.98 1.49
34532NAC9	Ford Credit Auto Owners Trust 2021-A A3 0.300% Due 08/15/2025	22,500,000.00	02/17/2021 0.30%	22,498,103.25 22,498,215.60	99.92 0.35%	22,481,280.00 3,000.00	0.17% (16,935.60)	Aaa / AAA NR	4.30 1.77
36260KAC8	GM Financial Securitized Auto 2020-4 A3 0.380% Due 08/18/2025	7,250,000.00	10/14/2020 0.39%	7,248,450.68 7,248,697.53	100.06 0.35%	7,254,516.75 1,147.92	0.06% 5,819.22	NR / AAA AAA	4.30 1.74
47788UAC6	John Deere Owner Trust 2021-A A3 0.360% Due 09/15/2025	4,000,000.00	03/10/2021 0.37%	3,999,231.20 3,999,261.60	99.77 0.49%	3,990,712.00 640.00	0.03% (8,549.60)	Aaa / NR AAA	4.38 1.79
44933LAC7	Hyundai Auto Receivables Trust 2021-A A3 0.380% Due 09/15/2025	11,000,000.00	04/28/2021 0.38%	10,998,842.80 10,998,845.92	100.00 0.38%	11,000,242.00 348.33	0.08% 1,396.08	NR / AAA AAA	4.38 2.23
TOTAL ABS		585,881,860.42	1.72%	588,398,481.48 586,890,527.30	0.26%	590,304,371.73 536,239.84	4.56% 3,413,844.43	Aaa / AAA Aaa	2.66 0.66
Agency									
3135G0K69	FNMA Note 1.250% Due 05/06/2021	40,000,000.00	Various 1.28%	39,939,950.00 39,999,820.63	100.01 0.68%	40,003,800.00 243,055.55	0.31% 3,979.37	Aaa / AA+ AAA	0.02 0.02
313379RB7	FHLB Note 1.875% Due 06/11/2021	15,000,000.00	07/14/2016 1.21%	15,473,897.10 15,010,836.46	100.19 0.20%	15,028,665.00 109,375.00	0.12% 17,828.54	Aaa / AA+ AAA	0.12 0.11

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund As of April 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
3130A8QS5	FHLB Note	35,000,000.00	08/04/2016	34,852,300.00	100.22	35,078,260.00	0.27%	Aaa / AA+	0.21
	1.125% Due 07/14/2021		1.21%	34,993,944.71	0.04%	117,031.25	84,315.29	AAA	0.21
3137EAEC9	FHLMC Note	20,000,000.00	10/05/2016	19,767,000.00	100.30	20,059,200.00	0.16%	Aaa / AA+	0.28
	1.125% Due 08/12/2021		1.37%	19,986,456.55	0.08%	49,375.00	72,743.45	AAA	0.28
3135G0N82	FNMA Note	35,000,000.00	09/21/2016	34,822,900.00	100.35	35,122,395.00	0.27%	Aaa / AA+	0.30
	1.250% Due 08/17/2021		1.36%	34,989,320.60	0.07%	89,930.56	133,074.40	AAA	0.30
3135G0Q89	FNMA Note	35,000,000.00	11/08/2016	34,885,550.00	100.57	35,200,375.00	0.27%	Aaa / AA+	0.44
	1.375% Due 10/07/2021		1.44%	34,989,856.44	0.06%	32,083.33	210,518.56	AAA	0.44
313378CR0	FHLB Note	25,000,000.00	03/27/2017	25,267,500.00	101.87	25,467,125.00	0.20%	Aaa / AA+	0.86
	2.250% Due 03/11/2022		2.02%	25,046,406.08	0.09%	78,125.00	420,718.92	NR	0.86
313378WG2	FHLB Note	18,290,000.00	04/05/2019	18,370,110.20	102.09	18,671,547.69	0.14%	Aaa / AA+	0.86
	2.500% Due 03/11/2022		2.34%	18,313,487.02	0.08%	63,506.94	358,060.67	NR	0.86
3135G0V59	FNMA Note	50,000,000.00	04/12/2019	49,836,000.00	102.06	51,028,500.00	0.39%	Aaa / AA+	0.95
	2.250% Due 04/12/2022		2.36%	49,948,226.28	0.08%	59,375.00	1,080,273.72	AAA	0.94
3133EKZY5	FFCB Note	54,425,000.00	09/26/2019	54,345,079.70	101.58	55,286,765.45	0.43%	Aaa / AA+	1.09
	1.550% Due 06/01/2022		1.61%	54,392,672.68	0.09%	351,494.79	894,092.77	AAA	1.07
3130A5P45	FHLB Note	10,000,000.00	04/08/2019	10,009,900.00	102.40	10,240,110.00	0.08%	Aaa / AA+	1.11
	2.375% Due 06/10/2022		2.34%	10,003,459.45	0.21%	93,020.83	236,650.55	AAA	1.09
3133ELDK7	FFCB Note	40,000,000.00	12/16/2019	39,998,000.00	101.70	40,680,520.00	0.32%	Aaa / AA+	1.13
	1.630% Due 06/15/2022		1.63%	39,999,100.88	0.12%	246,311.11	681,419.12	AAA	1.11
313380GJ0	FHLB Note	25,000,000.00	10/24/2019	25,262,375.00	102.52	25,631,100.00	0.20%	Aaa / AA+	1.36
	2.000% Due 09/09/2022		1.62%	25,123,823.03	0.14%	72,222.22	507,276.97	NR	1.34
3133EKY91	FFCB Note	10,000,000.00	10/11/2019	9,988,700.00	101.76	10,175,610.00	0.08%	Aaa / AA+	1.45
	1.375% Due 10/11/2022		1.41%	9,994,556.20	0.16%	7,638.89	181,053.80	AAA	1.44
3133EKUA2	FFCB Note	70,000,000.00	Various	70,015,800.00	102.97	72,082,150.00	0.56%	Aaa / AA+	1.76
	1.850% Due 02/01/2023		1.84%	70,007,739.29	0.15%	323,750.00	2,074,410.71	AAA	1.72
3130ADRG9	FHLB Note	39,195,000.00	04/04/2019	39,808,401.75	104.69	41,034,695.72	0.32%	Aaa / AA+	1.86
	2.750% Due 03/10/2023		2.33%	39,484,614.48	0.22%	152,697.18	1,550,081.24	NR	1.82
3133834G3	FHLB Note	48,500,000.00	06/28/2019	49,049,505.00	104.02	50,450,330.50	0.39%	Aaa / AA+	2.11
	2.125% Due 06/09/2023		1.83%	48,793,043.93	0.21%	406,524.31	1,657,286.57	NR	2.06
3133EEW71	FFCB Note	11,008,000.00	07/03/2019	11,300,702.72	104.94	11,551,575.04	0.09%	Aaa / AA+	2.13
	2.520% Due 06/15/2023		1.82%	11,165,203.47	0.19%	104,796.16	386,371.57	AAA	2.06
3133EKS7	FFCB Note	35,675,000.00	Various	35,608,544.50	103.39	36,883,240.90	0.29%	Aaa / AA+	2.16
	1.770% Due 06/26/2023		1.82%	35,639,226.82	0.19%	219,252.61	1,244,014.08	AAA	2.11
3137EAES4	FHLMC Note	100,000,000.00	08/27/2020	99,910,500.00	100.06	100,064,000.00	0.77%	Aaa / AA+	2.16
	0.250% Due 06/26/2023		0.28%	99,931,900.29	0.22%	86,805.56	132,099.71	AAA	2.15

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund As of April 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
3137EAEV7	FHLMC Note 0.250% Due 08/24/2023	90,000,000.00	Various 0.28%	89,909,200.00 89,929,910.61	100.02 0.24%	90,018,450.00 41,875.00	0.70% 88,539.39	Aaa / AA+ AAA	2.32 2.31
3136G4Y31	FNMA Callable Note Qtrly 8/25/2021 0.340% Due 08/25/2023	24,465,000.00	08/27/2020 0.34%	24,465,000.00 24,465,000.00	100.04 0.21%	24,475,324.23 15,249.85	0.19% 10,324.23	Aaa / AA+ AAA	2.32 0.95
3137EAEW5	FHLMC Note 0.250% Due 09/08/2023	65,000,000.00	09/04/2020 0.26%	64,978,550.00 64,983,214.74	100.02 0.24%	65,011,440.00 23,923.61	0.50% 28,225.26	Aaa / AA+ AAA	2.36 2.35
3135G0U43	FNMA Note 2.875% Due 09/12/2023	35,000,000.00	Various 2.00%	36,232,250.00 35,687,849.58	106.28 0.21%	37,196,600.00 136,961.80	0.29% 1,508,750.42	Aaa / AA+ AAA	2.37 2.30
3134GWTLO	FHLMC Callable Note Qtrly 9/28/2021 0.300% Due 09/28/2023	25,000,000.00	09/28/2020 0.30%	25,000,000.00 25,000,000.00	100.08 0.12%	25,018,825.00 6,875.00	0.19% 18,825.00	Aaa / NR AAA	2.41 1.00
3133EMBS0	FFCB Note 0.200% Due 10/02/2023	25,000,000.00	10/02/2020 0.24%	24,968,750.00 24,974,771.69	99.86 0.26%	24,965,475.00 4,027.78	0.19% (9,296.69)	Aaa / AA+ AAA	2.42 2.41
3133EKUB0	FFCB Note 1.880% Due 11/01/2023	50,000,000.00	07/03/2019 1.88%	50,006,500.00 50,003,755.37	103.99 0.28%	51,996,250.00 470,000.00	0.40% 1,992,494.63	Aaa / AA+ AAA	2.51 2.43
3134GXCA0	FNMA Callable Note Qtrly 11/24/2021 0.320% Due 11/24/2023	25,000,000.00	11/25/2020 0.33%	24,990,000.00 24,991,435.10	99.94 0.34%	24,985,425.00 34,888.89	0.19% (6,010.10)	Aaa / NR AAA	2.57 1.28
3135G06H1	FNMA Note 0.250% Due 11/27/2023	25,000,000.00	11/25/2020 0.29%	24,971,500.00 24,975,578.85	99.96 0.26%	24,990,850.00 27,083.33	0.19% 15,271.15	Aaa / AA+ AAA	2.58 2.56
3137EAF2	FHLMC Note 0.250% Due 12/04/2023	25,000,000.00	12/02/2020 0.28%	24,975,250.00 24,978,595.21	99.95 0.27%	24,986,800.00 25,520.83	0.19% 8,204.79	Aaa / AA+ AAA	2.60 2.58
3130AFW94	FHLB Note 2.500% Due 02/13/2024	15,000,000.00	02/15/2019 2.58%	14,946,900.00 14,970,364.14	106.27 0.24%	15,941,130.00 81,250.00	0.12% 970,765.86	Aaa / AA+ AAA	2.79 2.70
3133EKM1	FFCB Note 2.230% Due 02/23/2024	50,000,000.00	07/08/2019 1.94%	50,629,500.00 50,382,688.35	105.13 0.39%	52,567,250.00 210,611.11	0.41% 2,184,561.65	Aaa / AA+ AAA	2.82 2.73
3136G4G80	FNMA Callable Note Qtrly 8/26/2022 0.375% Due 02/26/2024	15,455,000.00	08/27/2020 0.38%	15,455,000.00 15,455,000.00	99.96 0.39%	15,448,060.71 10,464.32	0.12% (6,939.29)	Aaa / AA+ AAA	2.83 1.70
3134GWE44	FHLMC Callable Note Qtrly 9/8/2022 0.375% Due 03/08/2024	50,000,000.00	09/08/2020 0.38%	50,000,000.00 50,000,000.00	99.50 0.55%	49,752,450.00 27,604.17	0.38% (247,550.00)	Aaa / NR AAA	2.86 1.67
3133EKQU3	FFCB Note 1.950% Due 06/13/2024	120,350,000.00	Various 1.89%	120,672,926.30 120,553,003.45	104.84 0.39%	126,169,163.20 899,616.25	0.98% 5,616,159.75	Aaa / AA+ AAA	3.12 3.02
3133ELL85	FFCB Callable Note Cont 6/17/2021 0.680% Due 06/17/2024	75,000,000.00	06/17/2020 0.68%	75,000,000.00 75,000,000.00	100.06 0.21%	75,045,750.00 189,833.34	0.58% 45,750.00	Aaa / AA+ AAA	3.13 1.07
3134GVN38	FHLMC Callable Note 1X 6/17/2021 0.630% Due 06/17/2024	25,000,000.00	06/17/2020 0.63%	25,000,000.00 25,000,000.00	100.03 0.40%	25,007,500.00 58,625.00	0.19% 7,500.00	Aaa / AA+ AAA	3.13 0.13
3133EKVQ6	FFCB Callable Note Cont 7/19/2021 2.040% Due 07/19/2024	54,000,000.00	07/23/2019 2.04%	54,000,000.00 54,000,000.00	100.39 0.25%	54,211,680.00 312,120.00	0.42% 211,680.00	Aaa / AA+ AAA	3.22 0.22

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund As of April 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
3136G4H22	FNMA Callable Note Annual 8/12/2022 0.410% Due 08/12/2024	50,000,000.00	08/12/2020 0.42%	49,975,000.00 49,979,483.23	100.06 0.36%	50,031,150.00 44,986.11	0.39% 51,666.77	Aaa / AA+ AAA	3.29 2.12
3133EL5S9	FFCB Callable Note Cont 9/3/2021 0.480% Due 09/03/2024	25,000,000.00	09/03/2020 0.48%	25,000,000.00 25,000,000.00	99.53 0.62%	24,881,350.00 19,333.33	0.19% (118,650.00)	Aaa / AA+ AAA	3.35 1.83
3130A2UW4	FHLB Note 2.875% Due 09/13/2024	66,555,000.00	Various 1.70%	70,171,868.25 69,064,850.31	107.98 0.49%	71,863,892.69 255,127.50	0.56% 2,799,042.38	Aaa / AA+ AAA	3.38 3.22
3133EKP75	FFCB Note 1.600% Due 09/17/2024	25,000,000.00	09/17/2019 1.68%	24,906,620.00 24,936,877.77	103.77 0.47%	25,942,450.00 48,888.89	0.20% 1,005,572.23	Aaa / AA+ AAA	3.39 3.29
3134GWVM5	FHLMC Callable Note 1X 9/30/2022 0.350% Due 09/30/2024	25,000,000.00	09/30/2020 0.35%	25,000,000.00 25,000,000.00	99.49 0.50%	24,873,475.00 7,534.72	0.19% (126,525.00)	Aaa / NR AAA	3.42 2.38
3134GWVY8	FHLMC Callable Note Qtrly 9/30/2022 0.375% Due 09/30/2024	25,000,000.00	09/30/2020 0.38%	25,000,000.00 25,000,000.00	99.47 0.53%	24,866,575.00 8,072.92	0.19% (133,425.00)	Aaa / NR AAA	3.42 2.39
3134GXDZ4	FNMA Callable Note Qtrly 11/25/2022 0.450% Due 11/25/2024	50,000,000.00	11/25/2020 0.45%	50,000,000.00 50,000,000.00	99.71 0.53%	49,853,200.00 97,500.00	0.39% (146,800.00)	Aaa / NR AAA	3.58 2.58
3134GWC38	FHLMC Callable Note Qtrly 9/2/2022 0.480% Due 12/02/2024	50,000,000.00	09/02/2020 0.48%	50,000,000.00 50,000,000.00	99.77 0.54%	49,886,150.00 39,333.33	0.39% (113,850.00)	Aaa / NR AAA	3.59 2.41
3135G0X24	FNMA Note 1.625% Due 01/07/2025	50,000,000.00	01/10/2020 1.69%	49,840,500.00 49,882,211.35	103.93 0.55%	51,966,750.00 257,291.67	0.40% 2,084,538.65	Aaa / AA+ AAA	3.69 3.57
3133EMVS8	FFCB Callable Note Cont 4/14/2023 0.690% Due 04/14/2025	25,000,000.00	04/14/2021 0.69%	25,000,000.00 25,000,000.00	99.94 0.71%	24,984,275.00 8,145.83	0.19% (15,725.00)	Aaa / AA+ AAA	3.96 3.11
3134GVUS5	FHLMC Callable Note Qtrly 5/19/2021 0.750% Due 05/19/2025	25,000,000.00	05/19/2020 0.75%	25,000,000.00 25,000,000.00	100.00 0.69%	25,000,725.00 84,375.00	0.19% 725.00	Aaa / NR AAA	4.05 1.61
3134GVB31	FHLMC Callable Note Qtrly 5/28/2021 0.750% Due 05/28/2025	75,000,000.00	Various 0.75%	74,995,000.00 74,995,914.33	99.98 0.75%	74,987,175.00 239,062.50	0.58% (8,739.33)	Aaa / NR AAA	4.08 1.46
3136G4WJ8	FNMA Callable Note Qtrly 6/11/2021 0.800% Due 06/11/2025	25,000,000.00	06/11/2020 0.80%	25,000,000.00 25,000,000.00	100.01 0.74%	25,001,600.00 77,777.78	0.19% 1,600.00	Aaa / AA+ AAA	4.12 1.71
3136G4WV1	FNMA Callable Note Qtrly 6/16/2022 0.750% Due 06/16/2025	50,000,000.00	06/16/2020 0.75%	50,000,000.00 50,000,000.00	100.01 0.74%	50,002,900.00 140,625.00	0.39% 2,900.00	Aaa / AA+ AAA	4.13 2.50
3136G4YU1	FNMA Callable Note Qtrly 7/15/2021 0.730% Due 07/15/2025	30,000,000.00	07/15/2020 0.73%	30,000,000.00 30,000,000.00	99.94 0.74%	29,982,690.00 64,483.33	0.23% (17,310.00)	Aaa / AA+ AAA	4.21 2.13
3136G4A37	FNMA Callable Note Qtrly 1/28/2022 0.670% Due 07/28/2025	20,000,000.00	07/28/2020 0.67%	20,000,000.00 20,000,000.00	99.52 0.79%	19,903,100.00 34,616.67	0.15% (96,900.00)	Aaa / AA+ AAA	4.25 2.67
3136G4D75	FNMA Callable Note Qtrly 7/29/2022 0.600% Due 07/29/2025	50,000,000.00	07/29/2020 0.60%	50,000,000.00 50,000,000.00	99.23 0.79%	49,613,950.00 76,666.66	0.38% (386,050.00)	Aaa / NR AAA	4.25 3.11
3136G4B77	FNMA Callable Note Qtrly 8/4/2021 0.700% Due 08/04/2025	25,000,000.00	08/04/2020 0.70%	25,000,000.00 25,000,000.00	99.81 0.74%	24,953,675.00 42,291.67	0.19% (46,325.00)	Aaa / AA+ AAA	4.27 2.35

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund As of April 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
3136G4J46	FNMA Callable Note Qtrly 8/12/2022 0.570% Due 08/12/2025	25,000,000.00	08/12/2020 0.57%	25,000,000.00 25,000,000.00	99.27 0.74%	24,817,500.00 31,270.83	0.19% (182,500.00)	Aaa / AA+ AAA	4.29 3.28
3136G4H63	FNMA Callable Note Annual 8/19/2022 0.550% Due 08/19/2025	25,000,000.00	08/19/2020 0.55%	25,000,000.00 25,000,000.00	99.14 0.75%	24,786,075.00 27,500.00	0.19% (213,925.00)	Aaa / AA+ AAA	4.31 4.24
3136G4V34	FNMA Callable Note 1X 8/26/2022 0.550% Due 08/26/2025	25,000,000.00	08/26/2020 0.55%	25,000,000.00 25,000,000.00	98.96 0.80%	24,739,650.00 24,826.39	0.19% (260,350.00)	Aaa / AA+ AAA	4.33 3.48
3136G4S53	FNMA Callable Note Qtrly 8/27/2021 0.650% Due 08/27/2025	25,000,000.00	08/27/2020 0.65%	25,000,000.00 25,000,000.00	99.40 0.79%	24,850,450.00 28,888.89	0.19% (149,550.00)	Aaa / AA+ AAA	4.33 2.69
3130AK5E2	FHLB Note 0.375% Due 09/04/2025	5,000,000.00	09/11/2020 0.44%	4,985,000.00 4,986,913.14	98.55 0.71%	4,927,610.00 2,968.75	0.04% (59,303.14)	Aaa / AA+ AAA	4.35 4.30
3133EMAU6	FFCB Callable Note Cont 9/22/2022 0.500% Due 09/22/2025	40,000,000.00	09/24/2020 0.50%	40,000,000.00 40,000,000.00	97.78 1.02%	39,111,760.00 21,666.67	0.30% (888,240.00)	Aaa / AA+ AAA	4.40 3.65
3137EAEX3	FHLMC Note 0.375% Due 09/23/2025	10,000,000.00	11/04/2020 0.51%	9,936,300.00 9,942,655.72	98.41 0.74%	9,840,860.00 3,958.33	0.08% (101,795.72)	Aaa / AA+ AAA	4.40 4.35
3136G43L5	FNMA Callable Note Annual 9/30/2022 0.550% Due 09/30/2025	38,400,000.00	09/30/2020 0.55%	38,400,000.00 38,400,000.00	98.86 0.81%	37,963,660.80 18,186.67	0.29% (436,339.20)	Aaa / AA+ AAA	4.42 4.35
3134GWYS9	FHLMC Callable Note Qtrly 4/15/2021 0.600% Due 10/15/2025	26,000,000.00	01/21/2021 0.60%	26,000,000.00 26,000,000.00	99.17 0.79%	25,784,720.00 6,933.33	0.20% (215,280.00)	Aaa / NR AAA	4.46 4.39
3135G06A6	FNMA Callable Note Qtrly 10/20/2021 0.580% Due 10/20/2025	25,000,000.00	10/20/2020 0.58%	25,000,000.00 25,000,000.00	99.03 0.80%	24,758,200.00 4,430.56	0.19% (241,800.00)	Aaa / AA+ AAA	4.48 3.19
3134GW5H5	FHLMC Callable Note Qtrly 7/28/2022 0.530% Due 10/28/2025	25,000,000.00	10/28/2020 0.53%	25,000,000.00 25,000,000.00	97.86 1.02%	24,464,050.00 1,104.17	0.19% (535,950.00)	Aaa / NR AAA	4.50 3.61
3136G46N8	FNMA Callable Note Qtrly 10/29/2021 0.600% Due 10/29/2025	25,000,000.00	10/29/2020 0.60%	25,000,000.00 25,000,000.00	99.00 0.83%	24,750,625.00 833.33	0.19% (249,375.00)	Aaa / AA+ AAA	4.50 4.43
3133EMFS6	FFCB Note 0.460% Due 11/03/2025	16,450,000.00	11/04/2020 0.53%	16,391,602.50 16,397,298.26	98.64 0.77%	16,227,020.25 37,414.61	0.13% (170,278.01)	Aaa / AA+ AAA	4.52 4.44
3135G06G3	FNMA Note 0.500% Due 11/07/2025	23,000,000.00	11/12/2020 0.57%	22,917,660.00 22,925,346.88	98.83 0.76%	22,731,130.00 53,986.11	0.18% (194,216.88)	Aaa / AA+ AAA	4.53 4.45
3135GA3X7	FNMA Callable Note 1X 11/17/2022 0.570% Due 11/17/2025	50,000,000.00	11/17/2020 0.57%	50,000,000.00 50,000,000.00	98.79 0.84%	49,393,700.00 129,833.33	0.38% (606,300.00)	Aaa / AA+ AAA	4.55 3.91
3134GXFA7	FNMA Callable Note Qtrly 11/26/2021 0.650% Due 11/26/2025	25,000,000.00	11/30/2020 0.65%	25,000,000.00 25,000,000.00	99.30 0.81%	24,824,200.00 68,159.72	0.19% (175,800.00)	Aaa / NR AAA	4.58 3.09
3134GXDM3	FNMA Callable Note Qtrly 12/1/2021 0.620% Due 12/01/2025	25,000,000.00	11/20/2020 0.62%	25,000,000.00 25,000,000.00	98.85 0.88%	24,713,575.00 64,583.33	0.19% (286,425.00)	Aaa / NR AAA	4.59 4.50
3135G06J7	FNMA Callable Note Qtrly 6/10/2021 0.650% Due 12/10/2025	25,000,000.00	12/09/2020 0.65%	25,000,000.00 25,000,000.00	99.05 0.86%	24,762,075.00 63,645.83	0.19% (237,925.00)	Aaa / AA+ AAA	4.62 3.01

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund

As of April 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
3135G06K4	FNMA Callable Note Qtrly 12/17/2021 0.650% Due 12/17/2025	75,000,000.00	12/02/2020 0.65%	75,000,000.00 75,000,000.00	99.26 0.81%	74,446,125.00 181,458.33	0.58% (553,875.00)	Aaa / AA+ AAA	4.64 4.54
3130AKMZ6	FHLB Callable Note Qtrly 1/14/2022 0.510% Due 01/14/2026	25,000,000.00	01/06/2021 0.51%	25,000,000.00 25,000,000.00	98.28 0.88%	24,570,050.00 37,895.83	0.19% (429,950.00)	Aaa / AA+ NR	4.71 3.68
3130AKMY9	FHLB Callable Note Qtrly 7/15/2021 0.550% Due 01/15/2026	25,000,000.00	01/06/2021 0.55%	25,000,000.00 25,000,000.00	98.64 0.85%	24,658,900.00 40,486.11	0.19% (341,100.00)	Aaa / AA+ NR	4.72 3.34
3130AKQ74	FHLB Callable Note Qtrly 7/22/2021 0.625% Due 01/22/2026	25,000,000.00	01/22/2021 0.63%	25,000,000.00 25,000,000.00	98.55 0.94%	24,638,200.00 42,968.75	0.19% (361,800.00)	Aaa / AA+ NR	4.73 3.04
3130AKQX7	FHLB Callable Note Qtrly 4/28/2021 0.700% Due 01/28/2026	25,000,000.00	01/28/2021 0.70%	25,000,000.00 25,000,000.00	99.33 0.84%	24,833,350.00 45,208.33	0.19% (166,650.00)	Aaa / AA+ NR	4.75 2.77
3130AKPL4	FHLB Callable Note 1X 1/28/2022 0.550% Due 01/28/2026	50,000,000.00	01/28/2021 0.55%	50,000,000.00 50,000,000.00	98.62 0.85%	49,311,750.00 71,041.67	0.38% (688,250.00)	Aaa / AA+ NR	4.75 3.62
3130AL7M0	FHLB Callable Note Qtrly 8/24/2021 0.625% Due 02/24/2026	25,000,000.00	02/24/2021 0.63%	25,000,000.00 25,000,000.00	98.94 0.85%	24,733,925.00 29,079.86	0.19% (266,075.00)	Aaa / AA+ NR	4.82 3.31
3130ALCV4	FHLB Callable Note Qtrly 5/24/2021 0.750% Due 02/24/2026	50,000,000.00	02/24/2021 0.75%	50,000,000.00 50,000,000.00	100.00 0.75%	50,000,100.00 69,791.67	0.39% 100.00	Aaa / AA+ NR	4.82 2.41
3130ALB94	FHLB Callable Note Qtrly 8/26/2021 0.630% Due 02/26/2026	50,000,000.00	02/26/2021 0.63%	50,000,000.00 50,000,000.00	98.50 0.95%	49,252,450.00 56,875.00	0.38% (747,550.00)	Aaa / AA+ NR	4.83 3.23
3133EMSU7	FFCB Callable Note Cont 3/9/2023 0.800% Due 03/09/2026	25,000,000.00	03/09/2021 0.80%	25,000,000.00 25,000,000.00	99.42 0.92%	24,856,150.00 28,888.89	0.19% (143,850.00)	Aaa / AA+ AAA	4.86 3.89
3130ALJP0	FHLB Callable Note Qtrly 6/23/2021 1.000% Due 03/23/2026	25,000,000.00	03/23/2021 1.00%	25,000,000.00 25,000,000.00	100.00 1.00%	24,999,925.00 26,388.89	0.19% (75.00)	Aaa / AA+ NR	4.90 1.74
3130ALYT5	FHLB Callable Note Qtrly 10/29/2021 1.100% Due 04/29/2026	25,000,000.00	04/29/2021 1.10%	25,000,000.00 25,000,000.00	99.74 1.15%	24,934,250.00 1,527.78	0.19% (65,750.00)	Aaa / AA+ NR	5.00 2.17
3130ALZN7	FHLB Callable Note Qtrly 7/30/2021 1.150% Due 04/30/2026	25,000,000.00	04/30/2021 1.15%	25,000,000.00 25,000,000.00	100.00 1.15%	25,000,000.00 798.61	0.19% 0.00	Aaa / AA+ NR	5.00 1.62
TOTAL Agency		3,111,768,000.00	0.99%	3,115,676,413.37	0.50%	3,135,805,507.18 8,251,615.05	24.26% 20,129,093.81	Aaa / AA+ Aaa	3.17 2.37

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund

As of April 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
Cash									
90JPMC\$03	JP Morgan Chase Bank Deposit	289,645,899.98	Various 0.10%	289,645,899.98 289,645,899.98	1.00 0.10%	289,645,899.98 0.00	2.24% 0.00	NR / NR NR	0.00 0.00
TOTAL Cash		289,645,899.98	0.10%	289,645,899.98	0.10%	289,645,899.98	2.24%	NR / NR	0.00
Commercial Paper									
21687AS79	Rabobank Nederland NV NY Discount CP 0.200% Due 05/07/2021	125,000,000.00	12/04/2020 0.20%	124,895,138.90 124,995,833.33	100.00 0.20%	124,995,833.33 0.00	0.96% 0.00	P-1 / A-1 NR	0.02 0.02
13607ESB6	Canadian Imperial Holdings Discount CP 0.240% Due 05/11/2021	25,000,000.00	08/14/2020 0.24%	24,955,000.00 24,998,333.33	99.99 0.24%	24,998,333.33 0.00	0.19% 0.00	P-1 / A-1 F-1+	0.03 0.03
21687ASC8	Rabobank Nederland NV NY Discount CP 0.200% Due 05/12/2021	175,000,000.00	Various 0.21%	174,845,166.68 174,989,000.00	99.99 0.21%	174,989,000.00 0.00	1.35% 0.00	P-1 / A-1 NR	0.03 0.03
89233GSC1	Toyota Motor Credit Discount CP 0.210% Due 05/12/2021	50,000,000.00	12/14/2020 0.19%	49,960,680.56 49,997,097.22	99.99 0.19%	49,997,097.22 0.00	0.39% 0.00	P-1 / A-1+ F-1	0.03 0.03
09659BSE1	BNP Paribas Discount CP 0.240% Due 05/14/2021	25,000,000.00	11/16/2020 0.24%	24,970,166.68 24,997,833.33	99.99 0.24%	24,997,833.33 0.00	0.19% 0.00	P-1 / A-1 F-1+	0.04 0.04
09659JSE4	BNP Paribas Discount CP 0.170% Due 05/14/2021	30,000,000.00	01/13/2021 0.17%	29,982,858.33 29,998,158.33	99.99 0.17%	29,998,158.33 0.00	0.23% 0.00	P-1 / A-1 F-1+	0.04 0.04
09659JSH7	BNP Paribas Discount CP 0.170% Due 05/17/2021	20,000,000.00	01/13/2021 0.17%	19,988,288.89 19,998,488.89	99.99 0.17%	19,998,488.89 0.00	0.15% 0.00	P-1 / A-1 F-1+	0.05 0.05
09659JSJ3	BNP Paribas Discount CP 0.170% Due 05/18/2021	20,000,000.00	01/13/2021 0.17%	19,988,194.44 19,998,394.44	99.99 0.17%	19,998,394.44 0.00	0.15% 0.00	P-1 / A-1 F-1+	0.05 0.05
89233GT14	Toyota Motor Credit Discount CP 0.290% Due 06/01/2021	50,000,000.00	12/14/2020 0.19%	49,955,402.78 49,991,819.44	99.98 0.19%	49,991,819.44 0.00	0.39% 0.00	P-1 / A-1+ F-1	0.09 0.09
45685QT25	ING (US) Funding LLC Discount CP 0.142% Due 06/02/2021	25,000,000.00	03/03/2021 0.14%	24,991,152.75 24,996,854.31	99.99 0.14%	24,996,854.31 0.00	0.19% 0.00	P-1 / A-1 NR	0.09 0.09
45685QT33	ING (US) Funding LLC Discount CP 0.140% Due 06/03/2021	25,000,000.00	03/04/2021 0.14%	24,991,152.75 24,996,791.66	99.99 0.14%	24,996,791.66 0.00	0.19% 0.00	P-1 / A-1 NR	0.09 0.09
09659JTB9	BNP Paribas Discount CP 0.180% Due 06/11/2021	30,000,000.00	01/13/2021 0.18%	29,977,650.00 29,993,850.00	99.98 0.18%	29,993,850.00 0.00	0.23% 0.00	P-1 / A-1 F-1+	0.12 0.11
09659JTE3	BNP Paribas Discount CP 0.140% Due 06/14/2021	25,000,000.00	02/16/2021 0.14%	24,988,527.78 24,995,722.22	99.98 0.14%	24,995,722.22 0.00	0.19% 0.00	P-1 / A-1 F-1+	0.12 0.12
46640PTV5	JP Morgan Discount CP 0.150% Due 06/29/2021	50,000,000.00	03/15/2021 0.15%	49,977,916.67 49,987,708.34	99.98 0.15%	49,987,708.34 0.00	0.39% 0.00	P-1 / A-1 F-1+	0.16 0.16

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund

As of April 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
46640PTW3	JP Morgan Discount CP 0.150% Due 06/30/2021	50,000,000.00	03/18/2021 0.15%	49,978,333.34 49,987,500.00	99.98 0.15%	49,987,500.00 0.00	0.39% 0.00	P-1 / A-1 F-1+	0.17 0.17
4497W0TW8	ING Funding Discount CP 0.140% Due 06/30/2021	50,000,000.00	03/26/2021 0.14%	49,981,333.50 49,988,333.44	99.98 0.14%	49,988,333.44 0.00	0.39% 0.00	P-1 / A-1 NR	0.17 0.17
45685QTW9	ING (US) Funding LLC Discount CP 0.140% Due 06/30/2021	3,000,000.00	03/31/2021 0.14%	2,998,938.33 2,999,300.00	99.98 0.14%	2,999,300.00 0.00	0.02% 0.00	P-1 / A-1 NR	0.17 0.17
13607EU15	Canadian Imperial Holdings Discount CP 0.220% Due 07/01/2021	35,000,000.00	10/23/2020 0.21%	34,948,754.05 34,987,545.80	99.96 0.21%	34,987,545.80 0.00	0.27% 0.00	P-1 / A-1 F-1+	0.17 0.17
09659BU16	BNP Paribas Discount CP 0.220% Due 07/01/2021	80,000,000.00	Various 0.22%	79,913,161.11 79,970,177.78	99.96 0.22%	79,970,177.78 0.00	0.62% 0.00	P-1 / A-1 F-1+	0.17 0.17
4497W0U14	ING Funding Discount CP 0.140% Due 07/01/2021	95,000,000.00	Various 0.14%	94,964,864.00 94,977,463.96	99.98 0.14%	94,977,463.96 0.00	0.73% 0.00	P-1 / A-1 NR	0.17 0.17
09659BU24	BNP Paribas Discount CP 0.220% Due 07/02/2021	50,000,000.00	01/04/2021 0.22%	49,945,305.56 49,981,055.56	99.96 0.22%	49,981,055.56 0.00	0.39% 0.00	P-1 / A-1 F-1+	0.17 0.17
09659JU27	BNP Paribas Discount CP 0.070% Due 07/02/2021	100,000,000.00	Various 0.14%	99,961,305.56 99,975,888.89	99.98 0.14%	99,975,888.89 0.00	0.77% 0.00	P-1 / A-1 F-1+	0.17 0.17
89233GU61	Toyota Motor Credit Discount CP 0.110% Due 07/06/2021	40,000,000.00	04/08/2021 0.11%	39,989,122.22 39,991,933.33	99.98 0.11%	39,991,933.33 0.00	0.31% 0.00	P-1 / A-1+ F-1	0.18 0.18
89233GU79	Toyota Motor Credit Discount CP 0.110% Due 07/07/2021	60,000,000.00	04/08/2021 0.11%	59,983,500.00 59,987,716.67	99.98 0.11%	59,987,716.67 0.00	0.46% 0.00	P-1 / A-1+ F-1	0.19 0.19
89233GU87	Toyota Motor Credit Discount CP 0.110% Due 07/08/2021	90,000,000.00	04/08/2021 0.11%	89,974,975.00 89,981,300.00	99.98 0.11%	89,981,300.00 0.00	0.69% 0.00	P-1 / A-1+ F-1	0.19 0.19
45685QU98	ING (US) Funding LLC Discount CP 0.140% Due 07/09/2021	4,500,000.00	03/31/2021 0.14%	4,498,250.00 4,498,792.50	99.97 0.14%	4,498,792.50 0.00	0.03% 0.00	P-1 / A-1 NR	0.19 0.19
46640PV26	JP Morgan Discount CP 0.290% Due 08/02/2021	70,000,000.00	12/01/2020 0.26%	69,876,644.44 69,952,983.33	99.93 0.26%	69,952,983.33 0.00	0.54% 0.00	P-1 / A-1 F-1+	0.26 0.26
09659JV26	BNP Paribas Discount CP 0.018% Due 08/02/2021	75,000,000.00	02/03/2021 0.18%	74,932,500.00 74,965,125.00	99.95 0.18%	74,965,125.00 0.00	0.58% 0.00	P-1 / A-1 F-1+	0.26 0.26
09659BV23	BNP Paribas Discount CP 0.170% Due 08/02/2021	75,000,000.00	Various 0.17%	74,938,138.89 74,967,062.50	99.96 0.17%	74,967,062.50 0.00	0.58% 0.00	P-1 / A-1 F-1+	0.26 0.26
21687AV26	Rabobank Nederland NV NY Discount CP 0.140% Due 08/02/2021	50,000,000.00	04/07/2021 0.14%	49,977,250.00 49,981,916.67	99.96 0.14%	49,981,916.67 0.00	0.39% 0.00	P-1 / A-1 NR	0.26 0.26
09659BV31	BNP Paribas Discount CP 0.170% Due 08/03/2021	25,000,000.00	02/08/2021 0.17%	24,979,222.22 24,988,902.78	99.96 0.17%	24,988,902.78 0.00	0.19% 0.00	P-1 / A-1 F-1+	0.26 0.26
21687AV34	Rabobank Nederland NV NY Discount CP 0.130% Due 08/03/2021	20,000,000.00	04/07/2021 0.13%	19,991,477.78 19,993,211.11	99.97 0.13%	19,993,211.11 0.00	0.15% 0.00	P-1 / A-1 NR	0.26 0.26

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund

As of April 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
21687AV42	Rabobank Nederland NV NY Discount CP 0.130% Due 08/04/2021	20,000,000.00	04/07/2021 0.13%	19,991,405.56 19,993,138.89	99.97 0.13%	19,993,138.89 0.00	0.15% 0.00	P-1 / A-1 NR	0.26 0.26
21687AV59	Rabobank Nederland NV NY Discount CP 0.130% Due 08/05/2021	20,000,000.00	04/07/2021 0.13%	19,991,333.33 19,993,066.66	99.97 0.13%	19,993,066.66 0.00	0.15% 0.00	P-1 / A-1 NR	0.27 0.27
09659JV91	BNP Paribas Discount CP 0.170% Due 08/09/2021	25,000,000.00	02/11/2021 0.17%	24,978,868.06 24,988,194.45	99.95 0.17%	24,988,194.45 0.00	0.19% 0.00	P-1 / A-1 F-1+	0.28 0.28
21687AV91	Rabobank Nederland NV NY Discount CP 0.130% Due 08/09/2021	40,000,000.00	04/07/2021 0.13%	39,982,088.89 39,985,555.56	99.96 0.13%	39,985,555.56 0.00	0.31% 0.00	P-1 / A-1 NR	0.28 0.28
09659JVA8	BNP Paribas Discount CP 0.160% Due 08/10/2021	25,000,000.00	02/12/2021 0.16%	24,980,111.11 24,988,777.78	99.96 0.16%	24,988,777.78 0.00	0.19% 0.00	P-1 / A-1 F-1+	0.28 0.28
89233GVX1	Toyota Motor Credit Discount CP 0.130% Due 08/31/2021	50,000,000.00	04/12/2021 0.13%	49,974,541.67 49,977,972.23	99.96 0.13%	49,977,972.23 0.00	0.39% 0.00	P-1 / A-1+ F-1	0.34 0.34
21687AW25	Rabobank Nederland NV NY Discount CP 0.135% Due 09/02/2021	25,000,000.00	04/08/2021 0.14%	24,986,218.75 24,988,375.00	99.95 0.14%	24,988,375.00 0.00	0.19% 0.00	P-1 / A-1 NR	0.34 0.34
21687AW74	Rabobank Nederland NV NY Discount CP 0.135% Due 09/07/2021	30,000,000.00	04/08/2021 0.14%	29,982,900.00 29,985,487.50	99.95 0.14%	29,985,487.50 0.00	0.23% 0.00	P-1 / A-1 NR	0.36 0.36
21687AW82	Rabobank Nederland NV NY Discount CP 0.135% Due 09/08/2021	35,000,000.00	04/08/2021 0.14%	34,979,918.75 34,982,937.50	99.95 0.14%	34,982,937.50 0.00	0.27% 0.00	P-1 / A-1 NR	0.36 0.36
45685QWW5	ING (US) Funding LLC Discount CP 0.190% Due 09/30/2021	50,000,000.00	03/26/2021 0.19%	49,950,389.00 49,959,888.98	99.92 0.19%	49,959,888.98 0.00	0.39% 0.00	P-1 / A-1 NR	0.42 0.42
22533TWW2	Credit Agricole Discount CP 0.130% Due 09/30/2021	75,000,000.00	04/27/2021 0.13%	74,957,750.00 74,958,833.33	99.95 0.13%	74,958,833.33 0.00	0.58% 0.00	P-1 / A-1 F-1+	0.42 0.42
45685QX12	ING (US) Funding LLC Discount CP 0.190% Due 10/01/2021	50,000,000.00	03/29/2021 0.19%	49,950,916.50 49,959,624.86	99.92 0.19%	49,959,624.86 0.00	0.39% 0.00	P-1 / A-1 NR	0.42 0.42
06366GX12	Bank of Montreal Discount CP 0.160% Due 10/01/2021	50,000,000.00	04/07/2021 0.16%	49,960,666.67 49,966,000.00	99.93 0.16%	49,966,000.00 0.00	0.39% 0.00	P-1 / A-1 NR	0.42 0.42
89233GXE1	Toyota Motor Credit Discount CP 0.140% Due 10/14/2021	25,000,000.00	04/26/2021 0.14%	24,983,375.00 24,983,861.11	99.94 0.14%	24,983,861.11 0.00	0.19% 0.00	P-1 / A-1+ F-1	0.46 0.46
45685QY11	ING (US) Funding LLC Discount CP 0.200% Due 11/01/2021	50,000,000.00	03/29/2021 0.20%	49,939,722.00 49,948,888.70	99.90 0.20%	49,948,888.70 0.00	0.39% 0.00	P-1 / A-1 NR	0.51 0.51
46640PY15	JP Morgan Discount CP 0.190% Due 11/01/2021	50,000,000.00	04/01/2021 0.19%	49,943,527.78 49,951,444.45	99.90 0.19%	49,951,444.45 0.00	0.39% 0.00	P-1 / A-1 F-1+	0.51 0.51

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund As of April 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
46640PY80	JP Morgan Discount CP 0.190% Due 11/08/2021	50,000,000.00	04/01/2021 0.19%	49,941,680.56 49,949,597.23	99.90 0.19%	49,949,597.23 0.00	0.39% 0.00	P-1 / A-1 F-1+	0.53 0.53
				2,315,775,786.84		2,316,673,738.39	17.88%	P-1 / A-1	0.22
TOTAL Commercial Paper		2,317,500,000.00	0.17%	2,316,673,738.39	0.17%	0.00	0.00	F-1+	0.22
Corporate									
037833AR1	Apple Inc Note 2.850% Due 05/06/2021	8,137,000.00	05/03/2019 2.49%	8,194,365.85 8,137,390.78	100.02 1.92%	8,138,220.55 112,731.35	0.06% 829.77	Aa1 / AA+ NR	0.02 0.02
46632FQM0	JP Morgan Chase Bank NA Note 0.434% Due 06/01/2021	50,000,000.00	10/22/2019 0.43%	50,000,000.00 50,000,000.00	100.03 0.13%	50,013,500.00 36,790.63	0.39% 13,500.00	Aa2 / A+ NR	0.09 0.09
02665WBF7	American Honda Finance Note 1.650% Due 07/12/2021	14,338,000.00	04/05/2019 2.67%	14,019,266.26 14,310,317.46	100.28 0.26%	14,377,687.58 71,630.26	0.11% 67,370.12	A3 / A- NR	0.20 0.20
46625HJC5	JP Morgan Chase Note 4.350% Due 08/15/2021	25,000,000.00	09/02/2020 0.23%	25,979,000.00 25,299,060.52	101.18 0.31%	25,294,100.00 229,583.33	0.20% (4,960.52)	A2 / A- AA-	0.29 0.29
02665WBG5	American Honda Finance Note 1.700% Due 09/09/2021	25,000,000.00	09/09/2019 1.98%	24,861,500.00 24,975,179.89	100.51 0.28%	25,127,000.00 61,388.89	0.19% 151,820.11	A3 / A- NR	0.36 0.36
742718EQ8	Procter & Gamble Co Note 1.700% Due 11/03/2021	5,000,000.00	07/02/2019 1.98%	4,968,600.00 4,993,169.12	100.72 0.29%	5,035,855.00 42,027.78	0.04% 42,685.88	Aa3 / AA- NR	0.51 0.50
91159HHP8	US Bancorp Callable Note Cont 12/23/2021 2.625% Due 01/24/2022	30,000,000.00	Various 2.63%	29,996,150.00 29,998,994.00	101.55 0.22%	30,466,020.00 212,187.50	0.24% 467,026.00	A1 / A+ A+	0.74 0.64
46625HJD3	JP Morgan Chase Note 4.500% Due 01/24/2022	25,907,000.00	Various 1.00%	27,311,063.78 26,565,779.90	103.17 0.18%	26,727,267.43 314,122.38	0.21% 161,487.53	A2 / A- AA-	0.74 0.72
594918BW3	Microsoft Callable Note Cont 1/6/2022 2.400% Due 02/06/2022	50,000,000.00	04/05/2019 2.49%	49,872,700.00 49,965,538.25	101.51 0.18%	50,757,350.00 283,333.33	0.39% 791,811.75	Aaa / AAA AAA	0.77 0.68
742718DY2	Procter & Gamble Co Note 2.300% Due 02/06/2022	16,857,000.00	07/02/2019 1.96%	17,000,790.21 16,899,531.63	101.59 0.22%	17,125,346.58 91,542.88	0.13% 225,814.95	Aa3 / AA- NR	0.77 0.76
037833AY6	Apple Inc Note 2.150% Due 02/09/2022	20,000,000.00	04/22/2019 2.62%	19,748,800.00 19,930,331.25	101.50 0.21%	20,300,180.00 97,944.44	0.16% 369,848.75	Aa1 / AA+ NR	0.78 0.77
037833CM0	Apple Inc Callable Note Cont 1/9/2022 2.500% Due 02/09/2022	67,281,000.00	Various 2.41%	67,434,885.00 67,321,793.81	101.57 0.22%	68,339,128.29 383,127.91	0.53% 1,017,334.48	Aa1 / AA+ NR	0.78 0.69
89236TFX8	Toyota Motor Credit Corp Note 2.650% Due 04/12/2022	25,000,000.00	04/12/2019 2.67%	24,984,250.00 24,995,027.83	102.28 0.25%	25,569,225.00 34,965.28	0.20% 574,197.17	A1 / A+ A+	0.95 0.94
037833CQ1	Apple Inc Callable Note Cont 4/11/2022 2.300% Due 05/11/2022	10,157,000.00	09/04/2019 1.76%	10,297,065.03 10,207,865.72	101.95 0.24%	10,354,675.53 110,316.31	0.08% 146,809.81	Aa1 / AA+ NR	1.03 0.93

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund

As of April 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
90331HPC1	US Bank NA Callable Note Cont 4/22/2022 2.650% Due 05/23/2022	79,463,000.00	Various 1.32%	81,163,958.67 80,484,597.04	102.33 0.26%	81,314,964.68 924,198.83	0.63% 830,367.64	A1 / AA- AA-	1.06 0.96
46647PAS5	JP Morgan Chase & Co Callable Note Cont 6/18/2021 3.514% Due 06/18/2022	8,040,000.00	09/01/2020 0.37%	8,241,321.60 8,073,322.20	100.40 0.48%	8,072,449.44 104,377.51	0.06% (872.76)	A2 / A- AA-	1.13 0.13
89236TCQ6	Toyota Motor Credit Corp Note 2.800% Due 07/13/2022	25,000,000.00	02/27/2019 2.91%	24,911,500.00 24,968,536.53	103.03 0.27%	25,758,400.00 210,000.00	0.20% 789,863.47	A1 / A+ A+	1.20 1.18
742718EU9	Procter & Gamble Co Note 2.150% Due 08/11/2022	50,000,000.00	Various 1.87%	50,403,200.00 50,172,919.84	102.45 0.24%	51,222,600.00 238,888.90	0.40% 1,049,680.16	Aa3 / AA- NR	1.28 1.26
30231GBB7	Exxon Mobil Corp Note 1.902% Due 08/16/2022	5,000,000.00	08/16/2019 1.90%	5,000,000.00 5,000,000.00	102.21 0.19%	5,110,650.00 19,812.50	0.04% 110,650.00	Aa2 / AA- NR	1.30 1.28
89236TEC5	Toyota Motor Credit Corp Note 2.150% Due 09/08/2022	32,538,000.00	01/15/2020 1.81%	32,820,429.84 32,682,573.70	102.56 0.26%	33,369,443.51 102,991.81	0.26% 686,869.81	A1 / A+ A+	1.36 1.34
037833DL1	Apple Inc Note 1.700% Due 09/11/2022	20,000,000.00	09/11/2019 1.71%	19,996,600.00 19,998,455.11	102.01 0.22%	20,402,160.00 47,222.22	0.16% 403,704.89	Aa1 / AA+ NR	1.37 1.35
037833DC1	Apple Inc Callable Note Cont 8/12/2022 2.100% Due 09/12/2022	10,475,000.00	07/12/2019 2.10%	10,475,000.00 10,475,000.00	102.44 0.19%	10,730,809.98 29,941.04	0.08% 255,809.98	Aa1 / AA+ NR	1.37 1.27
89236TGG4	Toyota Motor Credit Corp Callable Note 1X 9/23/2021 2.100% Due 09/23/2022	25,000,000.00	09/23/2019 2.10%	25,000,000.00 25,000,000.00	100.67 0.42%	25,166,850.00 55,416.67	0.19% 166,850.00	A1 / A+ A+	1.40 0.40
46632FRA5	JP Morgan Chase Bank NA Callable Note 1X 7/24/2021 2.000% Due 10/24/2022	50,000,000.00	01/24/2020 2.00%	50,000,000.00 50,000,000.00	100.26 0.87%	50,131,200.00 19,444.44	0.39% 131,200.00	Aa2 / A+ NR	1.48 0.23
90331HPF4	US Bank NA Callable Note Cont 12/9/2022 1.950% Due 01/09/2023	35,000,000.00	12/09/2019 1.98%	34,970,600.00 34,983,878.26	102.75 0.23%	35,963,760.00 212,333.33	0.28% 979,881.74	A1 / AA- AA-	1.70 1.58
89233P7F7	Toyota Motor Credit Corp Note 2.625% Due 01/10/2023	13,000,000.00	01/21/2020 1.84%	13,292,370.00 13,166,799.11	103.83 0.36%	13,497,510.00 105,218.75	0.10% 330,710.89	A1 / A+ A+	1.70 1.65
48128BAB7	JP Morgan Chase & Co Callable Note 1X 1/15/2022 2.972% Due 01/15/2023	10,000,000.00	03/17/2020 2.04%	10,166,900.00 10,064,614.50	101.85 0.35%	10,184,990.00 87,508.89	0.08% 120,375.50	A2 / A- AA-	1.71 0.70
46625HRL6	JP Morgan Chase Callable Note Cont 3/18/2023 2.700% Due 05/18/2023	16,848,000.00	05/28/2020 1.02%	17,627,556.96 17,370,242.26	104.33 0.39%	17,577,248.83 205,966.80	0.14% 207,006.57	A2 / A- AA-	2.05 1.82
TOTAL Corporate		753,041,000.00	1.84%	758,737,873.20 756,040,918.71	0.30%	766,128,592.40 4,445,013.96	5.95% 10,087,673.69	A1 / AA- AA-	0.99 0.80

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund

As of April 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
Local Gov Investment Pool									
90CAMP\$00	California Asset Mgmt Program CAMP	249,685,060.66	Various 0.07%	249,685,060.66 249,685,060.66	1.00 0.07%	249,685,060.66 0.00	1.93% 0.00	NR / AAA NR	0.00 0.00
TOTAL Local Gov Investment Pool		249,685,060.66	0.07%	249,685,060.66	0.07%	249,685,060.66	1.93%	NR / AAA	0.00
Money Market Fund									
608919718	Federated Govt Obligations FD-Prime MMKT Fund	800,000.00	11/30/2020 0.01%	800,000.00 800,000.00	1.00 0.01%	800,000.00 0.00	0.01% 0.00	Aaa / AAA AAA	0.00 0.00
61747C707	Morgan Stanley Liq Govt MMKT	1,000,000.00	11/30/2020 0.02%	1,000,000.00 1,000,000.00	1.00 0.02%	1,000,000.00 0.00	0.01% 0.00	Aaa / AAA AAA	0.00 0.00
31607A703	Fidelity Institutional Prime Govt INS Mmkt Fund	1,000,000.00	11/30/2020 0.01%	1,000,000.00 1,000,000.00	1.00 0.01%	1,000,000.00 0.00	0.01% 0.00	Aaa / AAA NR	0.00 0.00
09248U700	Blackrock Liquidity FedFund MMF	1,000,000.00	11/30/2020 0.04%	1,000,000.00 1,000,000.00	1.00 0.04%	1,000,000.00 0.00	0.01% 0.00	Aaa / AAA NR	0.00 0.00
09248U7\$0	Blackrock CalTrust MMF	1,000,000.00	12/01/2020 0.04%	1,000,000.00 1,000,000.00	1.00 0.04%	1,000,000.00 0.00	0.01% 0.00	Aaa / AAA NR	0.00 0.00
TOTAL Money Market Fund		4,800,000.00	0.02%	4,800,000.00	0.02%	4,800,000.00	0.04%	Aaa / AAA	0.00
Municipal Bonds									
57582RM37	Massachusetts ST STE-GO 0.230% Due 05/20/2021	25,000,000.00	12/10/2020 0.23%	25,000,000.00 25,000,000.00	100.01 0.14%	25,001,250.00 21,562.50	0.19% 1,250.00	MIG1 / SP-1+ F-1+	0.05 0.06
649791PN4	New York St Taxable - GO 1.950% Due 02/15/2023	10,000,000.00	10/30/2019 1.95%	10,000,000.00 10,000,000.00	103.08 0.23%	10,307,800.00 41,166.67	0.08% 307,800.00	Aa2 / AA+ AA+	1.80 1.76
574193TP3	Maryland State STE-GO 0.410% Due 08/01/2023	15,000,000.00	08/05/2020 0.41%	15,000,000.00 15,000,000.00	100.33 0.27%	15,048,750.00 15,375.00	0.12% 48,750.00	Aaa / AAA AAA	2.25 2.24
13063DRJ9	California State TE-GO 2.400% Due 10/01/2023	26,535,000.00	10/24/2019 1.84%	27,096,480.60 26,879,775.64	104.93 0.35%	27,843,706.20 53,070.00	0.22% 963,930.56	Aa2 / AA- AA	2.42 2.36
649791PP9	New York St Taxable-GO 2.010% Due 02/15/2024	20,000,000.00	10/30/2019 2.01%	20,000,000.00 20,000,000.00	104.48 0.40%	20,895,000.00 84,866.67	0.16% 895,000.00	Aa2 / AA+ AA+	2.80 2.71
546417DP8	State of Louisiana STE-GO 0.650% Due 06/01/2024	5,000,000.00	10/14/2020 0.65%	5,000,000.00 5,000,000.00	100.40 0.52%	5,019,850.00 13,541.67	0.04% 19,850.00	Aa3 / AA- NR	3.09 3.04
574193TQ1	Maryland State STE-GO 0.510% Due 08/01/2024	25,000,000.00	08/05/2020 0.51%	25,000,000.00 25,000,000.00	100.46 0.37%	25,115,000.00 31,875.00	0.19% 115,000.00	Aaa / AAA AAA	3.26 3.22

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund

As of April 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
60412AVT7	Minnesota State Taxable- GO 0.500% Due 08/01/2024	15,000,000.00	08/25/2020 0.48%	15,012,150.00 15,010,044.68	100.04 0.49%	15,006,300.00 18,750.00	0.12% (3,744.68)	Aa1 / AAA AAA	3.26 3.22
546417DQ6	State of Louisiana STE-GO 0.840% Due 06/01/2025	5,000,000.00	10/14/2020 0.84%	5,000,000.00 5,000,000.00	100.25 0.78%	5,012,700.00 17,500.00	0.04% 12,700.00	Aa3 / AA- NR	4.09 4.00
34153QUD6	Florida State Board of Edu STE-GO 0.550% Due 06/01/2025	40,000,000.00	10/22/2020 0.55%	40,000,000.00 40,000,000.00	99.25 0.74%	39,700,800.00 115,500.00	0.31% (299,200.00)	Aaa / AAA AAA	4.09 4.02
9281094C8	Commonwealth of Virginia STE-GO 0.550% Due 06/01/2025	10,860,000.00	11/05/2020 0.55%	10,860,000.00 10,860,000.00	99.93 0.57%	10,852,723.80 29,201.33	0.08% (7,276.20)	Aaa / AAA AAA	4.09 4.02
797646NC6	San Francisco California C&C TE-GO 5.450% Due 06/15/2025	4,605,000.00	03/19/2021 0.95%	5,464,154.85 5,440,304.84	118.26 0.93%	5,445,688.80 94,811.83	0.04% 5,383.96	Aaa / AAA AA+	4.13 3.70
574193TR9	Maryland State STE-GO 0.660% Due 08/01/2025	25,000,000.00	08/05/2020 0.66%	25,000,000.00 25,000,000.00	99.49 0.78%	24,873,500.00 41,250.00	0.19% (126,500.00)	Aaa / AAA AAA	4.26 4.18
419792YQ3	Hawaii State STE-GO 0.670% Due 08/01/2025	5,255,000.00	08/12/2020 0.67%	5,255,000.00 5,255,000.00	99.41 0.81%	5,224,048.05 8,802.13	0.04% (30,951.95)	Aa2 / AA+ AA	4.26 4.18
TOTAL Municipal Bonds		232,255,000.00	0.86%	233,687,785.45 233,445,125.16	0.49%	235,347,116.85 587,272.80	1.82% 1,901,991.69	Aa1 / AAA Aaa	2.99 2.93
Negotiable CD									
89114NRM9	Toronto Dominion Bank NY Yankee CD 0.200% Due 05/03/2021	150,000,000.00	09/01/2020 0.20%	150,000,000.00 150,000,000.00	100.00 0.20%	150,000,000.00 201,666.67	1.16% 0.00	P-1 / A-1+ F-1+	0.01 0.01
86565CF61	Sumitomo Mitsui Bank NY Yankee CD 0.090% Due 05/04/2021	25,000,000.00	04/05/2021 0.09%	25,000,000.00 25,000,000.00	100.00 0.06%	25,000,075.00 1,625.00	0.19% 75.00	P-1 / A-1 F-1	0.01 0.01
86565CF79	Sumitomo Mitsui Bank NY Yankee CD 0.090% Due 05/05/2021	25,000,000.00	04/05/2021 0.09%	25,000,000.00 25,000,000.00	100.00 0.06%	25,000,100.00 1,625.00	0.19% 100.00	P-1 / A-1 F-1	0.01 0.01
86565CF46	Sumitomo Mitsui Bank NY Yankee CD 0.090% Due 05/10/2021	25,000,000.00	04/05/2021 0.09%	25,000,000.00 25,000,000.00	100.00 0.07%	25,000,150.00 1,625.00	0.19% 150.00	P-1 / A-1 F-1	0.03 0.03
86565CF53	Sumitomo Mitsui Bank NY Yankee CD 0.090% Due 05/12/2021	25,000,000.00	04/05/2021 0.09%	25,000,000.00 25,000,000.00	100.00 0.07%	25,000,175.00 1,625.00	0.19% 175.00	P-1 / A-1 F-1	0.03 0.03
86565CE70	Sumitomo Mitsui Bank NY Yankee CD 0.110% Due 05/21/2021	25,000,000.00	04/01/2021 0.11%	25,000,000.00 25,000,000.00	100.00 0.08%	25,000,375.00 2,291.67	0.19% 375.00	P-1 / A-1 F-1	0.06 0.06
86565CE88	Sumitomo Mitsui Bank NY Yankee CD 0.110% Due 05/24/2021	25,000,000.00	04/01/2021 0.11%	25,000,000.00 25,000,000.00	100.00 0.09%	25,000,325.00 2,291.67	0.19% 325.00	P-1 / A-1 F-1	0.07 0.07
78012UZS7	Royal Bank of Canada Yankee CD 0.230% Due 05/25/2021	50,000,000.00	11/24/2020 0.23%	50,000,000.00 50,000,000.00	100.00 0.23%	50,000,000.00 50,472.22	0.39% 0.00	P-1 / A-1+ F-1+	0.07 0.07
78012UZX6	Royal Bank of Canada Yankee CD 0.230% Due 05/26/2021	100,000,000.00	11/25/2020 0.23%	100,000,000.00 100,000,000.00	100.00 0.23%	100,000,000.00 100,305.56	0.77% 0.00	P-1 / A-1+ F-1+	0.07 0.07

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund

As of April 30, 2021

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89114NLF0	Toronto Dominion Bank NY Yankee CD 0.390% Due 05/28/2021	25,000,000.00	06/01/2020 0.39%	25,000,000.00 25,000,000.00	100.00 0.39%	25,000,000.00 90,458.33	0.19% 0.00	P-1 / A-1+ F-1+	0.08 0.08
13606CD92	Canadian Imperial Bank Comm NY Yankee CD 0.390% Due 05/28/2021	35,000,000.00	06/25/2020 0.39%	35,000,000.00 35,000,000.00	100.00 0.39%	35,000,000.00 117,541.67	0.27% 0.00	P-1 / A-1 F-1+	0.08 0.08
06367C3L9	Bank of Montreal Chicago Yankee CD 0.240% Due 05/28/2021	50,000,000.00	11/17/2020 0.24%	50,000,000.00 50,000,000.00	100.00 0.24%	50,000,000.00 55,000.00	0.39% 0.00	P-1 / A-1 F-1+	0.08 0.08
78012UZY4	Royal Bank of Canada Yankee CD 0.230% Due 05/28/2021	50,000,000.00	11/27/2020 0.23%	50,000,000.00 50,000,000.00	100.00 0.23%	50,000,000.00 49,513.89	0.39% 0.00	P-1 / A-1+ F-1+	0.08 0.08
22535CVR9	Credit Agricole CIB NY Yankee CD 0.130% Due 05/28/2021	25,000,000.00	02/25/2021 0.13%	25,000,000.00 25,000,000.00	100.00 0.10%	25,000,625.00 5,868.06	0.19% 625.00	P-1 / A-1 F-1+	0.08 0.08
06367CCT2	Bank of Montreal Chicago Yankee CD 0.110% Due 05/28/2021	25,000,000.00	03/10/2021 0.11%	25,000,000.00 25,000,000.00	100.00 0.09%	25,000,300.00 3,972.22	0.19% 300.00	P-1 / A-1 F-1+	0.08 0.08
86565CE21	Sumitomo Mitsui Bank NY Yankee CD 0.120% Due 05/28/2021	100,000,000.00	03/30/2021 0.12%	100,000,000.00 100,000,000.00	100.00 0.10%	100,001,700.00 10,000.00	0.77% 1,700.00	P-1 / A-1 F-1	0.08 0.08
86565CG94	Sumitomo Mitsui Bank NY Yankee CD 0.100% Due 05/28/2021	100,000,000.00	04/08/2021 0.10%	100,000,000.00 100,000,000.00	100.00 0.10%	100,000,200.00 6,388.89	0.77% 200.00	P-1 / A-1 F-1	0.08 0.08
86565CL72	Sumitomo Mitsui Bank NY Yankee CD 0.090% Due 05/28/2021	40,000,000.00	04/22/2021 0.09%	40,000,000.00 40,000,000.00	100.00 0.10%	39,999,760.00 900.00	0.31% (240.00)	P-1 / A-1 F-1	0.08 0.08
78012UB87	Royal Bank of Canada Yankee CD 0.210% Due 06/01/2021	150,000,000.00	12/07/2020 0.21%	150,000,000.00 150,000,000.00	100.01 0.09%	150,015,750.00 125,124.99	1.16% 15,750.00	P-1 / A-1+ F-1+	0.09 0.09
78012UC60	Royal Bank of Canada Yankee CD 0.210% Due 06/04/2021	60,000,000.00	12/09/2020 0.21%	60,000,000.00 60,000,000.00	100.01 0.09%	60,006,780.00 49,350.00	0.46% 6,780.00	P-1 / A-1+ F-1+	0.10 0.10
86565CH69	Sumitomo Mitsui Bank NY Yankee CD 0.120% Due 06/07/2021	50,000,000.00	04/12/2021 0.12%	50,000,000.00 50,000,000.00	100.00 0.11%	50,000,750.00 3,166.67	0.39% 750.00	P-1 / A-1 F-1	0.10 0.10
89114NLQ6	Toronto Dominion Bank NY Yankee CD 0.400% Due 06/08/2021	25,000,000.00	06/08/2020 0.40%	25,000,000.00 25,000,000.00	100.00 0.40%	25,000,000.00 90,833.33	0.19% 0.00	P-1 / A-1+ F-1+	0.11 0.11
89114NLV5	Toronto Dominion Bank NY Yankee CD 0.430% Due 06/08/2021	25,000,000.00	06/10/2020 0.43%	25,000,000.00 25,000,000.00	100.00 0.43%	25,000,000.00 97,048.61	0.19% 0.00	P-1 / A-1+ F-1+	0.11 0.11
86565CJ91	Sumitomo Mitsui Bank NY Yankee CD 0.120% Due 06/15/2021	15,000,000.00	04/16/2021 0.12%	15,000,000.00 15,000,000.00	100.00 0.11%	15,000,165.00 750.00	0.12% 165.00	P-1 / A-1 F-1	0.13 0.13
86565CK24	Sumitomo Mitsui Bank NY Yankee CD 0.120% Due 06/16/2021	10,000,000.00	04/16/2021 0.12%	10,000,000.00 10,000,000.00	100.00 0.11%	10,000,110.00 500.00	0.08% 110.00	P-1 / A-1 F-1	0.13 0.13
89114NMW2	Toronto Dominion Bank NY Yankee CD 0.400% Due 06/30/2021	50,000,000.00	06/26/2020 0.40%	50,000,000.00 50,000,000.00	100.00 0.40%	50,000,000.00 171,666.67	0.39% 0.00	P-1 / A-1+ F-1+	0.17 0.17
06367BSK6	Bank of Montreal Chicago Yankee CD 0.230% Due 06/30/2021	50,000,000.00	08/26/2020 0.23%	50,000,000.00 50,000,000.00	100.00 0.23%	50,000,000.00 79,222.22	0.39% 0.00	P-1 / A-1 F-1+	0.17 0.17

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund

As of April 30, 2021

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13606CKZ6	Canadian Imperial Bank Comm NY Yankee CD 0.230% Due 06/30/2021	120,000,000.00	12/09/2020 0.23%	120,000,000.00 120,000,000.00	100.02 0.11%	120,024,120.00 109,633.34	0.93% 24,120.00	P-1 / A-1 F-1+	0.17 0.17
21684XLY0	Cooperative Rabobank UA Yankee CD 0.210% Due 06/30/2021	100,000,000.00	12/22/2020 0.21%	100,000,000.00 100,000,000.00	100.01 0.14%	100,011,800.00 74,666.66	0.77% 11,800.00	P-1 / A-1 F-1+	0.17 0.17
86565CK65	Sumitomo Mitsui Bank NY Yankee CD 0.120% Due 06/30/2021	100,000,000.00	04/19/2021 0.12%	100,000,000.00 100,000,000.00	100.00 0.12%	99,999,800.00 4,000.00	0.77% (200.00)	P-1 / A-1 F-1	0.17 0.17
06367BSL4	Bank of Montreal Chicago Yankee CD 0.230% Due 07/01/2021	50,000,000.00	08/26/2020 0.23%	50,000,000.00 50,000,000.00	100.00 0.23%	50,000,000.00 79,222.22	0.39% 0.00	P-1 / A-1 F-1+	0.17 0.17
78012UXV2	Royal Bank of Canada Yankee CD 0.210% Due 07/01/2021	50,000,000.00	09/28/2020 0.21%	50,000,000.00 50,000,000.00	100.00 0.21%	50,000,000.00 62,708.33	0.39% 0.00	P-1 / A-1+ F-1+	0.17 0.17
13606CHY3	Canadian Imperial Bank Comm NY Yankee CD 0.220% Due 07/01/2021	55,000,000.00	10/19/2020 0.22%	55,000,000.00 55,000,000.00	100.00 0.22%	55,000,000.00 65,205.56	0.42% 0.00	P-1 / A-1 F-1+	0.17 0.17
06367C7L5	Bank of Montreal Chicago Yankee CD 0.170% Due 07/01/2021	25,000,000.00	01/14/2021 0.17%	25,000,000.00 25,000,000.00	100.01 0.12%	25,002,125.00 12,041.67	0.19% 2,125.00	P-1 / A-1 F-1+	0.17 0.17
06367BSD2	Bank of Montreal Chicago Yankee CD 0.230% Due 07/02/2021	50,000,000.00	08/25/2020 0.23%	50,000,000.00 50,000,000.00	100.00 0.23%	50,000,000.00 79,541.67	0.39% 0.00	P-1 / A-1 F-1+	0.17 0.17
89114NRD9	Toronto Dominion Bank NY Yankee CD 0.210% Due 07/02/2021	100,000,000.00	08/27/2020 0.21%	100,000,000.00 100,000,000.00	100.00 0.21%	100,000,000.00 144,083.33	0.77% 0.00	P-1 / A-1+ F-1+	0.17 0.17
06367BTE9	Bank of Montreal Chicago Yankee CD 0.200% Due 07/02/2021	200,000,000.00	08/31/2020 0.20%	200,000,000.00 200,000,000.00	100.00 0.20%	200,000,000.00 270,000.00	1.55% 0.00	P-1 / A-1 F-1+	0.17 0.17
78012UXW0	Royal Bank of Canada Yankee CD 0.210% Due 07/02/2021	50,000,000.00	09/28/2020 0.21%	50,000,000.00 50,000,000.00	100.00 0.21%	50,000,000.00 62,708.33	0.39% 0.00	P-1 / A-1+ F-1+	0.17 0.17
89114W6B6	Toronto Dominion Yankee CD 0.110% Due 07/02/2021	75,000,000.00	04/06/2021 0.11%	75,000,000.00 75,000,000.00	100.00 0.13%	74,997,300.00 5,729.17	0.58% (2,700.00)	P-1 / A-1 F-1+	0.17 0.17
13606CHT4	Canadian Imperial Bank Comm NY Yankee CD 0.230% Due 07/09/2021	25,000,000.00	10/13/2020 0.23%	25,000,000.00 25,000,000.00	100.00 0.23%	25,000,000.00 31,944.44	0.19% 0.00	P-1 / A-1 F-1+	0.19 0.19
13606CEL4	Canadian Imperial Bank Comm NY Yankee CD 0.260% Due 08/02/2021	100,000,000.00	08/10/2020 0.26%	100,000,000.00 100,000,000.00	100.00 0.26%	100,000,000.00 190,666.67	0.77% 0.00	P-1 / A-1 F-1+	0.26 0.26
13606CFZ2	Canadian Imperial Bank Comm NY Yankee CD 0.240% Due 08/02/2021	50,000,000.00	09/03/2020 0.24%	50,000,000.00 50,000,000.00	100.00 0.24%	50,000,000.00 80,000.00	0.39% 0.00	P-1 / A-1 F-1+	0.26 0.26
78012UXX8	Royal Bank of Canada Yankee CD 0.220% Due 08/02/2021	75,000,000.00	09/28/2020 0.22%	75,000,000.00 75,000,000.00	100.00 0.22%	75,000,000.00 98,541.67	0.58% 0.00	P-1 / A-1+ F-1+	0.26 0.26
13606CET7	Canadian Imperial Bank Comm NY Yankee CD 0.270% Due 08/06/2021	60,000,000.00	08/13/2020 0.27%	60,000,000.00 60,000,000.00	100.00 0.27%	60,000,000.00 117,450.00	0.46% 0.00	P-1 / A-1 F-1+	0.27 0.27
13606CEX8	Canadian Imperial Bank Comm NY Yankee CD 0.260% Due 08/20/2021	50,000,000.00	08/17/2020 0.26%	50,000,000.00 50,000,000.00	100.00 0.26%	50,000,000.00 92,805.56	0.39% 0.00	P-1 / A-1 F-1+	0.31 0.31

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund

As of April 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
13606CG40	Canadian Imperial Bank Comm NY Yankee CD 0.250% Due 08/31/2021	25,000,000.00	09/03/2020 0.25%	25,000,000.00 25,000,000.00	100.00 0.25%	25,000,000.00 41,666.67	0.19% 0.00	P-1 / A-1 F-1+	0.34 0.34
78012UYB5	Royal Bank of Canada Yankee CD 0.220% Due 09/01/2021	25,000,000.00	09/30/2020 0.22%	25,000,000.00 25,000,000.00	100.00 0.22%	25,000,000.00 32,541.67	0.19% 0.00	P-1 / A-1+ F-1+	0.34 0.34
89114W6N0	Toronto Dominion Yankee CD 0.140% Due 09/01/2021	50,000,000.00	04/07/2021 0.14%	50,000,000.00 50,000,000.00	100.00 0.15%	49,997,750.00 4,666.67	0.39% (2,250.00)	P-1 / A-1 F-1+	0.34 0.34
06417MMS1	Bank of Nova Scotia Houston Yankee CD 0.250% Due 09/03/2021	65,000,000.00	12/10/2020 0.25%	65,000,000.00 65,000,000.00	100.03 0.17%	65,018,135.00 64,097.23	0.50% 18,135.00	P-1 / A-1 F-1+	0.35 0.34
06417MMY8	Bank of Nova Scotia Houston Yankee CD 0.240% Due 09/08/2021	50,000,000.00	12/17/2020 0.24%	50,000,000.00 50,000,000.00	100.03 0.17%	50,012,700.00 45,000.00	0.39% 12,700.00	P-1 / A-1 F-1+	0.36 0.36
13606CGQ1	Canadian Imperial Bank Comm NY Yankee CD 0.250% Due 09/17/2021	50,000,000.00	09/22/2020 0.25%	50,000,000.00 50,000,000.00	100.00 0.25%	50,000,000.00 76,736.11	0.39% 0.00	P-1 / A-1 F-1+	0.38 0.38
78012UXT7	Royal Bank of Canada Yankee CD 0.250% Due 09/20/2021	25,000,000.00	09/25/2020 0.25%	25,000,000.00 25,000,000.00	100.00 0.25%	25,000,000.00 37,847.22	0.19% 0.00	P-1 / A-1+ F-1+	0.39 0.39
21684XLX2	Cooperative Rabobank UA Yankee CD 0.240% Due 09/30/2021	50,000,000.00	12/22/2020 0.24%	50,000,000.00 50,000,000.00	100.04 0.15%	50,018,650.00 42,666.67	0.39% 18,650.00	P-1 / A-1 F-1+	0.42 0.42
06367CCH8	Bank of Montreal Chicago Yankee CD 0.180% Due 09/30/2021	25,000,000.00	03/08/2021 0.18%	25,000,000.00 25,000,000.00	100.00 0.17%	25,001,150.00 6,750.00	0.19% 1,150.00	P-1 / A-1 F-1+	0.42 0.42
89114W6E0	Toronto Dominion Yankee CD 0.160% Due 10/04/2021	20,000,000.00	04/06/2021 0.16%	20,000,000.00 20,000,000.00	99.99 0.17%	19,998,940.00 2,222.22	0.15% (1,060.00)	P-1 / A-1 F-1+	0.43 0.43
89114W6F7	Toronto Dominion Yankee CD 0.160% Due 10/05/2021	25,000,000.00	04/06/2021 0.16%	25,000,000.00 25,000,000.00	99.99 0.17%	24,998,550.00 2,777.78	0.19% (1,450.00)	P-1 / A-1 F-1+	0.43 0.43
89114W6S9	Toronto Dominion Yankee CD 0.140% Due 10/07/2021	25,000,000.00	04/12/2021 0.14%	25,000,000.00 25,000,000.00	99.99 0.17%	24,996,325.00 1,847.22	0.19% (3,675.00)	P-1 / A-1 F-1+	0.44 0.44
89114W6G5	Toronto Dominion Yankee CD 0.160% Due 10/08/2021	50,000,000.00	04/06/2021 0.16%	50,000,000.00 50,000,000.00	99.99 0.17%	49,996,850.00 5,555.56	0.39% (3,150.00)	P-1 / A-1 F-1+	0.44 0.44
89114W6H3	Toronto Dominion Yankee CD 0.160% Due 10/13/2021	30,000,000.00	04/06/2021 0.16%	30,000,000.00 30,000,000.00	99.99 0.18%	29,997,900.00 3,333.33	0.23% (2,100.00)	P-1 / A-1 F-1+	0.45 0.45
78012UYM1	Royal Bank of Canada Yankee CD 0.240% Due 10/15/2021	25,000,000.00	10/15/2020 0.24%	25,000,000.00 25,000,000.00	100.00 0.24%	25,000,000.00 33,000.00	0.19% 0.00	P-1 / A-1+ F-1+	0.46 0.46
13606CRP1	Canadian Imperial Bank Comm NY Yankee CD 0.170% Due 10/29/2021	50,000,000.00	04/12/2021 0.17%	50,000,000.00 50,000,000.00	99.99 0.18%	49,997,200.00 4,486.11	0.39% (2,800.00)	P-1 / A-1 F-1+	0.50 0.50
90275DNP1	UBS Finance Yankee CD 0.180% Due 11/01/2021	25,000,000.00	03/04/2021 0.18%	25,000,000.00 25,000,000.00	99.99 0.20%	24,997,500.00 7,250.00	0.19% (2,500.00)	P-1 / A-1 F-1	0.51 0.51
90275DNLO	UBS Finance Yankee CD 0.190% Due 11/30/2021	20,000,000.00	03/02/2021 0.19%	20,000,000.00 20,000,000.00	99.99 0.21%	19,997,600.00 6,333.33	0.15% (2,400.00)	P-1 / A-1 F-1+	0.59 0.59

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund

As of April 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
06052TN71	Bank of America Negotiable CD 0.190% Due 01/04/2022	50,000,000.00	04/09/2021 0.19%	50,000,000.00 50,000,000.00	99.99 0.20%	49,995,800.00 5,013.89	0.39% (4,200.00)	P-1 / A-1 F-1+	0.68 0.68
13606CRR7	Canadian Imperial Bank Comm NY Yankee CD 0.190% Due 01/07/2022	25,000,000.00	04/12/2021 0.19%	25,000,000.00 25,000,000.00	99.99 0.20%	24,997,550.00 2,506.94	0.19% (2,450.00)	P-1 / A-1 F-1+	0.69 0.69
06367CBY2	Bank of Montreal Chicago Yankee CD 0.210% Due 03/01/2022	50,000,000.00	03/02/2021 0.21%	50,000,000.00 50,000,000.00	100.00 0.21%	49,998,700.00 17,500.00	0.39% (1,300.00)	P-1 / A-1 F-1+	0.84 0.83
90275DNQ9	UBS Finance Yankee CD 0.220% Due 03/04/2022	25,000,000.00	03/04/2021 0.22%	25,000,000.00 25,000,000.00	99.97 0.25%	24,993,500.00 8,861.11	0.19% (6,500.00)	P-1 / A-1 F-1	0.84 0.84
06367CEM5	Bank of Montreal Chicago Yankee CD 0.200% Due 03/04/2022	40,000,000.00	04/22/2021 0.20%	40,000,000.00 40,000,000.00	99.99 0.21%	39,995,200.00 2,000.00	0.31% (4,800.00)	P-1 / A-1 F-1+	0.84 0.84
TOTAL Negotiable CD		3,495,000,000.00	0.20%	3,495,000,000.00	0.19%	3,495,072,485.00 3,356,441.69	27.00% 72,485.00	Aaa / AA+ Aaa	0.22 0.22
Supranational									
45950KCJ7	International Finance Corp Note 1.125% Due 07/20/2021	37,500,000.00	Various 1.27%	37,238,500.00 37,488,274.32	100.21 0.17%	37,579,875.00 118,359.38	0.29% 91,600.68	Aaa / AAA NR	0.22 0.22
4581X0CZ9	Inter-American Dev Bank Note 1.750% Due 09/14/2022	50,000,000.00	08/27/2020 0.23%	51,548,000.00 51,036,828.88	102.15 0.18%	51,073,750.00 114,236.11	0.40% 36,921.12	Aaa / AAA AAA	1.38 1.36
4581X0DA3	Inter-American Dev Bank Note 2.500% Due 01/18/2023	94,700,000.00	Various 1.90%	96,469,012.00 95,638,262.38	103.91 0.22%	98,403,717.00 677,368.07	0.76% 2,765,454.62	Aaa / AAA NR	1.72 1.68
459058GX5	Intl. Bank Recon & Development Note 1.875% Due 06/19/2023	14,750,000.00	12/20/2019 1.72%	14,825,815.00 14,796,248.93	103.43 0.26%	15,256,323.25 101,406.25	0.12% 460,074.32	Aaa / AAA AAA	2.14 2.09
45818WCL8	Inter-American Dev Bank Callable Note Qtrly 7/6/2021 2.530% Due 07/06/2023	75,000,000.00	04/16/2019 2.53%	75,000,000.00 75,000,000.00	100.40 0.32%	75,303,525.00 131,770.83	0.58% 303,525.00	Aaa / AAA AAA	2.18 0.18
45818WCR5	Inter-American Dev Bank Callable Note 1X 9/27/2021 1.950% Due 09/27/2023	25,000,000.00	09/27/2019 1.95%	25,000,000.00 25,000,000.00	100.56 0.58%	25,139,575.00 46,041.67	0.19% 139,575.00	Aaa / AAA AAA	2.41 0.41
459058GL1	Intl. Bank Recon & Development Note 3.000% Due 09/27/2023	63,846,000.00	Various 1.86%	66,560,348.76 65,524,878.89	106.41 0.33%	67,937,890.14 180,896.99	0.53% 2,413,011.25	Aaa / AAA NR	2.41 2.33
4581X0CC0	Inter-American Dev Bank Note 3.000% Due 10/04/2023	50,000,000.00	Various 2.13%	51,685,788.30 51,001,500.72	106.47 0.32%	53,235,000.00 112,500.00	0.41% 2,233,499.28	Aaa / NR AAA	2.43 2.35
45950VTU0	International Finance Corp Note 0.290% Due 11/06/2023	25,000,000.00	11/06/2020 0.29%	25,000,000.00 25,000,000.00	99.85 0.35%	24,963,225.00 35,243.06	0.19% (36,775.00)	Aaa / AAA NR	2.52 2.50

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund

As of April 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
4581X0DF2	Inter-American Dev Bank Note 2.625% Due 01/16/2024	84,750,000.00	Various 2.42%	85,504,800.00 85,184,142.65	106.04 0.38%	89,867,713.50 648,867.19	0.70% 4,683,570.85	Aaa / AAA NR	2.72 2.61
45818WCG9	Inter-American Dev Bank Note 2.290% Due 01/31/2024	50,000,000.00	04/02/2019 2.29%	50,000,000.00 50,000,000.00	105.22 0.38%	52,612,300.00 289,430.56	0.41% 2,612,300.00	Aaa / AA AAA	2.76 2.66
4581X0CF3	Inter-American Dev Bank Note 3.000% Due 02/21/2024	11,869,000.00	10/31/2019 1.75%	12,480,490.88 12,267,595.71	107.28 0.39%	12,732,742.74 69,235.83	0.10% 465,147.03	Aaa / AAA AAA	2.81 2.70
45818WCH7	Inter-American Dev Bank Note 2.330% Due 02/29/2024	50,000,000.00	04/08/2019 2.33%	50,000,000.00 50,000,000.00	105.45 0.39%	52,726,100.00 203,875.00	0.41% 2,726,100.00	Aaa / AAA AAA	2.84 2.74
459058GQ0	Intl. Bank Recon & Development Note 2.500% Due 03/19/2024	25,000,000.00	03/19/2019 2.53%	24,959,250.00 24,976,513.55	106.00 0.41%	26,500,825.00 72,916.67	0.21% 1,524,311.45	Aaa / AAA AAA	2.89 2.79
459056HV2	Intl. Bank Recon & Development Note 1.500% Due 08/28/2024	25,000,000.00	03/19/2021 0.52%	25,832,500.00 25,804,044.12	103.25 0.51%	25,811,550.00 65,625.00	0.20% 7,505.88	Aaa / AAA AAA	3.33 3.24
45950KCR9	International Finance Corp Note 1.375% Due 10/16/2024	25,000,000.00	10/16/2019 1.44%	24,926,750.00 24,949,322.39	102.62 0.61%	25,655,650.00 14,322.92	0.20% 706,327.61	Aaa / AAA NR	3.47 3.38
45950VTV8	International Finance Corp Note 0.385% Due 11/04/2024	25,000,000.00	11/04/2020 0.39%	25,000,000.00 25,000,000.00	99.43 0.55%	24,857,975.00 47,322.92	0.19% (142,025.00)	Aaa / AAA NR	3.52 3.47
4581X0CM8	Inter-American Dev Bank Note 2.125% Due 01/15/2025	23,093,000.00	02/25/2021 0.54%	24,491,743.01 24,431,486.43	105.49 0.63%	24,360,597.86 144,491.62	0.19% (70,888.57)	Aaa / AAA AAA	3.72 3.56
45950VPR1	International Finance Corp Note 0.350% Due 02/26/2025	25,000,000.00	02/26/2021 0.40%	24,946,250.00 24,948,604.55	98.80 0.67%	24,698,850.00 15,798.61	0.19% (249,754.55)	Aaa / AAA NR	3.83 3.78
459058JB0	Intl. Bank Recon & Development Note 0.625% Due 04/22/2025	50,000,000.00	Various 0.69%	49,857,250.00 49,878,209.32	99.79 0.68%	49,893,150.00 7,812.50	0.39% 14,940.68	Aaa / AAA NR	3.98 3.92
45818WDC7	Inter-American Dev Bank Note 0.775% Due 07/09/2025	50,000,000.00	04/09/2021 0.78%	50,000,000.00 50,000,000.00	100.13 0.74%	50,063,550.00 23,680.56	0.39% 63,550.00	NR / NR NR	4.19 4.12
459058JE4	Intl. Bank Recon & Development Note 0.375% Due 07/28/2025	25,000,000.00	07/28/2020 0.40%	24,966,500.00 24,971,581.87	98.43 0.75%	24,607,000.00 24,218.75	0.19% (364,581.87)	Aaa / AAA AAA	4.25 4.19
459058JL8	Intl. Bank Recon & Development Note 0.500% Due 10/28/2025	44,000,000.00	Various 0.62%	43,762,370.00 43,773,091.56	98.63 0.81%	43,396,760.00 1,833.34	0.33% (376,331.56)	Aaa / AAA AAA	4.50 4.43
45950VPJ9	International Finance Corp Note 0.580% Due 01/15/2026	19,700,000.00	02/12/2021 0.53%	19,748,068.00 19,745,982.74	98.15 0.98%	19,336,062.20 33,643.22	0.15% (409,920.54)	Aaa / AAA NR	4.72 4.62
45950VPK6	International Finance Corp Note 0.450% Due 02/05/2026	25,000,000.00	02/05/2021 0.53%	24,907,500.00 24,911,805.86	97.49 0.99%	24,372,300.00 26,875.00	0.19% (539,505.86)	NR / NR NR	4.77 4.69

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund As of April 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
45905U5Y6	Intl. Bank Recon & Development Callable Note 1X 2/18/2022 0.600% Due 02/18/2026	75,000,000.00	02/18/2021 0.60%	74,987,500.00 74,987,992.88	98.37 0.95%	73,777,275.00 91,250.00	0.57% (1,210,717.88)	Aaa / AAA NR	4.81 4.38
TOTAL Supranational		1,069,208,000.00	1.42%	1,079,698,435.95 1,076,316,367.75	0.48%	1,094,163,281.69 3,299,022.05	8.47% 17,846,913.94	Aaa / AAA Aaa	2.95 2.68
US Treasury									
912828R77	US Treasury Note 1.375% Due 05/31/2021	35,000,000.00	06/17/2016 1.08%	35,492,187.50 35,008,162.31	100.10 0.17%	35,035,945.00 200,961.54	0.27% 27,782.69	Aaa / AA+ AAA	0.08 0.09
912828S27	US Treasury Note 1.125% Due 06/30/2021	5,000,000.00	09/07/2016 1.14%	4,996,875.00 4,999,893.28	100.17 0.10%	5,008,610.00 18,801.80	0.04% 8,716.72	Aaa / AA+ AAA	0.17 0.17
912828WY2	US Treasury Note 2.250% Due 07/31/2021	5,000,000.00	09/07/2016 1.15%	5,260,351.56 5,013,250.55	100.54 0.12%	5,027,035.00 27,969.61	0.04% 13,784.45	Aaa / AA+ AAA	0.25 0.25
912828T34	US Treasury Note 1.125% Due 09/30/2021	25,000,000.00	10/06/2016 1.25%	24,845,703.13 24,987,113.67	100.45 0.05%	25,112,300.00 23,821.72	0.19% 125,186.33	Aaa / AA+ AAA	0.42 0.42
912828U65	US Treasury Note 1.750% Due 11/30/2021	15,000,000.00	12/09/2016 1.83%	14,944,335.95 14,993,474.72	100.98 0.07%	15,147,660.00 109,615.38	0.12% 154,185.28	Aaa / AA+ AAA	0.59 0.58
9128287C8	US Treasury Note 1.750% Due 07/15/2022	20,000,000.00	11/21/2019 1.57%	20,093,750.00 20,042,657.70	101.99 0.10%	20,398,440.00 102,486.19	0.16% 355,782.30	Aaa / AA+ AAA	1.21 1.20
9128282S8	US Treasury Note 1.625% Due 08/31/2022	10,000,000.00	09/11/2019 1.58%	10,012,500.00 10,005,610.60	102.02 0.11%	10,202,340.00 27,377.72	0.08% 196,729.40	Aaa / AA+ AAA	1.34 1.32
912828P38	US Treasury Note 1.750% Due 01/31/2023	65,000,000.00	Various 2.10%	64,154,882.80 64,614,447.43	102.79 0.16%	66,812,915.00 282,803.87	0.52% 2,198,467.57	Aaa / AA+ AAA	1.76 1.73
912828Q29	US Treasury Note 1.500% Due 03/31/2023	12,000,000.00	09/16/2019 1.75%	11,895,468.76 11,943,446.33	102.55 0.17%	12,306,564.00 15,245.90	0.10% 363,117.67	Aaa / AA+ AAA	1.92 1.89
912828S35	US Treasury Note 1.375% Due 06/30/2023	20,000,000.00	Various 1.62%	19,831,054.70 19,896,424.90	102.54 0.20%	20,507,040.00 91,919.89	0.16% 610,615.10	Aaa / AA+ AAA	2.17 2.13
912828S92	US Treasury Note 1.250% Due 07/31/2023	20,000,000.00	Various 1.46%	19,841,796.88 19,907,626.43	102.34 0.21%	20,467,180.00 62,154.70	0.16% 559,553.57	Aaa / AA+ AAA	2.25 2.22
912828Y61	US Treasury Note 2.750% Due 07/31/2023	5,000,000.00	10/11/2019 1.58%	5,214,453.10 5,126,757.38	105.69 0.22%	5,284,570.00 34,185.08	0.04% 157,812.62	Aaa / AA+ AAA	2.25 2.19
9128282D1	US Treasury Note 1.375% Due 08/31/2023	40,000,000.00	05/31/2019 1.96%	39,046,875.00 39,477,100.77	102.68 0.22%	41,071,880.00 92,663.04	0.32% 1,594,779.23	Aaa / AA+ AAA	2.34 2.30

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund

As of April 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
912828T91	US Treasury Note 1.625% Due 10/31/2023	25,000,000.00	Various 1.39%	25,234,375.01 25,140,922.95	103.42 0.25%	25,855,475.00 1,103.94	0.20% 714,552.05	Aaa / AA+ AAA	2.50 2.46
9128285Z9	US Treasury Note 2.500% Due 01/31/2024	10,000,000.00	02/01/2019 2.46%	10,016,406.25 10,009,034.67	106.05 0.29%	10,605,080.00 62,154.70	0.08% 596,045.33	Aaa / AA+ AAA	2.76 2.66
912828W71	US Treasury Note 2.125% Due 03/31/2024	15,000,000.00	04/02/2019 2.25%	14,913,281.25 14,949,394.26	105.20 0.33%	15,780,465.00 26,997.95	0.12% 831,070.74	Aaa / AA+ AAA	2.92 2.84
912828WJ5	US Treasury Note 2.500% Due 05/15/2024	15,000,000.00	06/11/2019 1.91%	15,417,187.50 15,257,265.63	106.51 0.35%	15,976,170.00 172,997.24	0.12% 718,904.37	Aaa / AA+ AAA	3.04 2.91
912828XX3	US Treasury Note 2.000% Due 06/30/2024	25,000,000.00	07/15/2019 1.86%	25,164,062.50 25,104,666.80	105.08 0.39%	26,269,525.00 167,127.07	0.20% 1,164,858.20	Aaa / AA+ AAA	3.17 3.06
912828Y87	US Treasury Note 1.750% Due 07/31/2024	10,000,000.00	05/04/2020 0.34%	10,594,921.88 10,455,889.14	104.36 0.40%	10,435,940.00 43,508.29	0.08% (19,949.14)	Aaa / AA+ AAA	3.25 3.16
912828D56	US Treasury Note 2.375% Due 08/15/2024	10,000,000.00	08/29/2019 1.39%	10,471,484.38 10,312,589.20	106.41 0.42%	10,640,620.00 49,205.80	0.08% 328,030.80	Aaa / AA+ AAA	3.30 3.17
912828Z52	US Treasury Note 1.375% Due 01/31/2025	30,000,000.00	Various 0.65%	31,051,757.83 30,807,082.23	103.09 0.54%	30,925,770.00 102,555.24	0.24% 118,687.77	Aaa / AA+ AAA	3.76 3.65
912828J27	US Treasury Note 2.000% Due 02/15/2025	20,000,000.00	04/28/2020 0.37%	21,546,875.00 21,222,331.10	105.46 0.54%	21,092,180.00 82,872.93	0.16% (130,151.10)	Aaa / AA+ AAA	3.80 3.65
912828ZF0	US Treasury Note 0.500% Due 03/31/2025	15,000,000.00	04/13/2020 0.42%	15,059,179.70 15,046,677.87	99.66 0.59%	14,949,615.00 6,352.46	0.12% (97,062.87)	Aaa / AA+ AAA	3.92 3.87
912828ZL7	US Treasury Note 0.375% Due 04/30/2025	15,000,000.00	06/01/2020 0.33%	15,036,328.13 15,029,564.70	99.07 0.61%	14,860,545.00 152.85	0.11% (169,019.70)	Aaa / AA+ AAA	4.00 3.96
912828ZW3	US Treasury Note 0.250% Due 06/30/2025	125,000,000.00	Various 0.69%	122,705,078.13 122,763,329.52	98.34 0.66%	122,919,875.00 104,454.42	0.95% 156,545.48	Aaa / AA+ AAA	4.17 4.13
91282CAB7	US Treasury Note 0.250% Due 07/31/2025	50,000,000.00	Various 0.71%	49,020,507.81 49,039,827.15	98.20 0.68%	49,097,650.00 31,077.34	0.38% 57,822.85	Aaa / AA+ AAA	4.25 4.22
91282CAM3	US Treasury Note 0.250% Due 09/30/2025	25,000,000.00	04/07/2021 0.73%	24,470,703.13 24,478,463.13	97.96 0.72%	24,489,250.00 5,293.72	0.19% 10,786.87	Aaa / AA+ AAA	4.42 4.38
91282CBC4	US Treasury Note 0.375% Due 12/31/2025	33,000,000.00	01/27/2021 0.39%	32,971,640.63 32,973,122.44	98.11 0.79%	32,377,389.00 41,363.95	0.25% (595,733.44)	Aaa / AA+ AAA	4.67 4.61
91282CBH3	US Treasury Note 0.375% Due 01/31/2026	25,000,000.00	04/12/2021 0.86%	24,424,804.68 24,431,031.87	97.98 0.81%	24,494,150.00 23,308.01	0.19% 63,118.13	Aaa / AA+ AAA	4.76 4.69

INVESTMENT INVENTORY – MARKET VALUE

County of San Diego Pooled Money Fund

As of April 30, 2021

CUSIP	Security Description	Par Value/Units	Purchase Date Book Yield	Cost Value Book Value	Mkt Price Mkt YTM	Market Value Accrued Int.	% of Port. Gain/Loss	Moody/S&P Fitch	Maturity Duration
91282CBQ3	US Treasury Note 0.500% Due 02/28/2026	25,000,000.00	04/12/2021 0.87%	24,554,687.50 24,559,432.84	98.46 0.83%	24,615,225.00 21,059.78	0.19% 55,792.16	Aaa / AA+ AAA	4.84 4.76
TOTAL US Treasury		750,000,000.00	1.17%	747,596,591.57	0.43%	2,031,592.13	10,170,811.43	Aaa / AA+ Aaa	3.00 2.95
TOTAL PORTFOLIO		12,858,784,821.06	0.72%	12,871,770,642.89	0.31%	22,507,197.52	63,622,813.99	Aaa / AA+ Aaa	1.53 1.20
TOTAL MARKET VALUE PLUS ACCRUALS						12,957,900,654.40			

TRANSACTION ACTIVITY REPORT

County of San Diego Pooled Money Fund

As of April 30, 2021

Transaction Type	Settlement Date	CUSIP	Quantity	Security Description	Price	Acq/Disp Yield	Amount	Interest Pur/Sold	Total Amount	Gain/Loss
ACQUISITIONS										
Purchase	04/01/2021	46640PY15	50,000,000.00	JP Morgan Discount CP 0.19% Due: 11/01/2021	99.887	0.19%	49,943,527.78	0.00	49,943,527.78	0.00
Purchase	04/01/2021	46640PY80	50,000,000.00	JP Morgan Discount CP 0.19% Due: 11/08/2021	99.883	0.19%	49,941,680.56	0.00	49,941,680.56	0.00
Purchase	04/01/2021	86565CE21	100,000,000.00	Sumitomo Mitsui Bank NY Yankee CD 0.12% Due: 05/28/2021	100.000	0.12%	100,000,000.00	0.00	100,000,000.00	0.00
Purchase	04/01/2021	86565CE70	25,000,000.00	Sumitomo Mitsui Bank NY Yankee CD 0.11% Due: 05/21/2021	100.000	0.11%	25,000,000.00	0.00	25,000,000.00	0.00
Purchase	04/01/2021	86565CE88	25,000,000.00	Sumitomo Mitsui Bank NY Yankee CD 0.11% Due: 05/24/2021	100.000	0.11%	25,000,000.00	0.00	25,000,000.00	0.00
Purchase	04/01/2021	90CAMP\$00	17,729.78	California Asset Mgmt Program CAMP	1.000	0.07%	17,729.78	0.00	17,729.78	0.00
Purchase	04/05/2021	86565CF46	25,000,000.00	Sumitomo Mitsui Bank NY Yankee CD 0.09% Due: 05/10/2021	100.000	0.09%	25,000,000.00	0.00	25,000,000.00	0.00
Purchase	04/05/2021	86565CF53	25,000,000.00	Sumitomo Mitsui Bank NY Yankee CD 0.09% Due: 05/12/2021	100.000	0.09%	25,000,000.00	0.00	25,000,000.00	0.00
Purchase	04/05/2021	86565CF61	25,000,000.00	Sumitomo Mitsui Bank NY Yankee CD 0.09% Due: 05/04/2021	100.000	0.09%	25,000,000.00	0.00	25,000,000.00	0.00
Purchase	04/05/2021	86565CF79	25,000,000.00	Sumitomo Mitsui Bank NY Yankee CD 0.09% Due: 05/05/2021	100.000	0.09%	25,000,000.00	0.00	25,000,000.00	0.00
Purchase	04/06/2021	89114W6B6	75,000,000.00	Toronto Dominion Yankee CD 0.11% Due: 07/02/2021	100.000	0.11%	75,000,000.00	0.00	75,000,000.00	0.00
Purchase	04/06/2021	89114W6E0	20,000,000.00	Toronto Dominion Yankee CD 0.16% Due: 10/04/2021	100.000	0.16%	20,000,000.00	0.00	20,000,000.00	0.00
Purchase	04/06/2021	89114W6F7	25,000,000.00	Toronto Dominion Yankee CD 0.16% Due: 10/05/2021	100.000	0.16%	25,000,000.00	0.00	25,000,000.00	0.00
Purchase	04/06/2021	89114W6G5	50,000,000.00	Toronto Dominion Yankee CD 0.16% Due: 10/08/2021	100.000	0.16%	50,000,000.00	0.00	50,000,000.00	0.00
Purchase	04/06/2021	89114W6H3	30,000,000.00	Toronto Dominion Yankee CD 0.16% Due: 10/13/2021	100.000	0.16%	30,000,000.00	0.00	30,000,000.00	0.00
Purchase	04/07/2021	06366GX12	50,000,000.00	Bank of Montreal Discount CP 0.16% Due: 10/01/2021	99.921	0.16%	49,960,666.67	0.00	49,960,666.67	0.00

TRANSACTION ACTIVITY REPORT

County of San Diego Pooled Money Fund

As of April 30, 2021

Transaction Type	Settlement Date	CUSIP	Quantity	Security Description	Price	Acq/Disp Yield	Amount	Interest Pur/Sold	Total Amount	Gain/Loss
Purchase	04/07/2021	21687AV26	50,000,000.00	Rabobank Nederland NV NY Discount CP 0.14% Due: 08/02/2021	99.955	0.14%	49,977,250.00	0.00	49,977,250.00	0.00
Purchase	04/07/2021	21687AV34	20,000,000.00	Rabobank Nederland NV NY Discount CP 0.13% Due: 08/03/2021	99.957	0.13%	19,991,477.78	0.00	19,991,477.78	0.00
Purchase	04/07/2021	21687AV42	20,000,000.00	Rabobank Nederland NV NY Discount CP 0.13% Due: 08/04/2021	99.957	0.13%	19,991,405.56	0.00	19,991,405.56	0.00
Purchase	04/07/2021	21687AV59	20,000,000.00	Rabobank Nederland NV NY Discount CP 0.13% Due: 08/05/2021	99.957	0.13%	19,991,333.33	0.00	19,991,333.33	0.00
Purchase	04/07/2021	21687AV91	40,000,000.00	Rabobank Nederland NV NY Discount CP 0.13% Due: 08/09/2021	99.955	0.13%	39,982,088.89	0.00	39,982,088.89	0.00
Purchase	04/07/2021	89114W6N0	50,000,000.00	Toronto Dominion Yankee CD 0.14% Due: 09/01/2021	100.000	0.14%	50,000,000.00	0.00	50,000,000.00	0.00
Purchase	04/07/2021	91282CAB7	25,000,000.00	US Treasury Note 0.25% Due: 07/31/2025	98.113	0.69%	24,528,320.31	11,395.03	24,539,715.34	0.00
Purchase	04/07/2021	91282CAM3	25,000,000.00	US Treasury Note 0.25% Due: 09/30/2025	97.883	0.73%	24,470,703.13	1,195.36	24,471,898.49	0.00
Purchase	04/08/2021	06366GRV3	25,000,000.00	Bank of Montreal Discount CP 0.07% Due: 04/29/2021	99.996	0.07%	24,998,979.17	0.00	24,998,979.17	0.00
Purchase	04/08/2021	06366GRW1	75,000,000.00	Bank of Montreal Discount CP 0.07% Due: 04/30/2021	99.996	0.07%	74,996,791.67	0.00	74,996,791.67	0.00
Purchase	04/08/2021	21687AW25	25,000,000.00	Rabobank Nederland NV NY Discount CP 0.135% Due: 09/02/2021	99.945	0.14%	24,986,218.75	0.00	24,986,218.75	0.00
Purchase	04/08/2021	21687AW74	30,000,000.00	Rabobank Nederland NV NY Discount CP 0.135% Due: 09/07/2021	99.943	0.14%	29,982,900.00	0.00	29,982,900.00	0.00
Purchase	04/08/2021	21687AW82	35,000,000.00	Rabobank Nederland NV NY Discount CP 0.135% Due: 09/08/2021	99.943	0.14%	34,979,918.75	0.00	34,979,918.75	0.00
Purchase	04/08/2021	86565CG94	100,000,000.00	Sumitomo Mitsui Bank NY Yankee CD 0.1% Due: 05/28/2021	100.000	0.10%	100,000,000.00	0.00	100,000,000.00	0.00
Purchase	04/08/2021	89233GU61	40,000,000.00	Toyota Motor Credit Discount CP 0.11% Due: 07/06/2021	99.973	0.11%	39,989,122.22	0.00	39,989,122.22	0.00
Purchase	04/08/2021	89233GU79	60,000,000.00	Toyota Motor Credit Discount CP 0.11% Due: 07/07/2021	99.973	0.11%	59,983,500.00	0.00	59,983,500.00	0.00
Purchase	04/08/2021	89233GU87	90,000,000.00	Toyota Motor Credit Discount CP 0.11% Due: 07/08/2021	99.972	0.11%	89,974,975.00	0.00	89,974,975.00	0.00

TRANSACTION ACTIVITY REPORT

County of San Diego Pooled Money Fund

As of April 30, 2021

Transaction Type	Settlement Date	CUSIP	Quantity	Security Description	Price	Acq/Disp Yield	Amount	Interest Pur/Sold	Total Amount	Gain/Loss
Purchase	04/09/2021	06052TN71	50,000,000.00	Bank of America Negotiable CD 0.19% Due: 01/04/2022	100.000	0.19%	50,000,000.00	0.00	50,000,000.00	0.00
Purchase	04/09/2021	45818WDC7	50,000,000.00	Inter-American Dev Bank Note 0.775% Due: 07/09/2025	100.000	0.78%	50,000,000.00	0.00	50,000,000.00	0.00
Purchase	04/12/2021	13606CRP1	50,000,000.00	Canadian Imperial Bank Comm NY Yankee CD 0.17% Due: 10/29/2021	100.000	0.17%	50,000,000.00	0.00	50,000,000.00	0.00
Purchase	04/12/2021	13606CRR7	25,000,000.00	Canadian Imperial Bank Comm NY Yankee CD 0.19% Due: 01/07/2022	100.000	0.19%	25,000,000.00	0.00	25,000,000.00	0.00
Purchase	04/12/2021	86565CH69	50,000,000.00	Sumitomo Mitsui Bank NY Yankee CD 0.12% Due: 06/07/2021	100.000	0.12%	50,000,000.00	0.00	50,000,000.00	0.00
Purchase	04/12/2021	89114W6S9	25,000,000.00	Toronto Dominion Yankee CD 0.14% Due: 10/07/2021	100.000	0.14%	25,000,000.00	0.00	25,000,000.00	0.00
Purchase	04/12/2021	89233GVX1	50,000,000.00	Toyota Motor Credit Discount CP 0.13% Due: 08/31/2021	99.949	0.13%	49,974,541.67	0.00	49,974,541.67	0.00
Purchase	04/12/2021	91282CBH3	25,000,000.00	US Treasury Note 0.375% Due: 01/31/2026	97.699	0.86%	24,424,804.68	18,387.43	24,443,192.11	0.00
Purchase	04/12/2021	91282CBQ3	25,000,000.00	US Treasury Note 0.5% Due: 02/28/2026	98.219	0.87%	24,554,687.50	14,605.98	24,569,293.48	0.00
Purchase	04/14/2021	3133EMVS8	25,000,000.00	FFCB Callable Note Cont 4/14/2023 0.69% Due: 04/14/2025	100.000	0.69%	25,000,000.00	0.00	25,000,000.00	0.00
Purchase	04/16/2021	86565CJ91	15,000,000.00	Sumitomo Mitsui Bank NY Yankee CD 0.12% Due: 06/15/2021	100.000	0.12%	15,000,000.00	0.00	15,000,000.00	0.00
Purchase	04/16/2021	86565CK24	10,000,000.00	Sumitomo Mitsui Bank NY Yankee CD 0.12% Due: 06/16/2021	100.000	0.12%	10,000,000.00	0.00	10,000,000.00	0.00
Purchase	04/19/2021	86565CK65	100,000,000.00	Sumitomo Mitsui Bank NY Yankee CD 0.12% Due: 06/30/2021	100.000	0.12%	100,000,000.00	0.00	100,000,000.00	0.00
Purchase	04/22/2021	06367CEM5	40,000,000.00	Bank of Montreal Chicago Yankee CD 0.2% Due: 03/04/2022	100.000	0.20%	40,000,000.00	0.00	40,000,000.00	0.00
Purchase	04/22/2021	86565CL72	40,000,000.00	Sumitomo Mitsui Bank NY Yankee CD 0.09% Due: 05/28/2021	100.000	0.09%	40,000,000.00	0.00	40,000,000.00	0.00
Purchase	04/26/2021	89233GXE1	25,000,000.00	Toyota Motor Credit Discount CP 0.14% Due: 10/14/2021	99.934	0.14%	24,983,375.00	0.00	24,983,375.00	0.00
Purchase	04/27/2021	22533TWW2	75,000,000.00	Credit Agricole Discount CP 0.13% Due: 09/30/2021	99.944	0.13%	74,957,750.00	0.00	74,957,750.00	0.00

TRANSACTION ACTIVITY REPORT

County of San Diego Pooled Money Fund

As of April 30, 2021

Transaction Type	Settlement Date	CUSIP	Quantity	Security Description	Price	Acq/Disp Yield	Amount	Interest Pur/Sold	Total Amount	Gain/Loss
Purchase	04/28/2021	44933LAB9	12,000,000.00	Hyundai Auto Receivables Trust 2021-A A2 0.23% Due: 02/15/2024	99.990	0.24%	11,998,800.00	0.00	11,998,800.00	0.00
Purchase	04/28/2021	44933LAC7	11,000,000.00	Hyundai Auto Receivables Trust 2021-A A3 0.38% Due: 09/15/2025	99.989	0.38%	10,998,842.80	0.00	10,998,842.80	0.00
Purchase	04/29/2021	3130ALYT5	25,000,000.00	FHLB Callable Note Qtrly 10/29/2021 1.1% Due: 04/29/2026	100.000	1.10%	25,000,000.00	0.00	25,000,000.00	0.00
Purchase	04/30/2021	3130ALZN7	25,000,000.00	FHLB Callable Note Qtrly 7/30/2021 1.15% Due: 04/30/2026	100.000	1.15%	25,000,000.00	0.00	25,000,000.00	0.00
Subtotal			2,083,017,729.78				2,080,581,391.00	45,583.80	2,080,626,974.80	0.00
TOTAL ACQUISITIONS			2,083,017,729.78				2,080,581,391.00	45,583.80	2,080,626,974.80	0.00
DISPOSITIONS										
Call	04/26/2021	3134GTGG2	25,000,000.00	FHLMC Callable Note 1X 4/26/2021 2.49% Due: 07/26/2023	100.000	2.49%	25,000,000.00	0.00	25,000,000.00	0.00
Call	04/29/2021	89236TFY6	50,000,000.00	Toyota Motor Credit Corp Callable Note 1X 4/29/2021 2.7% Due: 04/29/2022	100.000	2.70%	50,000,000.00	0.00	50,000,000.00	0.00
Call	04/30/2021	46632FPW9	50,000,000.00	JP Morgan Chase Bank NA Callable Note S/A 4/30/2021 2.75% Due: 04/30/2022	100.000	2.75%	50,000,000.00	0.00	50,000,000.00	0.00
Subtotal			125,000,000.00				125,000,000.00	0.00	125,000,000.00	0.00
Maturity	04/19/2021	4581X0DB1	100,000,000.00	Inter-American Dev Bank Note 2.625% Due: 04/19/2021	100.000		100,000,000.00	0.00	100,000,000.00	0.00
Maturity	04/29/2021	06366GRV3	25,000,000.00	Bank of Montreal Discount CP 0.07% Due: 04/29/2021	99.996		25,000,000.00	0.00	25,000,000.00	0.00
Maturity	04/30/2021	06366GRW1	75,000,000.00	Bank of Montreal Discount CP 0.07% Due: 04/30/2021	99.996		75,000,000.00	0.00	75,000,000.00	0.00

TRANSACTION ACTIVITY REPORT

County of San Diego Pooled Money Fund

As of April 30, 2021

Transaction Type	Settlement Date	CUSIP	Quantity	Security Description	Price	Acq/Disp Yield	Amount	Interest Pur/Sold	Total Amount	Gain/Loss
Maturity	04/30/2021	06367CA98	50,000,000.00	Bank of Montreal Chicago Yankee CD 0.15% Due: 04/30/2021	100.000		50,000,000.00	19,375.00	50,019,375.00	0.00
Maturity	04/30/2021	09659JRW5	50,000,000.00	BNP Paribas Discount CP 0.15% Due: 04/30/2021	99.961		50,000,000.00	0.00	50,000,000.00	0.00
Maturity	04/30/2021	89233GRW8	95,000,000.00	Toyota Motor Credit Discount CP 0.32% Due: 04/30/2021	99.925		95,000,000.00	0.00	95,000,000.00	0.00
Subtotal			395,000,000.00				395,000,000.00	19,375.00	395,019,375.00	0.00
TOTAL DISPOSITIONS			520,000,000.00				520,000,000.00	19,375.00	520,019,375.00	0.00

CONTACT US



Dan McAllister

**San Diego County
Treasurer-Tax Collector**

San Diego County Administration Center

1600 Pacific Highway

San Diego, CA 92101

Telephone: 877-829-4732

Website: www.sdttc.com

